

Zaggle Prepaid Ocean (ZAGGLE)

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Call: Oct 2023

ZAGGLE/23 -24/19

October 21, 2023

To
Listing Department,
NATIONAL STOCK EXCHANGE OF INDIA
LIMITED
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex, Bandra (E ast),
Mumbai -400 051, Maharashtra

Company Symbol: ZAGGLE To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th Floor, Dalal Street,
Mumbai -400 001, Maharashtra

Company Scrip Code : 543985

Dear Sir / Madam,

Sub: Transcript of Earnings Call held on 16th October, 2023

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015

Pursuant to the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015 and further to our letter dated October 11, 2023, please find the attached the Transcript of the said earnings call on the Unaudited Financial Results of the Company for the quarter ended on June 30, 2023, and the same has been uploaded on the website on the following web- link:

<https://cdn.zaggle.in/images/web/zaggle/pdf/investor-relations/financials/earning-call-transcript/pdf-files/zaggle-earning-call-transcript-Q1FY24.pdf>

We request you to kindly take the same on record.

Thanking you,

For Zaggle Prepaid Ocean Services Limited

Hari Priya
Company Secretary and Compliance Officer

Encl. As Above
Page 1 of 20

"Zaggle Prepaid Ocean Services Limited
Q1 FY '24 Earnings Conference Call"
October 16, 2023

Disclaimer: E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on October 16 th 2023 , will prevail.

MANAGEMENT : MR. RAJ NARAYANAM – EXECUTIVE CHAIRMAN –

ZAGGLE PREPAID OCEAN SERVICES LIMITED
MR. AVINASH GODKHINDI – MANAGING DIRECTOR –
ZAGGLE PREPAID OCEAN SERVICES LIMITED
MR. ADITYA KUMAR – CHIEF FINANCIAL OFFICER –
ZAGGLE PREPAID OCEAN SERVICES LIMITED

MODERATOR : MR. ROHAN MANDORA – EQUIRUS SECURITIES

Zaggle Prepaid Ocean Services Limited
October 16, 2023

Page 2 of 20

Moderator: Ladies and gentlemen, good day and welcome to Zaggle Prepaid Ocean Services Limited 1Q - FY24 Earnings Conference Call hosted by Equirus Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on a touchtone phone. Please note that this conference is being recorded.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. I now hand the conference over to Mr. Rohan Mandora from Equirus Securities. Thank you and over to you Mr. Rohan.

Rohan Mandora: Thanks Zico. Good morning everyone and thank you for joining the call. To give a brief update on the 1Q FY24 results and address investor questions, we have with us from the management of Zaggle Prepaid Ocean Services Limited, Mr. Raj Narayanam, Executive Chairman, Mr. Avinash Godkhindi, Managing Director, Mr. Aditya Kumar, CFO. We would request the management to start with the opening comments, post which we can open the floor for Q&A. Thank you and over to you Mr. Narayanam.

Raj Narayanam: Thank you so much Rohan for the introduction. Good morning everyone. This is Raj. I am Founder and Executive Chairman of Zaggle. First of all, a warm welcome to all of you and thanks for joining our first earnings call after the listing. On this call, we are joined by Mr. Avinash Godkhindi, who is the Managing Director of Zaggle, Mr. Aditya Kumar, CFO, and SGA are our Investor Relation Advisors. The results and the presentations are uploaded on the stock exchanges and the company website.

I hope everybody had a chance to look at them. You know, we are very thrilled to witness a very strong response to our IPO. We want to express our deep appreciation to all our shareholders for entrusting their confidence in us. We extend our congratulations to everyone associated with the company, our employees, customers, business partners, bankers and shareholders. Since this is our first earnings call, I would like to give some background on our journey and how we got here.

Zaggle was launched in 2011 to build state-of-the-art financial solutions workflow and products which would help automate and empower businesses to increase efficiency, accuracy, transparency and productivity. A strong roster of customers, bank partnerships, scalable tech platform gave Zaggle a strong platform to grow into a highly profitable business. Our faith in the business and track record of being profitable for the last four years gave us the confidence to list our 12-year young company on the Indian stock exchanges. I once again thank all of you. The increased digitization trend and automated workflows are expected to be key drivers for this market. Globally, spend management is growing at a breakneck speed and we as torchbearers of this industry in India are committed to contribute to make India a digital economy. Our uniquely positioned spend management business offers well diversified Fin tech products and services. We operate in our segment where we interact and interface with our corporate customers that is Zaggle Prepaid Ocean Services Limited
October 16, 2023

Page 3 of 20

businesses and end users who are employees and vendors. And we solve everyday business problems for our customers enabling them to drive growth and unlock value in their business operations.

We provide them with solutions for making their business and employee spends more efficient. Our software

platform is integrated with co-branded, prepaid and credit cards. Our solutions meet corporate needs for vendor payments, channel incentives, employee payments, rewards

and recognition, and employee reimbursements. Our comprehensive solutions empower corporates to effortlessly monitor and manage their employee expenditures and vendor payments through a singular streamlined platform, making us their preferred partners.

I am proud to share that recently Visa and Zagggle have further strengthened the partnership by jointly issuing Forex Co-Brand cards. Zagggle will capitalize on its existing corporate clientele to distribute Forex cards to employees of these corporate clients, seamlessly integrating this offering with the Zagggle expense management solution. This partnership signifies the trust and trust that Visa has bestowed upon Zagggle. It is a promising opportunity for both companies to extend their reach and provide valuable financial solutions to a broader audience.

We look forward to taking this product live in the next two to three quarters. Zagggle has also partnered with BOB, which is Bank of Baroda Financial Solutions Limited, for implementing commercial card onboarding and value-added services platform called Zati X. These partnerships would help the company to chart out its next phase of growth. Now let me spend some time in explaining our financial performance for Q1. As earlier told by our MD Avinash Godkhindi that there is a seasonality of the business.

In Q1 FY24 we had a robust growth of approximately 34% in top line Y-o-Y due to our introduction of Zoyer product, the corporate and co-branded credit cards. As explained in our investor presentation, our business has an element of seasonality, so it is useful to look at the financials on a year-on-year basis. Typically, our business does anywhere between 35% to 40% of revenue in the H1, which is Q1 and Q2 together, of the year, and 60% to 65% of the business in H2. Due to the inherent nature of our business, we expect the same trends to continue while registering growth on a YOY basis.

Our adjusted EBITDA before ESOP expense has also grown by a healthy 27% on Y-o-Y basis. India is at the vanguard of the Fin tech and digital revolution with strong tailwinds driving the digital payments industry. Our holistic position in spend management provides us with a considerable competitive advantage and avenues of growth. We are optimistic for the growth opportunities. Thus, you know, we are very, very happy to project a revenue growth which probably would be around 40% to 50% this fiscal year, with an adjusted EBITDA margin without the ESOP expenditure of 11% to 13%. Now I will hand over to Avinash who will explain the company and key development and strategies. Thank you.

Avinash Godkhindi: Thank you so much Raj. Good morning everyone. Thank you for joining this call. Raj has already given a great overview of our company and business. I'd like to give some flavour around our business and products per se. As many of you are familiar, Zagggle is well placed at the intersection of SaaS and Fintech ecosystem. To make this entire ecosystem function seamlessly, Zagggle Prepaid Ocean Services Limited
October 16, 2023

Page 4 of 20

we have collaborations with bank partners like ICICI Bank, IndusInd, Bank of Baroda that we recently signed up, Yes Bank, DBS Bank, NSDL Payments Bank, as well as network partners that we have like Visa, RuPay and MasterCard.

Our innovative product portfolio offerings include Propel, which is a corporate platform for channel rewards and incentives, employee rewards and recognition, allowing corporate customers to increase their engagement with their employees and channel partners through our Propel points platform and prepaid cards.

We also have Save, which is an expense management, employee reimbursement and benefits solution helping employees and companies save money

, increase efficiency, reduce manpower and leakage. This is tightly coupled with our prepaid cards as well as our corporate credit cards to enable T&E expenses and their reimbursements.

Zoyer is our integrated data-driven business spends management platform with embedded automated finance capabilities and is tightly coupled with our corporate credit cards products to facilitate vendor payments. We offer an integrated value proposition through our SaaS platform providing a combination of payment instruments as well as an integrated mobile application that digitizes businesses and employee spends.

API integrations on the platform provide to our customers and offer them enhanced convenience and an efficient user experience through a simplified dashboard. We monetize through transaction income, which is generated from spends that users make on our payment instruments, as well as software fees which is levied to our corporate customers.

Our USP lies in the following. Our ability to provide top-notch service to our existing customers by understanding their requirements and offering an integrated solution. One of the most significant metrics is churn rate, which is currently less than 2% for us today. We are focused on retaining and growing our corporate customer base. The key to achieving this retention ratio lies in our ability to effectively engage with our clients and enhance our market penetration. Our exceptional retention rates are instrumental in generating valuable referrals for our

expanding client base. Our company has successfully served a remarkable 36.7% increase in our customer base year -on-year. Our strong API integrations with bank networks are providing an integrated access to Zagggle products to our customers.

Our offerings have features such as configurable platform for each corporate customer, allowing for partner on -boarding and automated workflows to track spends and reconciliations, thus ensuring a healthy and consistent customer retention rate. Our corporate customers deeply value our commitment to providing a secure platform to their users and we have demonstrated this through various certifications such as GDPR, ISO 27001, PCI DSS, etcetera.

With the ease of usage that these products provide, we have witnessed a healthy year -on-year growth of 22.2% in FY '23 Q1 in the aggregate users on our platform. You would be happy to know that we have also won key awards, accreditations and recognitions which are a testament to our commitment to excellence and innovation in the Fintech industry. It demonstrates our dedication to excellence and innovation.

Zagggle Prepaid Ocean Services Limited

October 16, 2023

Page 5 of 20

In 2023, you would be happy to note that we recently received the Global Banking and Finance Award for excellence in innovation in business spend management software, as well as the Business World Festival of Fintech Conclave Awards, where we were awarded the winner of the best payment solution for the year 2023.

Innovation remains at the core of our strategy. We continuously invest in research and development to introduce new products and use cases that meet the ever -changing demand of our customers. Innovation is a driving force behind our competitiveness. To scale and expand our operations, we will focus on increasing our user penetration, our cross -sell, our up -sell within our existing customer base.

Strengthening our relationships with our customers is essential for sustainable growth. In our pursuit for strategic acquisitions and investments, we aim to identify opportunities that align with our strategic objectives. This approach allows us to grow our business intelligently, bringing complementary strengths into our fold.

Additionally, we recognize the importance of forging strategic partnerships with financial institutions and merchants. These collaborations enable us to leverage our combined strengths

, expand our reach and enhance the value we provide to our customers. Our recent collaboration with Visa is a step in this direction.

Our strategic roadmap for sustained growth is a dynamic plan that encompasses customer expansion, innovation, scaling and strategic partnerships. Our unwavering commitment lies in not only achieving short -term gains, but also long -term prosperity by ensuring that our business remains at the forefront of our industry.

Now I hand it over to our CFO, Mr. Aditya Kumar to give the financial highlights. Thank you and over to you Aditya.

Aditya Kumar: Thank you Avinash. Good morning everyone. I am Aditya, CFO of Zagggle. Let me walk you through our quarterly financial performance. In this quarter, our business has demonstrated a healthy growth of 33.7% in our top line. This is driven by growth in the corporate credit card business, which was started recently and has vast scope going forward.

The launch of new product as well, that is Zoyer. And acquisition of new customer base through our cross -selling and up -selling activities. As previously indicated by Raj, it is important to note the seasonal nature of our business. Historically, our business has experienced a significant surge in revenue during the third and fourth quarters, accounting for approximately 60% to 65% of our total revenue.

The increase in transaction volumes during the festive sale period in Q3 of each fiscal year is primarily responsible for this phenomenon. This period coincides with significant holidays in India as well as annual sale events such as end of the season sales, etcetera. Additionally, we have observed a consistent surge in transaction volumes during the fourth quarter of every fiscal year as well.

Zagggle Prepaid Ocean Services Limited

October 16, 2023

Page 6 of 20

This surge can be attributed to our users who engage in transactions to fully utilize any remaining balance on their cards prior to the conclusion of the financial year. Next is the growth margin.

Drop in growth margin was primarily led to by a change in product revenue mix. We have started to grow our business of propelled redemption points as we see huge growth potential in this business.

Due to Ind AS income revenue recognition, the accounting policy for the same is on a gross basis, thus changing the gross margin arbitrage, while the take rates on prepaid redemption point is higher. Also, the incentive and cashback expense as a percentage of total revenue has been reducing over the quarters and witnessed 7% decline compared to Q1 FY '23.

For this quarter, our employee cost has increased, mainly on account of new recruitment, which is in line with the growth of the company. In the pre-IPO stage, we had granted ESOPs to our employees. We have booked INR58.44 million in Q1 FY '24. Thus, we have shown an adjusted EBITDA figure, which is before ESOP expenses.

Our adjusted EBITDA has grown by 27.4%. We expect to record total ESOP expenses close to 200 million in FY '24. Following this recent successful IPO, the company has repaid a substantial amount of 470 million in borrowings. This prudent action will consequently lead to a reduction in finance costs starting from the second half of this fiscal year.

Our cash PAT that is net profit plus depreciation and ESOPs expense has grown by 38.7% Y-o-Y basis, which demonstrates higher growth. In the card business, incentives play a crucial role in attracting and retaining customers, driving card usage and promoting loyalty, etcetera.

Previously, we had an incentives and cash back cost, but now as users are also more prone to using our cards, we are seeing a slight dip in this cost. Attempts are being made to further reduce it as well. However, some incentives and cashback costs will have to be incurred to encourage new users for usage.

With this, I conclude the call. If you have any further queries, please contact SGA,

our investor

relations advisor. Happy to take any questions.

Moderator: Thank you very much. Our first question is from the line of Yogesh Bathia from Mumbai Stockbrokers Private Limited. Please go ahead.

Yogesh Bathia: Hi sir, actually it's a fairly new company so I actually wanted to understand the program fee, which is basically a portion of the interchange fee on transactions done by the prepaid or the card users. Can you throw some more light on this, that how this will grow, and what initiatives we are taking for this to grow, and it is the vendor basically, the merchant who is paying Zagggle, correct?

Avinash Godkhindi: Thank you for your question. This is Avinash here. So essentially if you look at the way interchange or program fees grows, program fees consists of all the income that we generate from all transactions that happen through our cards, both prepaid as well as credit cards. This Zagggle Prepaid Ocean Services Limited

October 16, 2023

Page 7 of 20

includes what we earn as interchange, any incentives from the networks, any other fees, etcetera, so that is how we see it.

This post the launch of corporate credit cards, our co-branded corporate credit card with the Yes Bank as well as other banks, we are seeing an opportunity to grow this number healthily in the coming quarters because of the addition of the corporate credit card as a product. And we are seeing already those benefits to kick in in terms of numbers. Essentially, we earn the interchange because we invoice banks and partner networks and we get paid by these entities. They in turn get it from the network itself.

Yogesh Bathia: Okay, so we are getting it from the banks and not from the merchants. Is that correct?

Avinash Godkhindi: No, we don't have any means. We are here for program fees, we are not invoicing the merchant or we are not getting paid by the merchant.

Yogesh Bathia: Okay. So basically, if a Zagggle employee goes and Zagggle cardholder uses the, at any merchant, he doesn't get anything from the merchant. We are getting it from the banks and the other network, the finance network.

Avinash Godkhindi: Yes, we are getting from the banks and other networks. There are certain partnerships with merchants etcetera, but those are you know merchant commissions that we earn separately on other programs.

Yogesh Bathia: Okay. And then my second question was our finance cost last year was INR113 Mn. So, if the CFO can maybe help us with what he thinks will be the number for FY '24 maybe, maybe a ballpark number?

Aditya Kumar: Yes, so Yogesh, Aditya here. So, the finance cost largely increased on account of recent NCD which we raised in November '22 and like other costs which were the working capital limits, right. So, when we have recently the IPO money we have prudently we went up front and we closed 50% of our finance, our debt already.

So, we in this quarter, like, you know, we'll be assuming the cost will be around half of last two quarters.

Yogesh Bathia: Okay. Okay, thank you. I'll get back in the queue if I have any other questions.

Moderator: Thank you. Our next question is from the line of Tushar Sarda from Athena Investment. Please

go ahead.

Tushar Sarda: Yes, thanks. Thanks for the opportunity. Can you explain your business in a little more detail by giving actual example? Suppose you sell your services to Persistent, what is the service and how do they use it and how do you get paid for it?

Avinash Godkhindi: Thank you for your question., As I mentioned in my speech in the beginning, we have three lines of products. If you look at it, sir, the corporate customers that we serve, we are on the expense side of their P&L. And in that expense side of P&L, there are three categories. One is employee

Zaggle Prepaid Ocean Services Limited

October 16, 2023

Page 8 of 20

expenses, which is outside payroll. Then there are c

hannel incentives that they give to channel

partners and then there are vendor payments.

In the case of Persistent Systems, we run rewards and recognition programs for their employees.

Their employees basically get reward points. These reward points are basis performance, those metrics are defined on our platform on which basis employees should earn these reward points, this is fully automated and there is a complete API integration with their HRMS system.

So, it is a single sign-on and any employee that gets added or deleted in the HRMS system automatically gets added or deleted in our platform. These points are then redeemed for vouchers of over 300 brands, brands like Amazon, Shopper Stop, Tata CLiQ etcetera. And we get paid by Persistent Systems for the points that get redeemed.

Tushar Sarda : So just to clarify, this reward is for what? For performance on the job or for spending?

Avinash Godkhindi: So, this, in the case of Persistent Systems, the rewards are for a variety of reasons. This could be a long service award; this could be a pat on the back where somebody is giving an instant reward.

This could be performance linked. This could be festive occasions like Diwali, New Year. So, they use the platform for rewarding their employees for a variety of reasons.

When the vouchers are given to the employee, we earn commissions from our merchant partners.

So, let's say a Shopper Stop voucher is given to an employee, because he has chosen to redeem for shopper stock vouchers. We have a healthy take rate there of about 10% to 15%.

Tushar Sarda: Okay. And how does your prepaid card work for expense management?

Avinash Godkhindi: Yes, so there are other customers who use our Save platform, which is for our expense management, employee reimbursements, etcetera. And basically, here there is a mobile app. In the mobile app, the employee goes ahead and scans for bills for any expenses that they incur. So, let's say there is an employee who travels from Hyderabad to Bombay, you know, they incur flights, travel, taxi, food, etcetera.

All those bills are scanned on the mobile app at real time by the employee. These bills are then sent through the platform to the approver. The approver can then go ahead and approve these bills on his or her mobile app. And post that entire cycle, finance then goes ahead and credits the reimbursement onto a Zaggle prepaid card.

This is when the employee has incurred these expenses on a personal credit card or personal payment instrument and the reimbursement is being credited in a Zaggle multi-wallet prepaid card. The other model which we have recently started with the launch of our corporate credit card is where the employee can go ahead and directly spend through a corporate credit card issued by Zaggle and a partner bank. And in such a case, all the bills are scanned on the platform for records and the company goes ahead and clears the credit card bills.

Tushar Sarda: And what is the breakup of revenue from say rewards and points like you explained in case of Persistent and revenue from credit cards, prepaid credit cards?

Zaggle Prepaid Ocean Services Limited

October 16, 2023

Page 9 of 20

Avinash Godkhindi : See if you look at our overall revenues from Propel, where you have redemption options, where you can redeem for vouchers of brands as well as you could redeem it for points which could be credited on to a prepaid card. The total income that the Propel platform as of last year was about 65% to 70% and save was about 30 to 35%. This year Zoyer has taken off, so Zoyer is adding to the overall revenues.

Tushar Sarda: And Propel you also have software fees, so this is like subscription?

Avinash Godkhindi : So, we have software fees which is subscription fees. We also earn program fees which is what I explained in the previous question and then we earn income through Propel points.

Tushar Sarda: So, betw

een rewards and credit cards, which business will grow faster, and which business has higher potential?

Avinash Godkhindi : So, it's not either or. We see it as an integrated holistic offering, and we see the Propel platform growing healthily in the coming quarters. As well as our Save platform and Zoyer, we expect all three platforms to grow healthily.

Tushar Sarda: Okay, let me put it in a different way. Over the last three years, which business has grown faster, Propel or Save?

Avinash Godkhindi : Save was newer, so base was smaller, hence the percentage growth was higher in Save.

Tushar Sarda: And your DRHP has something called program fees. So, what are these program fees?

Avinash Godkhindi : The program fees is the income that we earn as I explained in the previous question as well. This is the income that we earn basis the transactions that happen on our prepaid cards or credit cards.

This is a combination of income that we earn through partner banks, through networks and any other smaller fees etcetera that we levy.

Moderator: Thank you. Sorry to interrupt Mr. Tushar Sarda. May we request that you return to the question queue for follow-up questions as there are several participants waiting for their turn. Thank you.

Tushar Sarda: Yes, sure. Thank you.

Moderator: Thank you. Our next question is from the line of Pranav Gupta from Aionios Alpha Investment Management. Please go ahead.

Pranav Gupta: Hi. Good morning, team. And congratulations on a good set of numbers. I have a few questions.

If you can talk about Zoyer, which is the latest one that we've launched. And if you can explain whether it essentially only works with cards that we have issued through our banking partners, or is it a software offering where we can integrate with an existing card base of our client as well? That's the first question.

Avinash Godkhindi : Good morning, sir. Thank you for your kind words and your question. Zoyer is a platform that we've launched. It's an integrated platform which enables customers to go ahead and use the card along with the software platform that we have. However, there is no limitation for the corporate to go ahead and only use our co-branded corporate cards. They can go ahead and use any other Zaggile Prepaid Ocean Services Limited
October 16, 2023

Page 10 of 20

payment instrument and just use the software. The full value of the product comes out when you go ahead and use both our card as well as the software platform.

Pranav Gupta: So, I mean, given that it's a new product and we might be having a lot of customer interactions, do we see any resistance in the case where you know a card, a corporate is already using an existing bank's card say they have, given that these clients will be large and have multiple employees with multiple cards. Is there a resistance when we would effectively tell them to sort of move to our platform along with our cards or what are the initial discussions that we have for Zoyer, specifically?

Avinash Godkhindi : In our experience so far, sir, because of the type of partner banks that we work with like Yes Bank, ICICI Bank, Bank of Baroda, etcetera, we haven't seen significant resistance from any corporates to go ahead and take an additional corporate credit card so far. Of course there are some companies who still want to understand how they can use their existing cards as well as the cards that we issue, depending on what limits they have from their bank. But so far, we haven't necessarily seen any significant resistance per se. Corporates are open to using a card issued by our partner banks.

Pranav Gupta: Understood. And if you could just explain the revenue model here, how does the revenue model here work?

Avinash Godkhindi : So, again here we earn through software as well as you know that transaction income. In the software we earn a per user per month fee as well as per invoice fee for the p

latform and on the card, we earn the interchange.

Pranav Gupta: Sure. The next question is on the points redemption and voucher business. Could you just explain how the entire working capital cycle out here works? So, is it a case where Zaggile would have to, sort of procure vouchers in advance, or do these vouchers get purchased when, one of our client's employees sort of redeems their points for particular vouchers? How does that mechanics work?

Avinash Godkhindi : So, we have API integrations with partners, including merchants, and other third-party providers where we get these vouchers in real time, right. So, from a voucher inventory perspective, only for very smaller brands we may have a small amount of inventory. But for the larger brands, we tend to be able to pull the vouchers in real time. Aditya, you may add.

Aditya Kumar: Yes. So, Pranav ji, just to add on the working capital cycle, yes, there will be certain clients where we upfront give them points for redemption purposes. Typically this cycle will be around 30 days to 35 days.

Pranav Gupta: Okay, sure. And just lastly, it will be great if you can give out the transaction value numbers, say for probably FY '23 and for first quarter '24, given that a large part of the income is on to program fees. So, if you can give that out, that would be very helpful.

Aditya Kumar: Noted, Pranav. I will take it up for the next quarter presentation.
Pranav Gupta: Sure, I have more questions, but I'll join back in the queue. Thank you so much for answering.
Zaggle Prepaid Ocean Services Limited
October 16, 2023

Page 11 of 20

Moderator: Thank you. Our next question is from the line of Saurabh Sadhwani from Sahasr Capital. Please go ahead.

Saurabh Sadhwani: Hi, good morning team. So, I wanted to understand the benefit of using your card versus any other card with your software. So, what benefit does the corporate enjoy when they use your co-branded cards versus the other cards?

Avinash Godkhindi: Good morning, sir. Thank you for your question. See, if you think of it from a corporate perspective, what they are able to do is to be able to get the card, which is a system of transactions, to tightly couple with our system, which is a system of engagement with their system of records which is their ERP.

Today we have ERP integrations with most major ERP providers like, SAP and using this integration they are -- a corporate is able to actually say, for example, for a particular corporate, they can go ahead and say that for this particular project, I want to limit my overall travel cost to say, INR5 crores. Irrespective of whether the individual cards that have been given to employees, the total limit may be INR30 crores on those cards, across say a 1,000 cards or 3,000 cards, but the travel cost should be limited to INR5 crores. I'm just making this up and giving you an example. Don't take this as a fix.

Now this we are able to ensure and enable through our spend analytics platform, because we are able to, on each card spent, link it to the limits and controls that we have set on our platform. A standalone card platform would not be able to understand what the project code is itself, because the standalone card platform doesn't have an API integration with the ERP. Because my system, Zaggle's platform, sits in the middle of the card management system, which is the system of transactions, and the system of records, which is the ERP.

We sit as a system of engagement. We are able to then, provide these limits. In addition, you are able to see through pie charts, etcetera, bar graphs, a breakup of where the spends are happening across different spend categories, like saying where is the money being spent for T&E, client entertainment, how does it break up for different geographies, how do employees in Jaipur spend, how do employees in Bombay spend. So, there is a lot of analysis

and a lot of insight that gets provided through the platform.

Again, a card company and a card company system would never know who are the employees sitting out of Jaipur, who are the employees sitting out of Mumbai, who are the employees sitting out of Hyderabad, right? So, they won't be able to give you that sort of an insight.

Saurabh Sadhwani: So, you can do this with any other card also, or is it required that it should be a Zaggle or a co-branded card?

Avinash Godkhindi: So basically, this is through API integrations that we have, either with the bank or the network or both. Network as in Visa, RuPay, MasterCard. As long as those integrations and we have those feeds, we are able to provide this insight and we need the other integration is with the ERP of the corporate. We are able to provide these insights.

Zaggle Prepaid Ocean Services Limited
October 16, 2023

Page 12 of 20

Saurabh Sadhwani: Okay. And the second thing I wanted to understand was in the presentation course that you have issued 50 million -plus cards and the active users are 2.2 million. So how are these numbers related? How should we read them?

Avinash Godkhindi: Sir, 50 million is over the course of the last 12 -odd years. Right? And a lot of these cards initially that were issued were also gift cards. So, each beneficiary could have received multiple cards over the years as gift cards. So that is how we would explain this to you.

Saurabh Sadhwani: Okay. So, the 2.2 million users that you're saying are the employees of these corporates, mostly?
Aditya Kumar: Yes.

Avinash Godkhindi: Employees and partners, these are actual users who are active on the platform today. 50 million is the total number of cards that have been issued over the course of 12 -odd years.

Saurabh Sadhwani: Okay, thank you, sir. Thank you so much.

Moderator: Thank you. Our next question is from the line of Ankush Mahajan from Axis Securities. Please go ahead.

Ankush Mahajan: Sir, thanks for the opportunity to ask me a question. Sir I want some more clarity and just try to understand the nature of the business. In the IPO, we are raising almost INR300 crores for the retention of clients. So, this amount is basically we are using to offer the more points to the

customers. And in other way, can I say, this is a kind of a discount that we are offering to the customers in order to increase our sales.

So similarly, if the business is generating cash flow and the same cash flow is using for the same purpose. So just try to understand, can you throw some more light on the nature of this business, it's the nature of the business, because we are burning our cash for the points in order to increase our sales.

Avinash Godkhindi : Thank you for your question. So, this is not to be confused sir with Propel points. This is a discretionary incentive that we give to users so that they spend. If you look at the nature of Indian consumer and the nature of how certain segments of customers behave, users behave, they tend to -- there tends to be a certain set of users who expect some sort of an incentive or a deal that is given to them before they actually use the money that is on the card. I am talking of prepaid cards here.

So basically, what happens is that a prepaid card there has a limit of INR2 lakhs that is set by RBI. So, the balance cannot exceed INR2 lakhs. Now, what happens is that whenever reimbursement is processed and if the previous reimbursement has not been used by the user, on the app the user is able to see that the reimbursement has been approved, but the money cannot be credited on to his or her card because of the RBI regulations. We see this happen time and again and the user does not typically understand that this is because of RBI regulations. They tend to blame, that the product is not, the experience is not world class. To avoid such scenarios, we pre-empt this and we try to under

stand, who are the users who are likely -- this is

Zaggle Prepaid Ocean Services Limited

October 16, 2023

Page 13 of 20

an engine that runs in the back end, this is a high tech engine that runs in the back end, which tries to predict, who are the users, who are likely to come to this scenario.

And we encourage them and nudge them to go ahead and spend the money that is there on the card, so that these scenarios are avoided. If you look at how the incentives have moved, the incentives have moved from INR140 crores to INR118 crores to INR100 crores in the last three years and further this quarter, we have seen a reduction in the incentives.

Ankush Mahajan: But it's a huge amount, it's INR100 crores, INR120 crores. And in case, it is impacting our cash flow, this if I compare it with the overseas companies, they also have a similar kind of a business, the same nature of the business?

Avinash Godkhindi : Sir, I won't be able to comment specifically on overseas companies and their businesses, but if you look at the nature of payment industry per se, there is a certain pattern that emerges, whether it is a credit card business or any other business, that there is a certain amount of expectation that certain users have that, they will receive some sort of an incentive, a gratification to go ahead and spend the money that is there on the card. This is well understood with credit card businesses as well. So, this is a pattern that we see in this industry. However, we are working to optimize this cost and bring it down as much as is possible.

Ankush Mahajan: So, sir, what kind of a cash flow we are looking after deducting this cost?

Aditya Kumar: Ankush, Aditya here. So, first of all, this INR300 crores, right, it is being spent over the next three years, it's not going to spend immediately now. So, just to state the fact, in the last three years also, every year's we have spent these costs. In FY '21, we spent close to INR140 crores, In FY '22, we spent INR117 crores, FY '23, we spent INR100 crores and that kind of numbers. Even without this money also, we are able to spend some money to the users and generate the businesses.

So, and also, it's a worthwhile for you to understand, we have launched the new product as well, right? Like, you know, which is Zoyer and we are venturing into the credit card business as well.

So, for this kind of business and the users to get onto the platform and use it, so we have to match them and make sure that they continue to use the platform together.

That will be the next three years we are talking about. And at this point of time, right, like I said, like you only have mentioned, with this revenue getting generated, one thing we want to hear is, whatever expense is happening in the form of this incentives, definitely the revenue will get generated.

So don't think other than that, like it's a burn and we don't get any revenue, but revenue will be there. It's all about, it will be spread across the next three years and if you are not able to spend next year, the money will be spent whatever we have given the customer acquisition -retention completely in that angle only and we'll get the suitable revenues for this as well.

Ankush Mahajan: Sir, I'm just trying to understand that after spending this much of money after next three years, either we need to dilute the equity once again or internal cash flow is sufficient to fund this expenses in near future?

Zaggle Prepaid Ocean Services Limited

October 16, 2023

Raj Narayanam: Ankush, Raj this side, I will quickly explain to you, see this money is spent out of the money what we generate, so if my revenue is let's say 1.8% of a transaction, let's say, there is a one lakh transaction which happens, I earn INR1,800. So out of INR1,800, I might choose depending on who the user is to give him, let's say INR700, INR500, INR800 like that. So, there is

never a

question of that, we going out of pocket expenditure on this. So, this is going to be 100% out of our retained earnings is what this money will go.

Moderator: Sorry to interrupt. Mr. Ankush Mahajan, may we request that you return to the question queue for follow up questions as there are several participants waiting for their turn. Thank you.

Ankush Mahajan: Thanks.

Moderator: Our next question is from the line of Jaiprakash Toshnival from LIC Mutual Funds. Please go ahead.

Jaiprakash Toshnival: Thank you. Sir, just one question on Propel, when we say channel reward and employee reward, does it have a different margin profile for us?

Avinash Godkhindi : Sir, thank you for your question. The margin profile remains largely same. The only thing, the nature of redemptions at times on the employee side, there is more on Propel points versus channel incentive, it could be on the redemption could happen on the card. In such a case, the margin profile changes accordingly.

Jaiprakash Toshnival: Okay, and do we, how should we see this revenue of Propel in terms of employee reward versus channel reward and the growth predominantly would be both the channels or you are focusing more of channel or employee at this point of time?

Avinash Godkhindi : Sir, the growth would be across both, because our strategy is holistic. When we go to a corporate, we are talking to them about what we can do on the employee expenses side, what we can do on the employee reward side. If they are a company who has a channel to sell their products. In such a case, we pitch to them, our channel rewards and incentives platform. So of course, today the contribution of the channel incentives is significantly higher than the employee reward side.

Jaiprakash Toshnival: Okay. And sir, the point of INR2 lakh, which you mentioned is predominantly on the prepaid card, not on the credit card. Is that correct?

Avinash Godkhindi : Absolutely, sir.

Jaiprakash Toshnival: Okay. That's it from my side, sir. Thank you.

Moderator: Thank you. Our next question is from the line of Ritesh Poladia from Girik Capital. Please go ahead, sir.

Ritesh Poladia: Hi sir, thanks for the opportunity. Sir, you have about 275 employees. Could you bifurcate in, how many are in the technology side and how many would be in the business development side and where do you see this number in the next two years - three years?

Zaggle Prepaid Ocean Services Limited

October 16, 2023

Avinash Godkhindi : Sir, about 125 -130 employees are on the tech and about 110 odd are in the business side and the others are management and other support teams. And while I would not want to comment on specifics as to where this would grow, but obviously as the business is going to grow, we will add more people across both the technology side as well as the sales and business side.

Ritesh Poladia: Okay, just to dwell more into this, would the headcount increase would be in a proportion to the revenue increase or it could be less than that?

Avinash Godkhindi : So obviously, we are a business where operating leverage kicks in, so the headcount growth while I wouldn't want to go into specifics, but as a Fintech, as a tech business, the whole idea is that the revenues would grow at a faster pace.

Ritesh Poladia: Great. And one last thing on this, in your P&L, there is this cost of point redemption and gift cards of INR56 crores. So, this is what you explained that, when you take the, say, Shopper Stop vouchers, say for, you procure for INR90 and you charge a client to the INR100 or so, this INR90 represent this cost of point redemption and gift cards?

Avinash Godkhindi : Yes sir.

Ritesh Poladia: And incentive and cash back of INR25 crores, sir, could you bifurcate how much this would be the -- for the cost of acquisition of new clients and cost of maintenance of existing clients?

Avinash Godkhindi : So,

the cost of acquisition in our business is very different. It is largely to be able to drive usage and this is discretionary in nature. The reason why we bucketed is because there are certain first-time users also, who are not familiar with our platform and our interface and to encourage them to use, there is a certain amount of this that gets used. But this is not going ahead and an incentive which is given to, as it happens in some B2C businesses, where an incentive is given to the user

to come onto the platform. This is not related to that.

Ritesh Poladia: Okay, so this would be more to induce the spend of the existing clients rather than the acquisition of new clients. Is that my understanding, right?

Avinash Godkhindi: Right, sir.

Ritesh Poladia: And one to this last question on the finance cost of INR4.5 crores of this quarter or say about INR11 crores for the FY '23. So, this NCDs, what you issued was it to procure these inventories like, your gift cards and points and all or was it to the means, what do you mean by working capital financing?

Aditya Kumar: Ritesh, Aditya here, the first question, raising this NCDs is typically for the products, the new product launch, etcetera, right? Like, we raised somewhere in the last November. So, this is largely towards the new products building and basic general working capital corporate purposes, right, so, but that is the one thing, why we raised this money.

Secondly, working capital for us will have in two to three categories. From the SaaS fee, if you see, what we charge to corporate and that will be generally received in 50-60 days, we get it in like a -- [inaudible] the second line of revenue, whatever you see the program fee, which we

Zaggle Prepaid Ocean Services Limited

October 16, 2023

Page 16 of 20

largely charge towards the banks, which we receive that money, that will have a working capital cycle of 50 days to 60 days.

And the last one, the propel point redemption, where we talked about, where large corporates comes to us when they redeem the points, etcetera, right? Sometimes we have to give them redemption upfront. So, this will be around 32 days, 35 days kind of a cycle.

Moderator: Mr. Ritesh, we are unable to hear you. Could you please unmute your line?

Ritesh Poladia: Sure. I'm sorry. It was muted from my side. So, this NCD was not to finance the buying of the gift cards and other points, but to finance the normal working capital cycle where the receivables are in the range of 30 days to 60 days?

Aditya Kumar: Yes, it is not to finance this one. It is largely towards the building of the, like I mentioned, building of the new products etcetera and managing the regular business activities.

Ritesh Poladia: Okay.

Moderator: Sorry to interrupt Mr. Ritesh. May we request you to...

Ritesh Poladia: Yes, I am done with it.

Moderator: Okay, thank you. Our next question is from the line of Jagvir Singh from Shade Capital, please go ahead.

Jagvir Singh: Yes, so thanks for the opportunity, sir. Sir, my first question is related to the EBITDA margin.

So, in FY '22, we did around 16% EBITDA margin. So, in the next year, in the '23, there is some ESOP cost. This year also is there ESOP cost. So, when, adjusting the ESOP cost, when we will reach again to the 16% kind of margins?

Aditya Kumar: So, Jagvir, Aditya here. On a steady state basis, right now, we should reach in next three years to four years.

Jagvir Singh: Okay. Next question is related to ESOP cost. So, I have heard some interview in the CNBC of the MD in the -- after the IPO. So, he said, there will be no ESOP cost for this year as well for the FY '24. So, what is this confusion, sir?

Raj Narayanam: I am not sure, if you heard it correctly. The MD spoke about it and Jagvir, what he said is that, in FY '24, it is going to be roughly about INR19 crores and the going forward, which is '25 and '26, it will

be minuscule about INR4 crores or so is, what is our guidance.

Jagvir Singh: Okay and thanks for the clarification, sir and sir, next question is related to the interest cost. So, because we raise money in the IPO, so in the next year, I am not talking about this year, so in the next year, in FY '25, so what kind of interest cost will be there?

Raj Narayanam: I think negligible. We already reduced it by half, already in this quarter and in the coming quarters, it may further go down and probably next year, there may or may not be any interest cost. Even if it is there, it will be minuscule.

Zaggle Prepaid Ocean Services Limited

October 16, 2023

Page 17 of 20

Jagvir Singh: Okay, next question is related to...

Moderator: Sorry to interrupt Mr...

Jagvir Singh: Just last question, Can I ask?

Raj Narayanam: Yes, go ahead, Jagvir.

Jagvir Singh: Sir, so we have raised INR300 crores in the IPO. So, because given, we are the platform business, what kind of size we will not require outside money in the form of debt or equity after how many

years, we will be in this position?

Raj Narayanam : So, sir, we have raised about INR490 crores from the IPO and it is sufficient for our next three years to four years of growth. It would -- if unless and until we go ahead and do an inorganic acquisition, where we might require some external funding. We do not see any signs of needing money in the next two to three to maybe let's say three to four years.

Moderator: Thank you. Our next question is from the line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah: Yes. I have a couple of questions. I'll just list out all the questions first. I just wanted to understand the opportunity in the propel gift cards. Today we are doing about INR360 crores of revenue over there and it's probably taking 10% to 11% gross margins on that product. So, when do you see it becoming like a INR2,000, INR3,000 crores revenue line item? Or is it possible for the next two or three years to go over there?

And if you can just comment about the cost, what are the kind of fixed costs as we have on the P&L. The third question will be around what is the nature of the receivables that we have on our books about INR103 crores in receivables. And the discount and the fourth question is around the discount incentive, which we have as other expense. Is it to drive the propel line of revenue item, or is it to drive the program fees revenue line item? If you can work on that, if you can comment about that. And the fifth question will be around, does the Save product have any taxes from the regulatory perspective or so? Because they're doing a lot of taxes in there. Do you have any regulatory risk coming from there?

Avinash Godkhindi : So, I'll take the first question, and probably I'll ask you to repeat the second or the third question.

One is on the propel points, growth. Yes, there is growth. And you mentioned, would we be able to reach INR2,000 crores? Yes, there's a lot of opportunity in this space Arpit, because if you look at the number of companies who need to incentivize their employees and channel partners, etcetera, and to do it in a digital manner, in a seamless, rapid manner, it's fairly obvious. Nobody wants to wait for their reward to get shipped after 10 days, 15 days. They would rather get a voucher from a Tata Clique or an Amazon or a Shopper's Stop and then go ahead and make that purchase themselves. So, the opportunity to grow this side of the business is fairly significant. The second question was around fixed cost, but I couldn't hear it completely.

Arpit Shah: What would be the kind of fixed cost that we have on the P&L currently like What kind of operating leverage you can see hide in the business?

Zaggle Prepaid Ocean Services Limited

October 16, 2023

Page 18 of 20

Aditya Kumar : The direct fixed cost is cost of propel point that i

s one. So, post that, with this itself, we'll have like 10%, 11% kind of a take rates. And post that, there will be some maintenance of the propel platform, etcetera, along with employee cost.

Arpit Shah: Propel will be variable cost, right? It will be variable.

Aditya Kumar : Yes, most of these costs are variable because they're linked to generation of revenues. So, the business per se, the fixed costs would be just your office rentals and to some extent, employee costs, right. But other than that, a lot of the business costs here as -- variable just by nature.

Arpit Shah: So, what would be that number, let's say, on a fixed basis and growing at an inflation of 10%, 12%? Would that be it?

Avinash Godkhindi : Sorry, I didn't get that question.

Arpit Shah: What would be that number, let's say for on an annual basis? And I'm unexpected that number to grow at an inflation of, let's say, 10% to 15%. So, what would be that number?

Aditya Kumar : So Arpit like, basically, what happens is -- after as large a chunk of it is a direct attributable expense right like the fixed cost will remain. And as we grow with a 10% kind of an inflation number, like -- we will see an increase of 1%, 2% in the EBITDA margins for the specific propel product.

Arpit Shah: Okay. And I had a question on discount which we have on other expenses. So, is that expense linked to drive the propel line item or is it linked to drive the program fees or other revenue line item? Or is it more hybrid?

Avinash Godkhindi : So, if you're talking about the incentives, the incentives are given for users to spend on their network cards, network cards as in RuPay, Visa, Mastercard cards. So, while you can't directly attribute it to even program fees because this is given to a small set of users and it's discretionary in nature, but this has nothing to do with Propel Points per se.

Arpit Shah: Program fees, where we all interchange the revenues from network records. Hello? And does Save and any kind of tax from the regulatory environment? Like, because you are providing tax incentives to them, does it face any risk from the regulatory front?

Avinash Godkhindi : See, the Save value proposition is very simple and clear. It is going to a corporate and saying, your employees incur expenses on behalf of the company, whether it's travel, entertainment, any other expense that they may incur. And all of that can come onto this platform. All the bills are

scanned. They are on the app and the cloud. And so, there is any need to look at those bills five years down the line, seven years down the line. Those pieces of information stay very clear, along with all the reasons why an approval was given, who gave the approval, what was the basis, was it -- basis the rules that are set up.

Along with that, we also offer employee benefits which takes advantage of some of the tax benefits that employees can avail. So, and that part is fairly small compared to the overall value proposition where we are talking of employee reimbursements and employee expenses. That is Zaggie Prepaid Ocean Services Limited

October 16, 2023

Page 19 of 20

how we view it and that is how we position it to corporates. Employee benefits also has a tax angle and a non-tax angle. A lot of companies are providing benefits to employees for their mental health, for their physical health and those benefits also come onto the platform.

Moderator: Thank you. We move to the next question. Our next question is from the line of Miten Lathia, from Fractal Capital Investments. Please go ahead.

Miten Lathia: Yes, good afternoon, sir. When the corporate buys points from us to give to the employees, how do we build a corporate for the points?

Avinash Godkhindi : So, basically there are different ways in which this works, sir. The simplest way is the corporate buys the points and we build the points and the corporate pays us and then we allow the

corporate

to go ahead and issue the points. There are also other models and other cases where a large corporate may want to work on a redemption model where the points are issued first by Zaggie and the redemptions happen through the month. At the beginning of the next month, we go ahead and share the MIS, and then there's an invoicing that is done, and then the corporate clears that invoice. But largely it's the first model for most corporates.

Miten Lathia: Are points an item which attract GST or no? Points do not attract GST, right?

Aditya Kumar : Yes, sir. It doesn't attract GST.

Miten Lathia: Doesn't, okay. And the second one is similarly on the employee side so when the corporate is gifting points to or giving a reward to their employee in the form of points the employee also doesn't pay any perquisite tax or anything of that sort, right?

Avinash Godkhindi : So, a lot of the taxation angle is covered from the reward dispersal itself. So, if there is a tax liability that arises from this -- let's say originally the employee was supposed to get 100 and the tax liability generated is say 10%, the corporate goes ahead and issues only INR90 worth of points.

Miten Lathia: Okay, so the corporate has to decide whether they want to deduct perquisite tax or not?

Avinash Godkhindi : Yes, because they are aware of what the income structure, the salary structure of the employees so the corporate in any case just like does a TDS for any of their payouts, the corporate takes a call for this payout whether it is for employee or channel, what is the applicable TDS .

Miten Lathia: Great sir, thank you very much.

Avinash Godkhindi : Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraint that was the last question of our question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Raj Narayanam : I would really want to thank all of you for spending time with us. With this, I'll conclude the call. If you have any other further queries, please contact SGA, our Investor Relations Advisor .

And once again, thank you very much for joining us today in this earnings call. This was our Zaggie Prepaid Ocean Services Limited

October 16, 2023

Page 20 of 20

first earnings call and we are very happy with the kind of questions asked. We hope that we were able to answer all your queries. Thank you so much.

Moderator: Thank you. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2023

ZAGGLE/23 -24/36

November 16, 2023

To
Listing Department,
NATIONAL STOCK EXCHANGE OF INDIA
LIMITED
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex, Bandra (E ast),
Mumbai -400 051, Maharashtra

Company Symbol: ZAGGLE To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th Floor, Dalal Street,
Mumbai -400 001, Maharashtra

Company Scrip Code : 543985

Dear Sir / Madam,

Sub: Transcript of Earnings Call held on November 8, 2023

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015

Pursuant to the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015 and further to our letter dated November 4, 2023, please find attached the Transcript of the said earnings call on the Unaudited Financial Results of the Company for the quarter and half year ended on September 30, 2023, and the same has been uploaded on the website of the Company on the following web- link:
<https://cdn.zaggle.in/images/web/zaggle/pdf/investor-relations/financials/earning-call-transcript/pdf-files/zaggle-earning-call-transcript-Q2FY24.pdf>

We request you to kindly take the same on record.

Thanking you,
Yours faithfully,
For Zaggle Prepaid Ocean Services Limited

Hari Priya
Company Secretary and Compliance Officer

Encl. As Above
Page 1 of 18

"Zaggle Prepaid Ocean Services Limited
Q2 FY24 Results Conference Call"
November 08, 2023

Disclaimer: E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on November 08 2023, will prevail.

MANAGEMENT : MR. RAJ NARAYANAM – FOUNDER AND EXECUTIVE
CHAIRMAN – ZAGGLE PREPAID OCEAN SERVICES
LIMITED
MR. AVINASH GODKHINDI – MANAGING DIRECTOR –
ZAGGLE PREPAID OCEAN SERVICES LIMITED
MR. ADITYA KUMAR – CHIEF FINANCIAL OFFICER –
ZAGGLE PREPAID OCEAN SERVICES LIMITED

MODERATOR : MR. ROHAN MANDORA – EQUIRUS SECURITIES

Zaggle Prepaid Ocean Services Limited
November 08 , 2023

Page 2 of 18

Moderator: Ladies and gentlemen, good day and welcome to Zaggle Prepaid Ocean Services Limited Q 2 FY24 Results Conference Call hosted by Equirus Securities. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that the conference is being recorded.

I now hand the conference over to Mr. Rohan Mandora from Equirus Securities Private Limited.

Thank you and over to you, sir.

Rohan Mandora: Thanks, Akshay. Good afternoon, everyone and thank you for joining the call. To give a brief update on the Q2 FY24 results and address investor questions, we have with us from the management of Zaggle Prepaid Ocean Services Limited : Mr. Raj Narayanam, Founder and Executive Chairman, Mr. Avinash Godkhindi, Managing Director and Mr. Aditya Kumar, CFO. We would request the management to start with the opening comments, post which we can open the floor for Q&A.

Thank you and over to you, Mr. Narayanam.

Raj Narayanam: Thanks, Rohan. Thank you very much. Good afternoon and Happy Diwali in advance to all of you. Thank you for joining us today for Zaggle's earnings call for Q2 FY24. On behalf of the company, I extend a very warm welcome to everyone for joining us today. On this call, we are joined by Mr. Avinash Godkhindi, Managing Director and CEO, Mr. Aditya Kumar, CFO and SGA, our Investor Relations Advisors.

The results and the presentations are uploaded on the stock exchanges and the company website. I hope everybody has had a chance to look at it. I am pleased to share with you that your company has delivered a strong set of numbers in both Q2 and H1 FY24 with revenues growing at a healthy 41% and 38% respectively on a Y -O-Y basis.

Growth in adjusted EBITDA is even stronger at 79% in Q1 FY24 (to be read as Q2 FY24. It was mistakenly spoken as Q1 FY24) and 54% in H1 FY24. We have witnessed significant growth and transformative changes in our industry. The digitization wave has reshaped the way we do business. The reduction in cash usage and increase in cards and digital spends has been a prominent driver in our industry.

Expense management and vendor payments along with stronger compliance requirements have been a big pain point for enterprises. Zaggle through its suite of products is addressing this challenge. We are seeing a very healthy demand for these products and we are very confident that we will be able to service a large part of this demand resulting in higher growth. This would

Zaggle Prepaid Ocean Services Limited

November 08 , 2023

Page 3 of 18

require investments in product as well as technology to be able to meet the customer expectations.

I just want to highlight the spend management solutions which we provide to large corporations brings in a level of transparency and control over expenditure that can mitigate risk, stimulate growth, boost profits and streamline operations across the organization.

The securely centralized data in spend software such as our SaaS offering serves as a singular source of growth enabling companies to conduct real -time spend analysis and gain insights into

how the money is allocated company-wide which generally we have seen as a challenge for large corporations. When the right system is in place, it simplifies and expedites decision making for all our stakeholders. This shift in mindset offers a solid growth trajectory for Zagggle.

We have worked very closely and we continue to work very closely with our customers to garner deep user insights. This engagement helps us to continue to diversify, enrich our offerings by exploring various use cases and aligning our strategy with an evolving marketplace. By strategically broadening our solutions, we can effectively cater to a broader spectrum of customer needs and preferences, thereby fortifying our competitive position and capturing new market segments.

As an organization, we have a strong belief in partnerships and collaborations with our Zagggle integration platform which is called ZIG. We intend to have our integrations with relevant ERPs, HRMSs, accounting and various other software packages. We endeavour to build symbiotic business relationships and believe in partnering with various industry players.

One such example is our recent collaboration which you would have all seen in the news as well as on the stock exchange when we filed it, was with Kotak Mahindra Bank that represents a significant milestone for our organization. Through this strategic partnership, we will provide bundled services of Kotak Bank corporate salary accounts plus employee flexi benefits, disbursement on a co-branded prepaid card for employees of corporates.

Talking now I'll talk about some operating matrices. Currently the active users on our platform is at about 2.52 million as on 30th September 2023. One of our current growth strategies is to drive growth in our recently launched product Zoyer which is basically nothing else but an accounts payable and vendor payment product.

Corporates face multiple challenges with vendor payments like manual invoices, they have no visibility at branch level payments, delay in payments, vendor empowerment and the right choice of vendors. Through our Zoyer product, we provide a single centralized system or a platform to manage all the vendor related payments, thus driving efficiency and automation.

At Zagggle, we see incredible potential in the credit card market. Our venture into the credit card industry has unequivocally transformed our trajectory. Month after month, our revenue from our various sources and most of them have been growing at a very healthy pace, but one particular piece which I want to highlight is the credit card which continues to soar, demonstrating the immense appetite for this financial tool in the market.

Zagggle Prepaid Ocean Services Limited

November 08, 2023

Page 4 of 18

The revenue potential from credit cards is even higher and we are fully prepared to tap into this vast market. The momentum that we have built in H1 of this year, which is the first half year, will be carried into H2 and we look forward to continuing this stride. We expect the operating leverage which is already kicked in to further strengthen and with lower finance costs as we have repaid the debt, you know, should show stellar performance in the coming H2.

With this, I would want to thank all of you and I will ask my, you know, MD to come in and give you a deeper dive into our operations and future prospects. Thank you so much. Over to Avinash Godkhindi.

Avinash Godkhindi: Thank you so much, Raj. Appreciate it. Happy Diwali to everyone. This has been a very encouraging quarter for us, both in terms of performance of revenue and EBITDA. A notable portion of our growth in the quarter was driven by increase in spends on credit card business, along with the growth in Propel Point Redemptions.

Growth in Adjusted EBITDA is around 78.7%, this is before ESOP expenses, outpaced the growth in the top line which is 41.4%. This is the result of strong operating leverage that exists in our business and that has started to kick in every quarter. Our H1 FY24 top line growth was 38% and is in line with our full year guidance of about 40% to 50% revenue growth.

Since this

is our second earnings call and ours is a very uniquely positioned business, so I'm going to take a step back at this moment and spend some time to share more insights into our products and offerings and the overall business model. Zagggle solutions cater to the expense side of the corporate customer's P&L statement, encompassing three major categories.

These categories include employee expenses, reimbursements and employee tax benefits, channel incentives provided to channel partners and employee rewards and recognition, as well as accounts payable platform which is Zoyer. All these products are deeply embedded with our credit card and prepaid card payment instruments. With the help of our embedded finance platform, our customers witness improvement in their operations, in their cash flow and their overall financial performance.

Our customers who use our Save platform, which is basically our employee expenses, employee

reimbursement, employee benefits platform, designed for where we offer convenient mobile app and dashboard. Through this app, employees can instantly scan their bills and submit their expense receipts using our optical character recognition capabilities, which is OCR capabilities. Effectively, corporates can digitize their employee expenses and expense tax benefits, as well as their reimbursements on a single payment instrument that can replace food coupons, food cards, fuel cards, travel vouchers, gift cards and any other payment instrument that a corporate gives for employees to incur these expenses.

Coming to Zoyer, Zoyer is a SaaS-based accounts payable platform which helps in digitizing all payouts for corporates through deep integrations with ERPs and our credit card offerings. It helps corporates improve their working capital and payment efficiencies, increase visibility via analytics and define hierarchies and authorization matrices. The platform is coupled with our Zagggle Prepaid Ocean Services Limited
November 08, 2023

Page 5 of 18

credit cards, both corporate credit cards and purchase cards, which provides corporates with a holistic accounts payable solution.

Coming to Propel, Zagggle Propel serves as a comprehensive solution for employee rewards and channel partner incentives. Through our automated rewards and recognition platform, we enhance engagement amongst both channel partners as well as employees of companies, ultimately fuelling accelerated business growth. With Zagggle Propel, corporations have the power to revamp their channel partner incentives and establish channel loyalty programs that foster loyalty, drive channel revenues and bolster their profits.

I will now talk about the performance of our various products along with revenue contributions in the last quarter. Program fees amounted to about INR965 million, which is about 32% of our top line. This figure encompasses various revenue streams including interchange income and incentives from networks like Visa and Rupay. Platform fee, the SaaS fee, stood at about INR147 million, contributing to about 5% of our top line.

This refers to all the fee income that we receive from our corporate customers, including fixed monthly subscription fees paid by customers on a per-user basis. The Propel Points revenue stood at INR1,915 million, constituting 63% of our total revenue. This is received from customers for issuing reward points, which we call as Propel Points, to their employees and their channel partners like dealers, distributors, agents, retailers, etcetera.

We anticipate robust growth across all our revenue streams moving forward and look forward to increasing our share of program fees and SaaS fees in the coming quarters. We will continue to implement our growth strategies and we remain confident in our ability to effectively leverage our inherent strengths, ensuring growth and margin expansion.

I will now hand it over to our CFO, Aditya, for financial highlights. Thank you so much.

Aditya Kumar : Thank you, A vinash. Good afternoon all and happy Diwali in advance. Let me walk you through our quarterly financial performance. In the past quarter, we registered an impressive 41% Y-O-Y growth and 55% sequential growth in our top line. Our gross margins reduced by 2.7% on quarter-on-quarter basis due to increase in Propel Points redemption business, which is being recognized on gross basis.

Having said that, our cost structures across product categories are being monitored effectively so that we are able to maintain overall EBITDA margins. Our adjusted EBITDA has grown by over 79% on Y-o-Y basis and 58% sequentially to INR218 million. During this quarter, there is increase in our employee cost, raising from INR81 million in Q1 FY24 to INR112 million in Q2 FY24. This upstick can be attributed to the annual salary hikes and bonuses.

H1 FY24 is a better reflection of our employee cost profile. Following the recent IPO, the company has successfully repaid INR470 million in borrowings, which is expected to result in reduced finance costs starting from H2. In the future, we will realize significant interest cost savings, resulting in a meaningful shift towards the profitability.

Zagggle Prepaid Ocean Services Limited
November 08, 2023

Page 6 of 18

Our cash PAT, which includes net profit along with depreciation and ease of expenses, has surged by 94% on Y-o-Y basis. During FY24, we expect to record total ESOP expenses close to INR180 million to INR200 million.

Speaking on H1 FY'24 numbers, our revenues have soared by 38% on Y-o-Y basis to INR302.7 crore. Our adjusted EBITDA has experienced a substantial growth of 55% to INR355 million. Notably, our cash PAT has surged by an impressive 69%. Going forward, the prospects in H2

are also looking promising due to inherent seasonability of our business, which we have spoken about in the past.

Over the years, our revenue has consistently demonstrated a substantial surge during the third and fourth quarters, accounting for a substantial 60% to 65% of our total revenue due to surge in transaction volumes during the festive sale and increased spends driven by users seeking to maximize their card balances before end of the financial year. On that note, I will request Moderator to open the floor for Q&A. Thank you.

Moderator: Thank you very much. The first question is from the line of Girishma Shah from Envision Capital. Please go ahead.

Girishma Shah: Good afternoon. Happy Diwali and thanks for taking my question. I want to understand the alliance with VISA and Kotak Bank better. How will this \$20 million and INR76 crores accrue to us over a period of time? If you could explain that that should be helpful? That question one.

Avinash Godkhindi: I will take the Kotak partnership first. Basically, when a corporate today signs up with Zaggle, we offer them the SAVE platform which is our employee expense management, reimbursements and reward and employee benefits platform. And obviously, they would have a corporate salary account from a different bank. By bundling the two, what we are basically making is that there is a common interface, a common app, a common dashboard that the corporate and the employee get.

In addition, in this relationship, the way it is structured is that the bank will bear the cost of the software fees for the expense management and employee benefits and to the corporate effectively, if the employees are taking a Kotak Mahindra Bank best-in-class salary account, the software platform would come free of cost.

And that is a very powerful proposition in our view because it allows for rapid expansion in terms of uptake and to a corporate, they just need to agree to take best-in-class salary account. Coming to the VISA incentive, the VISA incentive is for forex cards. We are in the coming quarters going to launch our forex prepaid cards.

rds.

This dovetails beautifully with our expense management platform because when employees travel abroad, they incur expenses on the behalf of the corporate and they need to submit those bills. Now by offering that in conjunction with a forex card, it is going to be very easy for employees to submit their expenses through our app which has OCR as I mentioned and for the corporate to be able to reconcile and settle the dues if any because the forex card also is tightly coupled with our offering. Hope that answers the question.

Zaggle Prepaid Ocean Services Limited
November 08, 2023

Page 7 of 18

Girishma Shah: Yes, so how will you get this \$20 million? Is it equal in five years? Is it going to be milestone based? How do you arrive at this number?

Avinash Godkhindi: Yes, so this is an estimate linked on spends, the amount of spends that get generated on the forex card. This is an incentive that is a basis to spends.

Girishma Shah: It's like the propel points that we have?

Avinash Godkhindi: This is nothing to do with propel. This is basically that if there are so many million dollars of spends that get generated on the forex cards, we get X million dollars of incentive from VISA for driving spends to visa ahead of other card networks.

Girishma Shah: Okay, so this will accrue in the program fees then?

Avinash Godkhindi: Yes, yes.

Girishma Shah: Okay, and for Kotak Bank, it would depend on the number of employees getting on to our platform?

Avinash Godkhindi: Number of corporates and number of employees who will sign up for this specific program. We will invoice the bank for the SaaS fees, the software fees and all the card transaction income also would come as usual which we get for our prepaid cards.

Girishma Shah: And this fees and all the arrangement is no different if we had to approach the corporate by ourselves or it is different for Kotak Bank?

Avinash Godkhindi: This is a bundled offering. So obviously because it's a bundled offering, so there are different specifics there. But of course, for us the benefit is that here we are invoicing to a single trusted entity like the Kotak Bank. And secondly, we anticipate that the uptake would be fairly significant given the value proposition to the corporators that you get the software free.

Raj Narayanam: One more point I just want to add there ma'am is that in all our relationship with banks, we as Zaggle were the sellers of these products along with our brand partners. In this particular arrangement, the difference is that Kotak will also sell our software to their corporates.

Cards would be Kotak's co-branded with Zaggle, but they would be the sellers, software would be ours. So, this is a two-way income generating program by which we should be able to at least see that the base of Kotak is very, very large and I think we would significantly benefit from this relationship.

Girishma Shah: And it would be taken to the existing Kotak customers as well?

Raj Narayanam: Yes, yes, yes. That's the key point ma'am. That it will be taken to all the users and customer corporate relationships which Kotak has. They will take this offering to them which is a bundled offering with Zagggle and you know software is Zagggle, card is a co-branded card and together it will make a very, very good combination for any corporate to have.

Zagggle Prepaid Ocean Services Limited

November 08 , 2023

Page 8 of 18

Girishma Shah: And again, the INR76 crores is an estimate. It may vary from one year to the other depending on how many customers are getting on board?

Avinash Godkhindi: Contract is for three years ma'am and INR76 crores is a combined estimate across the years. For one single prepaid card program which is what we have discussed. However, the contract has the flexibility or the openness for us at a future date, basis mutual agreement with the bank to launch other forex – other prepaid progra

ms as well.

Raj Narayanam: And also, the other possibility is that looking at this program, there could be other banks who will approach us to enter into something very similar. So, what we see is that at least couple of more banks in next couple of quarters should also sign up for a program like this because it's a win-win. They are able to offer something extra to their customer.

For us it's a beautiful thing. Customer is also able to get all these services from their known corporate banker. And for us it is that our software is going into so many corporates which also gives us an opportunity to sell something extra to those corpo rates.

Girishma Shah: Okay. That's on the alliance. The second question is I'm assuming that compared to last year quarter two, to this year the Propel percentage of revenues has increased and therefore the gross margins have been a little lower. Is that understanding right?

Aditya Kumar: Yes. Aditya here ma'am. Yes ma'am. Because what happens in the Propel platform revenue right, the gross margins are lower but the take rates are always higher.

Girishma Shah: Okay. And the borrowing cost, will it come down by INR2, INR3 crores in the second half compared to last year or would it be higher?

Aditya Kumar: It will be lower ma'am because we closed couple of borrowings. So obviously it will be lower compared to H2 of last year.

Girishma Shah: So, it will come down by INR2, INR3 crores or it would -- the quantum will be more. I mean we had around INR120 crores of debt as of FY'23 of which you closed INR47 crores.

Aditya Kumar: Quantum will be lower by INR2 to INR3 crores ma'am. Yes.

Girishma Shah: Okay. Fine. Thank you so much.

Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Thank you very much sir for the opportunity. So first I just wanted to understand in terms of ESOP expense. I mean this year we expect about INR18 to around INR20 crores right in terms of ESOP expense and then out of which I think INR13, INR14 crores we have already incurred in the first half. The second half only I mean INR5, INR6 crores is what we are expecting in terms of ESOP cost?

Aditya Kumar: Yes. Correct Deepak. Your understanding is right. Around INR6 crores we will have to expense out for the next two quarters.

Zagggle Prepaid Ocean Services Limited

November 08 , 2023

Page 9 of 18

Deepak Poddar: INR5 to INR6 crores.

Aditya Kumar: Yes.

Deepak Poddar: And then how do we see that FY'25 in terms of ESOP cost?

Aditya Kumar: FY'25 will be much, much lower because we do ESOP accounting as per IND AS requirements etcetera. Initial two years it will be on the higher side. For the FY'25 and FY'26 both years put together it will be around INR10 crores.

Deepak Poddar: INR10 crores total or each?

Aditya Kumar: Total. Total INR10 crores and around INR7 crores in year one and INR2.5 crores in year two.

Deepak Poddar: So, FY'25 is INR7 crores and INR3 crores is FY'26.

Aditya Kumar: Yes.

Deepak Poddar: So, what I am trying also to understand now because now your ESOP cost will also reduce or your adjusted margins in terms of EBITDA will now converge to your reported EBITDA margin.

Because of this ESOP cost being minimal from let's say next FY'25. So, I mean in terms of margins what do we aspire because as we scale up we will get some leverage advantage as well given the high growth business we are into. So, what would be our steady state or aspirational

margins that we look in our business I mean from next two to three -year perspective?

Raj Narayanam: Yes. So, you know ideally we should reach about 15%, 16% overall. But for this year the guidance is 12% to 13% and we will maintain that for this year. But of course, there is lot of operating leverage which is available to us to expand our margin.

Deepak Poddar: So, 15% to 16% margin is what we are lo

oking at in two to three years' time frame?

Raj Narayanam: Yes.

Deepak Poddar: And this 12% to 13% is on adjusted basis right? We are not including the ESOP cost?

Raj Narayanam: Yes.

Deepak Poddar: Understood. And I mean we currently I think we have I think what 2600 kind of corporate clients. Would that be right number?

Raj Narayanam: Yes. Roughly about 2700.

Deepak Poddar: So how do we see the traction in that? I think some colour in terms of the traction in your clients and how we are trying to expand our wings in this corporate sector.

Raj Narayanam: So, this is very good question and that is one of the things which the company is continuously focusing on. The cross -sell opportunity we have multiple products and today we see that our cross -sell percentage is roughly about 14.5%, 15%. Now we want to take t his 14.5%, 15% to about you know 25% by next year. When I say next year it is like, by September of FY'24 is

Zaggle Prepaid Ocean Services Limited

November 08 , 2023

Page 10 of 18

what I am saying. And by then we should be able to take this to increase it by another 10%. And we are constantly trying to see that how much more can we accrue from the same customer. Because already our CAC is given in and we have already cracked into the account. Now what more can we sell to them is the idea. So, the current traction is just absolutely phenomenal right now. And what we expect is in at least for next two, three years whatever visibility and the demand projections we are seeing it looks very, very healthy.

Deepak Poddar: Okay, so in terms of cross -sell, so can you elaborate more on the cross -sell? So, what exactly we are trying to cross -sell? Is it the Forex card we are talking about here or what else?

Raj Narayanam: Could be, could be like for example I will just take a hypothetical example of HCL. Okay.

Deepak Poddar: Yes.

Raj Narayanam: Okay, so in HCL we are providing them expense management and till today we were not giving them any Forex you know card solution. Or we were not giving them the you know accounts payable vendor automation system which is Zoyer.

Okay, now we would look forward to seeing that you know now that you are, they are already buying our expense management. How can we bundle the Forex card as well as the vendor payment or accounts payable platform into HCL so that we can streamline their p ayables.

Deepak Poddar : Understood, so I understood this point. This is one avenue of growth in terms of you increasing your depth in a particular client right. But I was also trying to understand how will you, how are you trying to increase the I mean the number of clients, the width of the client that we have?

Raj Narayanam: If you look at our revenue growth drivers, what are the revenue growth drivers? One is the more number of corporates I add, okay that is how you know my revenue will grow. Second is if the users within that corporate gets added that is when my revenue goes up, okay.

Third is that if there are more number of solutions I can sell to a corporate is when my revenue goes up. Fourth is the amount of spend which the users do on the cards is when my revenue goes up. These are four levers for us and we work on all of these fou r levers to continuously see that how do we grow our business.

Now to your question that how would we grow, you know add more corporates. See for us adding a corporate is much much easier, okay. It is not a very difficult task for us to add corporates but to be able to you know generate more income per corporate is wh at we are looking at.

You know which typically is called you know ARPE which is average revenue per enterprise.

How do we go and increase the average revenue from an enterprise? So that is what we focus, that is what is the core focus because we already have 2700, 2800 clients and you know even if we take it to 3200, 3500 that is you know that is not at all a tough task fo

r us.

Zaggle Prepaid Ocean Services Limited

November 08 , 2023

Page 11 of 18

Deepak Poddar : Understood, that is a nice explanation. And my one more query I was trying to look in terms of regulatory risk. I mean how do you see that I mean tomorrow if some adverse RBI rule comes

or something on those lines? So how do we see regulatory risk in our business?

Raj Narayanam: So, like if you see RBI regulation on what will it come? You know they see in my opinion they cannot ask us to stop selling software, okay. The biggest risk and the only risk which is there is that in terms of the interchange risk on the prepaid card.

Now because we have already launched our credit card the risk is significantly mitigated and at any given point of time we can actually you know completely move everything in our business from prepaid to credit card you know given like about 3 weeks now. Earlier time was about 6 to 8 weeks but now we are so ready you know ourselves that any point of time something like that were to come we would easily be able to manage it.

Deepak Poddar : Okay and so what you are trying to say is that majorly our risk could be in the prepaid card, right. So that is where the RBI could intervene or some adverse regulation might come in. But since now we have launched credit card we can shift this entire business of prepaid card to credit card and our risk is kind of a mitigated, right. So, is my understanding correct?

Raj Narayanam: Yes, absolutely.

Moderator: Thank you. The next question is from the line of Rahul Bhangadia from Lucky Investment Manager. Please go ahead.

Rahul Bhangadia: Thank you for taking my question sir. Congratulations on a very good set of numbers. Just one question. If you could help me with the throughput that you had for your debit card, credit card, prepaid card put together?

Avinash Godkhindi: Hi Rahul. Congratulations to you too as well. Didn't understand the question. Can you please repeat?

Rahul Bhangadia: The throughput, the value throughput that happened through your debit, credit and prepaid cards for the quarter. So how much money would have been spent using your cards?

Avinash Godkhindi: So that's a fairly significant number Rahul but wouldn't want to necessarily go into the specific details. But you see the program fees and you know the take rates there. The last year take rate was 1.85%.

Rahul Bhangadia: So, we will work that way backwards. That take rate hasn't increased.

Avinash Godkhindi: Take rate has remained in the same range.

Moderator: Thank you. The next question is from the line of Karthi from Suyash Advisor. Please go ahead.

Karthi: Yes, good afternoon. I hope you wouldn't mind if I ask a couple of very basic questions. One, just trying to understand in terms of exclusivity of arrangements with corporates. Could there be a competing solution offered to the same corporate? How exactly does the arrangement work with your corporate clients?

Zaggle Prepaid Ocean Services Limited

November 08 , 2023

Page 12 of 18

Avinash Godkhindi: Karthi, so thank you for your question. What happens sir is our value proposition to a corporate is a unified card, app and dashboard. See because we integrate in many cases with their ERP, we get project codes, cost codes, location codes. And we are able to give a very holistic view to the corporate as to for that particular location for example, what are the kind of spends that are happening.

Or for that particular project or that particular department, what are the kind of spends that are happening across whether it's employee expenses, whether it's any vendor payments that they are making or any other rewards etc. So, the whole thesis is that it's a unified platform, single sign on, very easy to use mobile app.

And hence we anticipate in the coming years more and more corporates would take the full suite of our offerings. We don't try to enforce any ex

clusivity per se with our corporate customers

because we do genuinely believe that our platform is best in class and we compete on merit against our competitors.

Karthi: Right, right, right. Interesting. So, if you have to give me a ballpark estimate of what would be the current penetration of such solutions in India?

Avinash Godkhindi: Very difficult to estimate, right, Karthik? Today a lot of companies are still on Excel and email, right? And that's what we are trying to solve for. I'll give you an example. Let's say there's an expense that was approved three years ago. There's a query that comes in from any of the authorities saying what's this expense, why was this approved?

I know of a lot of companies who end up having to restore mailboxes because the employee could have quit, right? And trying to figure out who approved, why was he approving it the way he was, etcetera, etcetera. All that inefficiency, all that challenges that companies face, we make it seamless.

We make it at the click of a button. You click at the expense. Not only do you get to know who approved, you also get to know all the communication that happened between this person and anyone else who was involved.

Let's say the employee has made the submission, any other finance team, as to what was the

discussion that happened around why this approval was given, right? So, everything is at the click of a button sitting on the cloud for years and years and years so that it's seamless for the corporate to be able to respond to any of these queries.

Karthi: Sure, sure. So, one question on ROE evolution. I understand scale plus profitability will drive ROE. So, at what stage would you reach mid to late teens kind of an ROE number or is that too aspirational? The second part to it is, do you make a distinction between the variable part of your revenues, which is to say spent linked, versus the fixed fee part of your business and how should one think about these two components?

Avinash Godkhindi: So, Karthi, I'll take the second one first. If you look at our view of our revenues, it's a bundled holistic platform. And as I gave the example of the Kotak partnership, there we are now bundling Zaggie Prepaid Ocean Services Limited
November 08 , 2023

Page 13 of 18

effectively the income that you generate by selling a Kotak Mahindra Bank salary account as well, right?

So, it's a third -party product in some ways. And not only are co -branded prepaid card and the software fees, we are also earning a commission from the bank for selling the salary account, right? So, we take a holistic view on the nature of the revenues because the corporate also looks at it that way, right? They are saying, okay, if this is the kind of volumes that are getting generated, then we will potentially look at how much fixed fees we need to incur as a cost.

Karthi: But doesn't it vary across? One is of course, say for example, an employee account is a one -time fee income. Credit card spends, for example, would be transaction linked, right? And of course, you know, the SaaS services is a more recurring kind of setting . So therefore, I was trying to understand how you break it down in your mind from an ROE perspective?

Avinash Godkhindi: Yes, sir. So, the SaaS fee, of course, has a large recurring angle to it. The program fees also is recurring because people keep spending on their cards. And you know, every time they spend, we earn. Similarly, on the Propel points, every time somebody makes a redemption of that point for vouchers of various brands, we again earn our commissions there. So, there is a recurring angle to each one of these. And that's the way we have sort of tried to design the business model.

Karthi: Quickly, when do you think a high -teens ROE is possible?

Avinash Godkhindi: At least I would not want to venture into a speculative response, sir. We are working towards it.

Karthi: Right. And one last

quick question. Would this cover temp staff also or does it largely cover only employees on the payrolls ?

Avinash Godkhindi: So, our costs, you're talking of our employee costs or?

Karthi: No, I'm talking about the customer side. Customer side. A construction company, for example, which employs a lot of?

Avinash Godkhindi: Anybody who submits an expense to the company, right? It could be bench staff, third -party payroll. It could be delivery boys. We have some of the largest food delivery companies in the country. The biggest ones are now our customers. We've signed them up recently, right? And a lot of them are the delivery boys. So, this is not just your white -collared, sophisticated employees on the company base, but it could be a blue -collared worker as well, a third -party payroll.

Moderator: Thank you. The next question is from a line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Yes, good afternoon, sir, and happy Diwali in advance. So just I have a couple of questions. Firstly, so like you mentioned on the Kotak partnership, so just wanted to understand like how will the profitability differ, vary with the customers which we source through this Kotak Bank partnership as compared to the customers which we source directly?

Zaggie Prepaid Ocean Services Limited
November 08 , 2023

Page 14 of 18

Avinash Godkhindi: So, in this case, it's the bundled solution is taken by the corporate and we are making the sale. We earn the fees for selling the salary account. We earn the software fees for the Save platform and we earn the interchange, which is part of the program fees, right?

So, you have multiple revenue streams. The newer stream that is popping up here is the commission that we get for selling the salary account. In the case when the bank, let us say the bank goes ahead and sells, in that case, of course, we don't get the fees for the salary account sale. But of course, the beauty of that model is a bank has thousands and thousands of, tens of thousands of employees who can sell our solution to their prospects.

Lalit Deo: So just wanted to understand, so in a way like this partnership is much more profitable than the one where we source customers directly. Is it right to say that?

Avinash Godkhindi: Earlier we used to earn in two ways, program fees and software fees. Now you have a third leg

which is kicking in which is the fees that we get from the bank for sourcing the salary account.

Raj Narayanam: It is a highly, highly profitable deal because no effort from our side when a bank sells, okay, and they are the ones who will sell the software as well as the card. So, we get extra income just because of the relationship and usage of our software. So that's a highly, highly accretive deal for us.

Lalit Deo: Sure, sir. And so, second question is like, so like we have mentioned that like 60% to 65% of our revenue comes in the second half of the year. Now this year, like the entire festive season has been on the, is in the third quarter. So how has been the initial business trends in this quarter and what kind of traction are we seeing right now?

Avinash Godkhindi: So, I will not go into specifics, sir, but the trend continues as we have seen in all these past years. The trend continues and we are getting good traction, very good traction.

Raj Narayanam: And see, we have already given the guidance of 40% to 50% growth on the top line and 11% to 13% EBITDA side. So, I think we will be able to maintain it.

Lalit Deo : Sure.

Moderator: Thank you. The next question is from the line of Mitesh Kamdaar from Aditya Equity Investment. Please go ahead.

Mitesh Kamdaar: Hello. I had one question. As the cash flow from our operations is negative, when can we expect that we, our dependence on the external capital to generate revenues to go away?

Aditya: So, this is largely an account of large quarter end requirements, etc.

era. What we do on the

trade receivable, right? Maybe we are working on it. Possibly in the next one year, we'll be able to maintain that level of positive working capital.

Mitesh Kamdaar: Okay. But will the further growth require any external requirement from capital from the outside sources because our own cash generation is going to be negative?

Zaggle Prepaid Ocean Services Limited

November 08, 2023

Page 15 of 18

Aditya: As of now, no. We leverage the existing whatever capital is available and we'll make sure that operational fixed leverage kick-in is already started. So that will help us to make our operational working capital positive.

Mitesh Kamdaar: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Agham Shah, an individual investor. Please go ahead.

Agham Shah: Hi, sir. Quick question. You explained the Kotak deal. Just wanted to know, INR76 crores is a number. So, this number will keep on increasing, right?

Avinash Godkhindi: So, end of the day, the INR76 crores is the number that we have estimated from the income that we'll generate as program fees for the three years. This is the revenue projection for one program.

We have not, because the contract that we submitted was only the co-brand contract.

We have not included in that the income that we get from the software fees and the income that we would get from the sale of the Kotak salary accounts. And yes, as the multiple programs get launched through this contract, those get added. And as the program expands, we hope that while the initial signing duration is three years, we would hope that would get extended and we would have more uptake in the coming years.

Agham Shah: So typically, let's say in a given year, you don't acquire more corporate customers, so still we can maintain the growth of 40% or this will drop to 20% or how to look at that way?

Avinash Godkhindi: See, our cross-sell opportunity is very, very significant. As Raj previously mentioned, we are at about 14% odd right now. In the next year, we are looking to get to 25%. Our opportunity to be able to bundle these sort of solutions and then sell, that is also available for us. So typically, it is a corporate that we sign up today takes about three years to five years to mature in terms of the overall revenue output that can be generated.

So, it's not that the growth is a concern for this year, but you need that decent pipeline of corporates getting signed up year-on-year for the coming years, so that we continue to grow not only this year at about 40% to 50%, but in the future also we have robust growth.

Agham Shah: Just a ballpark if I was to take, if I don't sign any corporate customer, so the current business can still grow at least 20% to 25%, right? With the current corporate clients...

Avinash Godkhindi: There is tremendous opportunity, sir. As I said, the cross-sell is only 15%, right? And if we just focus on that, there is tremendous opportunity for growth. Yes, you're right.

Agham Shah: Okay. That's it from my side. I will join the queue.

Moderator: Thank you. The next question is from the line of Sriram, an individual investor. Please go ahead.

Sriram R: Thank you for the opportunity. I have a couple of questions. One is, how much is the interchange fee for the first half? And also, if you can throw some light on what is the other component of the program fee? I mean, you have mentioned that you receive some kind of fees from the

Zaggle Prepaid Ocean Services Limited

November 08, 2023

banking partners. So, what is the arrangement there? And if you can help me with the nature of income, that would be helpful.

My second question is on the propel side of business. Now, earlier, you used to report on an IND AS basis, which has now changed. So, let's say FY '21, you had reported INR30 crores. Now, what is this number for '22 and '23?

Avinash God

khindi: Sir, on the propel points, we are reporting on the basis of Ind A S. That is what we are doing right now. And so, I don't understand, where the confusion is?

Sriram R: No. What is the pre -Ind AS number?

Raj Narayanan: The pre -Ind AS number was insignificant, sir.

Sriram R: Sorry. So, let's take 154 and 360 is your '22 and '23 revenue. So, what is the number?

Avinash Godkhindi: Both these numbers – previous and the current reporting is also on Ind AS for these numbers.

Sriram R: No. I'm saying, can you give the comparable figure?

Aditya: Maybe I'll take this question, sir. So, we migrated from IGAAP to Ind AS from FY '20 onwards.

Whatever numbers you see in the financials are disclosed under Ind AS. So just to answer straight to your question, so FY '21 propel platform revenue is INR32 crores. As against the cost of propel point, you will see the direct expenses line item on the face of the P&L. You just need to reduce that. So that gives you around INR2 crores. For FY '22, it is around INR10 crores. For FY '23, it is around INR45 crores.

Sriram R: Yes. Exactly. So that is where I'm coming from. So, this INR2 crores to INR40 crores, how should we look at this? I mean, there's a large jump. So, and then for the H1, again, we are at INR20 crores. So maybe we are meeting the similar run rate. So how should we look at this in the future?

Aditya: That's by design, sir. We are focusing on increasing the propel platform revenue, etcetera. So, what we are doing is whenever we get the contract from the corporates, right, rather than going for network cards, we are making sure that they use the platform and redeem the catalogue of the vouchers by the user. It's increasing on user propel adaptability.

Sriram R: Okay. So, answer on my first question on the interchange fee, the value for the first half?

Aditya: So generally, the program fee largely consists of interchange fee only, sir. Around 90% to 93% will be the interchange fee and rest all other line items like incentives, etcetera will comprise the other portion.

Avinash Godkhindi: So, we also won't be able to go into too much of specifics because these are very specific, contracts or arrangements that we have with our partner banks, etcetera. And this is a little bit proprietary in nature.

Zaggle Prepaid Ocean Services Limited

November 08 , 2023

Sriram R: Okay. So actually, the last year, the number was 72%. Actually, that's what you have reported. I mean, the component of interchange fee to program fee, if I do that maths, 72. So again, now it is reverted back to old levels, we're saying 90%?

Aditya: : Yes.

Sriram R: Right?

Aditya : Yes.

Sriram R: Okay. And what is the other fee that you get, sir? What is the nature of that income? Can you explain that?

Avinash Godkhindi: I think as Aditya mentioned, the fees include a combination of incentives that we get from networks, any support that we get from our partner banks to drive spend, and any other, fees that you would have like on the card, you may have certain fees like, fuel surcharge, etcetera. or ATM fee, etcetera. So those are the kind of fees that are included there.

Sriram R: Okay. And so, on the interchange part, again, let's say, I don't want any numbers. So, let's take INR100 is the interchange fee. Okay, so how much is basically shared with the banks? I just want to know the pie, like, how much do the banks take and how much does Zaggle take? An overall number only.

Avinash Godkhindi: Here is everything that we take. Right. So, what we are including here is only our part. We don't gross it up with the total interchange. We don't do that. So, what we are reporting is the net interchange that comes or net payout that comes to us. Already we are factoring it in. Different banks, different arrangements, sir. That's how that whole thing goes. For example, the arrangement that we have with Kotak Mahindra

a Bank, there where the VISA fees, the RuPay

fees are taken by the bank, the switch costs are taken by the bank. There it's 80% -20% sharing.

Right.

Sriram R: So, 80% Zaggie, 20% banks, right?

Avinash Godkhindi: Yes, sir.

Sriram R: Okay. This is helpful, sir. Thank you.

Avinash Godkhindi: Thank you.

Moderator: Thank you. Ladies and gentlemen, which was the last question for today. I would now like to hand over the conference over to management for closing comments.

Raj Narayanam: With this, I conclude the call. If you have any further queries, please contact SGA, our Investor Relations Advisor. Thank you everyone for joining us today on this earnings call. Happy

Deepavali and Season's Greetings to all of you. Thank you so much.

Avinash Godkhindi: Thank you.

Zaggie Prepaid Ocean Services Limited

November 08 , 2023

Page 18 of 18

Moderator: Thank you. On behalf of Equirus Securities, which concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

ZAGGLE/23-2 4/67

February 13, 2024

To

Listing Department,

NATIONAL STOCK EXCHANGE OF INDIA
LIMITED

Exchange Plaza, Plot No C/1, G Block

Bandra Kurla Complex, Bandra (E ast),

Mumbai - 400 051, Maharashtra

Company Symbol: ZAGGLE To

The Corporate Relations Department

BSE LIMITED

Phiroz Jeejeebhoy Towers,

25th Floor, Dalal Street,

Mumbai - 400 001, Maharashtra

Company Scrip Code : 543985

D

ear Sir / Madam,

Sub:

Transcript of Earnings Call held on February 6, 2024

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ef: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations
2015

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ursuant to the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements),
Regulations 2015 and further to our letter dated February 1, 2024, please find attached the Transcript
of the said earnings call on the Unaudited Financial Results of the Company for the quarter and nine
months ended on December 31, 2023, and the same has been uploaded on the website of the Company
on the following web- link:

ht

tp://ipo.zaggle.in/wp -content/uploads/2024/02/zaggle- earnings -call-transcript -Q3FY24.pdf

We

request you to kindly take the same on record.

T

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ours faithfully,

For Zaggle Prepaid Ocean Services Limited

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Company Secretary and Compliance Officer

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cl. As Above

Page 1 of 17

"Zaggle Prepaid Ocean Services Limite d
Q3 FY2024 Earnings Conference Call "

February 06 , 2024

Disclaimer: E&OE . This transcript is edited for factual errors. In case of discrepancy, the
audio recordings uploaded on the stock exchange on February 06 2024, will prevail

ANALYST : MR. ROHAN – EQUITUS SECURITIES

MANAGEMENT : MR. RAJ N. – FOUNDER & EXECUTIVE CHAIRMAN
– ZAGGLE PREPAID OCEAN SERVICES LIMITED
MR. AVINASH GODKHINDI – MANAGING DIRECTOR
& CHIEF EXECUTIVE OFFICER – ZAGGLE PREPAID
OCEAN SERVICES LIMITED
MR. ADITYA KUMAR – CHIEF FINANCIAL OFFICER
– ZAGGLE PREPAID OCEAN SERVICES LIMITED
Zaggle Prepaid Ocean Services Limited
February 06, 2024

Page 2 of 17 Moderator : Ladies and gentlemen, good day and welcome to Zaggle Prepaid Ocean Services Limited's Q3 FY2024 Earnings Conference Call hosted by Equirus Securities . This conference call may contain forward looking statements about the company which are based on beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode, and you will get an opportunity to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rohan from Equirus Securities . Thank you and over to you Mr. Rohan !

Rohan: Thanks Manav. Good evening, everyone and thank you for joining the call to give a brief update on the Q3 FY2024 results and address investor queries. We have with us from the management of Zaggle Prepaid Ocean Services Limited Mr. Raj Narayanam, Founder and Executive Chairman, Mr. Avinash Godkhindi , MD and CEO, and Mr. Aditya Kumar, CFO. We would request the management to start with the opening comments post which we can open the floor for Q&A. Thank you and over to you Sir!

Raj Narayanam : Thank you so much Rohan. Good evening, everyone. This is Raj I am the Executive Chairman of Zaggle . Thank you so much for joining us for Q3 FY2024 earnings call today. On behalf of the company I extend a very warm welcome to everyone who are on this call, and we are joined by Mr . Avinash, Managing Director & CEO of Zaggle and Mr. Aditya Kumar who is our CFO, and SGA who is

our investor relation advisor along with Equirus .

The results and the presentations are uploaded on the stock exchange and the company website . I hope everybody has had a chance to look at it. So before I start on the other aspect, I would also like to highlight on the fintech ecosystem . Fintech is as you would know are at an inflection point where there is a perfect concoction brewing between the increasing digital adoption, ever improving digital infrastructure and proactive regulations to create a lasting and sustainable ecosystem . To share a highlight from the latest budget there is a strong preference for digital transactions for government schemes translating into benefits totaling over Rs.2.7 lakh Crores for the government. This presents exciting opportunities for players in the fintech space such as your company. This trend will further drive growth and value for the fintech sector. For fintech companies like us achieving growth expansion and long-term sustainability relies heavily on scaling operations within the realms of regulatory framework. I am happy to share that in the last 12 years Zaggle the only profitable listed fintech company in India has established a robust business model within this framework creating sustainable growth.

Zaggle Prepaid Ocean Services Limited
February 06, 2024

Page 3 of 17 I would now want to highlight how our operations for the last quarter and nine months have been. Our quarter in nine months performance ending December 2023 has been extremely strong. Our revenues grew at a healthy 35.1% on a Y-o-Y basis this quarter and respectively with the growth in adjusted EBITDA at about 56.4%. Overall, if you look at the nine months performance our total revenues are at Rs.502 Crores versus Rs.366 Crores last year showcasing a 37% growth and our EBITDA is at Rs.58.4 Crores versus Rs.37.6 Crores showcasing a 55.3% growth . We are constantly upgrading and innovating our products

which provide us with a competitive advantage allowing us to offer better solutions to our clients and onboarding new clients every quarter. In Q3 of FY2024 we added 105 new clients taking our current total number of customers to 2837. The active users on our platform stand at about 2.56 million as on December 31, 2023.

In addition to that which we have in our previous two analyst calls we had informed that we have launched our accounts payable solution Zoyer which we launched last year, and it has started clocking revenues in this financial year. Over the last nine months we have received an extremely encouraging response from our customers. The positive momentum we have seen in the first half of the year is continue into Q3 and will further go into Q4 and we are committed to sustain this progress. Another very big contract which we won which we had uploaded on the website as well as on the exchanges is about the Torrent Gas opportunity. I am very excited to share a significant milestone for the company that is our entry into fleet loyalty card program through Torrent Gas. The order has the potential to have substantial volume and margin opportunity driven by our end-to-end closed-loop system with 500 fleets onboarded and 260 outlets ready to accept our cards to start with. This is a huge space globally and our endeavour is to onboard many more clients in this space. The total fleet spend market is estimated to be about Rs.73000 Crores in India and we have just started nibbling at it. Globally this is a multi billion dollar established business especially companies like WEX and FleetCard are leaders with multibillion dollars in revenue. In principle, our proprietary solutions have multitude of use cases which help us to enhance our offerings for our customers and our fleet loyalty card programs is just one of the examples.

As we have spoken about Zoyer again and again

which are our accounts payable model the spend management space is essential for every business irrespective of the industry, it helps to streamline expenses, bringing transparency and accountability resulting in cost saving something that every company wants. At Zaggle we firmly believe in collaborating with a strong player in the ecosystem. Further our partnership with marquee banks enhances our access to a large corporate clientele elevating our reach and influence within the industry. Our customers are our influencers, and we benefit a lot from a positive word-of-mouth. Our constant endeavour is customer delight. As you know we have always been looking at how to grow faster and at a healthy pace, we are constantly scanning opportunities, so some of Zaggle Prepaid Ocean Services Limited
February 06, 2024

Page 4 of 17 the opportunities which we have looked at is to see that how do we capitalize on our cross selling. Our cross selling that means where one solution is already present in that particular company how can we cross sell or upsell one more business solution to them and that has been our constant endeavour to see if we can increase it from 15% over to roughly in the range of 17% to 18% to make sure that our product portfolio is in every corporate. It also creates an entry barrier for other companies in this space.

Your company's topmost priority is to increase shareholders value and is exploring multiple growth levers. We recently participated in SaaSBoomi Qafila 2024 event wherein about 45 SaaS companies from India were invited to Dubai to be part of a three-day exclusive event to unlock key regional market in sight, make connections and explore business opportunities in the Gulf Cooperation Council which is the GCC region. We were able to garner significant learnings on the ground, meet big business houses in the UAE region and have insightful meetings. These are the initial steps taken towards our larger goal of going international. We are scanning the market for further growth opportunities, and we will keep this group updated on what is happening next.

In terms of our guidance, we continue to hold our guidance of achieving 40% to 50% revenue growth and the EBITDA margins of 11% to 13% and the performance in Q3 is in line with what we had projected. Now I would like to hand over to our MD & CEO, Avinash to take you through some business updates. Thank you.

Avinash Godkhindi: Thank you Raj. Good evening, everyone. Before I talk about Zaggle's quarterly performance, I would like to update you that recently we won the Excellence in Innovation Business Spend Management Software India 2023 award presented by the Global Banking & Finance Review. This accolade stands as a testament of Zaggle's exceptional commitment to providing innovative and efficient spend management solutions to businesses and the market's recognition of the quality of our software. This quarter has been a phenomenal quarter for us both in terms of performance on revenue and other profitability matrix. This quarter we had a massive growth in program fees due to the increase in prepaid and credit card spends. Nearly 44% of our total revenue came from program fees which include interchange fees that we earn on every transaction executed using prepaid and credit cards across our three products. The growth in adjusted EBITDA continues at a healthy pace as well. We have seen growth in our corporate and purchase

card offerings along with an encouraging fashion in our accounts payable platform Zoyer. This quarter we had spends of over Rs.2000 Crores on our Zoyer platform which bundled with our commercial credit card. Our nine months FY2024 topline grew at 37% and we expect to grow at 40% plus rate in the coming financial year as well. We have onboarded quite a few big clients this quarter and have

visibility to find some marquee means in the coming months. Banking partnerships are a pillar of our growth. We are in advanced Zaggle Prepaid Ocean Services Limited
February 06, 2024

Page 5 of 17 discussions with some marquee banks to onboard them as our banking partners in the coming quarters.

Consistent demand for digitization, transparency, tracking and budgeting of spends gave birth to most of Zaggle's products. Today with our three powerful products Propel, Save and Zoyer with multiple use cases Zaggle has a unique value proposition to offer to its customers. Our product seamlessly manages the intricate process of tracking, scrutinizing and optimizing organization spends. We offer a compliance suite of products under a single roof coupled with competitive rates and stringent data security standards like GDPR compliance and we provide businesses with tools they need to adopt and thrive in today's dynamic landscape. With the churn rate of less than 2% per year our tailor-made solutions continue to resonate with our clients empowering them to navigate complexities with confidence and efficiency. Further, our well diversified business monetization model and partnership with multiple marquee banks and networks allow us to mitigate our risks efficiently. I have often said that as a profit focused company Zaggle is frugal, nimble and humble. This is at the core of our values and this has led to not just sustain but thrive and prosper in a rather competitive environment.

Allow me to throw some light on the monetization of our three various products along with revenue contributions in the last quarter. Program fees which is primarily our interchange earnings on transactions amounted to Rs.88.2 Crores which is about 44% of our topline. The SaaS fees were about Rs.8.2 Crores contributing to around 4% of our topline. This includes the fees for our proprietary software which couples with our products. This includes fixed monthly subscription fees paid by customers on a per user basis. Software continues to be the very foundation of our product solutions. Propel Points revenue stood at Rs.103 Crores constituting about 52% of our total revenue to anticipate robust growth across all our three revenue streams going forward. We continue to implement our growth strategies and we remain confident in our ability to effectively leverage our inherent strength, ensuring growth with margin expansion in the coming quarters. Now I hand over to Aditya, our CFO for financial highlights. Thank you.

Aditya Kumar: Thank you Avinash. Good evening all. Let me walk you through our quarterly financial performance. In the past quarter we registered an impressive 35.1% Y-o-Y growth and 8.3% sequential growth in our topline. Also this quarter revenue is our highest ever. As explained in previous quarters for our Propel Points revenue recognition is based on a gross basis. As per program fee revenue is recognized on net basis. As a result gross profit and gross margins vary considerably depending on the product mix, which we do in specific quarters. During this quarter the gross margin is 51% compared to 38% in Q2, which is on account of an increase in program fee contribution in revenue mix. Having said that our cost structure across product categories is well maintained for ensuring better EBITDA margin.
Zaggle Prepaid Ocean Services Limited
February 06, 2024

Page 6 of 17 During this quarter the employee cost rationalized from Rs.112 million in Q2 FY2024 to Rs.86.8 million in Q3 FY2024. The uptick in the previous quarter was due to salary hikes and annual bonus disbursement. Our adjusted EBITDA for the quarter has grown by over 56.4% on Y-o-Y basis and 5.1% sequentially to Rs.228.6 million. Following the IPO the company has successfully prepaid Rs

.168 million in borrowings for which the finance cost reduction benefit is being observed in Q3 FY2024 with 27% lower cost compared to Q3 FY2024. Our cash PAT which includes net profit along with depreciation and ESOP expenses has surged by an impressive 92.7% on Y-o-Y basis. During FY2024 we expect to record total ESOP expenses close to Rs. 180 million to Rs.200 million. For nine months FY2024 our revenues have soared by 37% on Y-o-Y basis to Rs.5022.3 million. Our adjusted EBITDA has experienced a substantial growth of 55.3% to Rs.584 million. Notably our cash PAT has surged by an impressive 78.4%. As on December 31, 2023, our net debt is around Rs.655.2 million. As seen in this quarter we expect the inherent visibility of our business to continue and for the Q4 to have surge in transaction volumes and increase

in spends driven by users seeking to maximize their card balances before the end of the financial year . On this note now I will request moderator to open the floor for Q&A.

Moderator : Thank you very much. We will now begin with the question and answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles . We have our first question from the line of Prakshal Jain from Lucky Investment Managers . Please go ahead Sir.

Prakshal Jain: Thank you for the opportunity. Can you elaborate a bit more on the freight loyalty card program that we have started how we will earn from that and what can be the size of the opportunity in this space?

Avinash Godkhindi: Thank you Prakshal for your question. The space is an extremely large space. The government data for last year shows the fleet spends to be about Rs.73000 Crores and this is just fleet spends on fuel. Globally also this is a very large space. These are our first steps in this space but if you look at how fleet owners struggle today with managing their cash because they need to pay the drivers upfront for a trip which could be 30 days. Putting this money onto a prepaid card and giving it to the driver and loading this money on a periodic basis and daily basis helps fleet owners manage their cash flow much better and gets partners like Torrent Gas and others assured sales, so we see a tremendous growth here and growth revenue lines are both in terms of a percentage spend on the fleet program as well as overall there are other lines in terms of fees, etc., that come in to play.

Prakshal Jain: So we plan to give the company who in turn will give the drivers a prepaid card or something or credit card?

Zaggle Prepaid Ocean Services Limited
February 06, 2024

Page 7 of 17 Avinash Godkhindi: It is a prepaid closed -loop program. We work with partners like Torrent Gas and these cards

would be issued to fleet owners, fleet owners would in turn pass it on to the drivers and the fleet owner and the Torrent Gas would have a dashboard on which they can monitor how the spends are happening on the card on a real time basis and they can block cards, unblock cards, and load cards so that is the whole value proposition in this case.

Prakshal Jain: Sir my next question is that your revenue from the Propel of the gift card revenue that has not been growing so much and gift card is higher margin revenue for us so if you can explain this, please?

Avinash Godkhindi: No overall it has grown if you look at it on a nine month basis Prakshal it is just that last quarter we wanted to allow some of our corporate customers to be able to open up the spends on prepaid cards and because this is a festive season so as a onetime activity we allowed some of those spends to come on to Propel Point spends to come on to the network cards so these are uptake in the program fees that is basically some of it is coming through on account of this.

Raj Narayanam: Prakshal just to add to what Avinash said the gross

margin on a network card is much, much higher than on the gift point or on a gift voucher so there is a lot of difference between, and we are constantly trying to grow our gross margin and if you see because of that this quarter's gross margin is at about 55%.

Prakshal Jain: Sir if you can also tell us the revenue contribution from Zoyer for the nine months period?

Raj Narayanam: So Zoyer I would be able to give you that overall number on the Zoyer credit card if you have it handy.

Avinash Godkhindi: Yes, it is about Rs.30 Crores in the program fees .

Prakshal Jain: For the nine -month period, right?

Raj Narayanam: For the nine months exact number is about Rs.45 Crores.

Prakshal Jain: Thank you Sir. Those were my questions.

Moderator : Thank you Sir. We have our next question from the line of Kune Ghelani from Vivriti Asset Management Private Limited . Please go ahead .

Kune Ghelani: Good evening and thank you so much for the opportunity. My question was on the revenue growth side that we are seeing quarter -on-quarter sequentially , as per your previous answer

Zaggle Prepaid Ocean Services Limited
February 06, 2024

Page 8 of 17 you mentioned that some of the growths that we are seeing on the program fee is on account of perhaps the gift card was not being routed through the card network but also trying to understand on account of our newer product Zoyer there would be some bit of gift card related GTV which would also be booked so how is that growth coming along and how do you see that outlook in the future quarters as well?

Avinash Godkhindi: Thank you for that. If you look at the Zoyer growth as I mentioned last quarter, we had more than Rs.2000 Crores worth of spends in Zoyer and we are seeing good reach in terms of both the interchange income and the revenues as well as spends and we anticipate that in

the coming quarters we will see much stronger numbers and much greater growth in Zoyer .
Kuneh Ghelani: Got it thank you and also on the sale of Propel Point over there if we look at the Q2 numbers we did about Rs.128 Crores over there against which the cost of redemption was about 14% odd right so the margin on that line of business was a good 10% to 11% odd versus if I look at the numbers for Q3 I am looking at about Rs.103 Crores of revenue against the cost of redemption is about Rs.97 Crores right so which is about 6% kind of a margin so is that how we should be looking at it and if that is how it is then why are we seeing those numbers perhaps margins be coming thinner for the Propel Point business?

Raj Narayanam: If you really look at this quarter this particular quarter is a season it is a gifting season business and what happens is that there is huge demand for the gift vouchers and that is why you see a little bit compression in the margin and we will be able to go back to probably 11%, 12% and 13% in the current quarter and the idea is that even though we make 11% to 12% in this but the whole if you look at against the sales the cost of goods sold is something like about 88% to 89% on an overall basis so that is something which we are really not wanting to expand too much. We want to focus on our program fees and SaaS fees because on the program fees our gross margins are at about 95% to 96%.

Kuneh Ghelani: Understood got it and also on SaaS fees as well because you mentioned while there is program fee that is coming in through the Zoyer offering and that is showing up on the program fee when do we start seeing SaaS fee also because we have been in that Rs.7 Crores to Rs.8 Crores region for two to three quarters now so SaaS fee coming from Zoyer product and corporates willing to pay more for the service offering when do we see those revenues start to come up as well?

Raj Narayanam: Generally if you just look at in terms of SaaS fees in Q3 FY2023 we had Rs.5.7 Crores in

Q3 FY2024 we had like Rs.8.2 Crores so if you see we have grown by about 43% and in terms of when the fees will start coming from Zoyer we have already started seeing it. In the coming couple of years that will really get ramped up as more and more intelligence is put into the software and more analytics are thrown at the customers they would start
Zaggle Prepaid Ocean Services Limited
February 06, 2024

Page 9 of 17 paying more and more fees on it so it is just a product adoption has to happen so as Avinash rightly said that Rs.2000 Crores of spends we did last month what we are looking at is that how we are able to increase the spends and then put the fees on SaaS fees and slowly and slowly start increasing the SaaS fee on Zoyer as well but to give you an answer may be around next four quarters is what we would be able to then tell you how it is shaping up.

Kuneh Ghelani: Thank you. One last question how are we doing on trade receivables I could not find that number on the presentation if you could just help on what that number is looking like?

Raj Narayanam: It is more or less in the same range as last quarter about Rs.135 Crores is the trade receivables.

Kuneh Ghelani: Got it. Thank you so much.

Moderator : Thank you Sir. We have our next question from the line of Darshan Garg from Sameeksha Capital . Please go ahead .

Darshan Garg: My question is on the side of cost of acquisition of customers like there is a significant increase in the cost of acquisition per customer between FY2021 and FY2023 so wanted to know your guidance on that?

Avinash Godkhindi: I think you are referring to our cash backs and incentives that we give so look as the business grows and as the revenues grow and new product lines require more investment so that investment needs to be made to increase the uptake or usage of these products but over time we have been successfully able to rationalize these expenses or investments both for our previous two products Save and Propel and we anticipate that to be the case with Zoyer as well.

Darshan Garg: Second question is on side of trade receivables like they have increased from Rs.22.6 Crores in FY2021 to like Rs.120 Crores till the September quarter so like what are the terms of the contract with the companies you deal so what is the reason of that?

Aditya Kumar: So our TR comprises of three parameters one is on the SaaS fee which we generate to corporate clientele , prepaid period is around 55 to 60 days and second is on the program fee which we generally bill to bankers and the credit period is again anyway ranging between 45 to 60 days and the Propel Point is on the gross basis where that also takes anyway between 30 to 35 days. If you look at the combination of all these, put together the days comes around on an average of around 40 to 45 days which is in line and as the business is growing the trade receivables will get elevated on the quarterly basis, but it is in line with the business growth.

Zaggle Prepaid Ocean Services Limited
February 06, 2024

Page 10 of 17 Aditya Kumar : As a percentage it remains the same.

Darshan Garg: My last question is like are you planning to expand in any other countries and what are your strategies and in which countries you are going to expand?

Raj Narayanam: Darshan right now our software is made, our product is already ready, and it has been deployed in hundreds of companies so in India it is doing very, very well. Now the thought was that if the same software has to be deployed anywhere else it really does not require too much of customization so we just wanted for the next two, three and four years growth we need to start planning today so there is like very, very large market in India but the amount of SaaS fees which they pay for the per

user fees way to less than what internationally the companies pay for so what we are looking at is that if there are market outside India where they could pay us a much larger differential on the SaaS fee and that is why we went to SaaS Qafila to look at how the GCC market would look at us and in the near future or let us take 18 months to 24 months we definitely look forward to go international.

Darshan Garg: In which countries?

Raj Narayanam: So right now we have looked at US and GCC market and at the right time we will be able to update you as to which geography have we chosen.

Darshan Garg: Thank you for the opportunity.

Moderator : Thank you. We have our next question from the line of Grishma Shah from Envision Capital . Please go ahead .

Grishma Shah: Good evening. Thank you for taking my question. Sir I want to understand this loyalty program a little better when we will start accruing to us and the move is ultimately going to pay, is this through the bank that we would earn like we earn for our program fees, how will this entire thing work if you could help me understand a little better?

Avinash Godkhindi: Sure. Thank you for your question, Grishma so basically the whole concept is that we have a partner in this case Torrent Gas and Torrent Gas is ultimately benefiting in terms of sales, so they pay us a percentage of the spends that they get or percentage of business that they get. They also earn fees from the fleet owners, the fleet owners also benefit in terms of transparency, being able to manage their cash flows better, etc., and hence we earn from a fee from the fleet owners and then there are some other incidental lines of income.

Grishma Shah: Sir where will this get reflected in our P&L is this in the program fees or is it in that which line item will it get reflected and when will it start?

Zaggle Prepaid Ocean Services Limited
February 06, 2024

Page 11 of 17 Avinash Godkhindi: A part of it would be in the SaaS fees right because it is a recurring nature and that is how it would reflect .

Grishma Shah: Somewhere I read the opportunity some Rs.200 Crores is what you had mentioned is that the number that we are working for a year one fees that we will earn?

Avinash Godkhindi: This is the volume that we anticipate as of now on a conservative basis with one program. The first program is that we are doing with Torrent Gas. The opportunity in the market as we mentioned is much larger. Obviously, we need to start with one dependable reliable partner and that partner we have found in Torrent Gas.

Grishma Shah: Sir all the folks who come with pure car at Torrent Gas outlets to refuel or put fuel in their system once they swipe the card is when you earn the fee or once the fleet owner loads an amount on the fee what is it?

Avinash Godkhindi: So it is both combination so when we invoice Torrent Gas that is when we earn when the spends happen and overall when the card is issued to the fleet owner there is as well for issuing the card.

Grishma Shah: Initially there would be a lot of money which you would earn because the cards are issued?

Avinash Godkhindi: See it is a question of the program getting traction. Initially we will obviously go step-by-step and offer it to different fleet owners. Torrent Gas is growing and there are multiple such use cases in the oil and gas industry and there are multiple players with whom we will eventually partner with in the coming quarters and years.

Grishma Shah: Sir the revenue will start accruing from Q4 or Q1 of FY2025?

Avinash Godkhindi: So we are yet to go live with the program per se so we anticipate that revenues will start coming in the subsequent quarters.

Grishma Shah: Thank you so much and best of luck.

Moderator : Thank you. We have our next question from the line of Pranav Gupta from Aionios Alpha

Investment Managers . Please go ahead .

Pranav Gupta: Good evening. Just a couple of questions so one is on the previous comments that you made that we are moving more clients away from Propel Points and more towards spending on the card given that it is a higher gross margin that we are seeing is that understanding, correct?

Page 12 of 17 Raj Narayanam: Moving away from the gift vouchers business where Propel points used to buy gift vouchers we are moving that business to using Propel Points to buy more gift cards. From gift vouchers we are moving to more network cards is the right word to use so to go more and more on the platform it gives us a much, much higher gross margin profile.

Pranav Gupta: So effectively the overall profile business that you would do anyway is by issuing prepaid cards directly right so instead of issuing those cards directly we are pushing more and more customers to redeem those points again with gift cards versus gift vouchers is that understanding right?

Raj Narayanam: Yes, network cards is how you can put it.

Pranav Gupta: Understood. The second question is on the incentives payouts this quarter if I look at it as a percentage of program fees which is essentially what the money that we make on cards that has actually shot up and if I sort of adjust at least part of this program fees for the money earned on the Rs.2000 Crores of card spends for Zoyer this number seems to be significantly high, how should one look at that for this quarter and then over the medium term?

Aditya Kumar : Zoyer has been kick started in this year right. If you compare the products Save and Propel those are in line with whatever we are saying in the previous quarters, there is no incremental on this. Zoyer because last Q2 and Q3 and Q3 being ramped up business we have to give little bit higher incentive cost towards it and over a period of time of course like what we did for Save and Propel we reduced it we will focus and reduce the incentives on Zoyer as well. That is why you see this quarter as an elevated percentage but on an overall level if you compare the total incentive divided by the program fee whatever so that will be only 5% increase.

Pranav Gupta: Maybe there is a gap in my understanding so you can correct me if I am wrong typically incentive fees will be paid out on sense that would happen on the prepaid cards right and if my memory serves me right the Zoyer product is tailored around the credit card offering in that case just wanted to understand what are the incentive payouts on this credit cards if you are paying out higher on the Zoyer products?

Aditya Kumar : The Zoyer product when you talk of this expense line there are of course certain cost of funds that are important for issuance of a credit card because somebody has to bear the cost to the free credit because that aspect and for the uptake of the platform, we had to give some cash back and incentives to the users and the corporates to be able to push this platform and we have seen great reaps there.

Page 13 of 17 Pranav Gupta: These incentives would essentially not be on individual cards or to the corporate clients as a whole to push them to spend on cards on the Zoyer platform?

Aditya Kumar : Yes.

Pranav Gupta: Which has led to the Rs. 2000 Crores spends that you mentioned in this quarter to Zoyer ?

Aditya Kumar : Yes, and we are seeing great reaps in Q4 as well.

Pranav Gupta: Sure. I have more questions and I will join the queue. Thank you so much.

Moderator : Thank you, Sir . We have our next question from the line of Darshil Zaveri from Crown Capital . Please go ahead .

Darshil Zaveri: Good evening, Sir. Thank you so much

for taking my questions. Firstly congratulations on a great set of numbers. Sir I joined the call a bit late so just wanted to catch on our ESOP cost so currently our ESOP cost is around Rs.24 Crores so that will tread more down right as we go forward how will that be?

Avinash Godkhindi: It is Rs.2.47 Crores Darshil . It has already gone down from last quarter which was Rs.7.2 Crores and yes that number is now going down further.

Darshil Zaveri: Sorry and Sir in terms of our guidance you will be able to maintain our 40% growth rate and as we go ahead our margins should ideally move towards the upper end of the range to 13% would that be a fair assumption ?

Avinash Godkhindi: So guidance wise yes on the growth we are in the range of 40% to 50% and in terms of adjusted EBITDA our guidance is 11% to 13% and we will fall in that region .

Darshil Zaveri: I was asking for FY2025 Sir?

Raj Narayanam: For FY2025 we would definitely be, there are too many tailwinds for us so we should definitely be able to gain 40% plus kind of growth in what we would say.

Darshil Zaveri: With the introduction of a new product our margins would get impacted in a positive way or negative way how would that workout for us Sir?

Raj Narayanam: It will be much, much more positive.

February 06, 2024

Page 14 of 17 Darshil Zaveri: Thank you so much . That helps me a lot Sir and Sir just wanted to ask like any kind of speed bump or risk that we see going like anything that comes to our mind and may be dampen a bit of our speed or everything what would you say any micro or macro variable?

Avinash Godkhindi: I think it is focus on execution. It is staying true to being nimble, humble and frugal. Those are the core values and I think if we stay true to that whatever happens on the macro side that happens to everybody in the economy, and we are no different but keeping that aside I think we do not see any specific headwinds for our business. We see more and more confidence growing with corporate customers and banks to work with us as a profitable listed entity .

Raj Narayanam: Just to give you a very small example. You know with Paytm kiosk what is happening so we are looking at adding roughly about 200 plus clients over the next two to three quarters just from Paytm so if some of these things happen God forbid should not happen to some of the companies out there fintech companies we will definitely stand to gain a lot.

Darshil Zaveri: So just wanted to ask like in relation to the Paytm we would not face kind of similar issues right so , sorry my expertise is not in this field may be, but then just a broad based like we do not see any sudden kind of regulatory challenge for us, right?

Avinash Godkhindi : No and the reason being that we today work overall with 10 banks and we that way have three networks, so we have very significantly derisked ourselves. Of course all the kind of banks that we work with the ICICI, the Kotak , SBI card, Bank of Baroda , Industrial, and Yes if something happens to all banks, we will get affected but that is very highly unlikely.

Darshil Zaveri: Perfect Sir. Thank you so much . That helped me a lot Sir. Again Sir Congratulations on a great result and looking forward to the next quarter. Thank you.

Moderator : Thank you, Sir . We have our next question from the line of Grishma Shah from Envision Capital . Please go ahead .

Grishma Shah : Thanks again for giving me a chance. Sir I wanted to know what is happening with our association with Kotak credit card and also the Visa order or the association that we have signed last quarter if you could help us understand that?

Avinash Godkhindi: Yes so, the Kotak co-brand is in the work from the prepaid side and that is something which we are working on with Kotak to bundle the Kotak corporate salary account

along with

launching a Kotak Zaggie co-brand prepaid card. This is a bundle offering that we are taking to the market where Kotak as well as Zaggie sell the offering both the salary account and the prepaid card along with our expense management and employee benefits software Zaggie Prepaid Ocean Services Limited

February 06, 2024

Page 15 of 17 right so that is something that we are hoping would go live sometime early next quarter and we are on track to taking that live. We find that there is a lot of integration work that is in progress. Coming to the forex card launch we should be able to announce the partner with whom we would launch this in the coming quarter, and we should be going live in the next couple of quarters with that product as well.

Grishma Shah : On the IPO proceeds now whatever money is remaining that we raise through IPO would be appearing in the P&L line item where we need to provide those incentives to nudge the user to come on our platform to spend?

Aditya Kumar : There will be line item called incentives and cash back , business and advertisement business promotion . You can notice all these expenses through those line items.

Grishma Shah: Thank you.

Moderator : Thank you. We have our next question from the line of Pallavi Deshpande from Sameeksha Capital . Please go ahead .

Pallavi Deshpande: Thank you for taking my question. Sir I have three questions actually. I wanted to understand if you could this Propel versus the prepaid cards , or the network cards which you explained when you say network you are talking about the 300 brands also with any other partnership and so we get a 10% to 15% on those is that the correct way to look at it ?

Avinash Godkhindi: Thank you for your question. Basically cards where there is a card association or a card network involved like a RuPay , Mastercard or Visa typically issued in partnership with banks so that is what we are talking about here.

Pallavi Deshpande: The Propel does not have the Visa in this that is more with the merchants like Amazon, etc.?

Avinash Godkhindi: Yes, those are different; those are gift vouchers which are issued by merchants.

Pallavi Deshpande: So what I understood is like why would the corporate because you get a higher margins on prepaid but for the corporate also to shift from Propel to prepaid there would be a cost involved?

Avinash Godkhindi: No, cost is not borne by the corporate or anybody. Basically a corporate wants to give their users maximum choice and along with these gift vouchers which are issued by merchants

from time -to-time we open up those catalogues to include network cards right which is issued with partner banks especially with Q3 having festivals like Diwali there were
Zaggle Prepaid Ocean Services Limited
February 06, 2024

Page 16 of 17 requests from corporate s to include the network cards in the catalogues and which we obliged and we saw spends come in there as well but consequently the redemptions on the gift vouchers were down a little bit.

Pallavi Deshpande: Right Sir this was due to the Diwal i and so then are we saying that the Q4 goes back to more that it shifts back to Propel versus the prepaid?

Avinash Godkhindi: We anticipate to see that the numbers in Q4 for P ropel Points also to be a good growth.

Pallavi Deshpande: Right Sir and the second question wo uld be on the Kotak the s alary account so just wanted to understand on the regulatory side whether or not we are concerned given that this is an indirect way of Kotak getting an indirect advantage over ICICI or HDFC Bank by this arrangement t hat you have fostered and can that create problems?

Avinash Godkhindi: From a regulatory point of view our understanding or our assessment is the regulator is very happy to allow banks to cross sell a salary ac

count holder with a prepaid card of the same

bank , the regul ator has no objection for any of the banks to go ahead and offer to an existing salary account holder a prepaid card or a credit card and that is what exactly is happening here where we are along with a Kota k salary account which comes with a Kotak debit card we are offering a Kotak prepaid card which is co -branded with Zaggle where the employee benefits and the expense management and the reimbursement happens right so the management happens on the software and reimbursements get created on the prepaid card .

Pallavi Deshpande: Than ks and Sir lastly since you have shared the spends on the Zoyer side would it be possible to share the similar spends for Propel for the quarter?

Avinash Godkhindi: See spends have been quite healthy overall right and we have seen good growth in all the three lines per se.

Pallavi Deshpande: Will it be possible to share the users between Propel, Save and Zoyer numbers o f users?

Avinash Godkhindi: We can take that offline yes.

Pallavi Deshpande: Thank you so much Sir.

Moderator : Thank you. That was the last question for today and I would like to hand over to the management for the closing comments.

Zaggle Prepaid Ocean Services Limited
February 06, 2024

Page 17 of 17 Raj Narayanam : Thank you everyone for giving us the opportunity and we will continue to grow with our guided numbers should try to outdo those numbers in the coming quarter . Thank you very much for patiently listening to us . Thank you.

Moderator : On behalf of Zaggle Prepaid Ocean Services Limited that concludes this confe rence. Thank you for joining us. Y ou may now disconnect your lines .

Call: May 2024

ZAGGLE/2 4-25/35

May 30, 2024

To
Listing Department,
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex, Bandra (East),
Mumbai -400 051 , Maharashtra

Company Symbol: ZAGGLE To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th Floor, Dalal Street,
Mumbai -400 001 , Maharashtra

Company Scrip Code : 543985

Dear Sir / Madam,

Sub: Transcript of Earnings Call held on May 23, 2024

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015

Pursuant to the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015 and further to our letter dated May 17, 2024, please find attached the Transcript of the said earnings call on the operational and financial performance of the Company for the quarter and financial year ended on March 31, 2024 , and the same has been uploaded on the website of the Company on the following web -link:

<https://ipo.zaggle.in/wp-content/uploads/2024/05/zaggle-earning-call-transcript-Q4FY24.pdf>

We request you to kindly take the same on record s.

Thanking you,

Yours faithfully,
For Zaggle Prepaid Ocean Services Limited

Hari Priya
Company Secretary and Compliance Officer

Encl. As Above
Page 1 of 16

"Zaggle Prepaid Ocean Services Limited
Q4 FY '24 Earnings Conference Call"
May 23 , 2024

Disclaimer: E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 23 2024, will prevail.

MANAGEMENT : MR. RAJ P. NARAYANAM – FOUNDER AND EXECUTIVE
CHAIRMAN – ZAGGLE PREPAID OCEAN SERVICES
LIMITED

MR. AVINAS H GODKHINDI – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – ZAGGLE PREPAID
OCEAN SERVICES LIMITED
MR. ADITYA KUMAR – CHIEF FINANCIAL OFFICER –
ZAGGLE PREPAID OCEAN SERVICES LIMITED
SGA – INVESTOR RELATIONS ADVISORS – ZAGGLE
PREPAID OCEAN SERVICES LIMITED

Zaggle Prepaid Ocean Services Limited
May 23, 2024

Page 2 of 16

Moderator: Ladies and gentlemen, good day and welcome to Zaggle Prepaid Ocean Services Limited Q4 and FY '24 Earnings Conference Call. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Raj P Narayanam, Founder and Executive Chairman. Thank you and over to you, sir.

Raj P Narayanam: Thank you, thank you so much. Good evening to all of you. Thank you for joining us for the Q4, FY '24 and FY '24 Earnings Call. On behalf of the company, I extend a very warm welcome to everyone. On this call, we are joined by Mr. Avinash Godkhindi, Managing Director and CEO, Mr. Aditya Kumar who is our CFO and SGA, our Investor Relations Advisors. The results and the presentations are uploaded on the Stock Exchange and the company website. I hope everybody has had a chance to look at it.

Now I want to give you, take this opportunity to give you guidance and narrative. This is our first annual result post-listing and I am very happy to share that the results are as per our guidance and expectations. Zaggle has doubled its revenue over the last three years which is FY '22, FY '23, FY '24 and with the current business projections, we intend to double our revenue over the next two years.

So from three years doubling, now we want to move to an aggressive growth path of achieving, doubling our revenue in two years. Without compromising on the profitability and margins. In 2025, which is FY '25, we aim to grow our revenue by anywhere between 45% to 55%. What we are seeing in the industry is that B2B SaaS is experiencing massive traction and the opportunities in the spend management space, especially in India, are growing multi-fold. There is an increased adoption by corporates and users on one hand and a digitization push by the government on the other. What we are seeing is improved propensity for companies to pay higher SaaS fees which was not the case earlier. There is a remarkable jump in terms of the fees what we are able to charge the corporates now per user, per platform basis than what it was before.

We intend to capitalize on this opportunity and capture a significant market share in the coming two years. You know why we are taking two years because this is a very evolving landscape and Zaggle Prepaid Ocean Services Limited
May 23, 2024

Page 3 of 16

FinTech as you know is a very, very heavily growing industry and that is why we want to keep the narrative to two years and not generally three years, but we want to keep it to two years. We want to focus on garnering larger market share and make significant investments in technology, especially building deeper AI capabilities so that we can provide a differentiated enhanced value proposition to our customers. Zaggle has always partnered with and worked with very large banks to make sure that we maintain the highest level of regulatory and compliance standards.

For the past few months, all of you would have seen that there has been increased regulatory scrutiny and increased compliance which has been required by the regulator. This presents a challenge for many of the smaller firms and startups and companies which have not strictly followed the law of the land. But for a profitable and listed entity like

Zaggle, it presents us with

the opportunity as our partner banks and customers want to work with reliable and compliant partners.

Now I would want to take this opportunity to give you the Zaggle business update. The positive momentum that was witnessed in previous quarters continued throughout the Q4 FY '24 as well and Q4 FY '24 and FY '24 have been very fruitful for us, reflecting strong performance in revenue and other key profitability matrices. I am happy to share that we have upheld our guidance for the financial year. For the quarter Q4 FY '24, revenues grew at a healthy 37% Q-on-Q and 46% on a Y-o-Y basis respectively.

The growth potential is clearly visible in the kind of contract signed by the team in Q4 and the strong visible pipeline for FY '25. We intend to continue the momentum under the stewardship of a strong management team and double our revenues in the next two years. Just to give you a brief about the financials, our total revenue for the Q4 FY '24 was about INR273 crores compared to INR187 crores same last year Q4 FY '23.

In the EBITDA, it was INR27.16 crores against INR24.89 crores. Similarly, if you look at the FY '24, FY '23 whole year, our revenues stand at INR775.6 crores against INR553.46 crores, a jump of 40%. In terms of our EBITDA, it stands at INR85.57 crores against INR62.5 crores of FY '23, showing a Y-o-Y increase of 36.97%. Similarly, if you just take the H2, which has traditionally been our strong quarter and because of the seasonality in the business, 60% of our business typically comes in the H2 versus H1.

H1 is 40% and H2 is about 60%. So in H2 of FY '24, we did about INR473 crores against INR302 crores in H1 FY '24. The EBITDA is about INR50 crores in H2 FY '24 versus INR35.5 crores in H1 FY '24. Along with this, along with the numbers, I would also want to give you the new strategic developments which are taking place in the company. We have made a strategic investment in a company called Span Across IT Solutions Private Limited.

Span Across offers digital products for online tax filing and financial wellness solutions. This is a strategic investment, it's a product decorative investment and access to Span's product, which would be integrated with our safe offerings. Thus increasing the value proposition for our customers.

Zaggle Prepaid Ocean Services Limited

May 23, 2024

Page 4 of 16

So now I would go on to the customers and partners. In the recent months, we have onboarded multiple new customers, including marquee names such as Wipro, Quess Corp, Emcure Pharma, amongst others. Zaggle's product offerings are sector agnostic and our extensive experience of serving clients in diverse industries positions us as an ideal partner of choice for any client seeking Span management solution.

Also very glad to tell you that in the recent, the latest publication of Forbes, Zaggle was featured and they spoke about Zaggle's IPO journey, which was a very nice feature. Similarly, Zaggle has been awarded the best digital expense management platform in 2024 by Capital Finance International. The award highlights Zaggle's commitment to providing user-centric solutions that combines effortless expense tracking and powerful analytics tool.

You know, to talk about the future, you know, growth, as you know, already mentioned that we are looking at, 2x growth over the next two years. We ourselves look at that we are at cusp of our growth phase. The market looks fantastic, beautiful position for growth and as it is maturing, there is a growing recognition of the significance of spend management in uncovering key business value drivers.

We are set to drive growth by both acquiring new customers and cross-selling to the existing ones. This year, we are putting a special emphasis on cross-selling of our products as well as of our partners in the space of insurance, loans, taxation, investments, etc. etc. We are

actively

looking at opportunities for inorganic expansion.

We are looking at companies which are EBITDA accretive or product accretive or the ones who will give us access to new geographies. We are in active discussions with few players across different, but synergistic domains like API banking platform, payments and possibly NBFCs.

The revenues from these acquisitions would be in addition to our organic revenue growth which we have already mentioned that we would like to grow so that we double our revenues in next 2 years.

We are also pursuing international expansion plans as part of our growth strategy, leveraging our expertise in the domestic market of creating a profitable and successful business model. We are exploring markets in the US or North America. During our last call if you remember we spoke about our initial steps to explore the MENA market, but after doing significant diligence on the market we realized that MENA may not be deep enough for Zaggle to go and launch operations there.

Similarly, we had parallelly started work on the US and what it shows is that US is a very large

TAM , a better right to win for us and to provide a better ROI. With this, I would hand over to our CEO and MD Avinash to take you through some business updates. Thank you.

Avinash Godkhindi: Thank you Raj. Good evening and thank you to everyone for joining. Our consistent performance is a result of our commitment to innovation, focus on customer satisfaction and relentless execution of our strategy. Zoyer our accounts payable platform which is bundled with our business credit cards played a pivotal role in this year's performance. Launched just over a

Zaggle Prepaid Ocean Services Limited
May 23, 2024

Page 5 of 16

year ago, Zoyer is strategically positioned to help us garner a significant market share in the accounts payable platform space.

Our strategy is to onboard corporate clients and their network of employees, channel partners and vendors who become our ultimate users of our solutions. This helps us to keep our CAC to a minimum. Allow me to throw some light on a few operational metrics. In Q4 of FY24, we added 179 clients on a quarter -on-quarter basis taking our current number of total customers to 3,016 as of March 31st, 2024, vis -a-vis 2,411 as of March 31st, 2023.

The active users on our platform stood at 2.73 million as of March 31st, 2024 with a growth of 20.3% year -on-year and 7% sequentially. We recently onboarded Axis Bank as one of our banking partners taking our total banking partners to a count of 14. By collaborating with numerous bank partners, we have strategically diversified our exposure and we maximize opportunities for growth.

Our partnership with Axis Bank and Nishi Forex will help us expand our offering in the space of forex cards. We have also partnered with some marquee other banks and institutions in Q4. I am extremely happy to announce that we got empanelled with three public sector banks – Punjab National Bank, Indian Bank and Canara Bank as their Fintech partners for providing digitization solutions.

Now we have public sector banks as our partners along with marquee private banks. We see substantial business coming from these PSB banks over the next 2 years to 3 years. We also partnered with Ease My Trip and Riya Travels wherein we would be integrating their travel solutions with our expense management solutions for our corporate clients. Our partners feel comfortable working with a large listed Fintech company which has already partnered with multiple large Indian banks and this gives us an edge over other smaller players and companies which haven't been strictly following guidelines in the letter and spirit .

Our combination of prepaid cards and credit card, bundled with our software, helps the corporate seamlessly manage their intricate process of tracking, scrutinizing and analyzing their organizational spend.

As we provide multiple solutions to an organization it reduces their hassle of working with multiple vendors and making integrations with multiple platforms. Allow me now to show some light on the monetization of our various products along with revenue contribution in FY24.

Our platform fee stood at INR31.2 crores that is 312.5 million. Program fees which is primarily our interchange earnings on transactions amounted to INR 3,218.4 million. Propel points revenue stood at INR 4,225.1 million. This is received from customers for issuing reward points, propel points to the customers, employees and channel partners. SaaS fees and program fees are reported both on a net basis with almost no direct expenses involved which give us a gross margin of about 94%, 95%.

In contrast, propel point revenues are recognized on a gross basis and the gross margin for this varies between 7% to 10%. Client -wise revenue concentration is limited with the top 20 customers contributing less than 20% of the revenues. Additionally, only 20% of the corporates

Zaggle Prepaid Ocean Services Limited

May 23, 2024

Page 6 of 16

currently use both Propel and Save while Zoyer is a newly launched product. This abodes us a huge opportunity to cross -sell our products to our existing customers.

This year, we also added 127 new team members strengthened our leadership across multiple levels in the company. This is an A -Team at Zaggle which would support our growth ambitions over the coming years. Our tech team is also working on multiple AI use cases and one of them is Raz bot, an AI-enabled chatbot which would help both our customers as well as our employees.

It is still in the learning phase and its performance would improve over time, but our initial reads are very encouraging. We are positive about leveraging emerging technologies to propel our growth further. Thank you, and now I hand it over to Aditya to take you through the financial

updates.

Aditya Kumar: Thank you, Avinash. Good evening, everyone, and thank you for joining today. I would like to walk you through our latest quarterly and annual financial results. Here are the key points. In the past quarter, we saw a healthy growth rate of 46% compared to last year and a 37% growth rate compared to the previous quarter in our operational revenues. Also, this is our highest -ever quarterly revenue.

This quarter, our gross profit grew by an impressive 78.5% on Y -o-Y basis and 57.7% on Q -o-Q basis. Gross margin is 59.1% compared to 51.3% in Q3 and 48.3% in Q4 FY23 which is on account of increase in program fee contribution in revenue mix. During this quarter, the employee costs were consistent amounting to 83.2 million in Q4 FY24. Our adjusted EBITDA for the quarter has grown by over 9.1% on Y -o-Y basis and 18.8% sequentially to INR 271.6 million.

Our cash PAT which includes net profit along with depreciation and ESOP expenses has had an uptick of 29.4% on a year -on-year basis. For FY24, our revenues have surged by a remarkable 40.1% Y -o-Y to INR 7,756 million compared to INR 5,534 million last year. Our adjusted EBITDA has achieved substantial growth increasing by 36.9% to INR 855.7 million.

Significantly, our cash PAT has experienced a notable surge of 54.8%.

As on 31 March 24, our gross debt reduced to INR 736 million as compared to INR 1,210 million in FY23. This will lead to reduction of finance costs in FY25. Now, I will request moderator to open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora: Good evening, sir. Thanks for the opportunity and congrats on a good set of numbers. Sir, on slide 7 and 8 of the presentation we have given certain strategic alliances that we have done recently. We just want to get a sense

on how should one look at revenue opportunities as well as EBITDA opportunities from these alliances over the next two years ?

Avinash Godkhindi: Hi, Rohan. Thank you for your question. These are exciting partnerships, whether it is our PSB banks, public sector banks like Indian Bank, Canada Bank, and Punjab National Bank, or our Zaggie Prepaid Ocean Services Limited
May 23, 2024

Page 7 of 16

travel partnerships. Each of these partnerships allow us to expand our reach. If you look at the public sector banks, they have a great base of corporate and consumer base. And by embedding our SaaS platforms with their current offerings, we are able to reach to a much larger audience across different geographical spread as well as different sectors.

Similarly, with Riya and EaseMyTrip, as we all understand, travel is a very critical expense and that's growing very rapidly. And by adding the capabilities of Riya and EaseMyTrip, we are augmenting our current expense management platform to offer much more flexibility for corporates to do self -booking on our platform. What this means is that a lot more spends would flow through our platform.

In this case, we also earn commissions for every booking that happens through our platform. That's again true with partners like Nishi Forex, where Forex is a huge opportunity. And whether it's Axis Bank as a Forex card partner or Nishi, we have the opportunity to be able to tap into the Forex space. Currently, our prepaid cards work in India as per RBI regulations, but with Forex cards being launched, we are now able to bundle our software expense management platform with a Forex card for the same set of employees and users who would be traveling abroad and incurring expenses.

Rohan Mandora: Sir, out of the total revenues in FY '24, what proportion of revenues will be contributed by Forex -linked cards and what is our expectation for FY '25?

Avinash Godkhindi: In FY '24, Forex has not yet started to add revenues, Rohan. We are currently yet to go live full -fledged on the Forex programs. This year, we'll see those programs getting launched. As you would be aware, any of these programs have a gestation period because of the API integrations and other arrangements that need to be made. But we believe a substantial amount of customers would get onboarded this year and revenues will start to flow in this year.

Rohan Mandora: Secondly, on the take rates in the gift card business, this quarter was around 12%, previous quarter was around 6%. How should one look at this going ahead into FY '25? What kind of take rates can we see and overall, what kind of growth will we see in the gift card business?

Avinash Godkhindi: In the Propel Points revenue, Rohan, we would typically give a guidance of about 7 %-10% in terms of margins. As previously mentioned, last quarter was a bit of an aberration, Q3, but Q4 things are back on track and we expect the margins going forward also to be in this range itself of about 7 %-10%.

Rohan Mandora: Sure. And in terms of growth in this business?

Avinash Godkhindi: This business is growing steadily and it's growing well. Of course, the highest growth has come

from program fees, which we expect to grow well in this year as well. SaaS is a great SaaS fees is a great line of revenue, which is again growing very healthily and we are investing a lot of our bandwidth in ramping that up as well.

Rohan Mandora: Sure. And sir, lastly, when we are guiding for revenues doubling in two years, how should one think on EBITDA over the next two years? Will there be any operating leverage benefit playing

Zaggle Prepaid Ocean Services Limited

May 23, 2024

Page 8 of 16

out or we should build in a similar EBITDA growth over the next two years similar to the revenue growth?

Avinash Godkhindi: It's a great question, Rohan. It's a dynamic environment that we are in and we would want to give you

a slightly conservative guidance in this regard. We would currently estimate that the margins would be similar to current levels. Having said that, operating leverage is very much something that's going to kick into this business. The question is, would it kick into the next two-three years or would it happen after that?

Our focus right now is to capture maximum market share and we believe we are well poised to be able to do that.

Rohan Mandora: Sure, sir. Thanks. I'll get back in queue for further questions.

Moderator: Thank you. The next question is from the line of Darshan Garg from Sameeksha Capital. Please go ahead.

Darshan Garg: Hello. Thanks for the opportunity. If we see, other assets have increased in the last three years which has impacted our cash flows and the major reason for that is the prepaid cards with loadings. So going forward, how it will be going?

Avinash Godkhindi: Thank you, Darshan, for your question. As we mentioned, we are poised for a lot of growth and the growth, if you see this year as well, a very large part of the growth has come from program fees where the growth is about 90%. While Propel Points as a line would continue to grow, we would be calibrated in that growth. Also, we are working very diligently to improve our cash flows.

Having said that, we see a tremendous opportunity in the market and we are deploying the cash or investing the cash to be able to grow and expand the business and expand the reach that we have.

Darshan Garg: Okay. My second question is, what would be the effective tax rate going forward as there has been a fluctuation historically?

Aditya Kumar: Aditya here, Darshan. So effective tax rate from this year onwards, if you see, will be around 26%-27%.

Darshan Garg: Okay. That answers my question. And the last question is, going forward, can you give the guidance on the receivable days?

Aditya Kumar: Sorry, Darshan, come again.

Darshan Garg: Going forward, what would be the receivable days?

Aditya Kumar: It will continue to be at 55 days-60 days, but we are working on it. Best to leverage that in the upcoming couple of years.

Zaggle Prepaid Ocean Services Limited

May 23, 2024

Page 9 of 16

Avinash Godkhindi: Darshan, our view in these matters is to give you a slightly conservative guidance while we continue to work internally very hard to improve this. We believe as we are adding more bank partners, public sector banks, other banks, newer customers, some of these things take time in terms of processes, etc., with them to settle down. So that's our guidance, which is a conservative guidance.

Darshan Garg: Okay. Thanks.

Moderator: Thank you. The next question is from the line of Grishma Shah from Envision Capital. Please go ahead.

Grishma Shah: Thank you for taking my question. Congratulations to the management team on a very good set of numbers. I'm curious to know why should, in quarter four, the cashback and incentives see a strong jump? That's question number one.

Avinash Godkhindi: So, if you look at the cashback and incentives line item, it's linked to the program fees. Program fees has grown very significantly as well, point number one. Point number two, if you look at a lot of space got created because of certain regulatory events in the last quarter. And we wanted to take advantage of this opportunity and these opportunities come rarely to capture market share because we have taken a conservative view on the compliance side by directly integrating with partner banks through APIs and not using third party platform solutions like BPSP and others.

We were in a healthy position to capture that space that had been vacated. But to capture that space, we had to pass on some additional cashback and incentives.

Also, this line includes the cost of funds for the credit that is offered, free credit that is offered in credit cards. Mind you, there is no risk sharing or a

ny risk that we bear, but we do bear the

CoF and this line item includes that as well.

Grishma Shah: Okay. So what is the outlook going ahead given that Propel will grow at a decent rate? SaaS business has its own way to grow. So how will this line item for us -- I mean, earlier you were guiding that we will do only INR100 crores of cashback incentives. Now, this is at least at INR217 crores for FY '24. So how does it grow going ahead?

Avinash Godkhindi: So this line item has three different aspects, Grishma. One is cashback for prepaid cards, the second is cashback for business credit cards and the third is the cost of funds, right? And last, FY'23, this only had one component which was cashback against, you know, for incentives on prepaid cards. So please bear that.

We anticipate program fees to grow very healthily this year as well. Our overall guidance is, earlier guidance for growth was 40% plus, if you remember, for this financial year. We have upped that guidance to 45 % to 55% for this financial year. So we are very bullish about our overall growth, and a large part of that growth would come from program fees.

Grishma Shah: Okay. So we should look at it in that context. Understood. And these other current assets have grown from INR49 crores last year to INR128 crores this year. So what is the reason for that?

Zaggle Prepaid Ocean Services Limited

May 23, 2024

Page 10 of 16

Aditya Kumar: Thank you, Grishma. Other current assets largely include prepaid cards for loading and gift vouchers in stock. So this March being the last month, 30th and 31st being holidays, so we have kept the cards loading in order to make the fulfilment where we have done the fulfilment in the April 1st week. That's why the number on the month end, it looks a little bit higher.

Grishma Shah: Okay. And a lot of intangible assets under development. So is there a new product in the office or...?

Aditya Kumar: Those are existing products only. One is Zoyer, which is yet to go completely live. Possibly, we will capitalize that somewhere in Q3 this year. And ZatiX, which we started building in the last year, the analytical platform. So that also over a period of time, we will capitalize once it gets completely done.

Grishma Shah: Thank you.

Moderator: Thank you. The next question is from the line of Naitik Mohata from Sequent Investments. Please go ahead.

Naitik Mohata: Yeah. Good evening, sir, and thank you for the opportunity. So my first question would be, what would be the ESOP guidance for FY '25?

Aditya Kumar: With the existing set of costs, without any new issuance of ESOPs, this year it will be around INR8 crore s.

Naitik Mohata: Okay. Sir, in your opening commentary, you had mentioned that customers are willing to pay a higher SaaS fee for the kind of product that we offer. So have we taken any price hikes for our software or do we plan to do that anytime in future?

Avinash Godkhindi: Thank you for your question. Yes, our rack rates have gone up significantly over the last couple of years, Naitik, and as we are expanding our capabilities and using technologies like AI, etcetera, we believe we would be able to command a premium. Also, one of the things is there is a very clear network effect here. More corporates, large names like Wipro, etcetera, who are onboarding, they allow us to be able to onboard other customers who are then able to use our platform, as well as the quality of the banks that we work with today.

We work with 14 banks, including banks like SBI, ICICI, Axis, Kotak, and PNB, BOBCARD. So these are very big names in the industry, and they also both bring us customers and references as well as the fact that they have evaluated our platform and software and found it secure, found it compliant, and found it highly valuable, adds to the ability to command or expect a premium.

Naitik Mohata: Will it be possible to quantify for a

period like a two-year or three-year period, how the prices have evolved?

Avinash Godkhindi: Well, in the last two years, the price has gone up significantly. If you look at it, our rack rate about two and a half years ago was INR99 per user per month. This is now INR249 per user per month. So while the final price is a negotiation with our corporate customers, depending on the

Zaggle Prepaid Ocean Services Limited

May 23, 2024

Page 11 of 16

volumes and the overall opportunity size, this is the price movement that has happened. And we believe there is a significant headroom available in the coming years for this to go up.

Naitik Mohata: Okay. Thank you for the opportunity, sir. That was helpful.

Moderator: Thank you. The next question is from the line of Sanidhya from Unicorn Assets. Please go ahead.

Sanidhya: Yeah. Okay. So, firstly, congratulations on great set of numbers. So, two questions, starting with the program fee propel and platform. So, I was just checking the program fees like 90% growth, propel is 60% plus growth and platform is like 30% growth. So, are we introducing any new line into the business or are we seeing the 45% growth which we are targeting for the next year from these fee only?

Avinash Godkhindi: So, largely, if you look at it, Sanidhyaji, thank you for your question. Largely, in our business, we earn through software, which is SaaS fees and through transaction, which is program fees and through propel points. So, these are wide enough in terms of range. We, of course, would get these lines of income through a wide variety of cross-sell and up-sell and that would augment more opportunities to monetize. But these are the lines of revenue that we are looking at broadly right now.

Sanidhya: So, I was just checking that the program fee, we have reduced our gross margins from like 40% to 33% now. And like for propel, if I am not sure if that's the right calculation, cost of point redemption gift card is the cost for propel, right, for the propel business. And it was like INR320 crores last year with the revenue of 260 versus INR423 crores revenue this year and INR380 crores cost. So, is this the right attribution? Like the propel business has turned profitable now on the gross basis?

Avinash Godkhindi: Propel business has been profitable for long. And, the propel business also contributes to the program fees. So, it's not a direct -- because when the points are issued to a user, she can choose to redeem it for either voucher for over 300 brands. And in such a case, we recognize revenue as propel points revenue, which is a gross basis. And if the redemption is for a prepaid network card, network as in Visa, Ru Pay, Mastercard, which we issue in partnership with banks, in such a case, we earn program fees.

Program fees comes from, you know, Propel comes from Save, comes from Zoyers. Program fees comes from prepaid cards as well as credit cards. It's everything that we earn on transactions by invoicing to partner banks and networks.

Sanidhya: So, this cost of point redemption versus gift card is the combined cost of all the fee different segments?

Avinash Godkhindi: No, it's the cost of only the points that are redeemed to buy vouchers from partners. So, whenever the redemption is for a voucher of, say, a shopper's Stop voucher, when we procure this shopper's Stop voucher, whatever is our cost to procure that voucher comes under the cost of redemption of points.

Zaggle Prepaid Ocean Services Limited

May 23, 2024

Page 12 of 16

Sanidhya: So, is there a thing that these vouchers could be there in the inventory as well, right? We're seeing the current assets, these vouchers could be there, the cost that we have bared in FY '24?

Avinash Godkhindi: There is a component there. And the reason being, especially at the end of the financial year, we get favourable commercial terms and we hit overriding c

ommissions, etc. And so, for a brief period, we keep this in our inventory and this gets used in a very short time.

Sanidhya: Okay, just a bookkeeping question. So, INR11.27 crores income in the other income, that's entirely from the cash back you have in the balance sheet?

Aditya Kumar: This is relating to interest income to a large extent from the IPO funds, whatever has been received with that has been kept in the FDs.

Sanidhya: And since we have so much of cash in the balance sheet, are we really actively looking into M&A or we are just exploring on a normal basis, like if we get some deal, then we will do, otherwise we are good on our own. We have a good INR350 crores of cash, which really gives us a huge opportunity, I think?

Aditya Kumar: The funds which are lying in the bank shall be used towards the IPO proceeds, whatever we have given in the prospectus. But having said that, we are exploring, as Raj explained in his initial opening remarks, we are exploring for any EBITDA-accredited companies in similar to our space.

Sanidhya: Okay, and just to, if you can throw some light on...

Moderator: Sorry to interrupt sir. May I request you to rejoin your queue for the follow-up question?

Sanidhya: Yes, sure, no problem.

Moderator: The next question is from the line of Rohan Nagpal from Helios Capital. Please go ahead.

Rohan Nagpal: Yes, hi. Thanks for the opportunity. I have a couple of questions relating to Zoyers. So, could you, I think in previous calls you have broken out what traction of the program fees is coming

from Zoy er. So, what was that number for this quarter?

Avinash Godkhindi: The overall Zoy er has done very well and about 30% of our revenues, of our program fees particularly, is coming from Zoy er now.

Rohan Nagpal: Okay, so that's about INR42-INR45 crores. Am I audible?

Avinash Godkhindi: Yes. You are audible, yes.

Rohan Nagpal: Okay, so that's about INR40-INR42 crores, right?

Avinash Godkhindi: The program fees was about INR312 crores and 30% of that would be...

Rohan Nagpal: So, I was saying for the quarter, sorry.

Avinash Godkhindi: Q4, yes, okay, yes.

Zaggle Prepaid Ocean Services Limited

May 23, 202 4

Page 13 of 16

Rohan Nagpal: Okay, all right. So you said 30% of, even for the year...

Moderator: Sorry to interrupt you, sir. May I request you to please use your handset?

Rohan Nagpal: Yes, just a second. Okay and could you -- and are take rates broadly stable compared to the rates that you've had through the year?

Avinash Godkhindi: Broadly, yes, but as use cases are expanding, look, take rates for transactions fluctuate depending on the use category, right? So, if you're filling gas in a gas station or using the cards to pay your utility bills, obviously, the take rates are lower. And as we have started to offer business credit cards, both along with Zoyer and Save , you know...

Moderator: Yes, sir. Mr. Rohan, may I request you to please repeat your question again?

Rohan Nagpal: Yes. So, are take rates broadly stable? I do understand that there are different take rates depending on the nature of the transaction, but are they in the 1.8% range that you had mentioned earlier or are we seeing some compression as usage expands?

Avinash Godkhindi: As usage expands, naturally, you know, the take rates would go a little lower, which is what we are seeing. But right now, we are seeing the full bloom in terms of usage across GST payments, utility bill payments, fuel and right now we are seeing that it is still at a very healthy rate.

Rohan Nagpal: Got it. And the last thing I want to know is within the incentives and cashback line item, what fraction of this would be cost of funds?

Avinash Godkhindi: It would be about 25 %-30% would be cost of funds.

Rohan Nagpal: And how should one think about the evolution of this cost of funds line item as program fees and credit card usage expands?

Avinas

h Godkhindi: Of course, this cost of funds is something that is going to be, as per our arrangements currently, going to be a part of our expenses. But as we scale up, we hope to be able to have more favourable terms because we will have more banks competing for the same pool of spends and hopefully we will be able to see that come down over the coming years.

Rohan Nagpal: Got it. Thank you. I will rejoin the queue.

Moderator: Thank you. The next question is from the line of Bhavik Shah from MK Ventures. Please go ahead.

Bhavik Shah: Congratulations, sir, on a good set of numbers.

Moderator: Sorry to interrupt you, sir. May I request you to please raise your handset?

Bhavik Shah: So my first question is on the forex part. Can you take an example and help us understand how will these partnerships or travel partnerships and foreign partnership, forex card partnerships work out? What will be the economics here? How much will we earn? What will be the impact

Zaggle Prepaid Ocean Services Limited

May 23, 202 4

Page 14 of 16

on our, say, balance sheet? Will we need to give a loan, a working capital loan to them? How will it work?

Avinash Godkhindi: Yes. Thank you for your question. See, if you think of any employee, they don't want to use different apps or different platforms to submit their claims, right? Whether they are incurring expenses domestically, whether they are incurring expenses on an international travel, as long as it's a corporate business expense, they would want to use the same app, the same dashboard to be able to file their expenses .

So historically, our expense management platform worked very well for domestic expenses, but when the employee would go abroad, they would have to use a different forex card which would not be API integrated or coupled with our software . And hence, they would have to manually collate these bills, scan these bills in our app, and then those would have to be reconciled with the transactions against the forex card statement by somebody in the back office in the finance or accounts team of the corporate.

By issuing forex cards in partnership with issuers, we will now be able to give an automatic

reconciliation and knock-off of all the expenses that are incurred against bills that are scanned in the Zaggle app. We obviously have optical character recognition. So the same way the corporate credit card or the domestic prepaid card, domestic currency prepaid card works, your forex card would also work very similarly.

So it's a uniform experience, it's automatic recon, and all the dashboards and all the analytics that we are able to provide, that also automatically gets populated and those expenses are shown in the dashboard. Our unit economics also is very similar. There is a SaaS fee, there is program fees for transactions that are there on forex.

Forex has higher lines of income because of both the interchange being higher on forex transactions, significantly higher, as well as there is income on ATM transactions the exchange rate itself that you buy the card. So overall pool of income is higher and hence our unit economics works better with our partners.

Bhavik Shah: Right. And so what portion of the program fees revenue will come from forex cards in FY '25 or '26?

Avinash Godkhindi: It's a little early for us to give you a concrete guidance there because we are yet to start clocking revenues on forex. We hope to do that in the coming quarters. So maybe it would be too early for us to give you a concrete guidance on that, sir.

Bhavik Shah: Right. And so we are making, like as you told, under intangibles, we have ZatiX as a product which is coming out. So will this be an additional stream of revenue or will this be just an enabler for all the other three services like platforms which we have without any coming out?

Avinash Godkhindi: ZatiX has a very clear monetization where irrespective of

whether the ZatiX, the card is issued

in partnership with Zaggle or it's a card issued directly by the bank to a corporate who is a customer of the bank. When the ZatiX platform is used for analytics, we earn a fairly decent amount of commission or fees which is recurring in nature for all transactions that are done on Zaggle Prepaid Ocean Services Limited

May 23, 2024

Page 15 of 16

the platform. So this is, in some ways, you can look at it almost like a SaaS fees. It's a recurring fees where the sale is done by the bank and annuity income keeps coming through for us.

Bhavik Shah: So we recorded where in the line item, like where does this revenue fit in?

Avinash Godkhindi: So this will also be part of our SaaS fees.

Bhavik Shah: And just to check, you told the margins would be similar and just to some other participants, you told the margins would be in the range of 7% to 10%. So is that the range or will it be northwards of 10%?

Avinash Godkhindi: The 7% to 10% guidance was specifically for the gross margins and propel points. This is one of the three line items in terms of revenue. One is SaaS fees, the other is program fees and propel points revenue.

Bhavik Shah: Right. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal: Hi, sir. Thanks for the opportunity. So again, on the incentive cost, if I look at the number, say Q3 versus Q4, our program fees increased by INR50 crores and the incentive cost itself has increased by INR50 crores. So ideally, we have not made any gains. And I can understand that we're trying to as an introduction to Zoyer to increase the adoption, we're spending higher on that. But going ahead for the next two years, three years, do you believe that this number will reduce? Because, say, for this quarter, we spent as much as 80% of program fees on incentive costs.

Avinash Godkhindi: As I explained to you, sir, the cashback and incentives line item also includes the cost of funds. And obviously, as we are ramping up Zoyer and issuing business credit cards, which includes both corporate credit cards and charge cards or purchase cards, initially, the COF line item also is more significant.

As usage becomes more ubiquitous, you will see that, the overall blended COF goes down. And as I also previously explained, we have taken a clear call to capture the market because of an opportunity that has opened up given the recent regulatory actions, over time, we expect this to stabilize.

Ankush Agrawal: Okay. Because, see, I think a couple of quarters back, we had guided for an EBITDA, adjusted EBITDA margin of 15% to 16% in a couple of years. And I think in today's call, you have mentioned that you expect it to remain stable at 11%. So, has there been a change in an understanding that, the growth for the company would be much higher than what you had anticipated maybe a couple of quarters back and the outlook on the margins has reduced because of that?

Avinash Godkhindi: No, our long-term EBITDA guidance would be higher, right? But it was not for the next couple of years. We do believe this is a hyper-growth phase for us. And we would want to capture the

market, and the tailwinds for digitization, the tailwinds for working with a, stable, profitable FinTech is very high. And we are beautifully poised to take advantage of that opportunity for the next couple of years.

Ankush Agrawal: Right, but at least we maintain this current year margin, right? Even if we are investing behind growth?

Avinash Godkhindi: I don't want to give a very specific answer to that because the landscape is changing rapidly. And, it could go a little bit up and down, but broadly in the same range.

Ankush Agrawal: Secondly, and lastly, so like we are now look

ing to enter the US. Market, so do you have a certain investment that we would be needing to break into that market? Do you have some guidance that you can highlight that? Or it would be a nominal amount, say just, that would be spent on marketing our existing products?

Avinash Godkhindi: It would be just a nominal amount because the US. market is a big opportunity for us. Having said that, it's probably too early for us to give you a concrete number because we are also learning more about how our platform would be received in the market, which is the right target group to go after. And we always take this approach that we are very slow and calculated and methodical in our planning phase.

And if you look at it, even with Zoyer and credit cards, we gave a good one year to understand the market and to build the platform according to the market needs. And we didn't try to hurry up clocking revenues. So a whole year went into that. And, last year you've seen how it's performed. So right now, we wouldn't want to give you a specific answer.

But, we are committed to going into the market and we are assessing it very carefully and assessing as to what's the offering that would work well, the product market fit and what's the go-to-market strategy. Both PFM and GTM is something which is in the works.

Ankush Agrawal: Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question. I would now like to hand the conference over to Mr. Raj P. Narayanam, Founder and Executive Chairman for closing comments.

Raj Narayanam: Sure. Thank you so much for all of you to wait and patiently hear us out. With this, I conclude the call. If you have any further questions, please contact SGA or Investor Relations Advisors.

Thank you once again everyone for joining us today on this earnings call. Thank you so much.

Moderator: On behalf of Zaggle Prepaid Ocean Services, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

ZAGGLE/24 -25/62

August 06, 2024

To
Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex, Bandra (East),
Mumbai -400 051, Maharashtra

Company Symbol: ZAGGLE To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th Floor, Dalal Street,
Mumbai -400 001, Maharashtra

Company Scrip Code: 543985

Dear Sir / Madam,

Sub: Transcript of Earnings Call held on July 30, 2024

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015

Pursuant to the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015 and further to our letter dated July 23, 2024, please find attached the Transcript of the said earnings call on the Company's results for the quarter ended on June 30, 2024, and the same has been uploaded on the website of the Company on the following web -link:

<https://ipo.zaggle.in/wp-content/uploads/2024/08/zaggle-earnings-call-transcript-Q1FY25.pdf>

We request you to kindly take the same on records.

Thanking you,

Yours faithfully,

For Zaggle Prepaid Ocean Services Limited

Hari Priya
Company Secretary and Compliance Officer

Encl. As Above

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Page 1 of 19

"Zaggle Prepaid Ocean Services Limited Q1 Earnings
Conference Call"

July 30 , 2024

E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on July 30 2024, will prevail.

MANAGEMENT : MR. RAJ P. NARAYANAM -- FOUNDER & EXECUTIVE CHAIRMAN , ZAGGLE PREPAID OCEAN SERVICES LIMITED

MR. AVINASH GODKHINDI – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , ZAGGLE PREPAID OCEAN SERVICES LIMITED

MR. ADITYA KUMAR – CHIEF FINANCIAL OFFICER , ZAGGLE PREPAID OCEAN SERVICES LIMITED

MODERATOR : MR. ROHAN MANDORA – EQUIRUS SECURITIES

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Zaggle Prepaid Ocean Services Limited

July 30, 2024

Page 2 of 19

Moderator : Ladies and gentlemen, good day and welcome to Q1 FY25 Results Conference Call of Zaggle Prepaid Ocean Services Limited hosted by Equirus Securities.

This conference may contain forward looking statements about the Company which are based on the beliefs, opinions and expectations of the Company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please press “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohan Mandora from Equirus Securities. Thank you, and over to you, Mr. Mandora.

Rohan Mandora : Thanks, Shlok. Good afternoon, everyone, and thank you for joining the call.

I extend a very warm welcome to everyone. On behalf of Equirus, I welcome the management of Zaggle Prepaid Ocean Services Limited to give a Brief Update on the 1Q FY25 Results and address investor questions. We have with us from the Management Team , Mr. Raj P. Narayanam – Founder and Executive Chairman; Mr. Avinash Godkhindi – MD and CEO; and Mr. Aditya Kumar – CFO.

We will now begin with a brief opening remarks from the Management , post which we can have Q&

A. Thank you, and over to you, sir.

Raj Narayanam : Thank you, Rohan. Very good evening to everyone and thank you for joining the Earnings Call for Zaggle Prepaid Ocean Services Limited for the 1st Quarter 2025.

On behalf of the Company , I extend a very warm welcome to everyone. On this call, we are joined by Mr. Avinash Godkhindi – MD and CEO of Zaggle; Mr. Aditya Kumar – our CFO; and SGA, our Investor Relations Advisor. The Financial Results, Press Release and Investor Presentation are uploaded on the Stock Exchange s and on the Company website. I hope everybody had a chance to take a look at it.

At the start of every Financial Year , I remember our humble beginnings in 2011, when we decided to embark on a journey to digitize corporate spends. We built our business on 4 tenets, which were very close to my heart. And these were that every business what we build should be scalable, should be tech focused, global in nature, and we should have some experience in it. Every year since the inception, we have grown at a steady and healthy pace. And this journey reached a crucial milestone when we got listed on the stock exchanges in September of 2023. It has been almost a year and we are very happy that we have been able to create value for our @Zaggle ® Zaggle Prepaid Ocean Services Limited

July 30, 2024

Page 3 of 19

shareholders. But let me assure you that this is just the beginning. We, as a team, are committed to create sustainable scale of the business and constantly work towards increasing stakeholders' value. With this, I will also briefly touch upon the business updates.

Very, very happy and pleased to see that Zaggle has started the Financial Year on a high note, delivering a very strong performance in the 1st Quarter of FY25, and this is higher than what internally we had expected.

For Q1 FY25 ending June 30, 2024, I am pleased to inform that the revenue grew at a healthy rate of 113% on a Y-o-Y basis. Our adjusted EBITDA registered a growth of 85% on Y-o-Y basis. If you look at our total revenue of Q1 FY25, Q1 FY24, in '24 we did Rs. 118.4 crores, against that we have done Rs.252.2 crores. Our adjusted EBITDA, which was Rs. 13.8 crores, is Rs. 25.5 crores.

And we are very pleased that this is something which we had anticipated that as we grow into the season and typically, as you are aware that Zaggle has a seasonality where 35% to 40% of our business comes in the first 2 quarters, which is H1, and about 60% to 65% comes in H2, which is the Q3 and Q4.

Now, I would like to give you a little bit of industry and Zaggle Update :

The future of spend management is poised for significant evolution, driven by advancements in technology, by increased focus on digitization, changing workforce dynamics, and the increasing need for financial transparency and control. Corporate customers are looking for AI-enabled solutions that provide enhanced visibility, automation, advanced compliance, increased collaboration, and personalized spend control to improve efficiency, productivity, and optimize cost.

I also want to take a use case, which I think all of you would be able to relate with it very closely, is that when we work with our clients, the whole idea there is to garner deep customer insights. The engagement with the client helps us to continue to enrich our offerings by exploring various use cases and aligning our strategy with an evolving marketplace. One such example is our petty cash solution for enterprise customers to manage corporate tailspends. And here, I will give you the example of a Company, our very large enterprise customer.

The Central Finance Team of a large enterprise customer was facing a lot of challenges in managing petty cash expenses for its multiple business units, multiple locations, various expense categories, leading to reconciliation issue, wastage of time, monetary losses, and leakages. What we created was a beautiful ge

neric solution involving a comprehensive budget module with centralized control and reconciliation processes. Zaggle's petty cash solution is configurable to map complex organizational hierarchy and could be clubbed with multiple payment modes such as prepaid card, corporate card, and UPI. This helped our customer to digitize its entire petty cash management process. The Central Finance Team can now gain centralized control and real-time visibility into petty cash expenditure across all departments, locations, and expense @Zaggle®
Zaggle Prepaid Ocean Services Limited
July 30, 2024

Page 4 of 19

categories. Zaggle application has been able to empower them to implement organizational controls, enhance efficiencies, and optimize costs.

By strategically broadening our solutions, we have been able to cater to a broader spectrum of customer needs and preferences, thereby fortifying our competitive position and capturing new market segments. And this is a solution which can be put horizontally across industries, whether it is FMCG, it is manufacturing, it is financial services, or any such industry. So, this is a very comprehensive generic solution which has been built. Our efforts have shown results in the quarterly numbers and in the robust pipeline of potential enterprise customers. We intend to double down on our efforts to garner a larger market share and serve diverse enterprise customer base.

The growing adoption of AI machine learning has proved to be a game changer for Zaggle and the spend management industry as a whole. Zaggle's AI-driven chatbot called RazBot is powered with NLP, which is natural language processing, and machine learning to auto detect intent from a user's query and intelligently map these queries to body of knowledge. We intend to increase the expanse of usage for our AI bot across different business functions to enable intelligent decision making.

As mentioned in the last quarter, we are augmenting our OCR, which is Optical Character Recognition modules, with AI capabilities so that we go beyond simply digitizing information to contextualizing it. Duplication and tampering of invoices, bills are a key concern for finance back offices as they review expense reports from employees, contractors, and vendors. We are developing means to detect such attempts through computer vision algorithms and logical

business rules. Moreover, 5% -15% of the bills attached to expense reports are fraudulent. So, by catching these at OCR level, we are able to save substantial cost to companies. In expense management, receipt bills come from a non -finite set of formats. Because of this unpredictable nature, the Optical Character Recognition accuracy stays low.

We are enabling a human feedback loop to reinforce the learning of our OCR plus AI model with every user interaction and push our accuracy levels higher. We are targeting an accuracy rate of above 95%, and in cases where our models are uncertain over the values, we plan to send out confidence levels back to the users so that they can review and update as needed. We are further optimizing our OCR models to consistently bring down the processing time to under 3 - 5 seconds.

Now I would take the opportunity to give you the guidance and narrative :

We expect our current performance to continue in the coming quarters, supported by an increased customer base, newer use cases, deeper penetration into the existing customers, and cross -selling of our solution. I am tempted to say that FY25 will be higher than our old guidance, but do not want to revise it now, but will definitely revisit after the Q2 Results . @Zaggle ®

Zaggle Prepaid Ocean Services Limited

July 30, 2024

Page 5 of 19

So, with that, I would want to reiterate our guidance for the Fiscal Year as 45% to 55% revenue growth over the previous fiscal year. We remain very confident of doubling our FY24 revenues, which were Rs. 775 crores, to

double in the next two years.

We envision Zoyer as a key driver for future growth, and we project that by FY26 -27, its contribution to total revenue will increase to anywhere between 40% -50% of overall Zaggle 's revenue. Profitability focus is part of our DNA. We expect our adjusted EBITDA to hold steady around current levels. Every effort is being made to increase the adjusted EBITDA to expand to 15%-16% by FY27 -28.

Now, I will give you the future growth plan :

We continue to explore inorganic opportunities with companies in the spend management space, but EBITDA -accretive Company 's opportunities in these areas are not easily available, which all of us know. We are in active discussions with a few players across synergistic domains like payments, B2B SaaS, NBFCs , etc., These companies are either EBITDA -accretive or product -accretive or the ones who will give us access to newer geographies. These potential acquisitions would help Zaggle to scale faster. As per our previous conversation, we continue to work on our U.S. entry strategy and are actively exploring both organic and inorganic routes for this expansion.

With this, I now hand over to our CEO – Avinash, to take you through business updates.

Avinash Godkhind i: Good evening, everyone. Thank you, Raj. We have presented a very healthy set of figures, thanks to the robust customer demand and our ever -developing market leadership in the space of spend Management .

Our revenues from SaaS fees, program fees, and Propel platform revenue have grown steadily by 20%, 165%, and 84% respectively on a year -on-year basis.

Our customers appreciate Zaggle 's ability to provide a suite of solutions in the spend management space through SAVE, our employee expense management and benefits platform; Propel, our channel incentive platform; and Zoyer, which is our accounts payable solution. All 3 of these are bundled with our payment instruments, whether it 's our corporate credit cards or our prepaid cards as a payment instrument. This helps our customers save on time, effort, and cost. In turn, this benefits Zaggle with higher customer stickiness, and we become a partner of choice for our enterprise customers.

One of the key factors contributing to our performance is our strategic approach in identifying and prioritizing high -impact use cases, which helps us drive growth and unlock new opportunities. A prime example of our success in this area is the fleet management solution, which we developed for one of our clients a few quarters ago. We see this as an attractive, untapped space in the country, and we are confident to onboard many more clients on this solution, pilots for which are already underway with multiple other customers. @Zaggle ®

Zaggle Prepaid Ocean Services Limited

July 30, 2024

Page 6 of 19

We endeavor to build symbiotic business relationships and believe in partnering with various industry players to stitch value -accretive use cases. Cross -border payments are an important spends category, and we are entering into this space through a strategic partnership with Skydo Technologies. This partnership would help us facilitate cross -border payments for export businesses of our customers. We see this segment bringing us fruitful results in the coming quarters. Overall, For ex payments are a huge opportunity with significant profit pools, and

currently we are working on partnerships and API integrations to offer this solution. Travel is an important element of corporate spends, and we are looking to tap into this space with our key partnerships with Ea seMyTrip, Riya, Yatra, amongst others.

The above factors have helped us expand our enterprise corporate base. In this quarter, we have added about 100 new customers. As a strategy, we aim to onboard large enterprise accounts where we have higher revenues and profit potentials. I also want to share with you some of the awards that we have received this quarter.

quarter.

I am very proud and happy to share that we have won many awards this last quarter. Our Chairman, Mr. Raj, was awarded the Fintech Leader of the Year by Business World. We were also awarded as a Company the Best Spend Management System and the Best Card Initiative for Zaggle ZatiX in the 11th edition Payments Industry Awards by KamiKaze B2B Media. Zaggle also won the Fintech Brand of the Year award by Business World. Overall, if you look at it, these awards are a testament of Zaggle's commitment towards innovation, customer centricity, and it motivates us to go the extra mile in providing the best-in-class solutions to our customers.

I now hand it over to our CFO, Aditya, to take you through some Financial Updates.

Aditya Kumar : Thank you, Avinash, and a warm welcome to everyone on this Call.

We are proud to report that the Company has posted another strong set of Results in the 1st Quarter, with continued improvement across all the key Operating and Financial Metrics, contributing to robust revenue growth and margin expansion on a Y-o-Y basis. Steady performance on the top line and bottom line in a seasonally soft quarter underlines the strength of the business model and the value we are delivering to our customers.

I would like to provide an overview of our "Quarterly Financial Performance":

On a Y-o-Y basis, our business reported a revenue of Rs. 252.21 crore with a healthy growth of 112.9%. We had well-rounded growth from all 3 revenue line items, with program fee contributing 50% of total revenue. This is driven by growth in Zoyer business, which was not present in the same quarter of the previous year. Typically, we experience seasonality in our business, with H2 being stronger due to elevated volume of transactions owing to year-end tax planning and various vendor payments. This explains the sequential drop in different metrics in Q1 FY25. @Zaggle®

Zaggle Prepaid Ocean Services Limited

July 30, 2024

Page 7 of 19

During the quarter, our gross profit margin expanded by 5 percentage points, resulting in 133.8% per cent growth on Y-o-Y basis. This improvement is largely on account of change in revenue mix, with increase in program fee contribution.

Our adjusted EBITDA for the quarter grew by 85.3% on Y-o-Y basis to Rs. 25.5 crore. Our employee cost grew by 35.1% and OPEX grew by 13.4% on Y-o-Y basis, in line with increase in business. Our cash PAT grew 2.2 x compared to last year, coming to Rs. 22 crores, up from Rs. 9.9 crore, which includes net profit along with depreciation and ESOP. We expect the ESOP cost for this year to be in the range of Rs. 7 crores to 9 crores.

With that, I would like to conclude my update and we are happy to open the floor for questions.

Thank you.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Amit J. from Jawade & Partners. Please go ahead.

Amit J : Sir, thank you for the opportunity and congratulations to one and all for a robust set of numbers.

I have a very basic question. Obviously, the finances and all are very good for the quarter. I myself am a user of a Zaggle card, but I just wanted to understand, a very layman's terms, how the Company is earning its revenues. Like, when you issue the card, do you get paid per card basis or on the percentage of some spend? That is number one. It is a basic question and some differentiation on what you call as the platform business and what you call as the card business. So, just basic questions, please. Thank you.

Avinash Godkhind : Thank you, Amit, for your question. So, how we earn revenues is very simple. We earn revenues in 2 ways, 2 broad buckets. One is through software fees that we charge to our corporate customers. This is typically a per user per month fee that we charge. It also includes some one-time fees that we may charge for the setup, etc., And then the second

is through transactions that

happen on the payment instrument, whether it's a corporate credit card or a prepaid card. And every time you spend on the card, there is a certain amount of interchange that is generated. This interchange is shared between the issuing bank and Zaggle. Our share typically is in the range of about 90% depending on our commercials with partner banks. And for every spend, we earn anywhere between 1.7% to 1.8% of the spend. So, if Rs. 100 is spent, we earn anywhere in the range of Rs. 1.7 to Rs. 1.8, right?

To your second question, what is the program fee and platform fee. Platform fees largely are software fees that we charge as the SaaS fees. On the program fees, a very large component of program fees is the interchange that is generated on every card swipe. It also includes some incentives that we get from banks and networks like Visa, Rupay, Mastercard, etc., for the volume of spends that we generate.

Amit J : And sir, so from the perspective of the Company, which is availing your services, one is, as you rightly suggested, that the spend management, visibility in what they are spending is there, but do they also have any tax benefit by using your cards? @Zaggle®

Zaggle Prepaid Ocean Services Limited

July 30, 2024

Page 8 of 19

Avinash Godkhind i: So, the tax benefit is to the employees of these companies. These are employees who avail tax benefit for meal allowance, leave travel allowance, internet, mobile, books and periodicals, driver's salary. The CBDT offers multiple categories of tax benefits. Most of these categories typically don't get availed because either the Company is not offering it because there's no digital solution provider like Zaggle there, or the whole experience is broken and non-digital. So, we provide a digital solution to these companies to be able to offer employee benefits to their employees.

Amit J : Okay, but they still can avail these benefits even if they don't use the card. Card is just to make it easier. Is that right?

Avinash Godkhind i: So, typically, the card in this case is a prepaid card with multiple wallets, and each of those wallets is restricted to spend categories like meal, mobile, internet, books and periodicals, etc.,. The easiest way of availing this benefit is by taking the card. There could be potential ways of getting this as a reimbursement for certain categories, like an LTA, etc., which we offer. But largely, we recommend to our corporate customers that this is driven through a multi-wallet card. We offer a card with 99 wallets, and that's the option that companies typically choose.

Moderator : The next question is from the line of Aditya Joshi from DSP Fund Managers. Please go ahead.

Aditya Joshi : First of all, congratulations for a great set of numbers. Sir, my question is with respect to the gross margin improvement. Sir, can you share the product mix change versus last year or Q -o-Q, which has led this?

Avinash Godkhind i: The gross margin mix has improved because the program fees have grown a lot. And the program fees have grown significantly because we have started to clock significant revenues from Zoyer, right? About 40% of the program fees this quarter is coming from Zoyer, right? And Zoyer, last year for Q1, the revenues were negligible, right? So, that's the key differentiator here.

Aditya Joshi : The next question is with respect to the duration. Can you share the average duration of contract that you have with your corporate banks?

Avinash Godkhind i: So, typically, the duration is anywhere in the range of 3 to 5 years. There are some contracts which run into perpetuity as well. And there are some contracts which are shorter duration. But typically, the contract duration is 3 to 5 years.

Aditya Joshi : All right. And lastly, what are your plans for international expansion?

Avinash Godkhind i: So, international expansion, as Raj also mentioned, is s

omething which is very much on the top

of our mind, and we are working on it. Our focus is clearly the US market. We are looking at both organic and inorganic opportunities to be able to enter the US market. We want to get the product market fit and the go-to-market strategy right. And that is where we are investing a significant amount of time and effort in getting that combination right. @Zaggle®

Zaggle Prepaid Ocean Services Limited

July 30, 2024

Page 9 of 19

Aditya Joshi : And lastly, from my side, any guidance you want to share with us for FY25?

Avinash Godkhind i: So, we have already shared a guidance of 45% to 55% growth for this FY. As again, Mr. Raj mentioned, we are very tempted to up this guidance. But right now, we will refrain from doing that. And maybe we will look to revise the guidance in Q2.

Moderator : The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar : Just a few clarifications. I mean, we mentioned in our opening remarks that we expect our adjusted EBITDA margins to hold steady around the current level. So, this year, we are looking at about 10% kind of EBITDA margin, I mean, the one which we have achieved in the 1st Quarter ?

Avinash Godkhind i: Yes, that's the range that we are looking at.

Deepak Poddar : So, 10% kind of EBITDA margin. And whatever guidance we have given, I mean, 45% to 55%. So, that is purely an organic effort, right? And also doubling the revenue in the next 2 years. So, we have not factored in any kind of inorganic acquisition or aspiration that we are having. I was just trying to ask that the guidance that we have given is purely an organic effort or any kind of inorganic aspiration that we have is also factored in the growth outlook we have given.

Avinash Godkhind i: Deepak, this is organic that we are talking of. Any inorganic growth would be over and above this.

Moderator : The next question is from the line of Ankush Agarwal from Surge Capital. Please go ahead.

Ankush Agarwal : First question is about seasonality. So, I wanted to know that with Zoyer coming in, does that reduce seasonality a little bit in a business compared to the past, given that Zoyer brings a lot of general expenses or spends into the table versus, say, Save or Propel, which are much more employee benefit and incentives, which would typically come in festive and year-end. The reason for asking this question is because Q1 is almost equal to Q4, which is huge. So, can you share a bit about it? Has Zoyer started reducing seasonality a bit? Because I think the presentation also states that Q4 and Q1 are heavy. Not sure whether it's typo or it's actual change that you have seen.

Avinash Godkhind i: You are right that the business has clear seasonality. Historically, it would be anywhere between 35 to 40 percent in H1 and 60 to 65 percent in H2. Zoyer, the seasonality is there, but not as pronounced as Propel and Save. So, overall, the seasonality would come down a bit. But there is a natural seasonality for a couple of reasons that companies grow. So, H2 would always be higher. We are a growing economy. Second reason is that typically spends across categories tend to happen in H2 more because business picks up more then. And also, your submissions of claims, etc., and incentives go up in H2. But you are right that Zoyer has a lower seasonality tendency compared to Propel and Save. @Zaggle ®

Zaggle Prepaid Ocean Services Limited

July 30, 2024

Page 10 of 19

Ankush Agarwal : So, on the presentation Page 10, I believe it's a typo when you say Q4 and Q1 are heavy revenue quarters.

Avinash Godkhind i: Yes, that's a typo, Ankush.

Ankush Agarwal : The second question is on the M&A. So, I think a month or so back, the chairman on a TV interview was talking about M&A. And the talk was around a large M&A. I think Rs. 400 crores revenue was a number, if I remember correct

ly. So, I wanted to understand, are we looking for that kind of size of M&A? And what kind of opportunities are there? Like where do they fit in our overall business? Like would they expand the product portfolio, deepen the product portfolio, or some additional existing businesses all together, if you can provide some clarity? Because I think the chairman is talking about closing something in Q3 of this year.

Avinash Godkhind i: Yes, we are. We are looking to try and close something in the second half, preferably Q3. We are looking at opportunities across sizes. Some of them are tuck-ins, as he had mentioned in his interview as well, and others are larger opportunities. As you would appreciate, Ankush, larger opportunities always take more time to assess. We are also a Company which looks at these opportunities very carefully. We either look for these opportunities to add to our product portfolio and be EBITDA accretive, or at least one of the two, or provide us access to newer geographies. So, we are looking at a range of opportunities. We are not restricting ourselves. But we are looking for opportunities where we are getting significant value at a reasonable price. Those are the factors that we are looking at.

Ankush Agarwal : Sir, the third question I want to ask is, so if I observe you correctly and one of your peers in the US, so basically the overall trend is, once you have access to the business trends of a corporate, you basically try to capture more value out of those spends. So, for example, like travel, you have started partnering with travel OTAs to capture bookings directly through you or through your referral to get an additional, say, a referral fee or something out of that. For example, another place that you have done it. Fuel is something that you are looking at. So, what else kind of material trends that are there that could be captured more value from in the future according to you?

Avinash Godkhind i: So, there are a wide range of spend categories, and as companies grow and opportunities in the overall ecosystem grow, the spend categories grow. For example, a decade ago, we hardly had any cloud spends, we hardly had any marketing spends for social media, etc., These are new categories which are growing very rapidly, right? Subscription fees and subscriptions for SaaS software is another such category. So, we are seeing a wide range of categories which are coming in. There are also a lot of categories which are coming into play, Ankush, which are historically not in play because India is getting more and more digitized. For example, fleet. A decade ago, fleet was, people thought here only cash will work. That was the thought process probably a decade or a decade and a half ago. But today, very clearly, with a lot of regulation coming in and a lot of opportunity to be able to digitize coming in, so both things happening, the stick and @Zaggle ®

Zaggle Prepaid Ocean Services Limited

July 30, 2024

Page 11 of 19

the carrot. It seems to be like a no-brainer across-board for fleet owners and solution providers

like us to be able to stitch up a solution for that use case.

Moderator : The next question is from the line of Shreyash K. from Equirus. Please go ahead.

Shreyash K. : So, my question was around the customer base that we have acquired for Zoyer and the split of this customer base between new to Zagggle customers and the existing Save or Propel customers that you have.

Avinash Godkhind i: So, we have a large base that is developing in Zoyer. Zoyer also has a tendency where once you penetrate into a corporate, the opportunity to be able to get a larger pie of their spends fairly quickly is much higher because the decision makers are essentially the CFO and her team, right?

And if vendor payments have to happen this way, that 's the decision that they take, and a large number of payments then move on to the platform. It 's a mix of cross -

sell to our Save and Propel

base and a decent number of new acquisitions as well. So, it's a combination of both where we are seeing new acquisitions, and we are also seeing reverse. We are seeing customers who have come in as Zoyer customers now really pick up a Save opportunity or a Propel opportunity as well.

Shreyash K. : Sir, can you give a rough split of the new customers versus your existing customers in Zoyer?

Avinash Godkhind i: So, it would be about give or take about 50:50 today, right, in terms of split.

Shreyash K. : And what is the average employee base that is getting added per customer?

Avinash Godkhind i: So, that also is a number that 's growing year on year because we are focusing more on larger enterprises and that is about 925 right now.

Shreyash K. : And lastly, I wanted to know the revenue split among Zoyer, Save and Propel and the incentive split as well for FY24 and 1Q FY25, if you could share those numbers?

Avinash Godkhind i: So, if you are looking at Zoyer split versus Save and Propel, Zoyer on the program fees, about Rs. 47 crores was Save, about Rs. 27 crores was Propel, about Rs. 54 crores was Zoyer.

Shreyash K. : This is for 1Q, right?

Avinash Godkhind i: This is Q1 of this year.

Shreyash K. : And for FY24?

Avinash Godkhind i: FY24, so that would be about Rs. 100 crores in Save, about Rs. 127 crores in Propel and about Rs. 95 crores in Zoyer.

Shreyash K. : Sorry, but I will slip in a last question. Would you be able to give the incentive splits as well? @Zagggle ®
Zagggle Prepaid Ocean Services Limited
July 30, 2024

Page 12 of 19

Avinash Godkhind i: We will let you know later.

Moderator : The next question is from the line of Jaiprakash from Korman Capital. Please go ahead.

Jaiprakash : I just wanted to know how Zoyer is different from other Propel as well as Save. Because it seems that it 's a corporate credit card and it is maybe used only for vendor payments. So, does it mean that it is used only by very few employees? If you can just throw some light on that.

Avinash Godkhind i: So, if you look at the way a corporate overall spends, right, any corporate today spends outside of budgeted CAPEX . There are 3 large categories of segments where they spend. There is employees, there is channel partners, and there are vendors. If you look at a typical Company , vendor payments is the largest bucket amongst these 3, right? In the case of Zoyer you are right.

The number of users for Zoyer is lower than Save, number of employees, but the volume of transactions or the size of each transaction is higher because these are vendor payments. These vendors could be vendors across various categories, right? So, for example, utility bills are a vendor. You have vendor payments for petty cash would be a vendor where there are a vast number of long tail vendors. You have your vendors who are for your raw material. You have vendors for, as I mentioned, cloud marketing spends, subscriptions for SaaS software that the Company is using. All of these get classified as vendors.

And this solution of Zoyer coupled with a purchase card or a commercial credit card fits in beautifully for the corporate to be able to digitize these things. Even your GST payments and other statutory payments can be done through the Zoyer platform.

Jaiprakash : I was reading about one of the US companies, I think a few of them, and one of the large revenue shares is coming from the fleet. I think you talked about it. So, if you can just talk in India 's context, is it a large opportunity or where we are in terms of the maturity of that particular category?

Avinash Godkhind i: It's a very large opportunity and it 's a growing opportunity because of a variety of reasons. One, as the road network is improving in India, you are seeing more and more goods being transported through the road network, right? And if you look at it, more and more gas providers, CNG provider

s , fuel providers are coming in who are private players. So, there 's an opportunity across both public sector as well as state public sector as well as private to be able to offer this and everybody is looking to garner greater market share. And for example, in FY23, the figure published by the government, for the fleet itself, the spends were about Rs. 73,000 crores, right?

So, this was the fuel purchase or fuel consumption alone for fleets. And that is how large that market is and that market is growing very rapidly. It is largely untapped and it's a space where we are seeing great momentum in terms of different companies partnering with us. We are also seeing interest emerge from automobile companies who want to participate in this ecosystem and a variety of other companies who are looking to run programs through us on this space. @Zaggle®
Zaggle Prepaid Ocean Services Limited
July 30, 2024

Page 13 of 19

Jaiprakash : Just last question. Do you have any integration with this ERP, basically accounting software providers?

Avinash Godkhind i: Yes, we integrate with a lot of ERP systems for our corporate customers, yes.

Jaiprakash : And is there any revenue sharing with them or it's just the additional value-added service?

Avinash Godkhind i: Basically, it's a product integration. By integrating with these ERPs, we are able to do 2 things. One, get on our platform, their cost codes, project codes, location codes, to be able to set accounting budgeting policies about how much people can spend and where. And also, to be able to make direct postings, automatic postings to the ERP on any spends that happen through our platform.

Moderator : The next question is from the line of Akhil Gulecha from Pkeday Family Office. Please go ahead.

Akhil Gulecha : First of all, congratulations to the Zaggle team on great numbers for this quarter. My first question is on Zoyer. So, can you explain in very simple terms, what is the value proposition of Zoyer for me as a customer? Like, why would I empanel with Zoyer for my vendor payments?

What am I getting out of it? And also, could you explain your revenue model there? Is it similar?

Is the take rate of 1.8% similar in Zoyer? Or is there anything different out there?

Avinash Godkhind i: Thank you for your question. From a corporate perspective, if you look at corporates, there are corporates who don't have a platform for making their vendor payments, who temporarily stop onboarding vendors. This is a common phenomenon that you see in companies where they say, no more vendors to be onboarded for this quarter or this year. Why does that happen, right? I mean, this is simply because managing vendors and managing their payments becomes a nightmare for finance and accounts teams.

If you look at the government rule, that the rule says that, MSMEs should be paid within 45 days. Now, we know that some of the best companies in the country are also not able to adhere to this rule, not because there's an intent issue, but because being able to make sure that the right amount of money is being paid to the right party, when they have complied with the contractual obligations, ascertaining that becomes extremely difficult when you are doing it through email and Excel. Email and Excel works at a small scale. Moment you have more vendors, moment your payouts are larger, this whole process collapses. And I think we have cases where customers have ended up making wrong payments to vendors in absence of a platform. Recovery is a nightmare, because there is no check that happens when a simple RTGS is done, right? Through the Zoyer platform, you are able to actually ascertain that the person to whom you are trying to make the payment, the vendor, that entity is the one that it is going. There's no repeated typing in on an Excel sheet of the account numbers. I'm going to the low-level details of telling you why this is useful. This saves

manpower, this prevents fraud and leakage, this prevents manual errors, and it can be a very significant saving to a Company, not to mention the benefit in terms of driving transparency, driving ESG goals, going paperless, etc., right? So, there are @Zaggle®
Zaggle Prepaid Ocean Services Limited
July 30, 2024

Page 14 of 19

very significant benefits that companies derive. As you can see, the market has lapped up the product.

From a revenue model, yes, the revenue model is similar. There is software fees, there is transaction income. Software fees right now in Zoyer is relatively low, simply because the product is new and we want it to proliferate. We want the usage to grow. As the time goes, we will ramp up the software fees component also. And the take rates, of course, in credit cards is very much similar to prepaid cards on a corporate card. So, yes, the take rates are also similar.

Akhil Gulecha: My second question is, can you just throw a little bit of light on the market landscape for this?

So, you've repeatedly said that you are trying to gain market share. So, is there any rough estimate on what is the market share currently and how is it progressing, going ahead? You currently have around 3,100 corporates. How many corporates could you target like 5 years, 10 years down the line? And second part of this, if you could just give a rough number on the growth of per spend of existing cards that is happening at Zaggle?

Avinash Godkhind i: So, if you look at the market space, think of it like this, every corporate may or may not have channel partners. Some companies may have very small employee base, but literally every

Company has to have vendors, right? If you are in business, you have vendors. And if you have vendors, you have to be making payments to them. So, the market size for a product like Zoyer is much larger than a product like Propel or even Save. The market landscape has largely been open. And some of the RBI actions in the last year or so have really opened up the market. We have chosen a more conservative route of directly integrating with banks and networks and not trying to use a third-party system. And that has helped us a lot while other players in the space had taken the other route, which was probably a shortcut, if I may use the word. We chose the longer path and that has held us in great stead today because our solution is obviously more compliant.

Akhil Gulecha: Sir, my second part of the question was, the growth is largely going to come from 2 areas. One is adding new customers as well as increasing spending on existing cards. So, any rough data on how far increasing spending on existing cards is going? Is it going in single digits, double digits, high double digits, low double digits?

Avinash Godkhind i: So, existing card spend has grown dramatically. And the reason why I didn't mention that is because historically, our existing card base until the beginning of last year was only prepaid cards. And prepaid cards, there's a limitation of Rs. 2 lakhs per card limit at any given point of time in terms of balance. Here, in corporate credit cards or commercial cards, the spends can run into tens of lakhs, right, to vendors, even crores. So, if I give you that metric, that number would be off the charts and may not be a very metric which is very educative. So, that's the reason why I would refrain to give it. But that metric would be not a few percentage points, but it's many, many, many fold times, right?

Moderator : The next question is from the line of Lakshminarayanan from Tunga Investments. Please go ahead. @Zaggle ®

Zaggle Prepaid Ocean Services Limited
July 30, 2024

Page 15 of 19

Lakshminarayanan : I just want to understand how much of your revenue is dependent or are directly correlated to MDR revenues? And how you think about that from an opportunity or a risk point of view going ahead?

Avinash Godkhind i: Th

e program fees part of the revenue is largely interchange, not MDR. But interchange in some ways does link to MDR. MDR is what the merchant pays, merchant discount rate. Interchange is what the issuing bank gets from the network and the acquiring bank. So, there is a correlation there. By broad basing our revenue streams between Propel points and software revenue and program fees, we believe we are sufficiently derisked. Within program fees also, there is incentive suspense and then there is interchange. And also that interchange has a prepaid component and a credit card component, right? So, we have broad based it as much as we can right now. And we continuously try to increase our revenue split across all 3 so that we are not dependent on any one category.

Lakshminarayanan : And this is more relevant for the Propel platform revenue, right, and less for software and program fees? Or is it more interchanges? If there is a change, it will impact program fees or Propel?

Avinash Godkhind i: It will impact program fees per se, sir. Program fees is largely interchange.

Lakshminarayanan : And Propel is nothing related to interchange, right?

Avinash Godkhind i: So, the Propel platform revenue is not linked to interchange, yes.

Lakshminarayanan : So, it's only the program that's the business lever which will get possibly a negative impact.

Avinash Godkhind i: Propel platform revenue is totally independent. The program fee has interchange component there.

Lakshminarayanan : And my second question is related to the number of employees you have on roll. What is it at the end of March and now and how many of them are in the technical side?

Avinash Godkhind i: So, March, we had about 303 employees. In end of this quarter, we have a little over 360 employees. About half of them or a little less than half of them are on the technical side.

Lakshminarayanan : So, from a sales team, you have increased a lot in the last 1 year or so. Can you just give a color on that?

Avinash Godkhind i: Yes. Because the business is growing. We are seeing the opportunity. And so we have increased capacity across all levels and all departments, whether it's engineering, whether it's a tech product, whether it's a business product, whether it's around sales, marketing. So, we have added high quality talent across board.

Lakshminarayanan : Can you just give a little bit about the Skydo thing? How it will help us? @Zaggle ®

Zaggle Prepaid Ocean Services Limited
July 30, 2024

Page 16 of 19

Avinash Godkhind i: So, if you look at any Company which is to receive payments from an international partner or a customer, right, if you look at it today, there is a lot of friction there, sir. There is a huge amount

of fees that companies end up paying. And in spite of that, there are delays. Through the Skydo partnership, we are able to provide a seamless experience at a very affordable cost to these corporates to be able to receive these payments from their customers internationally.

Lakshminarayanan : This is mostly for SMEs or is it corporates also use this facility?

Avinash Godkhind : This is corporate customers. Mid-market customers, we see a large opportunity here because a lot of mid-market customers still struggle to have a very seamless solution, especially with more focus on make in India and China plus one. We are seeing more and more companies really be able to accelerate their exports, but they do need to receive payments against that. And in a timely manner to be able to do that, this partnership is extremely helpful.

Moderator : The next question is from the line of Bhuvnesh Garg from Magma Ventures. Please go ahead.

Bhuvnesh Garg : Thank you for the opportunity. So, a couple of questions from my side. Basic question regarding the product proposition. So, firstly, in terms of our competitors, so if you can mention that who are our main competitors across the various product lines?

That's the first thing. And what is our differentiating factor? For example, in Zoyer, what is our differentiating factor versus the competitors? That's my first question.

Avinash Godkhind : Thank you for your question, sir. Overall, there is, in our view, no like-for-like competition for Zaggle in the spend management space in India. Globally, of course, there are providers of solutions in this space, like there's Brex, Ramp, Clio, Corpay, which is earlier called Fleetcor, Vex. There are a lot of those players there. In India, we don't have a direct like-for-like competitor. The reason why we stand to gain over point solution providers in India is because we are horizontal. In one single solution, we are able to provide you both the software as well as the payment instruments, and literally for all the spend categories that a corporate has, employee, vendor, as well as channel partner.

So, think of it from a corporate perspective. If instead of choosing Zaggle, they take individual point solutions from our competition, they could potentially have to have instead of one integration for their ERP and one integration for their HRMS and one integration for their CRM, they could have had to do as many as 6 different integrations for each of these three categories. So, that's 18 different integrations.

The amount of bandwidth that it takes, the amount of checks that they need to make in terms of whether the software is secure, whether the software is compliant, because we are GDPR certified and compliant. We are SOC 1, type 2, SOC 2, ISO 27001, PCI DSS, all the major certifications that are required in our space, we already have them.

Avinash Godkhind : So, that's the benefit that corporates get that they in a single system, in a single platform, they are getting both the payment solution, multiple types of payment solutions, whether it's prepaid @Zaggle®

Zaggle Prepaid Ocean Services Limited

July 30, 2024

Page 17 of 19

cards, corporate credit cards, UPI, different software solutions, whether it's for employee, vendor, or channel partner, all of it in an integrated solution, which is secure and also the fact that we are a profitable listed Company with 14 top banks as partners gives a lot of comfort and confidence to corporates that we are here to stay and we will be there to serve them for today and tomorrow.

Bhuvnesh Garg : So, more like, would it be fair to say, for example, there's a Company called Zoho. So, they also offer, I mean, solutions across different use cases. So, would it be similar to that Company? Would it be fair to say?

Avinash Godkhind : We would not want to mention any other Company. In our case, we are very clearly focused on the spend management space as a SaaS fintech, as a B2B2C SaaS fintech. Zoho, to our understanding, is possibly in a different space. We focus on enterprise and mid-market and they are probably in a different category as a software provider.

Bhuvnesh Garg : And in terms of our working groups, for example, our Zoyer platform, so does it work with any corporate card or it will work only with the Zaggle co-branded corporate card?

Avinash Godkhind : The software works independently, whether you use a corporate credit card or you use RTGS, NEFT, UPI, the IMPS, the software has the capability to be able to support everything. The value from the solution gets maximized when you use a card, which is issued by a partner bank of Zaggle because you are then able to automatically reconcile. You are able to actually get the feeds into the Zoyer platform of the card transactions and to be able to set policies, to be able to do analytics around it. So, the value that you will be able to extract from the platform is significantly higher when you use a payment instrument which is brought to you by us. Having said that, the software works perfectly fine with multiple payment instruments and there's a lot of value that

can be derived even without using a card issued by a Zaggle partner bank.

Bhuvnesh Garg : Sir, in case the card is normal credit card, I mean, not the Zaggle prepaid card, in that case, what is our program fee, sir?

Avinash Godkhind i: The program fees would not be there. Then we earn basically from the software.
Bhuvnesh Garg : And in case if it is a prepaid, I mean, if it is a Zaggle card, then we would be getting somewhere around 1.7%, 1.8%, right?
Avinash Godkhind i: Correct.
Bhuvnesh Garg : In case of Zoyer as well?
Avinash Godkhind i: Didn 't get that last part?
Bhuvnesh Garg : In case of Zoyer as well, I mean, in Propel, I understand we used to get 1.7%, 1.8%. I 'm asking whether for Zoyer as well, sir, we will be getting the same amount? @Zaggle ®
Zaggle Prepaid Ocean Services Limited
July 30, 2024

Page 18 of 19

Avinash Godkhind i: In the similar range, Zoyer has a vast number of use cases. So, if the card is used for making utility bill payments or tax payments, the interchange overall that gets generated is much lower, right? It 's because the spend categories are larger, the blended interchange may be lower depending on how the spends are happening across which categories. But the top rate is the same, right?

Moderator : The next question is from the line of Ram Sharma from Kenexa Limited. Please go ahead.

Ram Sharma : This is a great set of numbers. My question is regarding levers for future. I presume your revenue is largely India -centric right now, and is there an active kind of strategy to grow into international markets, US, Europe, Middle East, or Southeast Asia? And if yes, then what 's the infrastructure in terms of sales, marketing team or alliance partnerships that you are putting in place for that?

Avinash Godkhind i: As we have already communicated to the market, we are looking to enter the US market. That 's the market that we have chosen after a lot of research. We are working on both the go -to-market strategy and assessing our product market fit for the US market, and there 's extensive work that's happening in the background to be able to ascertain this. We don 't believe that we will generate significant revenue from the US entry this year, but in the coming years, that could be very, very significant. And this is an endeavor that we are making, keeping the future in mind in terms of revenue growth. The growth that we have given a guidance of 45% to 55% is all organic in all India for this year.

Ram Sharma : And just a follow up on that. Have you put in place a sales team or it 's being done from India or you have struck some alliance partnerships or working on that? Like what 's the GTM plan for the US?

Avinash Godkhind i: That's what we are assessing right now, both the product market fit followed by the GTM and what would be the right pain point to address and what 's the correct go -to-market strategy for that pain point for the right ICP is how we are looking at it. That 's what we are trying to assess.

Moderator : The last question is from the line of Devesh Kasliwal from Antique Stock Broking Ltd. Please go ahead.

Devesh Kasliwal : Congratulations on a great set of numbers. Just one accounting question that I had. If possible, can you share the receivables at the end of the 1st Quarter , the total receivables number?

Aditya Kumar : Total receivables for the 1st Quarter is around Rs. +180 crores plus.

Moderator : As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Raj Narayanam : Thank you so much. Once again, I appreciate all your support and look forward to continued growth. Thank you so much. @Zaggle ®
Zaggle Prepaid Ocean Services Limited
July 30, 2024

Page 19 of 19

Moderator : Thank you. On behalf of Equirus Securities Private Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines

. @Zaggle ®

Call: Nov 2024

ZAGGLE/24 -25/116

November 21, 2024

To

Listing Department

NATIONAL STOCK EXCHANGE OF INDIA LIMITED

Exchange Plaza, Plot No C/1, G Block

Bandra Kurla Complex, Bandra (East),

Mumbai -400 051, Maharashtra

Company Symbol: ZAGGLE To

The Corporate Relations Department

BSE LIMITED

Phiroz Jeejeebhoy Towers,

25th Floor, Dalal Street,

Mumbai -400 001, Maharashtra

Company Scrip Code: 543985

Dear Sir / Madam,

Sub: Transcript of Earnings Call held on November 13, 2024

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015

Pursuant to the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015

and further to our letter dated November 08, 2024, please find attached the Transcript of the said earnings

call on the Company's results for the quarter ended on September 30, 2024, and the same has been

uploaded on the website of the Company on the following web-link:

<https://ir.zaggle.in/wp-content/uploads/2024/11/zaggle-earning-call-transcript-Q2FY25.pdf>

We request you to kindly take the same on records.

Thanking you,

Yours faithfully,

For Zaggle Prepaid Ocean Services Limited

Hari Priya

Company Secretary and Compliance Officer

Encl. As Above

Page 1 of 17

"Zaggle Prepaid Ocean Services Limited

Q2 FY25 Results Conference Call "

November 13, 2024

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on November 13 2024, will prevail.

MANAGEMENT : DR. RAJ NARAYANAM – FOUNDER AND EXECUTIVE
CHAIRMAN – ZAGGLE PREPAID OCEAN SERVICES
LIMITED

MR. AVINASH GODKHINDI – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – ZAGGLE PREPAID
OCEAN SERVICES LIMITED

MR. ADITYA KUMAR – CHIEF FINANCIAL OFFICER –
ZAGGLE PREPAID OCEAN SERVICES LIMITED

MODERATOR : MR. ROHAN MANDORA – EQUIRUS SECURITIES

Zaggle Prepaid Ocean Services Limited

November 13, 2024

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to the Zaggle Prepaid Ocean Services Limited . Q2 FY25 Results Conference Call hosted by Equirus Securities . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on a touch -tone phone. Please note that this conference is being recorded.

This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Rohan Mandora from Equirus Securities. Thank you and over to you sir.

Rohan Mandora: Thanks Muskan. Good evening, everyone and thank you for joining the call. I extend a warm welcome to everyone. On behalf of Equirus, I welcome the management of Zaggle Prepaid Ocean Services Ltd. to give a brief update on the Q2 FY25 Results and address investor questions. We have with us from the management team, Dr. Raj Narayanam, Founder and Executive Chairman, Mr. Avinash Godkhindi, MD and CEO and Mr. Aditya Kumar, CFO . We will now begin with a brief opening remarks from the management post which we can have Q&A. Thank you and over to you sir.

Raj Narayanam: Thank you, Rohan . A very good evening to everyone. Hope you had a great Diwali and season's greetings to all of you for the upcoming season. Thank you for joining the earnings call for Zaggle Prepaid Ocean Services Ltd. for the second quarter of fiscal year 2025. On behalf of the company, I extend a very warm welcome to all of you. On this call, we are joined by MR. Avinash Godkhindi , Managing Director and CEO, Mr. Aditya Kumar, our CFO and SGA, our Investor Relations Advisors.

The financial results, press release and the investor presentation are uploaded on the Stock Exchange and on the company website. I hope everybody has had a chance to take a look at it. Now, I would like to give the Zaggle business update. You know today as we assemble for this call, we have completed more than a year as a listed company and we feel very proud about it. The past year has been truly transformative for us. I extend my heartfelt gratitude to everyone who has been part of this journey. Your continuous support has been the foundation of our success.

Our IPO was a major milestone, strengthening our financial position and fortifying our dedication to delivering value to our stakeholders. The achievement highlights the trust our investors have placed in us and we take this responsibility very seriously. While some of our competitors and some in specific categories are facing a little bit of headwinds, listing has helped us consolidate our position as the number one spend management company in India.

Zaggle Prepaid Ocean Services Limited

November 13, 2024

Page 3 of 17

I am very very happy and excited to share that we have generated our highest ever quarterly revenue in this quarter. Our revenue for this quarter stands at, INR302.6 crores, which is INR3,026 million, reflecting a growth of 64% compared to the same period last year. Our performance has exceeded our stated guidance and demonstrates the resilience and agility of our business model.

Similarly, in Q2 FY25, our adjusted EBITDA for the quarter reached INR29.5 crores or INR295 million, representing a growth of 36% year -on-year. So, for the overall total revenue has been INR302.6 crores, our adjusted EBITDA is INR29.5 crores, adjusted EBITDA margin is 9.8%, reported EBITDA is INR26.7 crores and the reported EBITDA margin is 8

.8%. Our

comprehensive offerings, combining cutting -edge technology with unparalleled customer service makes us a trusted partner for business across industries and geographies. We have signed some marquee brands last quarter, like HDFC Ergo, Baroda BNP Paribas AMC and Blue Star amongst others.

That said, as we had told last time that our focus is going to be on the cross -sell. Cross-sell continues to be a key focus area for us, which allows us to deeply integrate into our client's ecosystem. We from a product company are slowly moving towards a platform company and one such example is Subway, who has been our customer for some time now and was facing challenges with reconciliation and visibility of spending across its multiple stores, including cash payments for day -to-day expenses and there we offered our Zoyer Petty Cash Solution, enabled with QR payments, which has significantly reduced their cash payments , gained transparency across outlets and received regular reports that provide full visibility into what has been collected

at the store.

Zaggle has a huge opportunity to cross-sell its solution to all existing customers and in this particular industry, which is like a QSR industry, the scope is very large and huge to be able to go the length and breadth of this industry. Like that, there are many other industries which we will be able to go in future. As per the industry articles, the global spend management market is expanding at 10.2% annually, while the Indian market is estimated to expand at a CAGR of 15.5%.

This actually highlights the need for better spend management solution to improve expense tracking, increase efficiency, improve compliance, enable decision-making and overall boost productivity. The spend management space is evolving at a fast pace and we are leading the way by introducing market-relevant products and newer use cases.

Requirements for efficiency, transparency, better compliance and regulation, which are the underlying thesis behind our products, continue to thrive and increase exponentially. As part of our growth strategy, we are actively looking for strategic alliances, as well as inorganic growth opportunities. During this quarter, we completed the strategic acquisition of TaxSpanner, which will allow Zaggle to add comprehensive tax services to our repertoire of products, which are under spend management solution. We have also received the board approval for an investment in Mobileware Technologies, a company leading the payment infrastructure development in India, closely working with NPCI.

Zaggle Prepaid Ocean Services Limited

November 13, 2024

Page 4 of 17

We are strongly focusing on M&A with a combined strategy of small tuck-ins and larger investment opportunities. We are actively seeking opportunities in the fintech sector, including areas like NBFC, payments, SaaS, etc. Our focus is to expand our business by tapping into newer, deeper profit pools, increasing our customer base and building a foundation for a stronger growth.

Although finding deals that are directly EBITDA accretive in the fintech sector is tough, but we are constantly looking at opportunities which will either boost EBITDA or increase our product portfolio or open a new market for us. As discussed last time, additionally, we are working on expanding internationally, leveraging our success in the domestic market to build a strong global presence.

As you are aware that spend management is a global concept, slightly new to India, but overall all over the world, it is a very large business. In the international markets, US market remains as a key opportunity due to its vast potential. There are particular segments and segments which could possibly provide us an easier landing and faster expanding. We also see that there is a strong customer demand in the US for products like ours.

Overall, with our cost structure in India, we

should be able to provide the best service at best

possible prices in the US market. In line with our growth plans, we have taken approval from the Board of Directors for a fund raise up to INR950 crores, which is INR9,500 million, subject to shareholders' approval.

Given our strong performance this quarter, we are upping our guidance to 50% to 55% growth in our top line for FY25. We are very confident of doubling our FY24 revenues in the next 2 years. As we rapidly grow our top line, we are committed to protecting and growing our margins over a period of time, which is of paramount importance to us. As we focus on our financial performance, we are also dedicated to social responsibility, integrating environmental stewardship with our business goals and offering financial wellness education.

Our CSR efforts support various causes, including education, gender equality, healthcare, and poverty alleviation. We are committed to being a responsible and active participant in the societal progress. With this, I would now hand it over to Mr. Avinash Godkhindi, CEO and MD of Zaggle.

Avinash Godkhindi: Thank you, Dr. Raj, for your remarks and a very warm welcome to everyone on the call. With the backdrop that's been set by Dr. Raj's remarks, I would like to highlight that our growth coincides with an increase in the scale of our impact. With our insightful dashboards, we're transforming how companies track their spends and manage it. By diversifying our product portfolio and introducing more use cases, we have not only diversified our revenue streams, but also expanded our total addressable market, TAM, considerably. Looking back at the last quarter, the company has delivered yet another strong quarterly growth performance, improving profitability and compelling financial performance, underscoring a resilient momentum.

Allow me to spend a few minutes to reflect on the recent performance. Our SaaS fee, platform fee, or service fee, the revenue contribution of this line, stood at INR85 million or INR8.5 crores

Zaggle Prepaid Ocean Services Limited

November 13, 2024

in the last quarter. Program fees, the revenue stood from program fees at about INR1,261 million Indian rupees or INR126 crores. Propel Points revenue stood at INR1,679 million INR or about INR168 crores.

The revenue recognition basis is on a gross basis for Propel Points, and the margins vary from 7% to 9%. Zoyer, our accounts payable platform, has found a high degree of acceptance, and a major use case that has emerged is petty cash expense management. We foresee high acceptance of this solution in businesses with multiple location operations.

Dr. Batra's Positive Health Clinic Private Limited is one such example. An existing customer with about 1,000 employees using the Zaggle SAVE solution, which encompasses employee expenses, reimbursements, and benefits. Recently, we were able to cross-sell Zoyer to Dr. Batra's to help them manage their accounts payable along with their petty cash management for their 130 stores across the country.

We anticipate a significant contribution from Zoyer in the coming years. The Bharat Bill Payment System, BBPS, is an RBI-mandated system which offers an integrated and interoperable bills payment services to corporate customers and other customers. This is also a major use case within Zoyer.

Berkowits Health and Skin Clinic recently signed up for our Zoyer BBPS solution. Corporates face challenges in paying their utility bills due to the manual process and the untimely submission of bills, leading to penalties and loss of early payment discounts. Additionally, erroneous entries in the ERP system due to manual input result in incorrect reconciliations, not to mention the fraud and potential fraud and leakage possibilities.

The BBPS solution provided by Zoyer ensures one-time registration for all billers on the platform with an automated bill f

etch facility and a multi-level approval workflow. This streamlines bill payments and reconciliation, which helps avoiding penalties. The solution blends beautifully with our Zaggle business credit cards for seamless payments.

I'm happy to share that our first fleet solution for Torrent Gas also went live this quarter. Overall, the fleet solution space is a very large, addressable market of INR 79,000 crores as per Government of India data, and we continue to be bullish about this space. Zaggle International Payments, ZIP, which focuses on forex and remittances, also presents a significant growth opportunity to tap into a growing TAM on account of high overseas travel both for business and leisure.

We have tied up the card networks and partners for forex business to capture a significant market share in this space in the coming years. As more and more Indians fall in the tax regime, the requirement for tax solutions is becoming imperative. Our latest acquisition, TaxSpanner, is a leading provider of tax services to individuals and businesses.

TDS filing is an important activity for individuals as well as companies, and in our Zoyer solution, we work with vendors of companies who need to file their TDS returns. Similarly, in the Propel platform, we work with agents, retailers, and dealers who need to file their tax returns. Zaggle Prepaid Ocean Services Limited

November 13, 2024

TaxSpanner's services and capabilities integrate beautifully with Zaggle solutions to provide tremendous value to our corporate customers and their users.

All these products have higher adaptability for our customers, and we foresee robust growth in the future. We serve a wide range of industries, including BFSI, technology, retail, healthcare, manufacturing, FMCG, infrastructure, and automobiles, making our corporate customer network truly diverse and sector agnostic. Of late, we've been onboarding marquee clients, including Big Basket, Can Fin Homes, HDFC Ergo, Baroda BNP Paribas AMC, Equinox India, Pirelli Tyre, Blue Star, amongst others.

Through this year, there has been a heightened focus to find large enterprise accounts, which helps us to sell multiple products and use cases, lowers our CAC, and increases the lifetime value of the customer. This quarter, our founder and chairman, Dr. Raj P Narayanam, won the Lifetime Achievement Award at the International Startup Foundation 2024. Aligned with Government of India's pivotal initiatives like Startup India, Digital India, and Make in India, ISF aims to collaborate with over 50,000 startups, fostering their growth and bolstering the innovation of Aatma Nirbhar Bharat.

I'm also extremely happy to share with you that Chitkara University, Punjab, recently awarded our founder and executive chairman, Dr. Raj P Narayanam, an honorary doctorate degree honor scotia. Additionally, they inaugurated a dedicated center named the Dr. Raj P Narayanam FinTech Center for Excellence, within which we are launching specialized courses on FinTech,

providing select MBA students at Chitkara University a comprehensive understanding of the rapidly evolving FinTech industry. As always, our focus remains on executing our defined strategy, building futuristic solutions, and developing a diverse pool of revenues, and dipping into diverse pools of profit as well that support our growth path.

Now, I hand over to our CFO, Aditya Kumar, to take you through a finance update. Thank you.

Aditya Kumar: Thank you, Avinash, and a very warm welcome to everyone on this call. I'm delighted to report that the company has delivered another quarter of strong performance with highest ever quarterly revenue, along with strong margin expansion, clearly demonstrating the value we are delivering to our customers. For the second quarter of 2025, the company reported a record revenue of INR3,026 million with a YOY growth of 64.2%.

This was

on the back of strong growth across our both revenue lines, program fee, and propel points. Our adjusted EBITDA grew by 36% to INR295 million in the quarter compared to INR217 million in the same period last year. Our cash PAT, which includes net profit along with depreciation / amortisation and ESOP expenses, has surged by an impressive 43% on a YOY basis to INR238.17 million, which is highest ever. Our PAT more than doubled to INR186 million compared to INR76 million in the previous year.

The company continues to have strong customer relationships with low churn and focus to expand existing relationships to build sustainable and reliable revenue streams. This is a substantial increase in the incentive and cash back, which is in line with business growth and high due to festival season match required for the customers to spend using Zaggie offerings.

Zaggie Prepaid Ocean Services Limited

November 13, 2024

Page 7 of 17

The employee cost has increased on account of one-time incentives paid to employees during the quarter. During FY25, we expect to record total ESOP expenses close to INR100 million. For H1 FY25, our revenue from operations surged by 83% on a YOY basis to INR5,548 million. Our adjusted EBITDA has increased a substantial growth of 55% to INR551 million. Notably, our cash PAT surged by an impressive 72% to INR458 million. As of 30th September 2024, our gross debt is INR555 million with a cash and bank balance of INR1,827 million. With that, I would like to conclude my update and we are happy to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal: Hello, am I audible. Yes. So, firstly, if I look at the propel platform gross revenues those have further dipped during the quarter to about 3.5%. They were already lower in the Q1 at about 6% versus our normal range of about 8% to 10%. So, can you explain what is happening over there and how do you see this gross margin for Propel moving in H2?

Aditya Kumar: Thanks for the question, Aditya here. So, the current quarter the propel margins were reduced on account of high brand usage in terms of Amazon and Flipkart plus over the year-end, the margins will be disrupted because we will get overriding commission from brands on the volumes meeting. So, from next quarter onwards, end of this year H2, we will get the margins back to normalized margins of 7 percentage to 9 percentage.

Ankush Agrawal: So, for the full year, we will have that 7% to 9% margin?

Aditya Kumar: Yes.

Ankush Agrawal: Secondly, in terms of this QIP that we are looking to raise of about INR950 crores, it is obviously a huge sum. So, can you give some color on how much of this fundraise is towards organic growth and how much is for inorganic growth a broad split would help?

Avinash Godkhindi: Thank you for your question. As you are aware, we are yet to receive shareholder approval and this is for up to INR950 crores and the approval is valid for a year. The whole idea is to be able to have this enabling provision with us so that we are ready to be able to tap into any opportunities that we come across from time to time, both for organic growth, international expansion as well as inorganic growth. Difficult to say at this moment how much would the split be, but broadly that is the commentary that we can give you.

Ankush Agrawal: Okay. Lastly, in terms of M&A, we have been taking a couple of broad categories, which includes NBFC as well. So, wanted to understand, are we looking to acquire an NBFC to sort of do backward integration into payment instruments and if so, don't you think that would add additional risk to the business in terms of capital requirements and the need to bear capital credit risk as well in case of, say, something

like credit cards?

Avinash Godkhindi: So, if you look at all of these, these are opportunities that we explore. We are exploring because at the end of the day, we are looking to increase our profits and deepen our penetration with our

Zaggie Prepaid Ocean Services Limited

customers right. And these are demands that are getting generated today, where we are partnering with various NBFCs and lenders. If you look at it, a credit card is also a three-part product with one part being payment, the other part being lending and the third part being a marketing instrument.

So, there is an angle there when we are doing credit cards. So, I would say, again, too early for us to talk about the nature of the acquisition, if there will be an acquisition and how it will pan out.

Ankush Agrawal: Yes, but as a strategy, is the business comfortable in doing that kind of backward integration of being the issuer of payment instruments? Do you want to be that? Is what I'm trying to understand?

Avinash Godkhindi: We are not averse to it, to be an issuer of a payment instrument or an instrument which is regulated. For us, what matters is where are the profit pools, what's the demand from our customers and where is our sustained growth going to come from.

Ankush Agrawal: Got it. I'll get back in the queue for further questions. Thank you.

Moderator: Thank you. The next question is from the line of Aman Saifee from iWealth Management. Please go ahead.

Aman Saifee: Hello, I hope I am audible. Thank you for the opportunity and congrats on a super set of numbers. But I wanted to understand that our Chairman mentioned in our opening remarks that our competitors are facing some headwinds in their respective segments. If you can Sir elaborate on to that, and how are we benefiting out of it?

Raj Narayanam: Thank you so much for your question. See, what you have seen is that there has been a funding winter for the Fintech industry or in general funding has been very, very tight in the private space. So you know, what is happening is that a lot of companies which possibly were trying to grow very fast have abandoned that plan and the focus is a lot more on profitability. And while it's tough for them to do profitability at their size.

What we see is that a lot of those companies are abandoning or getting closed down which gives us another beautiful opportunity to bite into their customer pool. And that is what I meant by when I said that there are a little bit headwinds to some of the smaller companies who are trying to copy our model or some of the more prevalent models in the Fintech industry.

Aman Saifee: Okay, sir. I understood that. And Sir the second question is that, previously like last quarter, we have added so many high-profile customers, as you mentioned. We have added some new products Zaggly fleet management, international payment and we are also targeting our international, sorry, inorganic expansion as well. So, sir, I remember last quarter as well and in our AGM as well we have been saying about 55% growth this year and doubling in 2 years, the numbers in 2 years. I'm not seeing any change in our guidance Sir. Am I missing out something on to this?

Zaggly Prepaid Ocean Services Limited
November 13, 2024

Raj Narayanam: Yes. So, the change in our guidance is from we had earlier said 45% to 55%. Now we are saying that it is 50% to 55%. So, there is no just that the - if you just look at the numerator it has moved by 5 bps and we might pleasantly surprise you with a little bit more growth than what we have stated. We are going to be very, very aggressive in the market while protecting our margins, we want to give a very clear indication to the market that we are after growth, okay at sustained margins or bettering the margins at the cost of a lot of other players who are there in the market, because

we have moved away from just selling a product, we are moving to a platform.

Now in platform, you have multiple products in a single platform and with which the CAC, the cost of acquisition will go down, the productivity will improve, the dependence of the corporate or the enterprise is going to be higher on us. And what we have to do is execute it ruthlessly. So, the only thing which I can tell you is that while every time we have gone ahead and given our guidance, we have stuck to it, we have done probably a little bit better or in and about that, but we are going forward we are possibly going to grow aggressively and looking at the opportunities which the market is giving us.

So, there is no better time than today to expand as fast as possible, because the markets are very, very good for our kind of business. While a lot of other sectors are slowing down, when other sectors slow down, what happens is to do their sales, they have to do a lot of incentives to their channels, that also helps us, they also need to control costs, wherever expense management and our accounts payable systems and the product comes in. So, overall, it is slowly, slowly turning out to be a beautiful market to dive in. Did I answer your question?

Aman Saifee: Yes, sir. That helps. That answers my question. Thank you so much, sir, and all the best.

Moderator: Thank you. The next question is from the line of Shreyash Kumath from Equirus Securities.

Please go ahead.

Shreyash Kumath: Hello, am I audible. So, I have some questions. So, the first question is, our incentives and cashbacks are lower in Q 2 versus Q 1, what is driving that?

Avinash Godkhindi: See, ultimately, we are always trying to optimize and make sure that we are able to control our cashbacks and incentives. It is a function of how much we are able to penetrate into existing customers versus new customers, how much you are - what's the cycle that the business is and for the customer as well and a variety of factors, but by and large we are always keeping an eye on trying to control the cashbacks and incentives and some of those efforts have borne fruit this quarter.

Shreyash Kumath: Got it, sir. And sir what is our revenue share from verticals like ZatiX, fleet management and international payments and how do we look at that revenue share growing over the next 2 years, 3 years?

Avinash Godkhindi: So, the revenue share from these three lines is very nascent today akin to what Zoyer was a couple of years ago right . And we consistently spoke of our belief in Zoyer during our roadshows and during IPO, etc as well. And now Zoyer is doing phenomenally well and we believe that these lines of businesses as we work to acquire more customers, get these systems more
Zaggle Prepaid Ocean Services Limited
November 13, 2024

Page 10 of 17

embedded in our customers, workflows, we'll see significant revenues come from these lines of businesses in the coming years.

Shreyash Kumath: Is there any number you would like to write in terms of revenue share?

Avinash Godkhindi: Hard to give you a pinpointed answer right now, but we are seeing great green shoots. We are seeing a whole host of, for example, on the fleet side, very large customers signing up for LOIs and pilots which have been very successful, not just Torrent Gas. And those are very large companies. So, we are seeing a lot of uptake kicking in, in all these solutions.

Shreyash Kumath: Got it sir. And my last question is so on our Slide 19, we have mentioned the different contract wins that we have had during the quarter. For repute, it is said that Zaggle Save will be published on their marketplace. What do you mean by that?

Avinash Godkhindi: So, basically, look we are always trying to look at these different platforms where we can make our solutions available for their customers to come and avail of our services, our solutions because if you look at our S

MB strategy, we don't aggressively go and sell directly to SMBs.

We sell through these sort of platforms and this is a partnership which helps us do that.

Shreyash Kumath: Got it, sir. Thank you.

Moderator: Thank you. The next question is from the line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah: Yes, hi. Congratulations on a good set of numbers. I have a couple of questions. I'll list all of them down. I just wanted to have a sense on what would be our GMV number for the Zoyer product and what kind of take rate we have on that. And is it possible to publish those numbers every quarter that is possible. Second question would be on around what would be our revenue stream on the ZIP product which is our foreign exchange product. So, would it be on the program fee? Would it be on the SaaS fees?

How would that product look like. Just listen all my questions then you all can go to the answering part. On the QIP part, we have taken a resolution to raise around INR950 crores. So, this INR950 crores would be focused on customer acquisition, would it be focused on acquiring companies or would it be focused on infusing equity to an NBFC, which you all made a comment earlier in the call. Just wanted to understand on that bit.

The fourth question would be around how does RBI view some of your products? Because if I see SBI cards, one of the listed peers, I've seen a very, very big decline in their corporate card spends. So, how are your products different from SBI cards products which are on corporate spends? And I just missed the earlier comments on the NBFC. What is our view on that?

Avinash Godkhindi: Great. So, thank you so much for your questions. I'll take the most difficult one first, which is the RBI view of our products. Well, RBI's view is RBI's view. I think we would not be the right people to comment on their view, but I can assure our investors and listeners on this call and everyone else that we've always held on the side of caution and taken a very conservative view when it comes to compliance and regulation. We've always looked to integrate directly either
Zaggle Prepaid Ocean Services Limited
November 13, 2024

Page 11 of 17

with banks or systems that are very widely accepted, so that we don't end up using platforms that are in the gray area.

We always look at regulation to make sure that we are adhering to it in letter and spirit. And we partner with a whole host of banks and issuers of corporate credit cards, including Axis Bank, ICICI Bank, SBI cards, BOB cards, we have Yes Bank and a whole host of others. So, we work with all of them. The biggest differentiator is that we are a software led solution. The software that we bring, whether it's petty cash, whether it's BBPS, whether it's Zoyer, whether it's the expense management, that makes a huge difference in the value that we bring to the customer. The card is just an enabling instrument, which makes sure that the transactions are completed. And the reconciliation happens between the data that we get from the receipts that are invoices that the users can and the transaction information which the bank or the issuer holds. So, that's the larger view, but beyond that, I think it would not be right on our part to comment as to how RBI would view our products.

Regarding the QIP, we are as I said previously, we are - it's an enabling resolution. The shareholder approval is yet to come in. The board approval has come in. It is up to INR950 crores. The approval is valid for a year. It allows us to be able to go ahead and potentially raise capital at the right time for both organic growth, inorganic growth, and look at international expansion.

And we don't want to be underprepared when the right opportunities arise and we want to be ready in terms of all the approvals so that when the right opportunities come up, we are able to take full advantage of it. With regards to NBFCs, we

are looking at a variety of potential

inorganic opportunities. NBFCs is one of them. Any of these plays that we look at, we look at it from are these tech-led place and not as traditional businesses.

So, the whole thesis is that there's a significant component of the value that is coming in from a differentiated tech play or Fintech play and there are potential accompanying licenses, could be NBFC, could be others. So, that's our view. With regards to ZIP, revenue streams, ZIP itself is a very comprehensive space. One is the forex card partnerships that we have with a variety of players like Axis Bank, with Nishi forex, with Wall Street forex. Here, the revenue streams are varied.

Obviously, your interchange which is much higher for forex. You have fees that can be charged to the user because there are ATM withdrawal fees, loading fees, etc card issuance fees. And there is, potentially there's a forex markup also that the bank or the issuer is able to earn because of the difference in the bank's rate of forex and what the customer gets. And that's the revenue streams and we work with our issuers to share the revenue basis, the volumes that we generate. Regarding, lastly, on the GTV for various lines of businesses, we are seeing a lot of cross-usage of our cards, corporate credit card which is issued to a user, is being used for petty cash as well as their corporate expenses. So, the GTV is getting on the same card also now because we are pushing hard for cross-sell, used across Zoyer, used across expense management which is part of SAVE.

Zaggle Prepaid Ocean Services Limited
November 13, 2024

Page 12 of 17

So, it's a little hard for us to actually give a precise breakup of GTV for each of these businesses. And that's by design because we are pushing the same corporate, the same user on the same card to use it in more ways for more use cases, married to different products, software products that we offer. So, that would be a little tricky for us to be able to bifurcate because people are using the same card for both Zoyer's use cases as well as SAVE.

Arpit Shah: When you say you want to tech led products on the financial on the NBFC side, so what exactly you mean by tech led products on that front?

Avinash Godkhindi: See, basically our thesis is that it has to be a differentiated play. When I mean tech, basically it has to be a differentiated play, not a very traditional space where there is - it becomes a - it's a race to the bottom. We are always looking for these differentiated plays where we have some unique or very interesting value proposition that gets created and because it's a very powerful value proposition, we are able to extract higher value from our customers and partners. So, that's what I mean when I say tech led.

Arpit Shah: Got it. And any PAT number guidance for FY25 and FY26?

Avinash Godkhindi: Too early, sir.

Arpit Shah: Okay. Got it. Thank you.

Moderator: Thank you. The next question is from the line of Aayush Rathi from Aditya Birla Money. Please go ahead.

Aayush Rathi: Thanks a lot for taking my question. Firstly, congratulations on a great set of numbers. So, firstly, I have a few accounting related questions. Firstly, on the trade receivables, it has increased from INR175 crores to INR202 odd crores. So, any particular reason on that? And do we plan to end

on a similar kind of number or will it be higher than what it is right now for the Fiscal Year, FY25?

Aditya Kumar : So, Aayush, thanks for the question. So, the TR largely is increased on account of one business growth. And secondly, the businesses whatever invoicing to the banks happened that has come in the last month of the segment. So, for whatever we raise invoices in September, we have received that money in the current month as well. It's a phenomenon of business growth along with invoicing on the last month. For this year, it should be in the similar lines o

n the totality

basis if you compare.

Aayush Rath: All right, got it. So, most of my questions have been already answered. So, one question, sir, in the opening you mentioned about the BBPS solution, which Zagggle has started. So, could you talk about in a more explicit manner? And apart from that also, sir, there are three opportunities which I can understand of. One is fleet management. Second, it's BPL which we have mentioned and the one which I have already mentioned earlier, which is ONDC. So, could you throw some more light on how is it ramping up and what are the steps which we are taking right now for the ONDC opportunity as well? If you can just throw some more light on that?

Zagggle Prepaid Ocean Services Limited

November 13, 2024

Page 13 of 17

Avinash Godkhindi: Yes. So, on the BBPS, look, one of the things which is very adjacent to the petty cash use case that we have seen is anybody like an NBFC, like an AMC, like an insurance company or anybody who has stores, could be a retail store. They have very clearly two sets of problems. One, how do you reconcile your petty cash and second how do you make sure all your utility bills are being paid on time whether it's electricity, whether it's your water, whether it's phone and how do you make sure that there is no leakage there.

The bills are paid on time. If there's any early payment benefit that you can get, can you avail of that and how do you make sure that the correct amount is being paid at the right time. So, our Zoyer platform allows you to do both. One, we have the BBPS integration today with NPCI through Yes Bank and that allows us, for us to be able to offer the ability for these companies to centrally sit and make that payment rather than ask each branch to send a bill and wait for that branch or that store to send that bill and then assess it and make the payment. And the payment happens seamlessly through our platform using a business credit card.

So, that's the whole idea with BBPS and now with NPCI stepping in to make that platform very powerful and most billers are today part of BBPS, literally the entire country is covered to be able to offer this solution. Could you repeat your second question, please?

Aayush Rath: Yes. The second thing was on ONDC. So, you have already mentioned about that as an opportunity. So, how is it cramping up anything on that side?

Avinash Godkhindi: So, ONDC, the card is yet to be launched. We have signed with ONDC which was the first step. We were hoping to tap into the Diwali season, but of course, these programs and products take a certain amount of time. We see a great opportunity as ONDC grows for us to be able to ride on that growth. We also anticipate a lot of corporates, both public sector and government itself, state government, central government, as well as private sector companies to do more and more of their rewards gifting on the ONDC platform in the coming years.

And we want to be able to tap into that demand and that sentiment of a platform which is an Indian platform, a Bhartiya platform helping small Bhartiya businesses.

Aayush Rath: Got it, sir. So, lastly, on the fleet management. Sir, first of all, congratulations that in this quarter we have already executed some with Torrent Gas, but just wanted to understand that one competitor called VEX which is like a global player which almost drives up around, I guess, 60% of the revenue from fleet management solutions.

So, just on that bit, sir, how big is it for us? And in the coming years, how big can we scale the fleet management solutions, assuming that it's somewhere around INR79,000 crores opportunity? And if it is big then how are we, what steps are we taking for the execution part of it and will it grow linearly or like exponentially in the coming years for Zagggle?

Avinash Godkhindi: Well, this can potentially grow exponentially for us in Zagggle. And this is, again, a space where

globally there are a lot of mature players. India also, this has become very much relevant, because in the last few years the road network, the highway network has really improved in India. And that allows for a lot of and also the volume of goods that are being transported from point A to point B, etc, has grown a lot.

Zagggle Prepaid Ocean Services Limited

November 13, 2024

Page 14 of 17

A lot of Make in India is happening. So, that also requires goods to be transported from places where manufacturing setups are there. And all that basically leads to more transport of goods through the road network. And this is an unorganized space in terms of fleet management, largely it's untapped. We are one of the few players who are offering a solution here today. And there's a crying need from both the fleet owners as well as the oil marketing companies and the CNG providers to be able to provide a solution which allows for the fleet owner to be able to control the spends, track the spends and make sure that those are happening at the partner outlets. We are also seeing interest come in from manufacturers of automobiles who want to partner in this ecosystem and link it to their vehicle service because the life of the vehicle is a very important metric for the fleet owner and while the fleet owner wants the vehicle to be serviced at an authorized service center of a Tata Motors or any of these companies or the manufacturers of the trucks or the fleet, the driver may or may not have the same thought process. By creating a wallet which forces the driver to go to authorized service center because the money is only going to be used at those outlets through that wallet, within this ink card, we have an opportunity to be able to tap into that potential as well. So there are a lot of these use cases again which we are working on with some of these OEMs who are already our customers for Propel and other use cases to be able to extend it to the fleet solution.

Aayush Rath: Got it, sir. Thanks a lot for the detailed explanation and all the best for your future.

Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Hello, am I audible. Yes. Thank you very much sir for this opportunity. So I just wanted to understand, I mean, in your one of the remarks you mentioned as we increase our top line, we would also be looking to increase our EBITDA margins. So I mean, on an annual basis, what sort of EBITDA margin improvement we are looking at for maybe next 2 years to 3 years?

Avinash Godkhindi: See right now we have given a guidance that we hold to current to similar levels, but in the coming years we see a significant growth in the EBITDA margins. And we believe that in the next few years, we will see a very different EBITDA profile in the coming few years.

Deepak Poddar: Can you give some range of the aspiration that we are looking at over the next 2 years, 3 years?

Avinash Godkhindi: I think wouldn't want to put down a hard number right now, but this business has high operating leverage and naturally this leads to expanded expansion in the margins over time. Cross sell also allows you to be able to expand margins very significantly. So we believe that those margins are going to expand very significantly in the coming years.

Deepak Poddar: Okay, okay, because earlier, I think we were of the view, I mean, 15%, 16% is what we might look at, I mean, over the medium to long term.

Avinash Godkhindi: Yes, so you already have the answers.

Moderator: The next question is from the line of Debashish Mazumdar from Svan Investments.

Zaggle Prepaid Ocean Services Limited

November 13, 2024

Page 15 of 17

Debashish Mazumdar: Good evening to the management team and congratulations on the very good set of numbers. So just wanted to get some sense that what is the program fee breakup between

Save, Propel and Zoyer, if you can give me for this quarter and last year's same quarter.

Avinash Godkhindi: Again, as I mentioned, we are seeing a lot of use cases where the same instrument that has been given to a user, we are trying to get that user to use it for across a Save user to use it for Zoyer, a Propel user to use it for Save and Propel. So giving a breakup would be a little difficult for us because the same card is being used for multiple use cases and that's by design. You want more and more spends to flow through the same user in the same instrument that's issued.

Debashish Mazumdar: Okay, so just for my understanding, so Zoyer number was like around INR47 crores last quarter. So if you can give some idea how that number has turned out in this quarter?

Avinash Godkhindi: It's done well, sir. It's about in the similar range and it's done well and overall we are seeing a lot of growth in variety of use cases there.

Debashish Mazumdar: So similar range means INR47 crores is the number that you are quoting?

Avinash Godkhindi: No, I'm telling you, we have not been able to arrive at a number because there's a lot of cross usage of the card, but the numbers are healthy because we are tracking it in multiple ways in terms of number of corporates, number of overall transactions and numbers are pretty healthy for us.

Debashish Mazumdar: Okay, understood. And the second question is if I see the Propel margin which is coming to like 4% approx today net revenue from Propel. So should we assume like 4% to 5% kind of gross margin on the Propel platform going forward or there is an increase the possibility?

Aditya Kumar: So generally, sir, the Propel contribution always includes of two to three categories. One is on the commissions what we earn and second is from the overriding commissions which we receive from the brand after reaching certain limits etcetera. So on an overall level, anyway, the margin

should lie between 7% to 9%.

Debashis Mazumdar: Okay. And the third question is, if I may, we have seen the corporate customers have obviously gone up because of customer addition, your user per customer is currently around 940 per customer. So with this, new corporate additions, where do you think this number to settle down the user per customer number? Over the period of next two, three quarters, I'm not asking for a very long term guidance.

Avinash Godkhindi: Our focus is on large enterprise customers. And these enterprise accounts don't, add on their users right at the get go, right? The users get added over a period of time. So this number will grow as we go along is what our belief is. And, in the next two, three quarters, this should grow.

But of course, please keep in mind that as we keep adding newer customers, the newer customers and the newer cohorts will always, sort of clear dampening effect on that, right?

Debashis h Mazumdar: Correct, okay understood. Thank you very much for taking my questions and wish you all the best

Zaggle Prepaid Ocean Services Limited

November 13, 2024

Page 16 of 17

Moderator: The next question is from the line of Rohan Nagpal from Helios Capital. Please go ahead.

Rohan Nagpal: Hi, thanks for taking my question. Congratulations on a good set of numbers. I had a question on the incentive and cashback line item. So in previous quarters, when the incentive and cashback number was a much higher proportion of program fees to program fee revenue, the explanation was that incentives and cashbacks are just a feature of the industry and customers are habituated to receiving incentives and cashbacks for their spend.

Now that the number has gone down materially, I mean, the incentives and cashback has reduced significantly. Could you provide some color on the kinds of efforts that you've undertaken that have found success?

Avinash Godkhindi: See, there are multiple things that we do, right? One, as you start get

ting new users on the

platform, initially you need them to register, you'll need them to also use the card and sort of key it into their whatever online platform that they are transacting, right? So there's a friction there because there's an OTP that gets generated, etcetera.

So there's a certain amount of incentivization that you need to do for people to kickstart using.

Right. Now you're seeing a lot of the usage, which is also repeat of people who are using more and more on the same card, right? Which is what I was talking about using for the same use case.

So one of the effort is to get people who are already carded to use the cards more.

And to spend it for a variety of use cases, whether it's petty cash, whether it's BBPS, whether it's employee expenses, reimbursements, etcetera, etcetera. The other effort, of course, is as you negotiate with customers, as more and more marquee names start to use the platform, your need to on Zoyer offer higher cashback starts to go down.

Because there's more trust and more belief in the platform, both for the market as well as our sales folks. Our sales folks realize that you possibly don't need to offer such significantly higher cashbacks. So there's always an attempt to encourage our sales teams to keep the cashback at as low a level as possible.

So those are, things that we've done both internally and externally to be able to get the cashbacks at a lower level right now.

Rohan Nagpal: And while I understand it's certainly difficult to give an estimate of revenue contribution of Zoyer -Propel, Zoyer and Save due to the program fee comment, a couple of questions. One, is there any component of incentives that we've received from the card network that is in the program fee revenue this quarter?

And second, while you may not be able to provide payment volumes, would it be possible to give a sense of the number of cards that have been issued across Save and across let's say prepaid and credit and how that number has moved over the last few quarters?

Zaggle Prepaid Ocean Services Limited

November 13, 2024

Page 17 of 17

Avinash Godkhindi: So if I'm understanding your first question right, you're asking if there is some component of Propel in the program.

Rohan Nagpal: Sorry. Not Propel, but in the past you've talked about incentives from the card networks like Visa, whereas if you drive a certain amount of payment volume, you trigger an incentive. Is there any component of any such incentive in the program fee line item this quarter?

Aditya Kumar: So generally the incentives are paid at the end of the year, sir. So for them it's the calendar year and we typically get it after completion of the calendar year. So in initial to Propel it doesn't

consist, but it will be part of the program fee. Historically also that will be very minute. It's a 2% of the total program fee, kind of less than 2%.

Rohan Nagpal: Okay, and would it be possible to provide some numbers of the number of credit cards and prepaid cards, or the number of cards, credit cards and prepaid cards that have been issued, or just credit cards because prepaid card number is enormous. Just a number of the credit cards that have been issued.

Avinash Godkhindi: Yes, so great question. The thing with the corporate credit cards or business cards is the number of cards is not necessarily the right metric to look at the business at all, because each card has significant spends. Unlike a retail card where say for the accounts in force or cards in force is a very critical metric, in commercial cards or business cards the metric that the industry tracks always is the spends, right.

So our spends are growing per card and our spends are growing overall well. So that's what I can share with you.

Rohan Nagpal: Would it be possible to provide a payment volume across credit cards and prepaid cards in that case?

Avinash Godkhindi: If it is required we

can connect separately.

Moderator: Thank you. Ladies and gentlemen, as that was the last question for the day, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Raj Narayanam: Thank you so much for patiently listening to us. We look forward to continue the good work which we have been doing, and I really appreciate all the investors across Board, all the shareholders who have been consistent with their support. We look forward to another great quarter and another great year for all of us. I thank you very much and very humbly and remain grateful to all of you. Thank you.

Moderator: Thank you. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2025

ZAGGLE/24 -25/165

February 14, 202 5

To
Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex, Bandra (East),
Mumbai -400 051, Maharashtra

Company Symbol: ZAGGLE To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th Floor, Dalal Street,
Mumbai -400 001, Maharashtra

Company Scrip Code: 543985

Dear Sir / Madam,

Sub: Transcript of Earnings Call held on February 7 , 202 5

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015

Pursuant to the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015 and further to our letter dated February 04, 202 5, please find attached the Transcript of the said earnings call on the Company's operational and financial performance for the quarter ended on December 31, 2024, and the same has been uploaded on the website of the Company on the following web -link:

<http://ir.zaggle.in/wp-content/uploads/2025/02/earnings-call-transcript-Q3FY25.pdf>

We request you to kindly take the same on records.

Thanking you,

Yours faithfully,

For Zaggle Prepaid Ocean Services Limited

Hari Priya
Company Secretary and Compliance Officer

Encl. As Abov e

Page 1 of 21

"Zaggle Prepaid Ocean Services Limited Q3 FY25
Earnings Conference Call"

February 07, 2025

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on February 7, 2025 , will prevail.

MANAGEMENT : DR. RAJ NARAYANAM – EXECUTIVE CHAIRMAN –
ZAGGLE PREPAID OCEAN SERVICES LIMITED
MR. AVINASH GODKHINDI – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – ZAGGLE PREPAID
OCEAN SERVICES LIMITED
MR. ADITYA KUMAR – CHIEF FINANCIAL OFFICER –
ZAGGLE PREPAID OCEAN SERVICES LIMITED

Zaggle Prepaid Ocean Services Limited
February 07, 2025

Page 2 of 21

Moderator : Ladies and gentlemen , good day and welcome to the Zaggle Prepaid Ocean Services Limited Q3 FY '25 Earnings Conference Call.

This conference call may contain forward -looking statements about the Company which are based on the beliefs, opinions and expectations of the Company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch -tone phone.

I now hand the conference over to Dr. Raj P Narayanam , Executive Chairman . Thank you, and over to you, sir.

Raj P Narayanam: Sure. Thank you. Thank you so much. You know, very good evening to everyone. Thank you for joining the Earnings Call for Zaggle Prepaid Ocean Services Limited for the 3rd Quarter of Fiscal Year 2025. On behalf of the Company , I extend a very warm welcome to all of you.

On this call, we are joined by Mr. Avinash Godkhindi – Managing Director and CEO ; Mr. Aditya Kumar, our CFO ; and SGA, our Investor Relation Advisor .

The Financial Results, Press Release , and the Investor Presentation are uploaded on the stock exchange and on the Company website. I hope everybody has had a chance to look at it.

Now, I would take this opportunity to just give you a Zaggle Business Update.

This has been a milestone quarter for us with multiple accomplishments. I am happy to announce our highest performance this quarter and for the nine months ended in terms of revenue , adjusted EBITDA and PAT .

This quarter, the Company reported a healthy growth of 69% with revenues at INR 336.4 crores on a Y-O-Y basis. For nine months, the Company exhibited growth of 77% and the revenues for the nine months stood at 891.2 crores.

Our adjusted EBITDA for Q3 '25 grew at 38% on a Y-O-Y basis at INR 31.5 crores. For 9 months FY '25, our adjusted EBITDA stood at INR 86.6 crores , demonstrating a growth of 48% year-on-year.

The reported EBITDA for Q3 '25 surged to Rs 29.4 crores, increasing by 44% on a year-on-year basis, and for the nine months, the reported EBITDA grew significantly by 81% Y-on-Y to INR 78.6 crores.

Zaggle Prepaid Ocean Services Limited
February 07, 2025

Page 3 of 21

The profit after tax for Q3 FY '25 increased by 33% on a Y-O-Y basis to INR 20.2 crores , and for 9 months FY '25, our PAT more than doubled to INR 55.5 crores, growing by (wrongly spoken on the call it should be read as 123%) on a Y-O-Y basis.

If you just look at it, I will do a revenue number. Total revenue in Q3 FY '25 was 336 crores against Q3 FY '24 of 199.5 crores, showcasing a growth of 69% year-on-year. Adjusted EBITDA 31.5 crores in Q3 '25 versus 22.9 in Q3 FY '24, which is 37.6%.

Similarly, our adjusted EBITDA margin is at 9.4% versus 11.5%. Our reported EBITDA number has been 29.4 crores versus 20.4 crores. Our reported EBITDA margin, as we previously have told, is about 9% to 10% rate, and that is what we had guided for.

I also want to highlight and thank all the investors in December 2024 we successfully completed the QIP of INR 595 crores , and I would like to thank our investors for showing trust and confidence in the business. The fundraise is in line with our growth strategy of inorganic

expansion.

We are currently very pleased to also inform that we are currently evaluating five targets in the spend management and adjacent space, such

as merchant card software, payment infrastructure,

etc. Out of this, two are at advanced stages and moving towards completion at a fast pace.

As you know, there are various steps to it. You know, there is a term sheet. Then there is a due diligence. Then there is a transaction document. And you know, if required we need to go ahead and take approvals from the statutory authorities. Okay.

So, in both these cases we are at a very, very advanced stage and in due time, which is, you know, possibly in the next quarter, we would be able to give you a definitive timeline. We are looking forward to, you know, a closure of all these three transactions, you know, in this calendar year. We will continually share updates with you on a regular basis.

With this, I would also like to welcome Mr. Virat Sunil Diwanji to our team as the Non-Executive Director of the Company. He is a seasoned banker with over 30 years of experience in building, managing and growing businesses across assets and liabilities. He has been involved with Kotak Group for about three decades in a variety of roles. During this journey, he has successfully managed the joint venture with international partners like Ford Credit International and executed the merger of mid-sized bank ING Vysya.

He also served as a Non-Executive Director for over 9 years on the Board of Kotak General Insurance Limited from its inception stage. His experience across diverse roles and business leadership will help accelerate our growth plans in the coming years.

Now, I want to just give you a little bit of global macro conditions in the spend management space. Globally, the spend management space is rapidly evolving with the introduction of AI. Zaggie Prepaid Ocean Services Limited

February 07, 2025

Page 4 of 21

powered solution to automatically detect the unauthorized spends and impactful dashboards, enabling users to control spend, save time, increase compliance, and improve efficiency.

We are very proud and pleased to tell you that Zaggie is also using AI and machine learning models on multiple fronts. Zaggie's AI-driven chatbot, RazBot, it is called RazBot, has achieved a deflection rate of 60%. And we intend to enhance the deflection rate to about 99%. While 60% is extremely encouraging, but ideally we would want to move it to 99% plus.

Deflection rate is the percentage of the queries that the bot is able to resolve by itself without any human intervention. We intend to increase the expanse of our usage for our AI bot across different product functions and to enable efficient business decision making.

Travel and expense is an integral and important part of our corporate spend. Zaggie has entered into agreements with multiple travel companies such as EaseMyTrip, FCM, Riya Travels and recently the TBO Paxes to offer bundled expense and travel solutions to our customers facilitating seamless travel booking, payment, reconciliation and filing of the expense directly into the GL. We are also building a tightly bundled self-booking tool that will integrate with preferred travel suppliers, thus ensuring consistency and cost savings in travel bookings. Also want to take a minute and highlight that the current Union Budget 2025 introduced important tax reforms aimed at boosting consumption. There have been many questions and queries about how does this impact our revenues and profits.

We want to take this opportunity to clarify that we see very little or no impact of this change in our SAVE business, which comprises of employee expense management, reimbursements and benefits. The employees in the 5 to 15 lakh salary range only take mea

l benefits, which form a

meager 0.48% of our current revenue.

Incrementally, we see significant demand across our corporate customers for non-tax-dependent wallets and payments. We have recently launched a health and wellness wallet for our corporate customers. Along with that, we have also launched a cafeteria solution, employee gadget solution, etc. We see a significant uptick in the number of wallets in our card to continuously increase, and lot of these solutions which we have offered would be lapped up by lot of employees within this, you know, corporate.

Also, to state that, you know, we have not seen any kind of customer complaint or customers coming back to us and saying, you know, we want to do away with this particular program. So, we have not heard that.

Simultaneously, I also want to clarify that the OTR, which is the old tax regime, is still continuing while we had expected since last two years that the old tax regime would be removed, and only new tax regime would be used. But contrary to our belief, it is that they are still continuing with OTR, which would be slightly beneficial to us. But as we go forward in our business, we really do not want to depend on any tax benefits per se.

Zaggie Prepaid Ocean Services Limited

February 07, 2025

Page 5 of 21

Additionally, we have partnered with multiple service providers in areas like financial services, healthcare, taxation, et cetera to provide value-added services to over 3 million plus active users. We have recently enabled BBPS, Bharat Bill Payment System, on our platform through which users can pay their bills directly from the Zaggle app. Zaggle app also allows our customers to book FDs and multiple such instruments, and we are able to service them while offering very attractive FD rates of up to 9% per annum from various banks.

Now, I would want to take a minute and explain about the customer updates. We, as you would have seen in our filings, we have signed significant marquee clients including Blinkit, Can Fin Homes, Mumbai Metro, Hitachi, Mahindra First Choice Wheels, Narayana Hrudayalaya et cetera.

With commerce is gaining prominence in our day-to-day lives, we have also tapped into this space, you know, by signing contracts with clients such as Blinkit, Zepto.

Blinkit has signed up for our BROM E, which is one of the most newest offerings from Zaggle's fold. It is called Branch Recurring Operating Monthly Expense. It's a solution which is a new case within our Zoyer product, wherein corporates or retail brands can effortlessly manage their branch, store-level expenses with secure payments, compliance checks, and real-time insights for better financial control.

You know, right now, as we speak, we have hundreds of demos going on on this particular solution. And we think that this could be our star performer in the coming year, next year, with absolutely zero dependence on any of this statutory or regulatory environment.

We have a strategic focus on BROME with a goal of deeper penetration within select industry segments. Our partnership with Zepto and Blinkit exemplifies this strategy. We are implementing an automated bill fetch and utility payment reconciliation system for Blinkit, providing comprehensive visibility and control across their 500 dark stores on a unified platform. Given our strong performance, we are upping our guidance. You know, previously, if you remember the Q1 we had said, you know, we possibly will be growing at about 45 to 50%. Then in the quarter, you know, after the closure of quarter 1, we had said that we might grow at about 50 to 55%. And now we are upping our guidance th

at we possibly will be able to do in the range

of about 58 to 63% and this also may be a little bit outdone if the trends are to be seen.

This is the kind of growth in our top line for FY '25. As we rapidly grow our top line, we continue to focus on protecting and growing our margins over time through increased operating leverage, enhanced efficiency and cross-selling. Additionally, our focus on new areas of organic and inorganic growth with deep profit pools is also expected to contribute significantly to our margin expansion in the coming years.

Thank you. With this, I now hand it over to our CEO, Mr. Avinash Godkhindi.

Zaggle Prepaid Ocean Services Limited

February 07, 2025

Page 6 of 21

Avinash Godkhindi: Thank you, Dr. Raj, for your comments.

Over the years, we have pivoted from a product-based approach to a platform-based approach where we provide a bouquet of offerings to our customers to address their multiple requirements through our spend management solutions, be it for rewards, expense management, Procure-to-Pay, BROM E, which is our Branch Recurring Operating Monthly Expenses solution, Fleet, Forex, and much more.

The opportunity to digitize business plans through our software solutions bundled with payments is a highly accretive opportunity for us. During the quarter, our SaaS fee / platform fee / service fee contributed to about INR 8.9 crores. Our program fees contributed about INR 135 crores.

Propel Points revenue consisted of 57% of our revenue, which contributed 192 crores.

It is very heartening to see that Zoyer, which started clocking revenues only in April 2024, is contributing significantly to Zaggle's growth. We have achieved high acceptance levels for this product amongst our corporate and enterprise customers. We are providing payment solutions for Zepto's rapidly expanding network of dark stores and branches, addressing the diverse spend needs through our BROME solution.

Zepto also signed up for Zaggle's SAVE solution to offer their employees expense management and benefits for a significant number of their employees using multiple wallets to enhance their benefits management.

Another significant win for the BROM E use-case is our partnership with one of India's largest retail players to digitize all their store expenses. The solution, once implemented, will be deployed across extensive networks of tens of thousands of stores.

On the fleet side, we entered with an agreement with AGP City Gas, which is Pratham and Think Gas and successfully conducted the product launch in December 2024 with thousands of cards

being issued and hundreds of gas stations being enabled to accept our cards. There are several other clients in the pipeline, and we see very good demand and deep profit pools in large addressable markets and the fleet payment space.

Going forward with our platform approach, we anticipate growth rapidly on the back of new client additions along with much higher cross-sell in our existing clients. Our partnerships with multiple travel partners, such as EaseMyTrip, FCM, Riya, TBO, Yatra, etc., also de-risk the travel options and provides numerous choices to large enterprises for our travel and expense solution.

During the quarter, we also announced key collaborations that Dr. Raj spoke about. We have signed a significant agreement with Mastercard, which is a seven-year partnership. Under this partnership, Mastercard will recommend our software platform and card solutions to their corporate customers and other entities like banks and fintechs. Mastercard did an extensive evaluation of solutions in the market before inking this partnership with

us.

Zaggle Prepaid Ocean Services Limited

February 07, 2025

Page 7 of 21

This highlights our capability to provide value to our customers through multiple solutions such as expense management. Zoyer, our rewards programs, etc. This partnership is a global partnership.

Further, the much awaited HDFC Bank partnership has come in as a major addition to the list of our partner banks. In this agreement, HDFC credit cards will be bundled with our software, expense management and employee benefits as well as our Zoyer platform and offered to their corporate customers.

We also strive to build symbiotic relationships, and we believe in partnering with various industry players to stitch value accretive collaborations.

We have entered into a strategic partnership with Strada, which is a large MNC HRMS solution provider working with multiple global Fortune 500 companies, wherein they offer the Zaggle SaaS and payment products to Strada's clients.

I am delighted to share that we have won quite a few awards this quarter. Zaggle won the "Deloitte Technology Fastest 50 2024 Transformation Tech Award". We also won the "19th Employer Grand Award's Telangana's Best Employer Brand". Zaggle also won the "Best use of Customer Loyalty Program FinTech" at the FINIXX 2024 and the "Best use of Print Ad FinTech" at the FINIXX 2024.

These awards only highlight our ability to go the extra mile and provide value accretive solutions to our users and corporate, and we continue to keep the momentum going ahead.

As always, our endeavor is to provide comprehensive solutions in the spend management space and to maximize our reach to new clients and increase our wallet share with our existing clients. With this, I now hand it over to our CFO – Aditya, to take us through a Financial Update. Thank you.

Aditya Kumar: Thank you, Avinash, and a very warm welcome to everyone on this call.

I am pleased to share that the Company has achieved another strong quarter of operational performance driven by robust and broad-based revenue growth of 69% Y-o-Y basis reaching to INR 336.4 crore.

This growth is fueled by healthy expansion across all three revenue streams with program fee increasing by 54% Y-o-Y and the Propel platform witnessing a significant 87% sequential growth in Q3 FY '25.

The rise in incentives and cashback aligns with business growth, driven by increased rewards offered to the client's users for spending through our product offerings. Other expenses have risen due to higher sales and marketing costs during the quarter, while employee costs remained

Zaggle Prepaid Ocean Services Limited

February 07, 2025

Page 8 of 21

stable sequentially but increased Y-o-Y basis, reflecting the additional headcount needed to support business growth.

Our adjusted EBITDA grew by 38% to INR 31.5 crore in the quarter compared to INR 22.9 crore in the same period last year. The increase in depreciation expenses is attributable to the capitalization of new products.

Our cash PAT, which includes net profit along with depreciation and ESOP expenses, increased by 34% on a Y-o-Y basis to INR 26.2 crore. Our PAT has increased by 33% compared to previous year to INR 20.2 crore.

For 9 months FY '25, our revenue from operations reached an all-time high, recording a substantial 77% Y-o-Y growth to 891.2 crore. This was driven by robust expansion in program fee, which more than doubled with 110% Y-o-Y increase, along with impressive 62% Y-o-Y

growth in our Propel platform.

Our adjusted EBITDA has surged by an impressive growth of 48% to INR 86.6 crore.

PAT has more than doubled, rising by 123% Y-o-Y to INR 55

.5 crore. Notably, our cash PAT

has seen significant growth in increasing by 56% to INR 72.0 crore.

During FY '25, we expect to record total ESOP expenses in the range of INR 9 to 10 crore.

With that, I would like to conclude my update, and we are happy to open the floor for questions.

Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press "*" and "1" on the touchtone telephone. If you wish to remove yourself from the question queue, you may press "*" and "2". Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal: Yes, hi, thank you for taking my question. Firstly, on the gross margins for Propel, I mean, this quarter the margins are now about at 3% even though I think in Q2 we have sort of indicated that based on the volume-based discount that we get from merchants, the full-year margin should revert to about 7 to 9%, but that hasn't happened. So, your thoughts on...

Moderator: I am sorry to interrupt you, Mr. Agrawal, but you are not that clearly audible, sir. Your voice is sounding very muffled.

Ankush Agrawal: Is it better now?

Moderator: Yes, please go ahead.

Zaggle Prepaid Ocean Services Limited

February 07, 2025

Page 9 of 21

Ankush Agrawal: Yes, so the question was around the Propel business gross margins. So, this quarter, the margins have come down to about 3%, even though in Q2 we have sort of indicated that based on the volume-based discount that we will get from merchants, the margins should recover next year and over the full year, we should get to about 7 to 9% gross margins for this business. So, your thoughts on why we are not seeing any improvement in this business, given that even at 192 crores of kind of revenues, we are earning about 6% of gross profit on this business. And we know that this business requires a lot of capital, right? So, I just wanted to understand what is happening in this business.

Avinash Godkhindi: Yes, thanks for your question. I heard part of it, but I think I got it. Basically, a lot of the ORCs, overriding commissions, are something that come in the Q4. Q3, very small merchants were able to cross some of the base thresholds. These are slab structures. So, the real increase in the margins, we anticipate to see some of it, we anticipate to see most of it actually in this quarter. And then that's where, you know, that number is looking the way it is.

Ankush Agrawal: But for the full year, do you expect that we will reach that 7 to 9% for the full year?

Avinash Godkhindi: It's a little premature for me to comment whether I will absolutely reach there or we will reach there or thereabouts, but we will be more or less there or thereabouts somewhere in that range.

Ankush Agrawal: Got it. The second question is on the overall cost base. So, the good part about Zaggle now is that lower cashbacks is sort of that we have been able to curtail that. You had guided earlier as well that over time, as the usage of Zoyer 0 increases, we are able to curtail the maintenance costs, which has been possible.

But if I look at the other remaining cost base, that has been expanding at quite a rapid pace, even though in a business like ours, given that's a platform-based business, the cost base should ideally expand at the lower pace versus the revenues, and now we are like sort of the cost base is growing at a faster pace than the revenues itself.

So, wanted to understand where is this cost

increase happening? Like where are you investing

because of which this cost base is growing?

Avinash Godkhindi: See, I think the cost base in a business, a rapidly growing business like ours, where we are on the one side, trying to cross-sell more to existing customers, on the other side, developing capabilities like BROME, it's fairly understandable, I believe, that the cost base is going to grow.

Overall, our focus is on our EBITDA and PAT. And that's growing very healthily. Of course, there is always room for improvement, and we want to improve on this in the coming years. But investment obviously is happening in building capabilities.

And as I mentioned in my speech, you know, when one of the largest retail chains in India, largest conglomerates in India signs you up for tens of thousands of stores for your solution, then you don't worry about anything. You just see if the contract is, you know, highly profitable

Zaggle Prepaid Ocean Services Limited

February 07, 2025

Page 10 of 21

or doing well, then you deploy or you invest capabilities to be able to make sure that program works and for BROM E, for example, we have signed so many of these accounts.

I am going to name the ones which we have announced, the Blinkit, the Zepto, the BigBaskets, the Dr. Batra, the Berkowitz, the Subways. So, you can see that the number of these accounts that we have been talking of that these are only a small set of the ones that we have announced to the street, right. So, there is a lot of traction there.

Ankush Agrawal: Okay, got it. So, that was helpful. Thank you.

Moderator: Thank you. The next question is from the line of Manish Ostwal from Nirmal Bang Securities. Please go ahead.

Manish Ostwal: Yes, sir. Thank you for the opportunity. I have a couple of questions on the business model. First question on the, sir, when I am referring to Slide #27 of the presentation, and when look at the performance of last 3-4 years, the Company has grown strongly in terms of top line, but in terms of operating margins and even the PAT margins, things not playing out in terms of improvement of the margin. Basically, the operating leverage is not playing out, but when you talk about the platform business, any platform business, the basic fundamental is the operating leverage benefit translating into the PAT and the ROC E etc. But it is not reflecting our number. So, can you help us apart from the 65% kind of growth we are looking at, when you see your growth converting into the higher profit growth also, sir? Thank you.

Avinash Godkhindi: Thanks, Manish. I think it's important to understand that the revenue mix has gone through a change. The Propel Points revenue that even the previous questioner was asking us, has a much lower gross margin profile, right? That line of revenue, we have three lines of revenue, software / SaaS fees, program fees and Propel Point fees. Propel Point fees has grown very significantly in the last three years, and that has a much lower gross margin profile, and hence some of these metrics may not look as encouraging.

The way we look at it is how was our solution bringing value to our customer, A, and overall is our EBITDA and margins growing? We can see operating leverage kick in. It's just that the way the accounting Ind AS rules are, we need to account for Propel Points as a gross number.

Manish Ostwal: Okay, sir, and can you guide us in terms of trajectory of our margin in next couple of years where we see margins playing out?

Avinash Godkhindi: So, we are looking at margins of about 15 to 16% in the next four years. That's something that we have already spoken of. And that's what we are a

iming towards.

Manish Oswal: And lastly on this recently equity raise which we have done, so what are the areas where we will be making the investment, especially in inorganic side? So, can you highlight the areas where we are putting our money?

Zaggle Prepaid Ocean Services Limited
February 07, 2025

Page 11 of 21

Avinash Godkhindi: So, we are looking at the areas like the merchant card systems. We are looking at payment systems. These are the kind of areas that we are looking at.

Manish Oswal: Okay, sir. Thank you.

Moderator: The next question is from the line of Parikshit Kabra from Pkeday Advisors Limited. Please go ahead. Parikshit Kabra, please go ahead with your question. Your line is unmuted. Parikshit Kabra?

Parikshit Kabra: Hi, Avinash. Congratulations on a good set of results. I was wondering if it was possible to provide guidance separately for your revenue guidance, separately for your two different businesses, that is the program fees and the Propel Points, instead of giving a collective guidance of 60%.

Avinash Godkhindi: Thank you, Parikshit. The guidance is very strong on both items, right? Both items are both revenue lines are going to grow very healthily. As you can see for the nine months as well, the growth on both Propel Points as well as Program Fees has been extremely strong. And even our SaaS fees has grown pretty well. So, we are seeing growth across all three lines, especially Program Fees as well as Propel Points.

Parikshit Kabra: Got it. All right, fine. And then, but with the announcements that you have made and the fact that, you know, there are even more under the hood, I would have thought that your Program Fees should be outpacing the growth of your Propel Points. That's not something that you are seeing.

Avinash Godkhindi: So, current year, yes, that's going to happen. If you look at the nine-year numbers, I think nine month numbers, this has grown at about (wrongly spoken on the call it should be read as 110%)

Program Fees, right. So, that's higher than Propel Points, and the momentum is very strong.

Parikshit Kabra: All right, great. All right, thanks. Thanks a lot, Avinash.

Moderator: Thank you. The next question is from the line of Devesh Kasliwal from Antique Stock Broking. Please go ahead.

Devesh Kasliwal: Yes. Good evening, sir, congratulations on a great set of numbers. First question was like, what

I understand is that the basis of the margin expansion is on the fact of reduction of cash back expense as well as acquisition cost. And I think you had mentioned around 33% of the overall revenue is cash back currently what you are estimating. So, what can that be over the longer period of time? What can it come down to? That was the first question.

Avinash Godkhindi: See, the margin expansion would be through multiple ways. Obviously, operating leverage kicks in. Obviously, our cashbacks go down over time. We will see a lot of our other costs also go at a much smaller, lower pace than our revenues. The acquisitions that we are looking at are highly
Zaggle Prepaid Ocean Services Limited
February 07, 2025

Page 12 of 21

EBITDA accretive and they are coming at a great multiple for us. So, those all would contribute in expanding margin.

Devesh Kasliwal: Okay. So, a much concentrated question, so if you look at the acquisition and retention cost, given the fact that we were trying to get customers with higher revenue potential, it had gone up in FY '24 to around 1.4 million, right. So what can that be? Like will that be a consistent number now? Or are we expecting that to increase, given we are trying to achieve better customers and

create a better system for them?

Avinash Godkhindi: No, see, every year we keep adding new customers and over time we see that a lot of these customers, the amount of revenue that we generate on a per year basis because we cross-sell, upsell, there is more deeper penetration for the same product within the organization. You know, the quantum of revenue grows disproportionately when comparing with regular inflation et cetera, right?

So, that's the benefit of a SaaS business because this sort of business allows you to acquire the corporate and then keep generating more and more revenues on a year-on-year basis as long as your platform is valuable to the corporate.

Devesh Kasliwal: And sir, the recent partnerships that we had HDFC Bank for the three-year period and the other clients like Strada and all, so this will definitely increase the revenue per user that we are getting, right, which has already seen a uptick from around Rs. 1,000 to around Rs. 1,066. So, what can the limit on that on a yearly basis be? Like can it go to around 2,000, 3,000 basically?

Avinash Godkhindi: So, the partnerships will also help in a big way. HDFC, Mastercard, Strada, all these partnerships are great partnerships which would add both to our top line and bottom line. It's a little premature for us to attribute a certain number saying this is how much we will benefit from these partnerships in terms of our per user revenue. But we are very confident that these are great names, great companies with great customer bases, and we are very confident that this is going to add a lot of value to our top line and bottom line in the coming years.

Devesh Kasliwal: Thank you, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Shrinarayan Mishra from Baroda BNP Paribas. Please go ahead.

Shrinarayan Mishra: Hi, thank you for the opportunity. So, my question was again on the revenue mix. So, directionally, in medium term, how do you see the revenue mix and how big can the Propel revenue be of the overall pie, let's say, in one or two years?

Avinash Godkhindi: Sir, we are seeing great growth in all three lines, right? But in the next two, three years, we see our Program Fees grow at the fastest pace because there is a lot of traction there. And then, of course, SaaS is very critical for us, and that's growing healthily as well. Propel Points continues to grow. There is a lot of momentum in the ecosystem there. So, that's also growing. So, hard
Zaggle Prepaid Ocean Services Limited
February 07, 2025

Page 13 of 21

for us to say how the mix would look in the next two, three years, but we definitely believe that Program Fees would be growing the fastest.

Shrinarayan Mishra: So, the new customers which you are onboarding, is there any possibility to categorize? So, most of them are the revenues are going to Propel or towards program and software fees. Any kind of color on that?

Avinash Godkhindi: Sir, so the customers that you are signing, for example, for BROME, their revenue sits with SaaS and program fees, right?

Shrinarayan Mishra: So, most of the customers are there in those buckets. So, this should go meaningfully. That's what we should really try.

Avinash Godkhindi: Yes, because you can't earn Propel Points revenue on those products, sir. Propel Points revenue only comes on the Propel contracts.

Shrinarayan Mishra: Right. And whenever you do cross-selling, then there are chances that the Propel Points could increase. But as of now, that's not how it looks like, right? So, in the near term, these two buckets would grow faster, right?

Avinash Godkhindi: Yes, these two buckets grow

fast.

Shrinarayan Mishra: And just last question . So, in Q4, so seasonality wise if we see propel , so Q4 would be bulky , right? So, Q4, Propel would have higher sell, right , in the overall revenue mix?

Avinash Godkhindi: Not necessarily , sir.

Aditya Kumar: Revenue wise, yes.

Avinash Godkhindi: Net revenue wise.

Aditya Kumar: Net revenue wise obviously it is lower margin. But on a gross revenue wise, yes.

Avinash Godkhindi: Gross revenue wise, yes.

Shrinarayan Mishra: So, because for Propel , the seasonality is in Q4. So, in again Q4, we can see margins to look optically on the lower side.

Avinash Godkhindi: No, it's again premature . So, Q3, Q4 both is season for Propel. Q3 being the festive season in India for rewards . So, I think it's hard for us to comment right now. But what we are seeing is that, you know, the momentum is great across BROME , across our expense management platform , and as well as Propel is growing very well as well.

Shrinarayan Mishra: Okay, thank you so much.

Zaggle Prepaid Ocean Services Limited

February 07, 2025

Page 14 of 21

Moderator: Thank you. The next question is from the line of Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora: Good evening , sir. Thanks for the opportunity. Sir, I just want to understand your guidance for FY '26, because what you said is for FY '25. So, both on top line and EBITDA margins , how one should look at it?

Avinash Godkhindi: So, on the guidance, we just upped the guidance to 58% to 63% for our top line, right?

Rohan Mandora: That's for FY '26?

Avinash Godkhindi: What 's that?

Rohan Mandora: For FY '26 as well it's similar guidance. I was asking about FY '26?

Avinash Godkhindi: 25. This is FY '25. This is FY '25. FY '26, we will come back to you on that one.

Rohan Mandora: Sure. Second was that there was recently an announcement from RBI wherein a prepaid card can be used on UPI with a third -party payments app. So, just want to understand its impact on our business.

Avinash Godkhindi: Yes, these are all great pieces of news Rohan. This opens up engagement on our app, and there are certain steps to take to qualify and to get there, but we are in the process. And those are all very positive pieces of news for us.

Rohan Mandora: Right . So, I understand that the address able market here maybe increases, but just on the interchange , will there be any impact here or do we have any bargaining power here? Just want to understand that things .

Raj P Narayanam: So, if you look at it, Rohan, the interchange on UPI on prepaid is about 1.1%. You know, what we see overall is that when the mix happens and the number of transactions which will start happening on UPI specifically from the system , I think it will have a very positive blend to the overall interchange numbers . So, there will be a positive spike on the number is how we look at it. And if you see, you know, one of the acquisitions which we are doing is also on these lines , you know, to be able to actually run the entire UPI switch per se.

Rohan Mandora: Sure. And lastly, just on the OPEX line items for 3Q, the employee expense at 17 crores, which is higher than, say, the earlier run rate of 14, 15 crores that we were having. So, is this a normalized run rate incrementally? Does this build in the annual incentives and everything in this run rate? Just want to check that. And also on the other OPEX , there is a jump from 17 crores to 22 crores. If you can explain that.

Aditya Kumar : So, employee cost is normalized. That includes 2 crore of ESOP expenses, Rohan. And this is factored in normal employee growth level, which we had in the paper. And OPEX growth, Zaggle P

repaid Ocean Services Limited

February 07, 2025

Page 15 of 21

because as we are in the growth phase, right, we are investing so much in the products. There were multiple products which were launched in Q3 in terms of the fleet, etc. All those investments are happening in that. That's why OPEX has been growing .

Rohan Mandora: So, this again will be normalized on that incrementally or is there any one-off in this other OPEX ?

Aditya Kumar : It's not like, since the amount is not higher compared if you look at it as in quantification, just 4 crores, which is like reasonable for our set of the operations . So, possibly you might see a little bit of lower expenditure in the Q4, but as the business grows, even that will be under the percentage of revenue if you look at it, that will be a normal number , Rohan .

Rohan Mandora: Got it. And lastly, the conglomerate account that we talked about where we have entered into partnership recently , what kind of an annual revenue potential can this kind of an account have?

If you can just share some outlook here.

Raj P Narayanam: So, you know, depends on the conglomerate person, you know, what kind of use in a conglomerate, but on an average, per account, you can take the potential could be to do about anywhere, about 50 to 65 crores per conglomerate is how you can look at it. That is the number which we have done. This is one conglomerate, and we are thinking that in and about, more or less, the behavior would be same.

Rohan Mandora: Sure. Thanks. Sorry, just lastly, if I can fill in one more. The Program Fees revenue that we have, if you give the break-up between the three business lines for nine months?

Raj P Narayanam: Yes, we will do that offline. We will send it to you, Rohan.

Rohan Mandora: Sure, okay, fine. Thank you.

Raj P Narayanam: Thank you.

Moderator: Thank you. The next question is from the line of Debashish Majumdar from SVAN Investments . Please go ahead.

Debashish Majumdar: Good evening. Thank you so much for taking my question , and congratulations on a very good set of numbers , and also, congratulations for adding names like Zepto and Blink it to our kitty.

So, I have three questions, basically.

So, first question is linked to the Program Fees. If I see my Program Fees post Zoyer's launch in Q3 FY '24, we have reached a number of 137 crores on a quarterly basis and since then we are kind of at that range only. So, the two points I am trying to understand. One is, is it like Zoyer is not firing up the way we thought from the initial benefits that we got in Q4?

Zaggle Prepaid Ocean Services Limited

February 07, 2025

Page 16 of 21

And the second question is, are we at the, I mean this is a contra to the first question itself . Are we at the inflection point for Zoyer's revenue to be booked going forward because of the big names that we have signed in the last two to three months? So, that is my first question.

Avinash Godkhindi: There is a certain amount of seasonality there at play, and overall, a lot of these contracts are going through their go-live and you will see, you know, the benefit or impact of that in Q4. I will just leave it at that.

Debashish Majumdar: So, should we take it like this way that in Q4 the sequential growth in Zoyer revenue or the Program Fees revenue would be significantly higher?

Avinash Godkhindi: I mean that would be too specific for me to comment, but I think , you know, the reads are good.

Debashish Majumdar: Okay, thank you. The second question is, when you look at my margin, obviously currently it is under pressure or it is stagnant because of the Propel platform revenue growing faster than our overall revenue . So,

just wanted to get some sense that what is the incremental revenue or what is the margin for the Program Fees or Interchange revenue that we can book at the EBITDA level because we seem to be very confident of 15, 16% kind of EBITDA margin over next four years. And this is like from 9% to 16%. This is like almost doubling our margin levels . So, is it like our Zoyer margin or Interchange margin is double of the Propel platform margin that we report?

Raj P Narayanam: See, thank you for this question , and I will give you a detailed answer for this. Obviously, one of the acquisitions which we are doing is on a merchant card system. When you deploy that particular SaaS product at the merchant store level, your Propel margins are going to increase significantly. So, today , we just buy and sell. Okay. And that is why those incremental margins on the issuance side don't come to us. The ability to enjoy the breakage does not come to us. You know, when both of these come, the rendered margin is much higher.

Second is the rate of growth in SaaS as well as in Program Fees is going to be much, much higher. As I just told another analyst is that, you know, these conglomerate accounts, which we have started cracking, have a huge potential of anywhere between 50 to 65 crores, you know, per conglomerate, okay? If we are able to get about, you know, 10, 15 corporates over the next two, three years, you are talking about the 500 to 600 crores revenue coming from these conglomerates, okay , where the margins and these conglomerates operate more and more on the program and SaaS fee and less and less on the Propel .

So, the way we are looking at it is that the Propel margin has to go up. The revenue on the program fees and the SaaS fees has to go up. That is how we are looking.

Moderator: I am sorry to interrupt.

Raj P Narayanam: This is two more points.

Zaggle Prepaid Ocean Services Limited

February 07, 2025

Page 17 of 21

Moderator: Yes, sir, we can hear you now. Please go ahead.

Raj P Narayanam: Yes. So, I am saying that, you know, there is a, you know, maximum possible expansion of margin in Propel . Beyond that, it might not go. But, you know, on the program fees, you know,

the ability to grow is much higher .

So, how we look at it and why we are confident, we have guided about 9% to 10% EBITDA margin for this year, and we had said that maybe 10% to 11% next year. So, our range remains between 9% to 11% for this year and next year. But post that, there will be significant expansion as both these acquisitions which are in play would come into action and the blended margins would be much, much more higher .

So, if you remember, if you have tracked this for some time, you please look at our '22 margins. '22, you know, we were at 16% EBITDA. Okay. And from that 16% EBITDA is what we came down when we started investing heavily, you know, into the various kinds of other programs which we started, you know, to sell more and more. And there was a significant cost, you know, which we had to incur in developing Zoyer. Plus Propel also started expanding .

So, if I were to go back to those 2022 days, it is not very difficult for me to see how we will achieve about 16% EBITDA . And that is our stated goal, that we will reach about 15 to 16% EBITDA in the next 3 to 4 years.

Debashish Majumdar: Sure. So, thank you very much for the detailed answer . So, just one addition to this. You must be tracking your Interchange fees EBITDA separately. Has it already used to that 14-16% bracket that you were talking about?

Raj P Narayanam: In terms of if you could just repeat the question or rephrase it?

Debashish Majumdar: So, what I am

saying is the inter-charge EBITDA margin for your interchange fees or program fees that you must be tracking .

Raj P Narayanam: Interchange is much higher. Oh no, no. Much, much higher. Much, much higher.

Debashish Majumdar: Okay . So, that is what is giving us confidence of...

Raj P Narayanam: Oh, yes, absolutely. Absolutely. You put that, you remove Propel , it's much, much higher.

Debashish Majumdar: Okay. And the last question is, you have said that two announcements of acquisition, I mean, two announcements which are at the final stage of discussion. Can we expect the acquisition announcement to happen to this financial itself?

Raj P Narayanam: No, this financial year may not be possible while we will try our best. As I explained earlier also, there are various processes which we have to follow . So, all those processes take time. We are at advanced stage. May not be able to tell you exactly, precisely that we will be able to do it

Zaggle Prepaid Ocean Services Limited

February 07, 2025

Page 18 of 21

within this quarter. But we are very, very hopeful that all the three, actually two are big ones, the third one is a smaller one, that we should be able to complete all three in the next year. And before the next year ends, we should be able to close it.

Debashish Majumdar: Sure. Thank you so much. Thank you so much for answering the question and wish you all the best.

Raj P Narayanam: Thank you.

Moderator: Thank you. The next question is from the line of Aman Saifee from I Wealth Management . Please go ahead.

Aman Saifee: Thank you so much, sir, for the opportunity. And congrats on a very good set of numbers. Sir, I wanted to understand on our Program Fees business , sir, what I see is that you are consistently expanding your customer numbers quarter -on-quarter basis from past four quarters. And your existing client GMV would also have been increasing. Then sir, while our program fees number has been flat from past four quarters, it has been in the similar range of 136 crore.

Avinash Godkhindi: No, I think there is a lot of seasonality as I mentioned on the call as well. So, looking at it from comparing Q4 of a year with Q1, Q2 or even Q3 of the next year is not necessarily a fair comparison.

The other thing also, of course, is a lot of these contracts that we have signed are large enterprises . So, they have their own gestation period to go live. And many of them, they go live, but they don't start, you know, the cards, for example, on the prepaid cards, the cards need to be, first of all, issued, then loaded. And, you know, the whole training has to be done from the software. And then the card usage starts, right? So, we see that and a lot of the usage happens in the Q4. So, we anticipate Q4 Program Fee numbers to be much more robust .

Aman Saifee: So, Avinash, you are trying to say that the customer which you would have signed in the quarter of March 24, wouldn't have actually started contributing to you yet.

Avinash Godkhindi: See, there is a lot of different behaviors. Many of them have started to contribute. Many of them can contribute a lot more. Some of them, you know, are in the process of contributing, right? Because you are talking of hundreds and hundreds of corporates here. So, behavior will be different .

Aman Saifee: So, what is an average gestation period to come live on to your business?

Avinash Godkhindi: Completely depends on the nature of the contract and whether they are taking only one solution, two solutions. We are also trying to now bundle solutions, like I gave the example of Zepto, where they are both on Zoyer and SAVE . It's very effective to try and sell both or a

Il three

solutions right at the time of sign up, right? So, that's our Endeavour now.

Zaggle Prepaid Ocean Services Limited

February 07, 2025

Page 19 of 21

Aman Saifee: No, Avinash, when I say about the seasonality, what is it exactly? Because when I see your Program Fees business and I divide it by 1.71%, which is generally your interchange income, from the past four quarters, your GMV would have been at 8,000 crores. It is not growing. That means the spends are not growing at the customer end. Is this the right understanding?

Raj P Narayanam: No, it is not the right understanding because if you do 1.71, that is a blended rate, you know, which has come in, okay? So, there will be spends, you know, which are happening at a lower interchange. There are spends which are happening at a higher interchange. So, while our GMV has been constantly growing quarter-on-quarter, you know, the blended margin which comes in, you know, certain areas like on fuel, you have like a surcharge on fuel, okay?

So, if you look at that grocery, there is a less percentage, you know, which is there. You know, like that, there are various categories, okay? Only the e-com category which is higher is like you have about 2.2%, okay?

So looking at that, what happens is, it's not GMV if you track on, you know, quarter-to-quarter basis is consistently and constantly growing. What the mixture which you are seeing is, this is the spends happening on lower interchange category and the spends which are happening on higher interchange category.

That blend which is coming looks like, to you, it will look like as if, you know, the spends, there is no growth in the GMV, whereas we are seeing very, very decent, about 15% to 17% growth on a quarter-to-quarter basis.

Aman Saifee: I understand, sir. So, sir, last question and my request from my side that sir, is it possible for you to share the, say, Propel and Zoyer's contribution on the Program Fees side? Because, sir, as an analyst, it's very hard to track how the growth is happening on the Program Fees side. Because, you see, Propel has been increasing on a very healthy stage, right?

Avinash Godkhindi: Yes.

Aman Saifee: So, it is rightly possible that your Propel program fees would have been increasing, but not the SAVE and Zoyer one. So, it is...

Raj P Narayanam: If you see on Propel, there is hardly any program fees is a limited part of, you know, on the Propel platform. And Propel Points, there is, you know, the margin is always a little bit here, there. There is no on Propel Points per se. You know, we don't see that there is any deviation there. Okay.

But in terms of, if you look at SAVE as well as this, they have been growing very, very healthily.

So, both of these, SAVE as well as Zoyer. And we will be very happy to share. Please set up a call with us separately, and we will be very happy to give you any detailed information which you may want to seek.

Zaggle Prepaid Ocean Services Limited

February 07, 2025

Page 20 of 21

Aman Saifee: Sure, sir. Sure. Thank you so much. That's it from my side. All the best, sir.

Raj P Narayanam: Thank you.

Moderator: Thank you. The next question is from the line of Prateek from Bandhan Asset Management. Please go ahead.

Prateek: Yes, hi. Sir, just one small question on your software side of the business. Look, the growth rates are quite muted. Are they tracking the number of corporates which you have onboarded or it's slightly lower? Can you just talk a bit about that?

Avinash Godkhindi: So, we are tracking obviously both the number of corporates as well as number of users. And the nature of SaaS businesses is that because

we are dealing with enterprise and not SMBs, you

know, these are very sticky types of revenue, but their growth rates obviously will take longer for those to grow at a much faster pace than, you know, say a Program Fees or Propel.

Prateek: And just with the BROM E product, which has been now live, and you are onboarding quite a few of customers, will we see an inflection? I think that is what you were trying to hint on the software side of the business, that in the next couple of quarters, we could see an inflection over there where the growth rates would be quite higher than what they are in the previous past.

Raj P Narayanam: Yes, absolutely, Prateek. We will definitely see that next two to three quarters, there will be marked improvement specifically in terms of the software contracts. And all contracts which we have signed in the last three, four quarters are also going live at a hectic pace. So, overall, we see a huge positive in terms of the next two, three quarters.

Prateek: Got it. And one last question. I think you called out other expense increase is because of investments which you are doing. I would have thought the nature of your business such that the employee costs would have been major heads in which you will do investments, right, in terms

of building out software, etc. So, just curious, why other expenses? What is this which has led to this increase of 4 crores on a quarterly basis Q-o-Q?

Aditya Kumar : So, basically, Prateek , there were a couple of products which went live during the quarter, right? That requires one kind of, and which can't be capitalized. Those are ad hoc expenses, which we need to put it every time whenever the new product launch happens . So, especially in the Q3, we have launched fleet solutions with the couple of clients who also went live on that process. That requires an additional cost.

Prateek: Understood, understood. And given the healthy gross margins which are there in the software side of the business and what we just discussed, next couple of two quarters, we will see margin expansion happening, right? I mean , just inferencing from what you said. Obviously, how the part of businesses how they will shape up. But a lot of the software should flow down , right?

That's a fair understanding.

Zaggle Prepaid Ocean Services Limited

February 07, 2025

Page 21 of 21

Avinash Godkhindi: Yes, the software, literally almost everything flows down and that's the intent that we expand on the margins. That's what is our continuous focus internally with all our teams . That's what we are pushing for. And that's the endeavor, Prateek . Yes.

Prateek: Fantastic. Thanks and best wishes.

Raj P Narayanam: Thank you.

Avinash Godkhindi: Thank you so much.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today.

I would now like to hand the conference over to the management for closing comments.

Avinash Godkhindi: Thank you all for participating in today's call. We hope we addressed all your queries and provided some valuable insights. We remain extremely optimistic and focused on the future growth of the Company . And we are excited about the opportunities ahead. For any further information, we request you to get in touch with SGA, our Investor Relations Advisor. Thank you and have a great day and a great weekend. Thank you. Bye.

Moderator: Thank you. On behalf of Zaggle Prepaid Ocean Services Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

ZAGGLE/25-26/19

May 19, 2025

To

Listing Department

NATIONAL STOCK EXCHANGE OF INDIA LIMITED

Exchange Plaza, Plot No C/1, G Block

Bandra Kurla Complex, Bandra (East),

Mumbai -400 051, Maharashtra

Company Symbol: ZAGGLE To

The Corporate Relations Department

BSE LIMITED

Phiroz Jeejeebhoy Towers,

25th Floor, Dalal Street,

Mumbai -400 001, Maharashtra

Company Scrip Code: 543985

Dear Sir / Madam,

Sub: Transcript of Earnings Call held on May 12, 2025.

Pursuant to the Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations 2015 and further to our letter dated May 06, 2025, please find attached the Transcript of the said earnings call on the Company's operational and financial performance for the quarter and financial year ended on March 31, 2025, and the same has been uploaded on the website of the Company on the following web-link:

<https://ir.zaggle.in/wp-content/uploads/2025/05/earning-call-transcript-Q4FY25.pdf> .

We request you to kindly take the same on records.

Thanking you,

Yours faithfully,

For Zaggle Prepaid Ocean Services Limited

Hari Priya

Company Secretary and Compliance Officer

Encl. As Above

Page 1 of 20 "Zaggle Prepaid Ocean Services Limited Q4 & FY '25

Earnings Conference Call"

May 12, 2025

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 12, 2025, will prevail.

MANAGEMENT : DR. RAJ NARAYANAM – FOUNDER AND EXECUTIVE CHAIRMAN

MR. AVINASH GODKHINDI – MANAGING

DIRECTOR AND CHIEF EXECUTIVE OFFICER

MR. ADITYA KUMAR – CHIEF FINANCIAL OFFICER

MODERATOR : MR. ROHAN MANDORA – EQUIRUS SECURITIES

Zaggle Prepaid Ocean Services Limited

May 12, 2025

Page 2 of 20

Moderator: Ladies and gentlemen, good day, and welcome to Zaggle Prepaid Ocean Services Limited Q4 FY '25 Earnings Conference Call, hosted by Equirus Securities.

As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

This conference may contain forward-looking statements about the Company, which are based on the beliefs, opinions, and expectations of the Company as on the date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Rohan Mandora from Equirus Securities. Thank you, and over to you, Mr. Rohan.

Rohan Mandora: Thanks, Avirath. Good evening, everyone. Thank you for joining the call. I extend a warm welcome to everyone. On behalf of Equirus, I welcome the management of Zaggle Prepaid Ocean Services Limited to give a brief update on 4Q FY '25 results and address investor queries.

We have with us from the management team, Dr. Raj Narayanam – Founder and Executive Chairman; Mr. Avinash Godkhindi – MD and CEO; and Mr. Aditya Kumar – CFO.

We will now begin with brief opening remarks from the management post which we can have

Q&A.

Thank you, and over to you, sir.

Raj P Narayanam: Thank you. Thank you, Rohan. A very good evening to everyone. Thank you for joining the earnings call for Zaggie Prepaid Ocean Services Limited for the 4th Quarter of Fiscal Year 2025.

On behalf of the Company, I extend a very warm welcome to all of you.

On this call, we are joined by Mr. Avinash Godkhindi – MD and CEO; Mr. Aditya Kumar – CFO; and SGA, our Investor Relations advisors.

The Financial Results, Press Release and Investor Presentation are uploaded on the Stock Exchanges and on the Company Website. I hope everybody has had a chance to look at it.

Now, I would like to give you the Zaggie business update:

FY '25 has been an outstandingly remarkable year for Zaggie as we achieved our highest ever annual performance.

Talking about the quarterly performance:

Zaggie Prepaid Ocean Services Limited

May 12, 2025

Page 3 of 20

Comparing Q4 FY '25 to Q4 FY '24, the Company reported a very healthy growth in revenues at Rs. 411 crores, growing at around 51%. Our adjusted EBITDA increased to Rs. 38 crores, growing at about 40%. The PAT surged to Rs. 32 crores, growing significantly at 67%.

Talking about the annual performance:

Comparing FY '25 to FY '24, the Company reported a healthy growth in revenues at Rs. 1,303 crores, growing at around 68%. Our adjusted EBITDA increased to Rs. 125 crores, growing at around 46%. But the beauty was the PAT surged to Rs. 88 crores, growing significantly at 99%, well above our earlier guidance.

I would want to give you an overview of Zaggie's investment and investments and acquisitions:

Our inorganic growth approach is aptly reflected in the words of Salesforce CEO, Marc Benioff.

"When you combine two companies or more, you just do not get scale, you get a new story".

Inorganic growth continues to be a key pillar of our growth strategy as we build a comprehensive bouquet of spend management solutions to further deliver value to our customers.

During the year, we closed the acquisition of TaxSpanner, completed the strategic investment in Mobileware Technologies, and have received Board approval for a strategic investment in EffiaSoft Private Limited. These investments are helpful in enhancing our client servicing capabilities in tax, UPI, and payment solution segments. We see massive growth opportunities for TaxSpanner in FY '26, with one such promising opportunity in the g

ig worker ecosystem

where we have launched a solution called ZUGS, Z-U-G-S, Zaggie Unified Gig Worker Savings.

Nearly 20 million low income blue-collar workers in India face critical financial challenges.

Despite having TDS deducted from their income, many do not file their income tax returns, preventing them from claiming tax refunds that could amount to nearly two weeks or more of earnings, a sizable amount for these blue-collar workers. ZUGS, our comprehensive solution featuring a DIY journey with multilingual support to enable gig workers to claim their refunds in a seamless manner.

While last year was a consolidation year for TaxSpanner where we invested a lot of time, money, and effort in the product, the growth was a little bit subdued at about Rs. 3.35 crores (Note: Rs. 3.35 crores is FY25 revenue of TaxSpanner). But this year, we look at a growth of about 60% to 70%, which we expect that we will be able to do it with relative ease.

Mobileware estimated revenues grew from Rs. 17.06 crores in FY '24 to Rs. 33.89 crores in FY '25, representing a remarkable Y-o-Y growth of 98%.

In FY '25, we signed marquee customers like IDFC Bank, Easebuzz, Catholic Syrian Bank, and CamsPay, amongst others. The largest growth contributor was the implementation of API banking layer in Suryoday Bank, allowing multiple merchants to take advantage of our UPI

Zaggie Prepaid Ocean Services Limited

May 12, 2025

Page 4 of 20

payment ecosystem. The stellar growth in FY '25 not only strengthens Mobileware's ability to onboard new banks in FY '26, it also enables Mobileware to command a higher price point, improving the overall financial middle fees.

We continue to explore M&A opportunities in adjacent spaces in domestic and international markets with a focus on opportunities in payment solution, loyalty management, merchant card software, and so on and so forth in the payment's domain. We focus on targets that have stellar management teams, sound business help, are product accretive, and easy to integrate across the

Zaggle ecosystem to establish a strong strategic foundation that aligns with our long-term objective of scaling to 1 billion in annual revenue.

I am happy to announce that we have also signed a MOU with Mesh Payments, a US-based, AI-powered travel and expense management platform backed by a seamless technology exchange. This partnership not only reflects our offering to Indian customers looking to streamline and manage their global expenses, it also unlocks access to global go-to-market opportunities. While we continue to consolidate the market in India, this partnership gives a boost to our international expansion plans.

Now I would like to give you the industry and Zaggle product update:

Building on Steve Jobs' classic idea, "innovation distinguishes between the leader and a follower". We at Zaggle have reimagined the idea as – "AI-powered innovation, separating the disruptors from disrupted".

We aim to fundamentally transform how businesses approach spends by becoming the default spend management infrastructure for companies and establishing ourselves as a truly AI-powered SaaS Company.

We are transitioning from static rule-based systems to a dynamic, intelligent, context-based platform that continuously evolves and self-optimizes over a period of time. We are seeing the emergence of Model Context Protocol (MCP) within the Agentic AI. Agentic AI does not just support decisions but takes autonomous action. MCP is an open protocol that acts as a bridge between applications, such as Zaggle, and the large language models. MCP standardizes how agents would interact with other tools, datasets, and associated environments within the Zaggle ecosystem, which would translate into a faster onboarding, accelerated revenue realization, and a greater satisfaction and retention.

We are implementing these AI workflows across our EMS, Zoyer, Propel offerings to keep delivering innovat

ive solutions that set a new benchmark in industry. Currently in the pilot phase, "Zaggle Co-Pilot" would serve as an AI assistant for our finance teams, streamlining workflows and enabling smarter, faster decision-making and reducing human interface. We are currently leveraging advanced conversational AI technologies to fundamentally reshape the way we engage with customers and users, delivering multilingual personalized and real-time interactions at scale.

Zaggle Prepaid Ocean Services Limited

May 12, 2025

Page 5 of 20

Looking ahead, our strategy is clear, focusing on intelligent automation, invest in product-led growth, and scale responsibly. We are building capabilities for global enterprises while delivering long-term value to our stakeholders.

Now I would like to give our guidance for FY '25-'26.

Amid global geopolitical uncertainties and macroeconomic volatility, we currently project our standalone, and I repeat the word standalone, FY '26 revenue growth to range between 35% to 40%. Last year, FY '25, our guidance on standalone EBITDA margin was between 9% to 10%, and we are happy to announce that we are upping our guidance to 10% to 11% in the coming year, in FY '26. Hopefully our entire goal of achieving 12% to 15% EBITDA margin over the next three, four years, this year would be a deciding year for that goal to be achieved.

I now hand over to our CEO – Mr. Avinash Godkhindi.

Avinash Godkhindi: Thank you, Dr. Raj, for your remarks. This year has truly been a landmark year for Zaggle. Reflecting on our journey, I am pleased to share that Zaggle now serves over 3,455 customers across diverse industries and sectors. We continue to maintain a churn rate which is below 1.5%, highlighting the strong trust our customers place in us, and the reliable value our platform consistently provides.

Our growth engine remains strong and predictable. We are harnessing the power of AI to drive strong, scalable and sustainable growths to unlock new business opportunities. Our AI-led approach positions us to stay ahead of the curb, and create long-term value across our core markets.

Today we are proud to report that we have over 3.28 million active users using Zaggle-powered cards and platform software. This is not just a milestone, it's a clear validation of our platform model and execution. We have launched the new Zaggle app to simplify expense tracking, wallet management and incentive monitoring. Our goals are to scale, enhance customer engagement, and increase automation, positioning Zaggle to drive financial innovation in India and beyond.

Coming to numbers:

During this quarter, our SaaS platform fee contributed Rs. 9.3 crores, our program fees contributed Rs. 157 crores, and our Propel Points contributed Rs. 245 crores. Not just that, we signed multiple marquee clients, including Indus Towers, Honasa Consumer, which is Mamaearth, Forbes Marshal, Truecaller International, Aster DM Healthcare, and many more,

expanding our client base.

To elaborate further on how we are helping our clients, one of our clients were providing in-house meals to their employees while deducting the cost from their salaries during payroll. This client faced challenges with manual tracking and post-months reconciliations, which made employees unhappy due to the deductions being applied to their post-tax income. To resolve

Zaggle Prepaid Ocean Services Limited
May 12, 2025

Page 6 of 20

this, we implemented the Zaggle Save solution, which provided tax benefits for their employees and automated the transactions, improving operational efficiency by implementing the need for reconciliations.

As we continue to pursue our platform-based approach, we anticipate rapid growth driven by a strong pipeline of new client acquisitions and effective cross-selling strategies. In Q4, we were able to cross-sell to a number of clients, including Tech Mahindra, Neuroglia Health, Physics Wallah, Zepto, and Wonde

r Home Finance, amongst others.

I would like to touch upon a couple of these examples:

Tech Mahindra is an existing customer for our Save solution. We recognize the potential for further collaboration and we successfully plugged in our Zatix solution along with a corporate credit card to enable seamless payments with complete visibility.

Likewise, for Physics Wallah, which is an existing customer of our Save solution, we were able to extend the BROME solution, which is Branch Recurring Operating Monthly Expenses, to streamline and manage their 850 branches across the country more effectively with complete visibility.

During the quarter, we announced key collaborations. As a part of the ongoing growth strategy, we entered into strategic collaborations with GIFT City, where we are launching a co-branded prepaid citizen card designed to streamline payments and deliver seamless user experience across a range of services within the city. Additionally, we will implement a robust visitor management software system aimed at enhancing administrative efficiency across the GIFT City ecosystem. These initiatives position us as a key enabler of GIFT City's smart city vision, which also is opening up long-term revenue opportunities through recurring transactions and data-driven service enhancements.

We have also partnered with Thomas Cook with the aim of transforming the global travel experience, corporate travel experience, by leveraging their comprehensive travel management expertise to complement our AI-driven expense solution. This will help us provide a seamless integrated offering for domestic and international corporate travel with streamlined workflows and complete visibility.

We are also co-developing an innovative employee benefit solution, the Smart Employee Purchase Program, Smart EPP, in partnership with Redington Limited, which is in collaboration with Google. This offering will be a tailored solution for corporate clients of Zaggle, enhancing our value proposition in the employee engagement and benefit space. I am also pleased to share with you that Zaggle has been empaneled by Bank of India as an authorized issuer of prepaid cards, further strengthening our presence in the banking ecosystem and expanding our distribution network.

Zaggle Prepaid Ocean Services Limited
May 12, 2025

Page 7 of 20

Overall, as we build and scale Zaggle into a truly comprehensive fintech platform, I am proud to share some key milestones this quarter:

1. We received the TPAP approval from NPCI. This means we can now facilitate UPI-based payments directly through our app and our platform, impacting and enabling over 3 million users across all our services. This is a truly significant step in our mission to create India's most seamless and integrated fintech ecosystem.
2. I am delighted to announce that we have been recognized with an industry accolade. Zaggle has been named Financial Institution of the Year at Franchise India's fifth edition of Successpreneur Awards. This recognition, again, reflects the innovation, impact, and trust we continue to build across the ecosystem.

As always, our focus remains clear to deliver a comprehensive offering in the spend management space, expanding our reach to new clients, while increasing wallet share amongst existing ones. With every step, we move closer to becoming the platform of choice for companies across India. I now hand over to our CFO, Aditya, to take you through the finance updates. Thank you.

Aditya Kumar: Thank you, Avinash. Good evening, everyone. And thank you for joining today. I am delighted

to report that the Company has delivered another quarter and year of strong performance with robust revenue growth coupled with margin expansion.

I would like to give you an overview of our latest quarterly results first.

In Q4 FY '25, we saw robust revenue growth of 51% Y-o-Y, reaching to Rs. 411 crores. This growth was seen across all revenue streams

with the Propel platform raising up by 91% Y-o-Y, while program fees grew by 15% Y-o-Y. Other expenses increased primarily due to higher sales and marketing spent during the quarter. Employee costs remained stable on sequential basis, but increased Y-o-Y basis, driven by additional headcount to support business growth. This quarter also included certain transactional and legal expenses related to our inorganic expansion. Our adjusted EBITDA grew by 40% reaching to Rs. 38 crores this quarter compared to Rs. 27 crores in the same-period last year. The increase in depreciation expenses is primarily driven by product capitalization during the year which includes our new office building as well. Our cash PAT which includes net profit along with depreciation and ESOP expenses saw an 86% increase Y-o-Y basis, totaling to Rs. 39 crores. Furthermore, our PAT rose by 67% from the previous year reaching to Rs. 32 crores.

For FY '25, our revenue from operations has increased by 68% Y-o-Y basis to Rs. 1,303 crores. Our Propel platforms saw an increase of 71% Y-o-Y basis and our SaaS fee saw an increase of 12% Y-o-Y basis. We observed a 70% Y-o-Y increase in the interchange fee which has become a significant contributor to our revenue. This growth is largely driven by performance of our Zoyer and BROME solutions along with organic growth in the Save and Propel businesses.

Zaggle Prepaid Ocean Services Limited

May 12, 2025

Page 8 of 20

Additionally, there has been a notable rise in credit card issuance under the Zoyer offering. Our adjusted EBITDA surged by 46% reaching to Rs. 125 crores. PAT rose significantly totaling to Rs. 88 crores which represents a 99% Y-o-Y increase. Additionally, our cash PAT experienced a substantial growth increasing by 66% to Rs. 111 crores. During FY '26, we anticipate recording ESOP expenses in the range of Rs. 9 crores to Rs. 10 crores.

Our cash flow generation has improved significantly compared to last year. The cash flow from operations stood at Rs. 19.8 crores in FY '25 compared to negative number in FY '24. Our DSO improved from 82 days in last year to 60 days at the end of this year.

With that, I would like to conclude my update, and we are happy to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Swayam from PinpointX Capital. Please go ahead.

Swayam: Sir, my question is related to our program fee growth. So, as we know that one of our main focus is on the growth of our program fee, so is there any reason why suddenly growth has been at 15% around? And what is your outlook going forward, like how are we going to increase the transaction volume in this segment going further?

Avinash Godkhindi: Thank you. Thank you for your questions, Swayam. So, as you see in the year, we grew about 70% on program fees, right? I think you are looking at a quarter-on-quarter basis where we grew by about 15%. We have been focused on growing in a profitable way where we are able to increase our overall margins, and that has been the approach while working on improving our cash flow position. So, we want to grow, of course, but we want to grow profitably, and we want to grow in a manner which allows us to improve our cash flows as well. So, going forward also we see very strong growth in program fees. And overall, we have given a guidance of 35% to 40%, and we see program fees also growing in line with the same assessment for the year.

Swayam: And my second question is on the Propel part. So, the gross margin of Propel which is almost 10% this quarter assuming mainly due to the ORC. But if I look at that on the FY '25 basis, it's somewhere around 6%. So, can you please elaborate, like, why are these margins this year are at these levels? And also like in previous investor meet we were mentioning about acquisition of merchant platform, so can you briefly tell

me how this is going to help us in this segment going forward to increase the margins?

Avinash Godkhindi: So, as explained in the last call as well, we were expecting the margins in Propel Points to go up to 6% and we were able to achieve that, because of the ORCs as you rightly pointed out. Margins as this line of business has grown, will stay in this range of 6% to 7% for the coming year as well, and that's how we have estimated it. This is where the margins we anticipate to be on a standalone basis. Of course, the acquisition would help as and when we are able to close that because that allows us to be able to actually start issuing the gift cards for various merchants and dip into commissions from the merchants for issuing those vouchers, which is a SaaS income, Zaggle Prepaid Ocean Services Limited

May 12, 2025

Page 9 of 20

as well as expanded margins through breakage, etc. So right now the guidance that I am giving of 6% to 7% is on a standalone basis, assuming that the acquisition would happen as and when it happens.

Swayam: Okay, sir. I will get back in the queue and all the best for the future.

Avinash Godkhindi: Thank you.

Moderator: Thank you. The next question is from the line of Devesh Kasliwal from Antique Stock Broking. Please go ahead.

Devesh Kasliwal: Yes. Good evening, sir. And congratulations on a good set of numbers. First question was on the Mobileware acquisition. So, as far as I understand, this includes UPI payments for our platforms going ahead. So how is the revenue going to be recognized? And what is our take on it, as in, what will be the margin for this integration of our products with the UPI platform?

Avinash Godkhindi: So Mobileware is an investment. We have about 38% shareholding today there. And they have a very comprehensive, robust platform for a variety of NPCI technologies, obviously, UPI being the first, but IMPS, AePS, BBPS, etc. And they work with over 90 banks today. Obviously, post our investment it's been a plus for them to be able to acquire these banks and other fintechs. So from our perspective, we are today also acting as a customer of Mobileware, where we are using their pipes to be able to connect to NPCI for both our TPAP and our BROME solution, right? And that's how we look at it. But of course, we support the Company through our relationships and our connections to be able to increase their business.

Devesh Kasliwal: Okay. Thank you for that. Second question, in terms of customer acquisition cost, what was the number this year for the entire financial year? And additionally, the cash sitting on our books, so how are we going to deploy that over the current financial year, FY '26? What plans do we have on that front?

Aditya Kumar: So customer acquisition cost, it's around Rs. 360 crores, which we have spent in the current year. The cash sitting on the bank account side will be used for our regular working capital requirements, so which needs to be regularly invested on the product atomization and all other stuff. But otherwise the money what we had in terms of QIP, that will be utilized towards the respective objects, mainly towards the investment activity, acquisitions.

Devesh Kasliwal: Okay. Thank you so much, sir. I will jump back in the queue for additional questions.

Moderator: Thank you. The next question is from the line of Jalaj from Svan Investment. Please go ahead.

Jalaj Manocha: Thanks for the opportunity. So Avinash, just delving a little deeper, so specifically on the program fees, so you said that we are looking for a profitable business. So does that mean that we are saying no to a few transactions on some sort of business so as to ensure the profitability?

Zaggle Prepaid Ocean Services Limited

May 12, 2025

Page 10 of 20

And on what parameters is exactly that decision or what is deciding? Because I thought that it will be a standard margin product which is being sold right now. Could you talk a

little about it?

Avinash Godkhindi: Yes. So look at it in conjunction with the incentives that we give, and incentives we give to both users in Propel and Save, as well as incentives that we give at times to corporates in Zoyer. For the growth which has gone up from Rs. 137 crores to Rs. 157.1 crores in program fees, our incentives on the other hand have come down from Rs. 110 crores to Rs. 108 crores, right? So while the program fees has gone up by Rs. 20 crores, and I am doing a Q-on-Q comparison here, Q4 FY '24 to Q4 FY '25, the incentive number has actually gone down. So that is what I was trying to allude to, and thank you for your question, because you see the top-line has grown and the cost have come down, right.

Jalaj Manocha: Okay. And then specifically on the program fees or interchange, how is the traction specifically on the Zoyer cards? Because as per our understanding or whatever discussions we got that the product was a super star product and should have started to see a lot more traction. So are we seeing rather how far we from that inflection point of this Zoyer product? So what sort of traction are we seeing right now?

Avinash Godkhindi: Traction is very good. Traction is very good and we are continuing to grow there. The whole idea is to be able to, as I mentioned, optimize on profitability, optimize on cash flow while we grow, right? There is no point in our view to grow blindly without looking at these two other factors and that's why we are trying to balance it out.

Jalaj Manocha: Okay. And anything specifically is there a pressure or the take rates are different on Zoyer product versus the Save product per se, is that the reason why the growth hasn't as quick as you were expecting? Because ideally it's the products were so great that Y-o-Y I see, specifically for this quarter, it's just a 15% growth.

Avinash Godkhindi: No, no, take rates are not too different, they are all in the same range, in the range of about 1.7% to 1.75%. And the idea is, again, I am repeating myself that the whole idea is not to just grow but also to grow with better margins. We could have probably shown you much higher growth than at 15%, maybe we could have grown at 30%, 40% if we had given more incentives, right? We wanted to control the incentives and build that discipline in the market because we are not building for one quarter or one result, we are wanting to build that discipline and improve our incentive position over time for the coming quarters and coming years as well.

Jalaj Manocha: Fair point. Okay. So could you talk a little about the big quick commerce deal we had talked about? I guess that was for the Zoyer again. How is that shaping up and what sort of traction are we seeing there?

Avinash Godkhindi: Again, in each of these cases, there are multiple of these quick commerce deals that we have done with BigBasket, Zepto, Blinkit, etc. And each one of them is shaping up well. Traction is good. And we are now juxtaposing that with our ZUGS platform, Zaggle Unified Worker
Zaggle Prepaid Ocean Services Limited
May 12, 2025

Page 11 of 20

Savings. And that would then again further deepen our penetration with these companies and enhance the value proposition with these companies.

Jalaj Manocha: So, does it typically take a lot of quarters or a few quarters to scale up the businesses while you onboard a client? Again, just on an absolute terms program we should have scaled up because these are usually larger clients having huge expenses, per store I guess a few crores should come in. So, obviously, revenue will not flow but take rate is put in. So, sensible amount of revenue should have started to flow from them. So, does it take a few quarters to scale up?

Avinash Godkhindi: Yes, it takes a few quarters to scale up because there is adoption, there is education. You need to make sure that you are doing it in a manner which is giving the confidence to the CFO and her tea

m that they have control on the spends. So, you are talking of large enterprises and hundreds of crores of spends, so each Company has their own pace at which they want to roll it out.

Jalaj Manocha: Okay. So, how far are we from that inflection point or broadly in those accounts or for these larger accounts?

Raj P Narayanam: So, in three of these larger accounts we are live, and then there are like about four or so which would go live in, let's say, anywhere between four to six months, okay? And once you have gone live then the adoption starts. So you go live with, let's say, the 100 branches, then you expand it to maybe 500 branches. See the system stability, etc., and figure out that, okay, what are the various kinds of issues are there for that particular enterprise. Solve them and then scale them to however many stores. So post that initial setup of that 300 to 500 stores then you are able to expand it to maybe even to 3,000-odd stores, okay. So, that is how this entire thing functions. So from signing of the contract typically you will take anywhere between four to six months to go live in a very, very large account. Does that answer your question?

Debashish Mazumdar: Yes. This is Debashish, sir, so I work with Jalaj. So, just a small follow-up with a question that Jalaj was asking. So is it fair to assume that then this quarter is a kind of transition quarter for us, where because of the large size account capability that we have we are kind of sacrificing growth for those accounts where profitability is low? And that's why this quarter there is a lower growth in the program fees and going forward we will see much traction there?

Raj P Narayanam: So, let's not over simplify it, okay, because there is no clear cut formula for this. So, I would say that the growth has been healthy, okay, over last year. On the Q4 account what happens is this is Q4, Q4 there is like, last year Q4 was a bumper, bumper year and it has grown by another 15% over the Q4 of last year. What we see is that as we sign up more and more clients, overall, the pace of if you see Q4 of FY '26, you would see much, much more larger revenue increase over this quarter, last Q4 of FY '25. So, cannot say transition, but it is a constantly improving growth is how you would be able to see it.

Debashish Mazumdar: Got it. And one last question, quickly on the margins, so if we close the --
Zaggle Prepaid Ocean Services Limited
May 12, 2025

Page 12 of 20

Moderator: Hello, Mr. Jalaj, sorry to interrupt. May we request that you return to the question queue for follow-up questions as there are several participants waiting for their turn?

Debashish Mazumdar: Thank you.

Moderator: Yes. Thank you. The next question is from the line of Prateek Poddar from Bandhan AMC. Please go ahead.

Prateek Poddar: Yes, hi. Sir, two, three questions. One is, on a sequential basis I see a very sharp increase in

other expenses, so maybe you can help me understand what has happened over there. The other is when I look at your cash flow statements there is something called other current assets where a substantial amount of cash has been blocked, close to Rs. 40-odd crores, so you can help me understand what is that? That's second. And lastly, I see CAPEX which is quite high. Maybe you can just break that down between product development and other CAPEX, whatever you would have done. So three sets of questions.

Aditya Kumar: Yes. Hi, Prateek. So the other expenses sharp increases on account of the business promotion advertisement expenditure, which we have done in this quarter, like we did multiple conferences and all of the stuff. That's one. And second is also increase on account of the network charges and the switch cost what we have to bear when we have to integrate with any of these clients. So this typically comes when a new client addition happens and all of those things. As a percentage of revenue, if you see, it will be the stand

ard thing.

And moving on to the CAPEX item. So in the current year, if you see, we have launched two to three new products like Zatix and Fleet Solution and ZIP, etc., which was in the stage of under development stage that has been capitalized and moved to the intangible asset stage. And when it comes to the PPE, the new office building, which we have shifted, that is the standard increase. So third one on the other assets, other assets typically, this I have explained earlier also. So it includes you of two components. One is the voucher stock which we maintain on every monthly basis in order to meet the demand of the customers and clients. And second is the preloaded cards. So these two put together, we have close to around Rs. 152 crores. And rest of the total other current assets is around Rs. 170 crores, what you see in the balance sheet. These two put together as Rs. 152 crores and balance Rs. 14 crores, Rs. 15 crores are the reconciliation statement, which we do with the pool accounts. Out of this Rs. 152 crores, around Rs. 60 crores pertains to the gift voucher stock and around Rs. 90 crores pertains to the preloaded cards. So why this number is higher is because on account of two reasons. One, the business is increased significantly compared to last year and now. And second, if you see the March, especially what happened is 29, 30, 31 are the holidays. 31 is on account of Eid, it's an holiday. So where we have received the orders from the clients, but fulfillment was not done. So what happens is, in order to meet the demand on the timely demand and meet the SLAs with the clients, we have to load the cards upfront and deliver to them at the later point of time as soon

Zaggle Prepaid Ocean Services Limited
May 12, 2025

Page 13 of 20

as we receive the orders. Since three days are the holidays where we received the orders and fulfillment was not able being done because of the holiday structure. So these are the reasons.

Prateek Poddar: No. This is very helpful. And lastly, just on the trajectory of other expenses, is this the new normal we should think about? Because other expenses generally are rising faster than, let's say, our sales growth, obviously on a low base. But is that something which will happen next year also?

Aditya Kumar: So cannot comment as of now, Prateek, but this is like one of the activities. But typically, as a percentage of revenue, you see, it will be in the range of 1% to 2% on the specific items which we spoke other than the employee cost.

Prateek Poddar: Got it. And lastly, I just wanted to confirm, look, next year I think you are guiding for 35%, 40% growth with some margin expansion. And given that we have had some years of hyper growth, the 35%, 40% should result in now a decent cash flow accretion, right? We would not get into a situation where there is negative OCF. Obviously, this year you have generated some OCF, though very small as a percentage of what the EBITDA is. But the EBITDA to OCF conversion next year should improve, that's a fair understanding, right?

Aditya Kumar: So definitely, yes, Prateek, it will improve because like last year it was much, much negative. And as we promised to the wider investors, etc., and even in the current year. So the idea is to focus on this much more and be capital efficient, and OCF EBITDA also will increase gradually. So, in fact, one of the first step what we did, if you see, is our DSO days, right? So, which used to be 82, that has come down to 60. So, we potentially go ahead and reduce that further, that's where the focus will be. As well as that gets reduced, automatically the cash flows return positive.

Prateek Poddar: And maybe some guidance, maybe not today but in future calls on conversion from EBITDA to OCF helps a lot. So that's one suggestion I would leave you guys with. But otherwise, thanks so much for this.

Aditya Kumar: Definitely. Thanks, Prateek.

Moderator: Thank you. The ne

xt question is from the line of Shrinarayan Mishra from Baroda BNP Paribas.
Please go ahead.

Shrinarayan Mishra: Hi. Thank you for the opportunity. So, my first question was on EBITDA margins. So, we can see your Propel margins going up to 10% this quarter versus 3Q, but we cannot see the overall EBITDA margins moving up in that direction. So, from 3.3% something to 10% is the margin which we see in Propel, but EBITDA margin is flat. So, can you throw some light why this did not flow through?

Avinash Godkhindi: So, we explained this last time as well, the Propel margins were supposed to expand in any case because of the overriding commissions that were due for the sales that we generated through the Zaggie Prepaid Ocean Services Limited
May 12, 2025

Page 14 of 20

first nine months. So that has flown through now. Overall, if you look at it, our EBITDA margin guidance was 9% to 10% and we are at about 9.6% for the year. And next year our guidance is for 10% to 11% and we will look to meet that. If you look at Q4 of last year as well, Q4 is a high growth quarter for us, but margins are generally a little compressed in Q4 because a lot of the corporates also meet their spend thresholds in Zoyer, etc. And they tend to get some of their commissions etc. from us, incentives from us. So this is the nature of our business that Q4 does tend to have much higher growth but a slightly compressed margin profile.

Shrinarayan Mishra: Okay. And these expenses we cannot even these out over the course of the year, so the 4Q lumpiness I mean by way of accounting it is required, or can we do some provision in earlier quarters for these expenses, is that not possible?

Avinash Godkhindi: It's hard because we do not know who will cross what thresholds. Just the same way as we are not allowed to take revenues in earlier quarters because we are also not able to prove to the auditors that we will cross those thresholds in Propel Points, that's the nature of this whole piece.

Shrinarayan Mishra: Okay. Understood. And secondly sir, on BROME if you can highlight in terms of DMV what we have achieved or in terms of revenue, gross or net revenue, that would be great.

Avinash Godkhindi: Overall, on BROME we have grown very significantly in terms of number of clients which have gone live and where we have signed up. It's a little too early for us to give you more data specifically in BROME which is part of Zoyer as to how much we have done in terms of revenues, etc.

Shrinarayan Mishra: Sir, do you have any sense, I mean, in direct maybe by when you see that to be a significant chunk of the business and you start giving numbers on that?

Avinash Godkhindi: So, it will always be part of Zoyer but specific numbers probably we will give sometime in this year depending on how numbers pan out and how it is. But you will see in our business more and more as we push for cross-sell that a lot of these numbers are going to be intertwined. The whole idea is to capture all the spends of the corporate. While we explain the solution to you as a separate use case, when the team goes and sells to the corporate, the thesis is all about trying to give you a comprehensive spend management solution, right?

Shrinarayan Mishra: Okay. Got it.

Moderator: Yes. Thank you. The next question is from the line of Rohan Nagpal from Helios Capital. Please go ahead.

Rohan Nagpal: Hi. Thanks for the opportunity. Sir, since you have booked overriding commissions in Q4, the actual growth that we are seeing in the underlying volumes is a little hard to gauge. Could you give some sense of how much growth we are seeing in the underlying Propel volumes, ex of the overriding commissions that were booked this quarter? Thanks.

Zaggie Prepaid Ocean Services Limited
May 12, 2025

Page 15 of 20

Avinash Godkhindi: See, the volume growth is what it is. We have told you, it has grown from Rs. 128 crores in Q4 FY '24 to Rs. 245 crores. Of course, th

e margin gets added to that. So, largely the growth is pretty strong. It's just that the ORCs come in, in the last quarter.

Rohan Nagpal: Okay. Understood. Thank you. That's it from my end.

Moderator: Thank you. The next question is from the line of Parikshit Kabra from Pkeday Advisors, LLP. Please go ahead.

Parikshit Kabra: Hi. Sir, first, I just want to clarify. In the first question I was asked about program fees growth guidance for next year, I think Avinash said that it will grow in line with the overall guidance. That implies that program fees will also be about 30%, 35% for this year. Is that a fair understanding?

Avinash Godkhindi: Yes. 35%, 40% is what we have projected as our overall growth. And program fees should also grow in line with that, yes.

Parikshit Kabra: Okay. Perfect. And will this be front-loaded, back-loaded, anything along those lines? Same thing by the way for EBITDA guidance, are we expecting it to gradually ramp up or are we

expecting it to come from Q1 itself?

Avinash Godkhindi: See, all of it will gradually ramp up because the nature of our business is also such that Q1, Q2 generally are lesser in terms of revenue. Q3, Q4 are higher contributions. So, historically, it used to be at 65%, 35%, now it's gone down to about 57%, 58%, 42%, 43% type of a number with Zoyer's increased contribution. But there is always a skew towards Q2.

Parikshit Kabra: Got it. But from a year-on-year growth perspective, when I compare it Q1 to Q1, Q2 to Q2, I am talking from that perspective, should I not be seeing 30%, 35% growth from Q1? Because then it would imply then that for the year-on-year guidance to be met, then in Q3, Q4 you will be giving upwards of 40%, 50% growth.

Avinash Godkhindi: Yes. It's pretty much like that. You should see growth, because Q1 of last year was also a lower number, I think Rs. 118 crores for program fees. So, you will see that the number pan out at that 30%, 35% range.

Parikshit Kabra: Okay. Got it. Perfect. So my second question is from the GTV perspective, so on the gross transaction value, is it possible for you to start disclosing from our program fee what is the gross transaction value we are seeing? Because over the last year we have added so many clients, but the program fees has not grown as much, and the take rate has also not changed as per your previous response. So that means the GTV has not managed to grow, is that correct?

Avinash Godkhindi: No, the GTV has grown, it's grown fairly well. Because if you look at it, the whole year the program fees, sir, has grown by 70%, right? And it's not at a small base, the base last year also was Rs. 322 crores, and on that we have grown by 70%. So, I think somewhere maybe we want

Zaggle Prepaid Ocean Services Limited

May 12, 2025

Page 16 of 20

to highlight this that overall you should look at the year's numbers and how the number growth has been. And overall, the number has grown very healthily at 70%.

Parikshit Kabra: Okay. Understood. All right. Thanks. Thanks a lot, Avinash.

Avinash Godkhindi: Thank you.

Moderator: Thank you. The next question is from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal: Yes. Hi, thanks for taking my question. So I think the first question is, a bit on change in commentary, so till last quarter the commentary was more around that we are more focused on growth because the opportunity is so huge. And even if that sort of keeps our margins subdued in the near term, we are fine with it, whereas this quarter we have been talking a lot more about margins and better cash flows, and that reflects in your guidance as well wherein you expect margins to improve in the coming year. So, I wanted to understand what has led to this change, wherein earlier the guidance was more growth-focused, and now it has changed to a more balanced growth perspective. Has something changed?

Raj P Narayanam: So, nothing has changed. Sir, if you look

at last year, when we came in March of 2024 we said,

we possibly will grow by 45% to 50%, okay. And we ended up growing by about 68%. So, the whole idea this year is that while we look at growth, we also look at improving our margins.

And improvement in margin is a part of the long-term objective, which is that we have to take it to about 15%, 16% over the next three to four years, okay.

While the margin expansion will come, it will also come at scale, okay. The scale which we have to achieve will come only by having a little bit aggressive growth plan. What we are referring to 35%, 40% is, please see it is on a Rs. 1,300 crores base, okay. Last year the base was Rs. 775 crores. Previous to that year was Rs. 553 crores.

So if you look at it, if we are saying this year that we are growing at about 40%, that is about Rs. 1,800 crores plus. If you compare the two years back, we were at Rs. 553 crores and next year we would be at about Rs. 1,800 crores. So that is like 3x jump in about span of three years, okay? And at every base we are growing. The idea is not to let the growth slowdown, but idea is to improve margins while we improve growth.

Ankush Agrawal: Got it. The second question is around the M&A. So it has almost been a year or so whereas we have been talking about doing some major M&A. It's almost been about five, six months since we have raised a substantial amount of capital. So just trying to understand like what is happening over here. Like, have we sort of pinpointed some M&A and the due diligence itself is taking long time or we are still figuring out which Company to acquire? Because the timeline between capital raise and not being able to acquire itself has been like six, seven months now. So if you can share some insights like if the due diligence is taking time or you are not able to figure out the right M&A, like what is happening over there, it would help.

Zaggle Prepaid Ocean Services Limited

May 12, 2025

Page 17 of 20

Raj P Narayanam: Sure. Very good question and I will answer it in detail for you. When we raised the money that was like end of December, okay? And since January in fact we had started looking at multiple companies, we are in very advanced stage. But even when I say very advanced stage, between the closure and very advanced stage, it could be a quarter, okay? And these are like little bit large acquisitions with multiple investors on the other side. And also the due diligence typically takes about three to four months because there is FDD, which is financial due diligence, then tax due diligence and then legal due diligence. And then the final terms which we have to agree with the acquiring Company, okay?

So what's happening is that we have set up about seven to nine players and there is a lot of amount in time and effort which goes from the management side as well when we are looking at these companies, though we have a dedicated set of team which is looking at it, but the management time also goes in. So what we have done is, and in spite of coming very, very, very, very close, sometimes it just stretches at the last moment, okay? And that stretch is what we have seen in one or two cases. But we should be able to very soon tell you as to what's the status on all these acquisitions.

Ankush Agrawal: Okay. So the takeaway would be that we have figured out what we want to acquire. It's just that the due diligence is taking time, but we have figured out what we want to acquire.

Raj P Narayanam: 100%. And we would not raise money, or we would not go ahead and dilute ourselves if we had not a clear-cut thought process on whom to acquire.

Ankush Agrawal: Got it. That was very helpful, sir. Thank you.

Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Just a couple of clarifications first. I mean, what was the TaxSpanner revenue for FY '25?

Raj P Nara

yanam: So FY '25, it was about Rs. 3.35 crores.

Deepak Poddar: Rs. 3.35 crores, okay, understood. And in terms of, I think you mentioned something, 6% to 7% standalone. So, what was it you were referring to? I mean, some outlook you have shared to 6% to 7%, I understand.

Raj P Narayanam: No, no. 60% to 70% growth.

Deepak Poddar: So, it was not in context of TaxSpanner, but on a standalone basis.

Raj P Narayanam: No, no. Not standalone.

Deepak Poddar: But on standalone basis, you were saying something 6% to 7%. Just wanted that clarification.

Zaggle Prepaid Ocean Services Limited

May 12, 2025

Page 18 of 20

Raj P Narayanam: So, 6% to 7% is the Propel margins. Propel margins would be about 6% to 7% range is what we are saying on a standalone basis.

Deepak Poddar: Understood. Fair enough. And just sir my first question is in terms of acquisition, whatever we are targeting, are we looking at them as a margin accretive one? I mean, how should one look at?

Raj P Narayanam: So, majority of them, I would say 95% of them would be margin accretive, but one of it could be product accretive as well.

Deepak Poddar: Fair enough. That's very clear. And when we see 30% to 40% outlook in terms of growth, are we being conservative there?

Raj P Narayanam: Sir, 35% to 40% is what we have projected. Let's look at it how the year goes by and let's also see how the market shapes up. And right now this is what we have a very clear-cut plan to achieve this. But maybe in coming quarters we would be able to give you a better guidance.

Deepak Poddar: Okay. Understood. And just last thing, in terms of margins you mentioned we are looking at 15% to 16% in next three to four years. So per annum, I mean, 100 basis points is what we are looking at, I mean, internally in terms of improvement?

Raj P Narayanam: Yes, that's a smart assessment. That is what is our thought. So, this current year we are looking at 10% to 11%, okay. And as we go on, every year we would look at improving the margin.

Deepak Poddar: By 100 basis points?

Raj P Narayanam: Yes, it depends. Next year I will be able to tell you about next year how it goes.

Deepak Poddar: Fair enough. Got it. That's very helpful, sir. I think that would be from my side. All the very best. Thank you.

Raj P Narayanam: Thank you.

Moderator: Thank you. The next question is from the line of Rohan Nagpal from Helios Capital. Please go ahead.

Rohan Nagpal: Hi. Just a follow-up. If there are overriding commissions that have been booked this quarter, then the revenue that you book under Propel will be the Propel revenue from your gift cards that you have sold plus the overriding commission, right?

Avinash Godkhindi: Yes.

Rohan Nagpal: Yes. I am just trying to understand, so that does not really give us a picture of what the underlying growth rate is within the Propel business, because the overriding commission is distorting that growth rate. So, could you give us a sense of what the underlying growth rate is within Propel?

Zaggle Prepaid Ocean Services Limited

May 12, 2025

Page 19 of 20

Aditya Kumar: Excluding overseas, Rohan, it is 78% on Y-o-Y quarterly basis.

Rohan Nagpal: Okay, understood. That's helpful. Thank you.

Moderator: Thank you. The next question is from the line of Rahul Rajani from MIPL Family Office.

Rahul Rajani: Thanks a lot for the opportunity and congratulations to the management for the great results.

Wanted to just have one update that is, in the last conference call you had mentioned that you had signed a contract with one of the largest retail chains in India, which is one of the largest conglomerates. So, how is that shaping up? How is that going about? And when we can see the revenues kicking in for that?

Avinash Godkhindi: So, yes, thank you for your question. As we explained, some of these large ones take a while to go live. And in this case, the POC was successful and we have gone live. But you would understand that scale

up, when you are talking about thousands and tens of thousands of branches, has its own gestation period. And that's what we are seeing. Revenues have started to come through, but it would take us a little while for us to be able to really see very significant revenues. Also, please note that right now the base of revenues that we are looking at is Rs. 1,303 crores, right? So, it has to be significant with that base, and that's a little while away.

Rahul Rajani: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Devesh Kasliwal from Antique Stock Broking. Please go ahead.

Devesh Kasliwal: Thank you. Circling back on the guidance, so you are saying that standalone guidance will be around 35% to 40%, which I am presuming will be a conservative estimate right now. But apart from the acquisitions and the acquisitions that we are projecting to come forward in the next quarter, obviously, that will also add to the revenue. So the overall consol guidance can you give a number, if possible?

Avinash Godkhindi: See, if all of them come before September, then Devesh, we should be at about 80% odd as a growth. So standalone is what we have said 35% to 40%. Consolidated if we get all the acquisitions which we have planned, we are able to complete before September, then we will be able to take the whole year. And it would be about roughly in the range of another 40% it should easily add.

Devesh Kasliwal: Okay. Thank you for that, sir. And one last question. So normally given our platform is a SaaS platform, so we have plans that are recurrently using our platform on a monthly basis. So, is there a possibility that you could give a monthly recurring revenue number that we are at right now? Because obviously, it is always going to grow going forward unless we have clients exiting. So that would be a fairer assessment of how things are shaping up on a standalone basis for the overall Company.

Zaggle Prepaid Ocean Services Limited

May 12, 2025

Page 20 of 20

Avinash Godkhindi: Sure. We will look at that and come back.

Devesh Kasliwal: Okay. Thank you, sir.

Avinash Godkhindi: Thank you.

Moderator: Thank you. Due to time constraints this was the last question. I would now like to hand the conference over to the management for closing comments.

Raj P Narayanam: Sure. So, thank you all for participating in today's call. We hope we have addressed all your queries and provided valuable insights. We remain optimistic and focused on the future growth of the Company. And we are excited about the opportunities ahead. For any further information, we request you to get in touch with SGA, our Investor Relations Advisor. Thank you, and have a good night.

Moderator: Thank you. On behalf of the Equirus Securities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Aug 2025

ZAGGLE/25 -26/53

August 21, 2025

To
Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex, Bandra (East),
Mumbai -400 051, Maharashtra

Company Symbol: ZAGGLE To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th Floor, Dalal Street,
Mumbai -400 001, Maharashtra

Company Scrip Code: 543985

Dear Sir / Madam,

Sub: Transcript of Earnings Call held on August 14, 2025.

Pursuant to the Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations 2015 and further to our letter dated August 08, 2025, please find attached the Transcript of the said earnings call on the Company's operational and financial performance for the quarter ended on June 30, 2025, and the same has been uploaded on the website of the Company on the following web-link:

<https://ir.zaggle.in/wp-content/uploads/2025/08/Q1FY26transcript.pdf>

We request you to kindly take the same on records.

Thanking you,
Yours faithfully,
For Zaggle Prepaid Ocean Services Limited

Hari Priya
Company Secretary and Compliance Officer

Encl. As Above
Page 1 of 15

"Zaggle Prepaid Ocean Services Limited
Q1 FY '26 Earnings Conference Call"
August 14, 2025

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on August 15, 2025, will prevail.

MANAGEMENT : DR. RAJ NARAYANAM – FOUNDER AND EXECUTIVE
CHAIRMAN – ZAGGLE PREPAID OCEAN SERVICES
LIMITED
M R. AVINASH GODKHINDI – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – ZAGGLE PREPAID
OCEAN SERVICES LIMITED
M R. ADITYA KUMAR – CHIEF FINANCIAL OFFICER –
ZAGGLE PREPAID OCEAN SERVICES LIMITED

MODERATOR : MR. ROHAN MANDORA – EQUIRUS SECURITIES

Zaggle Prepaid Ocean Services Limited
August 14, 2025

Page 2 of 15

Moderator: Ladies and gentlemen, good day, and welcome to the Zaggle Prepaid Ocean Services Limited Q1 FY '26 Earnings Conference Call hosted by Equirus Securities. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

Kindly note that this conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I would now hand the conference over to Mr. Rohan Mandora from Equirus Securities. Thank you, and over to you, sir.

Rohan Mandora: Thanks, Maskan. Good evening, everyone. Thank you for joining the call. I extend a warm welcome to all of you. On behalf of Equirus, I welcome the management of Zaggle Prepaid Ocean Services Limited to give a brief update on 1Q FY '26 results and address investor queries.

We have with us from the management, Dr. Raj Narayanam, Founder and Executive Chairman; Mr. Avinash Godkhindi, MD and CEO; and Mr. Aditya Kumar, CFO.

We will now begin with a brief opening remarks from the management, post which we'll have Q&A. Thank you, and over to you, sir.

Raj Narayanam: Thank you so much, Rohan. Good evening to everyone. Thank you for joining the earnings call for Zaggle Prepaid Ocean Services Limited for the first quarter of fiscal year 2026. On behalf of the company, I extend a very warm welcome to all of you. On this call, we are joined by Mr. Avinash Godkhindi, Managing Director and CEO; Mr. Aditya Kumar, our CFO; and SGA, our investor relations advisers.

The financial results, press release and investor presentations are uploaded on the stock exchanges and on the company website. I hope everybody has had a chance to look at it. Now I would like to take you through the Zaggle business update.

Talking about our quarterly performance comparing Q1 FY '26 to Q1 FY '25, the company reported a healthy growth in revenues of INR331 crores, which is our first best ever quarter of Q1 at around -- and the growth has been around 31%.

Our adjusted EBITDA increased to INR33 crores, growing at around 28%. The PAT, surged to INR26 crores, growing significantly at around 55%. We are off to a promising start in 2026 as we continue to drive sustainable growth and strong returns through relentless product innovation, strategic collaborations and the momentum from our recent and proposed acquisitions.

Zaggle Prepaid Ocean Services Limited
August 14, 2025

Page 3 of 15

Now I would like to take you through our investments and acquisitions. I want to give you a further overview of what we have done over the last 6 months -- or maybe a little bit more than 6 months. We have pursued the investment or acquisition of 6 companies, successfully completing 2 and are progressing with 4 more. Once finalized, this would add roughly about 600 to 700 people to our current workforce.

And this would actually, in fact, call for a change the way we have run the business. We'll need to evolve our structure to suit the business needs now that the total workforce probably would be more than double of what we have today.

To align with this growth, some of the changes we aim to bring in are as follows: we plan to consolidate the technology and engineering teams across this company and create technology as a central function.

We plan to unify the finance function under our group CFO, so that finances of all the companies can be centralized or centralized to an extent. We plan on c

entralizing the HR function, enabling best practices to enhance efficiency, effectiveness and cross utilization of services.

With these changes, we envisage savings of around INR25 crores over the next 1 year. And those savings, in my opinion, should only increase as efficiencies kick in as you will all understand that the acquisitions are easy, but integrations are tough. And there is where a lot of management bandwidth and effort would go in ensuring that the integration results is of highest plus.

Our existing acquisition and investments are performing extremely well. Mobileware has generated a profit before tax of INR2 crores in Q1 '26, surpassing its entire FY '25 PBT. On TaxSpanner, marquee customers signed, including Bosch for employee wellness -- financial wellness and KarmaLife for tax filings for their gig workers.

Leveraging the Zaggle unified gig worker savings platform, we are expecting a further boost and increase in the number of filings -- tax filings on account of extension of the deadline. Our proposed acquisition of EffiaSoft will strengthen our merchant servicing and payment processing along with Dice, which I last time gave a very detailed explanation about why we are going ahead and acquiring Dice, which is an enhanced suite of spend management and AI capabilities. It's a world-class product and company.

Our proposed acquisition of Greenedge, meanwhile, would enhance our offering in loyalty and rewards space, which will give a meaningful boost to our existing total platform. Our most interesting acquisition of Rio.money marks a strategic entry into the consumer credit card segment thereby allowing us to broaden our financial offerings to a much wider captive customer base of Zaggle.

This move not only diversifies our portfolio, but also leverages and strengthens the UPI ecosystem enabling seamless credit solutions for users. We continue to actively seek strategic M&A opportunities in the adjacent domains across both domestic and international markets with the U.S. and MENA regions being the key priority markets overseas.

Zaggle Prepaid Ocean Services Limited
August 14, 2025

Page 4 of 15

Building on the globally proven strength of our existing acquisitions, we plan to further reinforce market entry, navigate regional dynamics effectively and leverage well-established partnerships through additional targeted acquisitions.

We are also on the verge of closing one more, which is a pretty decent sized deal. Fingers crossed, if we are able to do that, that will be great. But again, between cup and lip there is a slip. So all this we would want to be -- we would want to under-promise and over-deliver, but hoping for the best on that acquisition.

I would like to give you the industry and Zaggle product update. Take this opportunity to highlight other product developments, which have happened. As said by Eric Schmidt of Google, "The greatest breakthroughs won't come from AI alone, but from those who learn to harness it." Keeping this in mind, I would like to highlight some of the initiatives, which we are incorporating in Zaggle.

On sales automation side, we -- for our flagship conversational AI platform for Zintel, which enhances the multichannel customer engagement. On customers on -- we also want to launch our multilingual conversational AI tool in the upcoming months, maybe about 3 to 4 months is when it should be fully ready.

We have launched an AI-powered bill processing automation tool, which is already deployed which has led to about 80%-plus reduction in overall TAT for bill processing. We are also in the pilot stage of an AI-driven claim validation and approval workflow. So utilizing AI to as much means -- as high extent as possible.

As we move forward with other integrating AI tools across our organization, our priority is to chase high level -- is not to chase high-level fashionable trends, but to delve deeply into specific enter

prise challenges faced by our customers.

With this, I would also want to give a guidance that we remain extremely bullish on our growth trajectory, driven by strong fundamentals, strategic investments and expanding the global footprint. With the robust pipeline of opportunities and the clear execution road map, we are confident in our ability to deliver sustained value and capture new growth revenues.

While I'm tempted to give you a guidance, which is probably higher than what we have earlier stated of 35% to 40%, but I would wait till Q2 to be able to give you, especially keeping in mind the ongoing geopolitical uncertainties and macroeconomic volatility. But we are fairly, fairly confident that we should be able to up our guidance from here, which was about 35% to 40%.

Now with this, I would hand over to our CEO, Mr. Avinash Godkhindi.

Avinash Godkhindi: Thank you, Dr. Raj, for your remarks. As mentioned by Dr. Raj, the start of FY '26 has truly been a good one for Zaggle. The momentum we have built is not just encouraging, it's indicative of the scalable, resilient and intelligent platform we have created.

Zaggle Prepaid Ocean Services Limited

August 14, 2025

Page 5 of 15

Zaggle now serves over 3,500 customers across a wide spectrum of industries and sectors. Even more encouraging is the fact that we continue to maintain a churn rate below 1.5%, a clear reflection of the trust our clients place in us and the reliable ongoing value our platform delivers. By leveraging AI at the core of our product strategy, we are unlocking new levels of scale and efficiency. Our AI-led approach positions us to stay well ahead of the curve, allowing us not just to respond to market trends, but to help shape them. Today, we are proud to report that we have around 3.4 million users using the Zaggle cards and software.

During this quarter, Zaggle platform fee contributed to about INR10 crores. Program fees contributed to about INR145 crores. And Propel points contributed to about INR176 crores. During this period, we also signed several marquee clients, including Hindustan Pencils, Apollo Health, MoEngage, Novozymes, DTDC, CK Birla Healthcare and Truecaller.

To provide a brief overview of one of our clients, they were managing a Pan-India incentive plan involving over 60,000 retailers. They faced significant challenges in tracking individual performance and the disbursement of rewards, which ultimately loss of retailers leading to a drop in the market share itself.

We addressed these issues by deploying the Propel platform. It streamlines the redemption process and automated the incentivization plan, offering more than 125 options for redemption. For another one of our clients, they were managing all non-capex purchases, including services-related purchasing in an entirely manual manner. This led to further issues on invoice reconciliation, thereby increasing cost of processing. The client also faced a challenge of maintaining separate systems for travel and expense, which further added to the reconciliation woes.

We addressed all these issues by deploying the Save and Zoyer platforms, which gave them a unified platform across not only managing all their non-capex and service purchases, but also gave them a complete visibility on their travel and other expenses in a seamless manner.

As we move forward to our platform-based strategy, we anticipate rapid expansion supported by a robust influx of new clients and the ongoing success of our cross-selling efforts. In Q1 '26, we built on our cross-sell platform -- cross-selling momentum. Its successes are large clients -- large number of clients, including WhiteOak Capital, Daulat Ram, Apollo Health and Manipal TRUtest.

I'd like to take this opportunity to elaborate a little further by giving a couple of examples. Manipal TRUtest is an existing customer for the sales solution. We recognize the potential for further collaboration and s

uccessfully plugged in our drone solution, branch recurring operating monthly expenses solution for their diagnostic and pathology centers to streamline the petty cash expenses by automating the process of budgeting, usage and reconciliation.

Similarly, White Oak Capital has been an existing customer for our sales solution. We identified an opportunity to strengthen our partnership with them by implementing our Zoyer solution to drive greater efficiency in their procurement processes and overall vendor payouts.

Zaggle Prepaid Ocean Services Limited

August 14, 2025

Page 6 of 15

Next, I'd like to share some strategic alliances and collaborations that are enhancing our market presence. We are entering into channel partnership agreement with Grant Thornton. And this partnership, Grant Thornton will promote and offer our spend management solutions to an extensive network of corporate and enterprise clients of Grant Thornton.

Leveraging GT's strong market presence and trusted relationships, this collaboration significantly broadens our reach by granting us access to a vast and fresh pool of potential customers.

We also further strengthened our relationship with Mastercard by signing a 7-year customer business agreement for Mastercard Premium Foreign Currency co-branded prepaid cards, which offers both launch- and spend-linked incentives to us.

Building on the capabilities of our innovative employee benefits solution, the Smart Employee Purchase Program, Smart EPP. We have expanded our ecosystem by onboarding Tata Capital as a leasing partner and OneAssist as an insurance partner.

Lastly, I'm very proud and humbled to share with you that Zaggle was awarded the title of the Fintech Brand of the Year at the fifth edition of the business week -- Business World Fintech Awards 2025.

Additionally, we were awarded the great Indian B2B Fintech brand at the third edition of the Great Indian Corporate Communications Leader Summit & Awards 2025 by Transformance.

And we also received the Pioneering Fintech Innovation in Spend Management Award at the ET Excellence Telangana 2025, further underscoring our commitment to industry excellence.

I'll now hand over to our CFO, Aditya, to take you through the financial update. Thank you.

Aditya Kumar: Thank you, Avinash. I'm pleased to share that CARE Ratings has assigned Zagggle a credit rating of A- stable for availing credit facilities from banks. This rating underscores our strong financial discipline and strength of our well-established business model.

In Q1 FY '26, we delivered robust revenue growth of 31.4% Y-o-Y reaching to INR331 crores.

All our 3 revenue streams contributed to this performance with the Propel platform surging

50.6% on Y-o-Y basis and SaaS fee increasing 19.8% on Y-o-Y.

Our adjusted EBITDA rose to 27.9 percentage year-on-year, reaching to INR33 crores this quarter versus INR26 crores in Q1 last year, reflecting strong operational leverage. As Dr. Raj and Avinash highlighted, product development and AI remain strategic priorities for Zagggle and we continue to invest heavily in these areas. Consequently, our intangible asset base have been expanding.

As a result, depreciation and amortization expenses for the quarter stood at INR7 crores compared to INR2 crores in Q1 FY '25. Our PAT increased to INR26 crores from INR17 crores in Q1 FY '25, a 54.8% Y-o-Y growth.

Zagggle Prepaid Ocean Services Limited

August 14, 2025

Page 7 of 15

On cash PAT, which includes net profit along with depreciation and ESOP expenses, saw a 57.6 percentage increase on Y-o-Y basis, totaling to INR35 crores. Furthermore, our PAT rose by 54.8 percentage from the previous year reaching to INR26 crores.

With that, I would like to conclude my update, and we are happy to open the floor for questions.

Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of P

arikshit Kabra from Pkeday.

Parikshit Kabra: My question was regarding the -- first question is regarding the program fees. The revenue has increased by about 15%. I think last call, we had -- the guidance was that we will be growing this by 30% from this quarter going forward and it wouldn't be back loaded. Any commentary on that?

Avinash Godkhindi: Thank you for your question. So if you look at it, the overall guidance for growth for the year is 35% to 40%, and we are staying true to that and likely to increase that in the next quarter, depending on how things progress. Q1 traditionally has been a slow quarter for us because of the seasonality in the business.

Also, if you look at how we have tried to focus more on the PAT and PAT growth and the incentives, if you look at the incentives growth, incentives as a percentage of the program fees, both these line items correspond 1:1 to each other. That is 65%, 66% this quarter versus 71% last year.

So the efficiency that is being built into the business, not just focusing on growth. That has been our mantra for this quarter and this year.

Parikshit Kabra: So then let me just ask this way, Avinash. Should we assume that program fees this year will be at 15% growth? I know that you're saying that you've given a guidance of 35% at the company level, but at the program fees level, what is the guidance here for the revenue?

Avinash Godkhindi: So overall, for the year, the program fees guidance would also be in the range of 35% to 40% prediction. It's just the first quarter that it has been a little tempered. This is seasonality as well as the fact that some of the travel got impacted because of the geopolitical situation through the quarter. And the first quarter generally is a little tepid, but we are seeing already spends pick up reasonably well for us, and this was a little bit across the industry as well.

Parikshit Kabra: Got it. Perfect. The second question was on other expenses. We have seen a sharp decline in other expenses. Any commentary around that, Avinash?

Avinash Godkhindi: As I mentioned, Parikshit, we are focusing on efficiency, trying to increase our margins and profitability. And other expenses reduction is a reflection in that. We'll hopefully continue to work behind the scenes on this, and we'll try and deliver even better results in the coming quarters.

Moderator: The next question is from the line of Maitri from Sapphire Capital.

Zagggle Prepaid Ocean Services Limited

August 14, 2025

Page 8 of 15

Maitri Shah: Yes. Firstly, congratulations on the results. Just 2, 3 questions I have. Firstly, on the growth guidance, you've guided for 35% to 50% on the stand-alone basis. What sort of incremental

growth do we see happening from our inorganic acquisitions for this year? Could you quantify revenue for that?

Avinash Godkhindi: It's a little early for us because some of these acquisitions are still getting closed. While we hope to close 1 or 2 by end of -- September 30, but you would appreciate that sometimes these processes take a little while longer. So a little hard for us to quantify that and say.

But suffice to say, as we mentioned, the Mobileware performance, Mobileware is not an acquisition, but an investment. But there, we have seen fabulous results, already INR17 crores of revenue against -- in the just first quarter against the full year INR33 crores for the last full year. And the PAT also has exceeded the last year's full year number just in 1 quarter. So we hope to deliver great results with our other investments and acquisitions as well.

Maitri Shah: Okay. My second question is we mentioned in the last quarter that we'll be increasing our EBITDA margin 100 basis points every year for the next 3 years incrementally. Do we still stand on that guidance?

Avinash Godkhindi: Yes, we are working towards that. That's what the guidance is.

Maitri Shah: And could you please give us some drivers for this growth

happening in our EBITDA margin?

Avinash Godkhindi: Efficiency, operating leverage. As we mentioned about the other expenses, reduction in incentive costs. This business is a tech-first business. And with AI coming in, in a big way and we leveraging it, we see a lot of exponential efficiencies kicking in. It's truly amazing what AI can actually do. If you strip out the fluff, there is a lot of value to be extracted using AI tools.

Maitri Shah: And any guidance on what the incentive cost will be compared to the program fees? Are we targeting any percentage over there for the next 2, 3 years? Currently, I assume it's 65%, if that's correct?

Avinash Godkhindi: At steady-state, we will be somewhere in the range of 50% to 60% depending on the nature of business, right? That is where these businesses, Zoyer would be on the higher side, other businesses would be on the lower side. But that is where these numbers should land in the next 3 years.

Maitri Shah: Okay. And just last question, so sorry. Just the ESOP cost for next year, FY '27, if you could guide on that?

Avinash Godkhindi: A little too early because we are making these acquisitions and there could be some ESOP costs that come in as part of those acquisition structures as well. A little too early for us to be able to guide for the next year in terms of the ESOP.

Maitri Shah: Okay. And we are -- hello? We are guiding for about 2 to 3 acquisitions for this year. Is that correct, right?

Zaggle Prepaid Ocean Services Limited
August 14, 2025

Page 9 of 15

Avinash Godkhindi: So see, there is -- already we have spoken of the acquisitions that we have announced and we are doing. There could be one more large acquisition that we'll do this year, which we'll announce in due course.

Moderator: The next question is from the line of Rajit Aggarwal from Nilgiri Investment Managers.

Rajit Aggarwal: Congratulations on a good set of results. I have some 2 to 3 questions, if you may, please. One is on the collaboration that we do with the likes of Grant Thornton or Kotak Bank. So any customer onboarded through these collaborations, the margins for that customer would be a little lower than what we would have achieved as a direct -- if you had approached the customer direct, will that understanding be correct?

Avinash Godkhindi: See, when we get a customer from a partner bank, banks are not allowed to make money on nonbanking services like software sales, right? So basically, it's an introduction done by the bank to us and we then convert the customer.

The bank's expectation is that the service quality is very high and the experience is great. But banks don't make money on that. In the case of GT, they bundle GT and -- a company like GT, they typically bundle other services that they're able to offer like implementation services as a part of the contract, and that is something that we would charge the customer directly. So our margins are, by and large, the same.

Rajit Aggarwal: So GT is not deriving any benefit from us. I mean, is that correct? That would be...

Avinash Godkhindi: No, GT is -- so let me clarify, right? So there's the sale of the software services or the SaaS business, right, which is our income and then GT is able to monetize on the implementation services that they are able to bundle.

Rajit Aggarwal: All right. Okay. Understood, sir. Okay. Second question is on the global footprint that was mentioned during the initial part of the call. Can you throw some more light on how we are trying to achieve that? And a related observation is that we did invest in some funds. So is that part of that strategy? And do we plan to invest more amount in those funds or any other fund?

Avinash Godkhindi: Yes. So see, global footprint, we want to be very calibrated and very wise. We try to be as wise as we can. As to how we enter into those markets, with maximum impact with minimum

investment, right?
So keeping that in mind, one, of co

urse, is a strategy where we take our solution to markets where there's greater profit pools like the Middle East and willingness to pay for SaaS software. Although it's increased a lot in India today, but markets like the U.S. and Middle East, that is higher.
Of course, some of the markets are very dynamic, things are changing on a very frequent basis. So in those markets, we tend to also do a little bit of wait and watch. The other strategy is to make small-ticket investments through VC funds. We'll go ahead and deploy this capital in early-stage SaaS companies in markets like the States.
Zaggle Prepaid Ocean Services Limited
August 14, 2025

Page 10 of 15

That gives us tremendous insight as to how the market responds. We get direct access to the founders and their thought process, potential partnerships, some of them potential acquisition opportunities depending on how those companies are performing and how they fit into our overall scheme of things.
So basically, we are getting exposure and understanding of what's happening in those markets without actually being present in those markets physically and spending a lot of money in setting up a branch office or office in those markets.
Rajit Aggarwal: So have you earmarked a certain amount that we will invest through this funds? Or is this something which we do on a case-by-case basis? I mean, is there a limit on those kinds of investments?
Avinash Godkhindi: These are relatively small amounts that we're investing.
Rajit Aggarwal: Okay, okay, okay. And the last question is on the acquisition of Dice. Now there was a reference to Dice in the initial part where it was said that there was a detailed discussion on it and an explanation on why and how the Dice acquisition made a lot of sense for us. So was this part of the Q4 call or was there a separate call on this because I seem to have missed that?
Avinash Godkhindi: The Q4 call.
Rajit Aggarwal: Okay. Fair enough. So I guess, I'll revisit the transcript. But coming to the consideration that was paid for Dice, I don't think that was discussed in Q4 call because it happened in June, I think.
So I mean, though we understand you would have some basis for it, but can you objectively take us through some bit of rationale on the amount that we paid for it? Because it looks like a very small company and it's not -- it's, I think, 5 or 6 years old company only?
Avinash Godkhindi: Yes. I think, it's a great company in terms of the capabilities that they have built in terms of AI and technology, especially in the spend management space. This year, revenue should be in the range of INR20 crores to INR22 crores, right? So it's a 6x multiple or there or thereabouts to the forward-looking revenues.
Also, if you look at it, the great opportunity that we have on table is to bundle our payment capabilities to that INR20 crores, INR22 crores software sales that they do because the revenues that they generate is pure software -- SaaS revenue, right?
And just to give you a sense, last year, our SaaS revenue was about INR35 crores. right? So now you can see the opportunity that we have when we bundle our payment capabilities and offer it to their customers, there's a lot of value that can be extracted.
Moderator: The next question is from the line of Aadipta Ghosh from Invesmate Insights Private Limited.
Aadipta Ghosh: Many of my questions are already covered, but I want to ask one question. The Dice acquisition was expected to accelerate international operations plan for FY '26. Can you provide an update on specific markets you are entering and expected revenue contribution time line?
Zaggle Prepaid Ocean Services Limited
August 14, 2025

Page 11 of 15

Avinash Godkhindi: Yes. So the market that we are looking at is MENA. So that's the Middle East region largely. And the U.S., U.S. at the right time. But these are the 2 reasons that we are looking to take the solution. A little early for us to talk of revenue contributions there, but that's what we are looking at in terms of target markets.
Moderator: The next question is from the line of Ankush Agrawal from Surge Capital.
Ankush Agrawal: So just one clarification on this Dice. So like as we have mentioned that Dice currently monetizes only through SaaS fee and not the payments flow. So would it be possible for you to give a sense of what kind of, say, payments transaction would be flowing through Dice's platform currently?

And the kind of take rate, would it be similar to what we are generating on our platform in terms of the payments that are flowing through our platform?

Avinash Godkhindi: Yes, the take rates would be similar, right, because the payment instruments and the use cases are on the travel and expense side and the procure-to-pay side, very similar. The overall volumes of spend would be hard to quantify because they are happening in third-party platforms there, right, in third-party instruments, payment instruments or NEFT, RTGS. So that -- but it's very significant is what I can tell you.

Ankush Agrawal: Okay. And how fast would it be possible for you to get those payments flow to through our platform? Would it be immediate or like it would be like a couple of quarters down the line?

Avinash Godkhindi: It would take some time, too.

Moderator: The next question is from the line of Ashish Soni from Family Office.

Ashish Soni: Sir, we keep on hearing about agentic AI in your model, the primary Software as a Service model. So in that, what threats and opportunity we are seeing compared to -- because we hear from Microsoft chief also about this thing. So what are the threats and what are the important things you're adopting for your business?

Avinash Godkhindi: Sir, our objective with agentic AI or any of these capabilities is how can we bring more efficiency and value to our customers, right? The use cases that some of the larger organizations like Microsoft and others are building are in a very different way, in a different space. Our usage is to create very custom capabilities for travel and expense or rewards or source to settle or procure to pay for our own solution.

And those capabilities are what -- ultimately, our customer really doesn't care whether a lot of AI is used or AI is not used. They want their reconciliations, their processes to be extremely efficient and for them to save time and money and have a reduced manpower in doing these mundane tasks. So that's what we are working to deliver to our customers.

Ashish Soni: And in terms of pricing, we recently saw the news that Jio is coming with a very disparate pricing for tax filing, which is a small part of your acquisition business, right? So if such sort of set, how are you going to handle that?

Zaggle Prepaid Ocean Services Limited

August 14, 2025

Page 12 of 15

Avinash Godkhindi: Yes. I think, again, there TaxSpanner our use case has never been to approach it from a pure mass market perspective. What we offer in TaxSpanner is very sophisticated services for people who require consulting on income that comes to them through, say, foreign income or other sources, which are a little more complex, and that's the value that we bring.

Because a lot of people have diversified their income, young people, whether it's income from foreign sources of mutual funds or rental income or some of them even invest in crypto and earn income and the tax laws, etcetera, are quite strict. So you need to be able to make sure that you are fully compliant.

And that's where we are approaching this through the corporates. Like we mentioned, Bosch, and we have other customers like HCL and Accenture, etcetera. We are approaching it through the corporate to the employee.

Ashish Soni: And last question regarding upcoming acquisitions, for which are the target areas you are targeting? Like in terms of like adjacencies, what are you targeting in the

upcoming solutions,

if you can throw some light on that. Not -- I know it will be September or somewhere this year.

So if you can throw some light on that, that will also help?

Avinash Godkhindi: So it's in around the space that we are as a SaaS fintech in the space -- spend management space, but giving specifics beyond that in terms of adjacencies is hard because we are looking at a variety of companies.

The thesis has been consistent. And in the previous years, we have shared what our thought process is, that it has to be either EBITDA accretive or product accretive. And culturally, it has to be a good fit. So those are the kind of things that we are looking.

Moderator: The next question is from the line of Manishankar Mandal from Alembic Pharmaceuticals Limited.

Manishankar Mandal: Congrats on the great set of numbers. My question -- I have 2 questions, actually. One is, obviously, there was a mention of a lot of AI initiative and development, which are at different phases of deployment. Wanted to understand, are they completely in-house or through a third party or some collaboration with some other companies as well? That is the first question. And second, how much of the how much of expenses are their intake -- or capex intake, especially in FY '25?

Avinash Godkhindi: Yes. So First question, basically, is this in-house or is this through partnerships, this is largely in-house but across our different acquisitions and investee companies. As Dr. Raj mentioned, we are consolidating our tech and engineering teams, bringing the capability together. So that's the thesis. I didn't catch the last part in terms of...

Manishankar Mandal: What kind of capex are we incurring in specifically developing tech in-house in FY '25?

Aditya Kumar: In FY '25, we invested close to INR40 crores.

Manishankar Mandal: Just in developing tech, right?

Zaggle Prepaid Ocean Services Limited

August 14, 2025

Page 13 of 15

Aditya Kumar: Developing, yes. Solely on this.

Moderator: The next question is from the line of Akshay from AK Investment.

Akshay: Sir, my first question is that I am new to this company. So can you put some color on what types of products? And currently, we have mainly 3 products, Zoyer, Save and Propel. So what are the different use cases of all the 3 products and how it adds value to the -- our customers and its employees.

Avinash Godkhindi: Thank you. So the 3 products, basically, sir, cater to all the expenses that corporates incur outside of budgeted capex. So Propel caters to channel incentives. Save caters to employee -- all expenses related to employees whether it's their travel and other expenses of that kind or benefits.

And Zoyer is largely focused on all the vendor payouts and other payables that the companies have.

So we try to digitize all of these, integrate deeply with the corporate ERP, corporate's HRMS systems. And the whole idea is because there's a lot of decisions or a lot of policies that need to be enforced before a payment or a payout happens, right, as to who's approving this? Is this approved/not approved?

The person who is approving it, does he or she have the authority limits? Does it require 2, 3 levels of approvals? All of that gets configured. The policies get configured and implemented on our platform.

And then there's a lot of analytics and lots of insight that gets generated through the dashboard that we have. And that also is a lot of value to the corporate, to the user who's typically an employee, or a channel partner.

Through the mobile app, we get the ability to be able to seamlessly file their expenses; to be able to actually, in real time, see where their money is and how their money can be spent most effectively. So that's the benefit that the user gets. Especially in terms of being able to file their expenses on the go is a big value add for them.

Akshay: Okay. So basically, our product is the large-scale enterprise product lik

e CRM, which is solely

focusing on spend management and vendor payment, right?

Avinash Godkhindi: Yes. So 30 years ago, sir, ERPs were relatively unknown. 20 years ago, HRMS was unknown.

10 years ago, CRM was a little unknown. We believe in 10 years' time, spend management would be a very established category. And we hope to be the ones who are the torchbearers of this category, at least in India.

Akshay: Okay, sir. And my second question is how many currently -- how many players are there in India that provides the same type of product? So spend management like us. And what is the competitive intensity in the products that we are working in? And I have also seen that Razorpay and all these payment gateways do have some typical product line as ours. So can you put some light on that also?

Zaggle Prepaid Ocean Services Limited

August 14, 2025

Page 14 of 15

Avinash Godkhindi: Yes. Surely, sir. So if you look at the spread of our solution, the horizontal split of our solution -- or our platform rather, where we span across rewards, we span across accounts payable, we span across employee expenses and benefits. To the best of our knowledge, nobody does this at an enterprise grade level across all these 3 segments and then covering prepaid cards, corporate credit cards, UPI, etcetera, which we do today.

Regarding other companies, I wouldn't want to comment specifically on any other company.

The company that you mentioned is also a partner of ours, payment solution to their customers as part of RazorpayX. So I'll leave it at that.

Akshay: Okay, sir, understood. And sir, my last question is we are doing significant expansion in terms of inorganic growth, and we have acquired many companies in the past 1 to 2 years. So what is the logic behind this? Is that for the cross-selling of other products to our existing clients? Or is that for expanding our capabilities in terms of service offerings and increase the consolidated top line?

Avinash Godkhindi: So we believe this space is right for consolidation. There's a lot of value that gets built through scale and operating efficiency. And we are able to today attract a lot of opportunities given the position that we are in. And we are able to hopefully close those deals at very attractive

valuations. So this is a mechanism that we are using to be able to scale up rapidly and consolidate our market leadership.

Moderator: The next question is from the line of Kushal Goenka from Mangal Keshav Financial.

Kushal Goenka: Sir, my question was how is the cash flow looking for Q1? And what is the direction for the whole year? Like what percentage of EBITDA can we expect to convert because since the last 4, 5 years, I can see that cash flow conversion was one of the main issues. So if you can just let me know what steps that we are taking for that? And what can be the guidance on?

Aditya Kumar: So sir, if you look at it in the FY '25, right, we just done 1st June. And obviously, as we're in the growth phase, the cash flows -- operational cash flows were negative in the last couple of years back to FY '25. We turn post in FY '25. And we envisage this year also will continue the momentum, and we will do the same.

So because we are in the growth phase of 50% to 60% in the last 2 years, obviously, the investment has to go back to the operations. That's where it resulted in negative cash flow. Optimistically, we will turn positive. We'll continue the momentum and we'll be in the positive in the current year as well.

Kushal Goenka: Okay. But like any percentage do you want to give in the range, like how much EBITDA can you convert?

Aditya Kumar: Early Q1. So possibly, we will give an update on the September next quarter.

Moderator: Thank you. Ladies and gentlemen, due to the time constraint, we will take this as the last question. I would now hand the conference over to the management for the closing comments.

Over to you, sir.

Zaggle Prepaid O

cean Services Limited

August 14, 2025

Page 15 of 15

Raj Narayanam: Thank you all for participating in today's call. We hope we have addressed all your queries and provided valuable insights. We remain optimistic and focused on the future growth of the company, and we are excited about the opportunities ahead. For any further information, we request you to get in touch with SGA, our Investor Relations Advisors.

Thank you, and have a nice Independence Day in advance.

Moderator: Thank you. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

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N
November 18, 2025
To
Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex, Bandra (East),
Mumbai -400 051, Maharashtra
Company Symbol: ZAGGLE To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th Floor, Dalal Street,
Mumbai -400 001, Maharashtra
Company Scrip Code: 543985

D
Dear Sir / Madam,
S
Subject: Transcript of Earnings Call held on November 11 , 2025.

P
Pursuant to the Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations 2015 and further to our letter no. ZAGGLE/25- 26/99 dated November 05 , 2025, please find attached the Transcript of the said earnings call on the Company's operational and financial performance for the quarter and half year ended on September 30, 2025, and the same has been uploaded on the website of the Company on the following web -link:

H
<https://ir.zaggle.in/wp-content/uploads/2025/11/earning-call-transcript-Q2FY26.pdf>

W
We request you to kindly take the same on records.

T
Thanking you,
Yours faithfully,

F
For Zaggle Prepaid Ocean Services Limited
H
Ari Priya
Company Secretary and Compliance Officer

E
Encl. As Above

Page 1 of 20

"Zaggle Prepaid Ocean Services Limited
Q2 & H1 FY '26 Earnings Conference Call"

November 11, 2025

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on November 11, 2025, will prevail.

MANAGEMENT : DR. RAJ NARAYANAM – FOUNDER AND EXECUTIVE
CHAIRMAN , ZAGGLE PREPAID OCEAN SERVICES
LIMITED
MR. AVINASH GODKHINDI – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER , ZAGGLE PREPAID

OCEAN SERVICES LIMITED
MR. ADITYA KUMAR – CHIEF FINANCIAL OFFICER ,
ZAGGLE PREPAID OCEAN SERVICES LIMITED

Zaggle Prepaid Ocean Services Limited
November 11, 2025

Page 2 of 20

Moderator: Ladies and gentlemen, good day , and welcome to the Zaggle Prepaid Ocean Services Limited Q2 FY '26 Earnings Conference Call .

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchstone phone. Please note that this conference is being recorded.

This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements do not guarantee future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Dr. Raj Narayanam – Founder and Executive Chairman, for opening remarks. Thank you, and over to you, sir.

Raj Narayanam: Thank you. A very good evening to everyone. Thank you for joining the Earnings Call for Zaggle Prepaid Ocean Services Limited for Q2 and H1 of Fiscal Year 2026. On behalf of the company, I extend a very warm welcome to all of you.

On this call, we are joined by Mr. Avinash Godkhindi – Managing Director and CEO, Mr. Aditya Kumar – our CFO, and SGA, our Investor Relation Advisors.

The Financial Results, Press Release , and Investor Presentation are uploaded on the Stock Exchange and on the Company website. I hope everybody has had a chance to look at it.

This quarter marks our best -ever half -yearly and quarterly performance, marked by strong progress and continued innovation across our businesses. Talking about the quarterly performance, comparing Q2 FY '26 to Q2 of FY '25, the company reported the revenue at INR 431 crores, growing at around 42% on a year -on-year basis.

Our adjusted EBITDA increased to INR 44 crores, growing at about 48% on a Y-o-Y basis. The PAT surged to INR 33 crores, growing significantly at around 79% on a year -on-year basis.

If we look at half -yearly numbers, comparing H1 FY '26 to H1 FY '25, the company reported revenues at around INR 762 crores, growing at around 37% Y-o-Y. Our adjusted EBITDA stood at around INR 77 crores, a 39% Y-o-Y increase. PAT surged to INR 59 crores, growing significantly at about 68%.

Now, I would like to give an update on our acquisitions and investments so far :

Our existing acquisitions and investments continue to perform extremely well. Mobileware, now rebranded as 86400, has generated a revenue of around INR 24 crores in Q2 FY '26, with an Zaggle Prepaid Ocean Services Limited
November 11, 2025

Page 3 of 20

EBITDA of around INR 7 crores and a PAT of around INR 4.8 crores. This is against a revenue of INR 33 crores in the entire FY '25.

Mobileware has also partnered with Suryoday Vega Pay for a successful launch of the credit line on UPI product.

ForTaxSpanner , I am happy to share that we have signed up one of the largest private sector staffing companies for tax filings for their gig workers, leveraging the ZUGS, which is Zaggle Unified Gig Worker Savings Platform, as we continue to onboard marquee corporates for TDS and GST modules across platforms.

We have also strengthened our presence in HCL, one of our key accounts, by upselling our TDS reconciliation module.

Now, I would like to give an update on the ongoing acquisitions :

We have made significant progress on these, as committed earlier in the AGM. For Greenedge, I am happy to announce that we have completed the signing of the transaction documents.

We should sign these transaction documents for the two out of the remaining three acquisitions, which are already been announced , which should be done very, very quickly. In addition to this, we are at an advanced stage of evaluation and commercial discussions with a set of targets

.

But I also want to inform you that we have already started working as a team with these three acquisitions, which we had announced, closely working with them on multiple projects as well as multiple accounts. We will keep you updated on the progress over the coming quarters.

One thing which we wanted to make it very clear is that while there is pressure internally, externally to do some large acquisitions, we want to make sure that we do the right acquisition,

acquisition where there is some color or some paint we want to stay away from. And in some of our earlier announcements, we have looked at it. We have looked at them. And in the diligence process, something has come up which we have not liked. We have abandoned one of those large acquisitions because we did not feel that it is the right acquisition for the company.

Along with this, I would also want to inform that we are preparing to expand globally with a focus on the MENA and the U.S. markets, positioning the company for global scale and diversification. As a part of this expansion plan, we will be setting up an office in GIFT City, giving us easier access to the international markets to cater a holistic cross-border spend management solution and follow it up with an office in the MENA region in the next few weeks.

Now, I would like to give you a few updates on the business :

Zaggle Prepaid Ocean Services Limited

November 11, 2025

Page 4 of 20

At the Global Fintech Fest 2025, we launched two innovative products to further enhance our comprehensive payment suite, each strengthening our dedication to delivering intelligent, secure, and customer-focused spend management solutions.

- First, the Zaggle GlobalPay FOREX Card is a co-branded partnership with GlobalPay, earlier Wall Street FOREX, to streamline FOREX spending for businesses and global travelers, offering greater control, enhanced security, and intelligent automation.

- The second, a prepaid card in partnership with Mastercard and NSDL, designed to simplify channel partner payouts in tandem with our Propel offering.

Now, coming to the most exciting update of all, we have entered into a retail co-branded partnership with AU Bank :

This further solidifies our position in the retail co-branded credit card segment, in addition to our acquisition of Rio, which already has been an ongoing partnership with YES Bank. While we build scale with AU and Yes Bank, we are actively seeking to add two to three more banks on the retail co-brand side as we look to deliver a strong value proposition to our user base. What we think is that with an estimated INR 500 crore to INR 600 crore of revenue and EBITDA of about INR 50 crore to INR 60 crore over the next four to five years, this will be a completely new line of business, of which today the contribution out of this line of business is zero. So, this will be a great addition to our ever-growing top line and bottom line.

Across all these developments, one theme remains consistent: our focus on building a strong ecosystem rather than standalone products and platforms. The strength of our partnership, the speed of our innovation, including the AI initiative, and the breadth of our global ambition are driving us towards the next phase of transformation. With deep roots in India and a vision that spans across markets, we are bringing together technology, innovation, and collaboration to create enduring value.

Lastly, the company has recently issued warrants at INR 567 per share to Bennett Coleman and Company Limited. This is a brand equity transaction giving us access to marquee media brands such as Times of India, Economic Times, etc. Very pleased to announce that the promoter entity, RAN Ventures, which is the short form for Raj Narayanam Ventures, has also subscribed warrants at the rate of INR 567 per share, which they think that is a very appropriate price. In light of our strong performance

and the momentum we are witnessing across our business segments, we recently upped our revenue guidance to 40% to 45%. Our EBITDA guidance continues to remain in the range of 10% to 11%.

Now, with this, I would like now to hand over to our CEO – Mr. Avinash Godkhindi, to take you through the business and operational highlights in more detail. Thank you. Over to you, Avinash.

Zaggle Prepaid Ocean Services Limited

November 11, 2025

Page 5 of 20

Avinash Godkhindi: Thank you, Dr. Raj, for your comments. A very warm welcome to everyone joining us on the call today.

I am very happy to share that today, around 3.5 million users use the Zaggle-powered cards and software, a strong testament to the scale and adoption of our platform. We now serve more than 3,600 customers across a wide spectrum of industries and sectors.

During this quarter, our SaaS platform fees contributed to around INR 10.5 crores. Our program fees contributed to around INR 174 crores, and our Propel points revenue contributed to around INR 247 crores.

While our current businesses are doing extremely well, some of our new businesses are also shaping up very well. I am happy to share that we signed up with Adani Total Gas and Megha Gas for our fleet management solutions.

Adani Total Gas is India's largest CGD company, encompassing 53 geographical areas,

operating around 700 CNG stations. Megha Gas is a fast-growing CGD company, covering 22 geographical areas across 62 districts in 10 states, operating around 200 CNG stations. We will be providing fleet loyalty module as well as rewards module for their incentives for both these accounts.

During this period, we also signed up several marquee clients, including SMC Global, Pernod Ricard, Ultratech Cement, DTDC Express, Suryoday Small Finance Bank, Nuziveedu Seeds, amongst others.

To provide a brief overview of one of our clients :

Our client was dealing with an entirely manual process on the procure -to-pay side. The client was facing multiple challenges on managing data sets originating from multiple ERP systems, along with a complex hierarchical approval process leading to a very high turnaround time for even simple orders that were placed.

We addressed these issues by deploying our Zoyer platform, which streamlined the complex approval process into an automated AI -driven policy layer, along with giving them an entirely digital procure -to-pay journey, reducing the order TAT and reinforcing compliance through our digital platform.

Another one of our clients, a leading agricultural company, was facing the challenge of creating a reward incentive structure across the 10,000 -plus retailers in a highly fragmented sales chain. We addressed these issues by deploying the Propel platform, which brought these retailers onto a single platform, which further digitized, automated, and streamlined the incentivization and redemption process.

Zaggle Prepaid Ocean Services Limited
November 11, 2025

Page 6 of 20

As we advance our platform -based strategy, we expect accelerated growth driven not only from our strong pipeline of new clients, but also from continued cross -selling success. In Q2 2026, we further strengthened this momentum by expanding our cross -sell wins across a wider client base, including Bharat Dynamics Limited, Apollo Health, Siyaram Silk , OfBusiness , amongst others.

I will take an opportunity to elaborate on a few of these :

Apollo Health is an existing customer of the Propel solution. We recognize the potential to further collaborate and successfully offered our Save and Zoyer platform solutions. The Save offering is to help Apollo Health streamline employee expenses across board. Zoyer, we offered the BROME module, which will streamline their spends across the retail outlets as well as the procure -to-pay platform to manage spends centrally.

OfBusiness Group, Oxyzo Financial Services and OFP Tech is an existing

customer of our Save

solution. We have identified an opportunity to strengthen our partnership by implementing the Zoyer solution to drive greater efficiency in their procurement process.

Now, I would like to give an overview of our partnerships and the progress we are making :

I am very happy to share that we have onboarded and partnered with three banks: AU Bank, Standard Chartered Bank, and IDFC Bank. Our banking partners now stand at 19.

As Dr. Raj has already spoken earlier about the retail co -brand partnership with AU, I would like to add that we also have partnered with the AU Bank for corporate credit cards as well as co-branded prepaid cards to be provided to our customer base, establishing a truly strategic alliance that we are committed to leveraging and scaling it further.

We have also entered into a strategic partnership with IDFC First Bank. IDFC will take the Zaggle 's spend management suite of solutions to their extensive corporate base while we aim to leverage the IDFC First FOREX solutions and offer it to our customer base.

Similarly, we entered into a partnership with Standard Chartered Bank, our third major international bank partnership after HSBC and DBS, where we aim to introduce our spend management suite to their existing corporate customers.

Lastly, we further strengthened our partnership with Mastercard by signing a five -year customer business agreement for co -branded domestic prepaid card, which offers launch and spend linked incentives to Zaggle.

I will now touch upon brand and recognition :

Zaggle Prepaid Ocean Services Limited
November 11, 2025

Page 7 of 20

I am happy to announce that we have onboarded Mr. Ayush Mhatre as our new brand ambassador. Ayush, as you would know, is the captain of the India Under -19 cricket team, an India A player, as well as representing Chennai Super Kings in the IPL and Mumbai in the Ranji Trophy and other first -class teams.

I am extremely proud to share that Zaggle has been also , I want to touch upon what we have

done in terms of recognition. Very happy to share that we have been awarded multiple industry recognitions this quarter. Some of them are FinTech Disruptor Award and Best Use of Content Marketing by FINIXX, Best Team Project in FinTech Category at the India DevOps Show 2025. I would also like to take this opportunity to congratulate Dr. Raj for winning the MSME Leader of the Year at the Bharat Digital Excellence Awards 2025.

With this, now I hand over to our CFO, Aditya, to take you through a financial update. Thank you.

Aditya Kumar: Thank you, Avinash, and a very warm welcome to everyone on this call.

I am delighted to report that the company has delivered strong performance with the highest - ever quarterly and half-yearly revenue and significant margin expansion. In Q2 FY '26, the company reported record revenue of INR 431 crore, up by 42.4% on Y-o-Y basis.

This was on the back of strong growth across our all -revenue lines, program fee, Propel Points, and SaaS fee. The substantial increase in the incentive and cashback is in line with the business growth. Employee expenses and other expenses increased to support business operations. ESOP costs declined due to the forfeiture of few shares.

Our adjusted EBITDA grew by 48.1% to INR 44 crore in the quarter compared to INR 30 crore in the same period last year. Our PAT reported INR 33 crore compared to INR 19 crore in the previous year.

Our Cash PAT, which includes net profit depreciation and ESOP expenses, has surged by an impressive 70% Y-o-Y to INR 40 crore, the highest ever.

For H1 FY26, our revenue from operations surged 37.4% Y-o-Y to INR 762 crore. Our adjusted EBITDA has increased 38.8% to INR 76 crore.

Notably, our Cash PAT surged to 63.9% to INR 75 crore. As of 30 September 2025, our cash balances is around INR 573 crore.

Our operating cash flow before taxes stands at a negative INR 19 crore for H1 FY '26

. We are actively taking measures to normalize this, and it is expected to stabilize in the upcoming periods.

Zaggle Prepaid Ocean Services Limited
November 11, 2025

Page 8 of 20

With that, I would like to conclude my update, and we are happy to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question comes from the line of Sachin Dixit from JM Financial. Please go ahead.

Sachin Dixit: Hi, Raj and Avinash. Congratulations on a great set of results. I had three questions. The first one is we will love to understand the ramp -up that we are seeing in the newer products, especially in the existing customer base, either ZatiX Fleet Management and ZIP sort of products. And how are those ramping up? If you can talk about any cross -sell sort of penetration that you have seen, what number of customers are adopting to these products, right? If you can give any sort of customer -level visibility on this, that will be helpful.

Avinash Godkhindi: Yes, Sachin. So, we have seen great momentum overall for cross -sell. We are seeing cross -sell momentum in BROME, which is our branch recurring operating monthly expenses, and there, we have seen tremendous traction. We are also now seeing great cross -sell opportunities emerge for our fleet programs. I spoke of what we are doing with Adani Total Gas, Megha Gas. A whole host of these opportunities are opening up, and the conversations are turning out to be a lot more holistic because we are solving deeper problems for our customers.

Sachin Dixit: Any numbers around that? Like, if you can talk about, or this is the sort of disclosure that we have got now?

Avinash Godkhindi: So, overall, Sachin, our cross -sell percentage around IPO was about 16%, and now we have upped it to about 21%. And we are trying to increase penetration. So, our cross -sell definition is a single customer taking more than one product.

Now we are seeing a lot of customers are taking not just two, but three, four products. And that is, again, increasing our penetration in these companies. A lot of sales that is also happening to new customers is where a full bundle is being offered to the customer and not just a single product.

Sachin Dixit: That's great to hear. My second question is on program fee side, right. So, program fee obviously was seeing relatively more mid -teen sort of a growth until last quarter, has picked up quite sharply this quarter. If you can talk about what drove this rise, if there is any seasonality impact there. I also see incentives and cashbacks have gone up quite sharply as a percentage of program fees revenue. So, if you can give what is driving the faster growth in program fees, and how do you see it progressing further?

Avinash Godkhindi: The program fees growth quarter -on-quarter has grown a lot. It is going to continue to grow very strongly in the coming quarters. It is not so much about seasonality. Seasonality, of course, is there, but there is also the adoption of newer customers where we are cross -selling, upselling,

and adding new customers, new use cases.
Zaggle Prepaid Ocean Services Limited
November 11, 2025

Page 9 of 20

We are seeing a lot of customers also broad -base their use cases from earlier, which used to be a lot around your marketing spend, etc. From there, it has broad -based to vendor payments, their tax payments. So, we have broad -based it to a much more holistic OpEx sort of a play, and that is showing in the revenues. That is how I would describe it.

Sachin Dixit: Should we be expecting this similar sort of growth rate in the coming quarters as well?

Avinash Godkhindi: Yes.

Sachin Dixit: Y-o-Y level growth rates?

Avinash Godkhindi: The growth rates are going to pick up further in the coming quarters.

Sachin Dixit: That's, again, good to hear. Finally coming to our OCF, as also

highlighted over the call as well ,

right? So, while our cashback continues to grow very, very handsomely, our OCF has still dipped , right? If you look at your H1 last year versus this year, there is a sharp dip of almost like INR 33 crore on the OCF side. What is driving this dip? If you can talk about, I mean, you did mention that you are working on OCF. What will change for you to turn OCF and then finally FCF positive?

Aditya Kumar: Basically, Sachin, if you look at it, right, the growth, what we have anticipated in the current H1, despite the denominator is being very high, so that resulted onto the TR base, a little bit on the recovery, and deployment happened on the other asset side by considering the festive period, etc. So, once this gets normalized in the upcoming quarters, we should be able to comfortably break even. So, even right now, before taxes, if you see, that is only INR 19 crore. And possibly we will get this sorted, and end of next year or so, we will be able to generate the positive cash flows.

Sachin Dixit: You said next year or this year?

Aditya Kumar: This year, we will break even, and OCF will be turning properly the cash flow generation.

Avinash Godkhindi: So, just to add as Aditya has said, the festive season has a very significant impact on this because ultimately we need to support our corporate customers during the Dussehra Diwali season. And that is something which always has a certain impact, and that sort of also stabilizes in the coming weeks and months.

Moderator: The next question comes from the line of Pkeday Advisors . Please go ahead.

Parikshit Kabra: Hi, Avinash. Congratulations on a great set of numbers. The one question I keep asking every quarter, this time I will avoid that. Instead, let me ask following up on the previous question on the cash flows.

Zaggle Prepaid Ocean Services Limited

November 11, 2025

Page 10 of 20

The other line item in your balance sheet that is inflating quickly is the intangible assets and the working progress intangible assets , right? And that is increasing quite quickly, and I am guessing that is also creating a stress on your cash flows. So, number one, should we think about this as only manpower expense, which is basically your R&D expense? And number two, how is this going to trend going forward?

Aditya Kumar: Intangible assets, one is the manpower, definitely. Along with this, the external AI consultants, what we are appointing, that includes these both comprises. Like I mentioned, like Avinash has mentioned very clearly, this is one -time kind of thing which we have given. So, as we said, we are working towards normalizing the TR and other improvements, which should get some time end of, like I said, we will break even in this year. And possibly next year, the operational cash flow can turn positive.

Parikshit Kabra: I understand that you are saying you will turn positive next year. I am trying to understand the intangible assets in particular. Are they going to be going up going forward, or are they now going to stabilize and you will start depreciating those intangible assets quickly, faster now?

How do we see that number going forward?

Aditya Kumar: As we said here also, the significance of our investment is happening on the AI side to scale up on a global level product. So, at least for the next one more year, we will start to have to invest on the AI piece and the other products in order to make it competitive at a global level. So then later, obviously that will get streamlined to a normal depreciation, which is as per the company's policy, depending upon the three - to five -year tenure . So, at least you will see investment in intangible assets next one more year, end of FY '26.

Parikshit Kabra: Clear. The other question I have is in terms of understanding your revenue bifurcation. Currently, we still give our revenues in terms of program f

ees, Propel, and I forget the last one, but yes, the three levels. With all these new acquisitions coming in, where are we reporting their revenue? And this quarter's revenue that we have seen in program fees of whatever, 38%, how much of that is organic growth, and how much of that is from acquisitions and inorganic that is there in this quarter and was not there last year, same quarter?

Avinash Godkhindi: I will take the second part first. The growth that you are seeing is entirely organic. The impact of the acquisitions on the program fees is not yet visible. The overall philosophy for Zaggle would be that there are certain acquisitions where the revenue lines would fall under the SaaS piece, like Dice. Other acquisitions would go into the Propel points, like Greenedge and others. And there will be others which will come into the program fees. So, that is how we split it. We don't anticipate the breakup or expand. We have always looked at these acquisitions as something that fits into one of these three buckets.

Parikshit Kabra: Right, Avinash. For example, I think Raj sir mentioned earlier today that Mobileware is already contributing xx crores. I forget the number. And that is an inorganic acquisition that is sitting in one of these line items, right?

Zaggle Prepaid Ocean Services Limited
November 11, 2025

Page 11 of 20

Raj Narayanam: No, no. That is not sitting in this line. This is just standalone numbers which we have told. That will come in the consolidated.

Aditya Kumar: So, basically, if you see Mobileware is an associated entity. So, we will consolidate only the share of profit and not the entire P&L. We have 38% of the stake in Mobileware.

Parikshit Kabra: Lastly, is that the other expenses, both this quarter and last quarter, we have stabilized at around INR 20 crore, and that has been a massive fall from the INR 30 crore number. Is this number now a sustainable number? Is this already built-in whatever marketing expenses we need to continue growing at this rate, or is this currently crunched in a couple of quarters? We might have to reinvest in marketing.

Avinash Godkhindi: The marketing expense, especially with the retail card, is going to increase in the short term, just given the scale and size of opportunity there and how retail card businesses are for banks and other issuers. We see that as a great opportunity. Partly, the warrants issue to Bennett Coleman is also linked to this because we see that as a great support that comes in for us as we expand on the retail card business and our businesses across board.

Moderator: The next question comes from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Sir, I wanted to understand now you touched upon your acquisition planning. So, you said about two of the three targets that will be signing document in the near term. So, any timeline we have set for this acquisition, and what is the tentative size? If you can throw some light on that, that would be very helpful.

Avinash Godkhindi: I think these are acquisitions that we are talking of, which we have already announced, right? So, we have acquisitions that we have announced recently which are yet to be closed are Rio Money, Dice, and EffiaSoft. So, we are talking about two of those getting closed very soon.

Deepak Poddar: And what is the revenue size of these acquisitions?

Avinash Godkhindi: The different companies have different revenue sizes. So, Dice this year would probably be about INR 20 crores, INR 22 crores. Rio Money is fairly small in terms of revenue because it is a B2C player on the retail card and TPAP side. And EffiaSoft would be about INR 28 crores to INR 30 crores.

Deepak Poddar: And all these are profitable companies?

Avinash Godkhindi: No. EffiaSoft is profitable while Dice and Rio Money are in an investment growth phase.

Deepak Poddar: And

Rio Money has a very minuscule revenue kind of a thing, right?

Zaggle Prepaid Ocean Services Limited
November 11, 2025

Page 12 of 20

Avinash Godkhindi: Yes. It is fairly small.

Deepak Poddar: And secondly, just wanted to understand on your margin trajectory. I mean, we are talking about 10% to 11% for this year, right? So, if I have to look next three to four years, how should one look at your margin trajectory given the scale-up you are talking about?

Avinash Godkhindi: See, we have already given a guidance that in the next 5-odd years, we will hit about 14% to 15% of adjusted EBITDA, right? That is something that we are sticking with.

Deepak Poddar: What next five years you are mentioning?

Avinash Godkhindi: Four to five years, we are looking at about 14% to 15% EBITDA.

Avinash Godkhindi: Next four to five years.

Avinash Godkhindi: Yes.

Deepak Poddar: And just data point, you mentioned this retail card that you are tied up with AU Small Finance Bank and looking for two or more three banks tie up. So, this segment can give you INR 500

crore of revenue with an EBITDA of INR 50 crore to INR 60 crore in next four to five years cumulative. Would that be a right understanding?

Raj Narayanam: Not cumulative. At the end of the fourth or the fifth year, you will be able to see about a revenue of INR 500 crore. Cumulatively, if you do, it could be about INR 1,200 crore. And EBITDA could be about INR 120 -odd crores cumulatively. But standalone on that particular year in that line of business, we aim to hit about INR 500 crore with about INR 50 crore to INR 60 crore of EBITDA.

Deepak Poddar: Per annum. So, in the next five years, maybe INR 500 crore of revenue with incremental INR 50 crore, INR 60 crore EBITDA can come from this segment, right?

Avinash Godkhindi: Correct.

Deepak Poddar: I think that would be it from my side.

Moderator: The next question comes from the line of Devesh from Antique Stock Broking. Please go ahead.

Devesh Kasliwal: The first question was on the acquisition side. You said these three acquisitions will be closed. So, can you quantify how much of the cash that we have will be left after that? Are we planning additional acquisitions going ahead?

Zaggle Prepaid Ocean Services Limited
November 11, 2025

Page 13 of 20

Raj Narayanam: Thank you, Devesh, for the question. Yes. We roughly would have about INR 430 crore to INR 440 crore of money left after this acquisition. And we are looking at another maybe two to three acquisitions in the near future is how we are planning to do.

Devesh Kasliwal: So, this will be to expand the overall portfolio like we were doing previously?

Raj Narayanam: Yes. Absolutely. If you just look at our fleet management solution, which we started about a year, year and a half back, and compare those to giants like Corpay as well as WEX, both of them, their market cap is in billions of dollars.

India is a very burgeoning market in terms of fleet management, and we are making very, very good inroads into the fleet management. And as Avinash mentioned that we have done Adani Total Gas, Mahanagar Gas. Like this, we are now expanding into OMCs, which is the oil marketing companies like HPCL, BPCL, IOCL, etc.

What we see is that over a period of time with our suite of products, with the underlying theme of software and payments, we are going to become a very, very significant player in the OMC space with the OMCs for fleet management. And accordingly, now, if you see, we have done the gas distribution business. We are probably monopoly out there in terms of our software and our card getting used. Similarly, in the OMCs, we also feel that we will be able to do a major, major leg up in the coming years.

So, on all fronts, while we are increasing our TAM, the total addressable market, we are also looking at expanding the product range so that as the years go by, we should grow

organically

from our existing product suite. And adding to the product suite, we should grow from that.

Overall, we should be able to maintain a healthy growth rate of about 40% -45%-50% over the coming years.

Devesh Kasliwal: Second question, sir, on the retail side that we have done the tie-up, we expect around INR 500 crore of revenue at the end of the fifth year from now. So, when will it start showing in revenue?

What is the overall process pre that for, like can there be any risks to that not going forward?

Raj Narayanam: See, risk is something business second nature is risk. But we are taking all appropriate measures to see that there is not risk on us because we don't take the credit risk. So, we partner with the bank, and we are the program managers for the retail card as well. So, we are not going to take any credit risk per se. I think first year of full operations would be from FY '26-'27. So, April '26 is what you can take as the start date for the operations. And the first year would be March '27.

Moderator: The next question comes from the line of Piyush from Narang Family Office. Please go ahead.

Piyush: I have first request starting. So, in case if we can add one slide on acquisitions in our deck that shows that which acquisitions fill in which white spaces. That would be helpful because some

Zaggle Prepaid Ocean Services Limited
November 11, 2025

Page 14 of 20

are on the product side, and then we have some acquisitions that are lined up within other white spaces. So, that is a request from my side if you can do that.

The first question was that I wanted to understand a workflow or a payment flow for something like BROME. So, if we deploy on the customer end, is it mandatory for a customer to use our payment mechanism, our prepaid cards or credit cards, or how do they make the payments to the end vendor?

Avinash Godkhindi: Yes. So, the BROME use case, we support multiple payment methodologies, but of course, this has to go through our software, our platform. So, either you can make a payment through a credit

card issued by us or a prepaid card issued by us, or we also have the ability to be able to directly work with the current account of the corporate, right?

So, the corporate itself has the current account, and we have the ability to give virtual sort of accounts to individuals who are linked to that current account. And that is how the whole solutioning has been done so that all three possibilities are there: prepaid card, credit card, as well as a direct UPI on the current account of the corporate, whereas there are individual balances maintained for each user, and they are able to make the payment through UPI.

Piyush: Right, Avinash. So, the follow-up on this is that if the customer uses their own payment mechanism, how do we make money on that? Or with Mobileware, we are doing something on UPI there?

Avinash Godkhindi: See, ultimately, if they are using a credit card or a prepaid card, it has to be a Zaggle-issued prepaid card or a credit card in partnership with our partner banks. If they are using the direct solution, there as well, we charge a fee to the corporate because the savings that they make on the BROME solution is about 20% to 30% of their current expenses. That is the amount of leakage, and that is the amount of savings that we are able to generate. So, from that, for a corporate to share a small amount is not a big issue at all.

Piyush: And in future, if we integrate the UPI, do we intend to make money through that? Or given there are no MDR right now, how do we intend to go forward with this?

Avinash Godkhindi: We are fully integrated with UPI today as well. And this whole solution works largely on the UPI rails powered by Mobileware. And there, we charge the software fees or the fees to the corporate. Because the savings are so significant for the corporate, the corporate is more than

happy to pay this fee.

Piyush: The second question was on Propel side. We are continuously seeing that Propel growing much faster than Zoyer. Do we understand that Propel is like a foot in the door and then we try to cross-sell? Why am I putting this question is I want to understand the stickiness of a customer on a Propel or a value proposition of a Propel versus a Zoyer or a Save.

Zaggle Prepaid Ocean Services Limited

November 11, 2025

Page 15 of 20

Avinash Godkhindi: See, the Propel points growth obviously is very strong because this is also the festive season for Propel. Overall, if you see the growth, you will see a lot of growth coming in on the program fees.

Also, keep in mind that a lot of the Propel spends itself come on a prepaid card. The Propel points revenue that you see is only the gift voucher redemptions. And that is a gross number, right? So, that is how I would explain this.

There is a lot of momentum that we have overall in Propel. Propel itself is very sticky because you have a platform solution there. And in some cases, it acts as a foot in the door. In some cases, it is the other way around.

Raj Narayanam: But if you have to really say that which one is the foot in the door, you could say that Save is something which is foot in the door. And it is like very sticky. It is like those are multi-year relationships which stick in there. And Propel and Zoyer are the cross-sells once we have acquired the customer through Save.

Piyush: And where do we see the business mix moving? Like, in future, are we banging more on Zoyer, and Propel takes a back seat later on? Or you think Propel will be again the star hero product?

Raj Narayanam: Just look at the use case. See, Zoyer, pretty much can be used by anybody for that matter. Any company which is doing business will probably go ahead and use Zoyer. Propel is basically where sales and marketing are required, where you have channel partners or you have IT companies where you have a huge employee base. There is where you go ahead and use something called Propel. Okay. So, from that sense, Zoyer definitely has got a much, much brighter, wider use case. And eventually, over a period of time, you will see that Zoyer will overtake all other businesses.

Piyush: Just the last one, if I can pitch in. Probably I missed this one, that do we have any other acquisition, large acquisition that we are looking at, or not for now, given there is a couple of them fallen through?

Raj Narayanam: No. At the end of the day, what we want to do is what is right for the company. There has been, see, internally also we feel the pressure that we have to do a large acquisition. But when we see, when we look at them, and there are some red flags and some gray zones, we have taken a step back. But we are continuously okay. So, we have an M&A team which is continuously evaluating targets.

And as we speak, we are looking at two, three, but we don't want to announce anything till we have a very, very decent handle on as to what the company is. So, going forward, we will also want to see that diligence is done, like a small pre-diligence is done before we sign the term sheet. So, that is the thought which we are having right now, and we are continuously looking

Zaggle Prepaid Ocean Services Limited

November 11, 2025

Page 16 of 20

for acquisitions, and we can't tell you that, okay, this month or next month, but should come soon.

Piyush: Sure, Dr. Raj. I think that was helpful and very appreciable.

Moderator: The next question is from the line of Angad from MI PL. Please go ahead.

Angad: So, my question was regarding you had mentioned that you have signed a large retail chain in India. So, have the revenues already started kicking in from them, or are we supposed to expect in the future quarters?

Avinash Godkhindi: Very small portion has started to come in, but as we are seeing

that whole process grow, we

expect large number of revenues, large significant revenues to come in the coming quarters.

Moderator: The next question comes from the line of Akash Jain from Narnolia Financial Services. Please go ahead. The line for the current participant seems to have disconnected. We will take the next question coming from the line of Amit Jawade from Jawade Partners. Please go ahead.

Amit Jawade: Sir, regarding the fleet management, what was the revenue contribution in rupee crores this quarter vis-à-vis last time?

Avinash Godkhindi: See, last time there was no revenue from fleet, because that business was nascent. Even currently, the revenue from fleet as of now is fairly small. But in the coming years, we see this to be potentially a very large business for us. If you look at it from an oil marketing company perspective or even some of the CGD companies that we mentioned, like the Adani Total Gas, as those go live, the volumes can be very, very significant.

Amit Jawade: Significant, would you want to put some idea to it, sir, or how should we look at it? Because from your commentary, it sounds like a fairly big market. And maybe a ballpark percentage of the total number of our business, any idea that you can put it for that?

Raj Narayanam: The way we would want to do it is that look at a quarter or two, okay, as to how they are shaping up, and then comment on the revenue. Overall, looking at the market size, it is just humongous means unbelievably huge market. But let us go ahead now. We have done some tie-ups. Revenue has started kicking in. But to give you a correct estimate within plus minus 10% -15% of what we will actually do, we will probably take a quarter or two to give you a correct picture.

Amit Jawade: I have two more. Sir, you have touched upon this. Regarding the cash flow from operations, as investors, forgive me for being too simplistic, but we would want that CFO should be in tandem with your PAT year-on-year. So, I understand it will not match to the last decimal, but it should have the same cadence. So, when do you think that happening?

Zaggle Prepaid Ocean Services Limited

November 11, 2025

Page 17 of 20

Aditya Kumar: Like we mentioned, this year, we will break even. And FY '27 onwards, you will see positive OCF.

Amit Jawade: But sir, positive, will it be matching to, will it be in tune with our profit after tax, or how?

Aditya Kumar: OCF, like I mentioned, operating cash flows will turn positive, and we will generate cash from FY '27 onwards. Like, if you see FY '26, we are broke even. And the business growth of the current H1, if you see the growth aspect, needed some kind of investment into this, considering the festive season and the corporate requirements as such. And in H2, we will break even for the FY '26 as such. And the actual growth of operating cash flows, which turns positive, will be resulting in the PAT resumption in FY '27 onwards.

Amit Jawade: And lastly, sir, regarding the acquisitions, there have been multiple acquisitions which are going on. Is there a thought that maybe if you have acquired something, get hold of it and completely let it bloom before we get on to the next acquisition, or rather you are thinking that whatever you can get right now to acquire as much as possible? How do you think about acquisitions presently?

Raj Narayanam: First of all, thank you so much for that question. If you really look at it, anything which comes our way, we would look at that. No. So, we have very clear-cut guidelines as to how we would like to look at acquisition. A, either it should be part of our current product suite which is there. So, if it is adding either customers to us, adding revenue profitability to us, or it is strategic in nature, that is one.

The second, when we look at all these acquisitions, we also want to see that the TAM in these acquisitions is high. Like, for example,

on the retail credit card side, we are looking at a company which is already running a credit card linked to UPI. So, now this will fasten our time to market. So, we look at that okay, we are acquiring this company, maybe a small company, but this will help us save a lot of dollars overall.

The third thing you look at is if it is a strategic fit. Strategic fit means geographically it is present

in a place where we are not there, and we think that the initial investment would be higher than what is the cost of acquisition we are paying. It is another leg up which we will get that, okay, now this is something which is comforting to us.

But a lot of acquisitions per se, what we look at is that they should be EBITDA accretive, either strategic or EBITDA accretive, or definitely revenue-generating exercise. And geographically, if it makes sense to us, we will go ahead and do it.

Amit Jawade: Lastly, sir, the partnerships which you are doing with multiple companies on multiple verticals, we read about them a lot from your disclosures, and we feel very happy about it. But I was just hoping that if we can see something like the pharmaceutical companies come, the first stage is done, the second stage, and then revenue started flowing. Is it possible to have something like a Zaggie Prepaid Ocean Services Limited

November 11, 2025

Page 18 of 20

step-by-step chart which partnership is where in this stage? You have partners, then you have started generating revenue, in between there can be a certain step, and after that, it becomes positive, operating profit becomes positive. Is there something that we can see in your deck, sir? Avinash Godkhindi: See, the way partnerships work, sir, is that some of these partnerships really add a lot of revenue over time. But for us to be able to predict that how which partnership will start adding value for us at which stage is hard simply because there is a partner dependency, sir. So, let us say I have partnered with a particular bank. I need to also make sure that I am understanding their constraints or their priorities or their focus areas and then navigate through the partnership accordingly.

So, it is a little hard for us to be able to predict exactly how each partnership will pan out. And that is the nature of our business. We are also fairly cognizant of our efforts when we go ahead with these partnerships. Some of these partnerships are bringing phenomenal success and revenues and profits for us. Others are yet to really scale up. And we let each of these partnerships play out a little bit basis the comfort of the partner as well.

Moderator: The next question comes from the line of Rohan Advant from Prad Capital. Please go ahead.

Rohan Advant: Sir, my question is on other current assets in your balance sheet, which has gone up from INR 174 crore end of March to INR 264 crore as of end of September. When I look at the annual report, the largest item there is prepaid cards with loading. So, can you just explain what this item really constitutes? Because that is a drag in terms of your working capital and cash flow convergence. What does this constitute? If you could just elaborate on this, sir?

Avinash Godkhindi: This is basically a scenario where, especially with the festive season kicking in, there are a certain amount of cards that we load because the demand peaks at that time, and we can't insist that the corporate make sure that they are actually paying us. Sometimes the corporate requests support, and hence we keep a stock given the holidays, etc., that we are able to fulfill the demand during that season.

This also has a certain degree of vouchers that we keep in stock for orders. So, that is where that prepaid card loading overall captures the stock that we keep both on the cards as well as the voucher side. And this is something which goes up because of the seasonality and the festive period that kicks

in.

Rohan Advant: Sir, is there a way to optimize this to reduce this so that working capital is released, or this has been the very nature of your business?

Avinash Godkhindi: Sir, as I said, this is very specific to Dussehra Diwali kicking in, right? And that is a time where everybody expects a little bit of flexibility as a partner to these corporates. And many of these customers have been with us for years, and they give us a lot of business, and we feel that we should support them.

Zaggie Prepaid Ocean Services Limited

November 11, 2025

Page 19 of 20

Moderator: The next question comes from the line of Vivek Lakhani from Karuna Investments. Please go ahead.

Vivek Lakhani: Congratulations for managing investors' expectations through good numbers. And I have a few questions starting from cross-selling rate. So, the last numbers on cross-selling rate was 20% in September 2024, where Mr. Avinash said that we are planning to achieve 50% in three years. And now we are just at 21%, where our corporates are growing at 15%. So, may I know why no substantial growth momentum in cross-selling rate? Any issues in adoption?

Avinash Godkhindi: It was 16% during the IPO, right? And there are three or four factors here. It is a great question. Thank you for your question. One is the way we define cross-sellers, any customer who has taken more than one of our products. And I alluded to this in the call as well.

There are customers where we have sold two products where we are going back now and selling three, four, five products, right? That doesn't really help our cross-sell percentage per se, but it

adds to our revenue and profits. So, that is what we are focusing on. And especially what we have found is once a customer has taken more than one of our products, has added one more product, the likelihood of them adding further products goes up because the relationship thickens. It becomes a deeper relationship. The number of corporates that we are adding also, that also increases the base, right? So, that is also another factor that we need to keep in mind. Vivek Lakhani: On your new acquisitions, on Greenedge and Rio Money, first on Greenedge, is this acquisition margin accretive and revenue accretive? If yes, what numbers can we expect and starting from when?

Raj Narayanam: It is currently, as of today, it is revenue accretive as well as margin accretive, and it will continue to grow. They are having like 100% growth over last year. Also it is 100%. It is very, very accretive to us.

Vivek Lakhani: And for Rio Money, if I am not wrong, then you are stepping into B2C segment and starting to provide retail credit cards, right?

Raj Narayanam: Yes.

Vivek Lakhani: So, the question on deadline is that how are you going to manage the higher credit risk, non-payments, and rising delinquencies? Usually, we associate with retail credit cards, like non-payments and everything.

Avinash Godkhindi: So, one thing here is that the credit risk is taken by the bank, right? We don't take any credit risk or balance sheet risk of any kind. We are the partner which is helping them reach to a larger customer base. We are also taking a B2B 2C strategy here, dipping into our 3.5 plus million users.

So, that is our first port of entry where we want to go deeper in our user base.

Zaggle Prepaid Ocean Services Limited

November 11, 2025

Page 20 of 20

As well as, please understand, we have 3,600 plus corporate customers. Not all of their employees are on our base today, right, as much as we would have wished for. So, there is a much larger universe of users that we can reach out to digitally as well as through kiosks, interesting activities that we intend to do with our corporate customers where we will be able to reach to the safest segment in the retail card business.

COVID has shown that a salaried person tends to repay no matter what, right? The delinquency

rates have always been the lowest in the salaried segment, and that is the segment which is our strong suit. And that is why a lot of banks are looking to partner with us also. Having said that, we don't participate in the credit risk or the balance sheet risk side at all.

Vivek Lakhani: So, it is safe to assume that you won't generate any NPAs and GNPAs or credit risk for the same, right, for Rio Money credit card?

Avinash Godkhindi: Yes, that is not part of our partnership contract at all. Interest income also sits with the bank. The NPAs also sit with the bank. The underwriting is done by the bank. The whole lending part of the business is completely looked at by the bank. We are program managers. We co-create the products. We help in sales and marketing of the product and first-level customer support.

Moderator: Thank you. Due to time constraints, this was the last question for today's conference call. I now hand the conference over to the management of Zaggle for closing comments. Over to you, sir.

Raj Narayanam: Thank you all for participating in today's call. We hope we have addressed all your queries and provided valuable insights. We remain optimistic and focused on the future growth of the company, and we are excited about the opportunities ahead. For any other further information, we request you to get in touch with SGA, our Investor Relations Advisor. Thank you and have a nice day.

Moderator: Thank you, sir. Thank you, everyone. On behalf of Zaggle Prepaid Ocean Services Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Nov 2025

Page 1 of 17

"Zaggle Prepaid Ocean Services Limited
Q2 FY25 Results Conference Call "
November 13, 2024

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on November 13 2024, will prevail.

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MR. ADITYA KUMAR – CHIEF FINANCIAL OFFICER –
ZAGGLE PREPAID OCEAN SERVICES LIMITED

MODERATOR : MR. ROHAN MANDORA – EQUIRUS SECURITIES

Zaggle Prepaid Ocean Services Limited
November 13, 2024

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to the Zaggle Prepaid Ocean Services Limited . Q2 FY25 Results Conference Call hosted by Equirus Securities . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on a touch -tone phone. Please note that this conference is being recorded.

This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Rohan Mandora from Equirus Securities. Thank you and over to you sir.

Rohan Mandora: Thanks Muskan. Good evening, everyone and thank you for joining the call. I extend a warm welcome to everyone. On behalf of Equirus, I welcome the management of Zaggle Prepaid Ocean Services Ltd. to give a brief update on the Q2 FY25 Results and address investor questions. We have with us from the management team, Dr. Raj Narayanam, Founder and Executive Chairman, Mr. Avinash Godkhindi, MD and CEO and Mr. Aditya Kumar, CFO . We will now begin with a brief opening remarks from the management post which we can have Q&A. Thank you and over to you sir.

Raj Narayanam: Thank you, Rohan . A very good evening to everyone. Hope you had a great Diwali and season's greetings to all of you for the upcoming season. Thank you for joining the earnings call for Zaggle Prepaid Ocean Services Ltd. for the second quarter of fiscal year 2025. On behalf of the company, I extend a very warm welcome to all of you. On this call, we are joined by MR. Avinash Godkhindi , Managing Director and CEO, Mr. Aditya Kumar, our CFO and SGA, our Investor Relations Advisors.

The financial results, press release and the investor presentation are uploaded on the Stock Exchange and on the company website. I hope everybody has had a chance to take a look at it. Now, I would like to give the Zaggle business update. You know today as we assemble for this

call, we have completed more than a year as a listed company and we feel very proud about it. The past year has been truly transformative for us. I extend my heartfelt gratitude to everyone who has been part of this journey. Your continuous support has been the foundation of our success.

Our IPO was a major milestone, strengthening our financial position and fortifying our dedication to delivering value to our stakeholders. The achievement highlights the trust our investors have placed in us and we take this responsibility very seriously. While some of our competitors and some in specific categories are facing a little bit of headwinds, listing has helped us consolidate our position as the number one spend management company in India.

Zaggle Prepaid Ocean Services Limited
November 13, 2024

Page 3 of 17

I am very very happy and excited to share that we have generated our highest ever quarterly revenue in this quarter. Our revenue for this quarter stands at, INR302.6 crores, which is INR3,026 million, reflecting a growth of 64% compared to the same period last year. Our performance has exceeded our stated guidance and demonstrates the resilience and agility of our business model.

Similarly, in Q2 FY25, our adjusted EBITDA for the quarter reached INR29.5 crores or INR295 million, representing a growth of 36% year-on-year. So, for the overall total revenue has been INR302.6 crores, our adjusted EBITDA is INR29.5 crores, adjusted EBITDA margin is 9.8%, reported EBITDA is INR26.7 crores and the reported EBITDA margin is 8

.8%. Our comprehensive offerings, combining cutting-edge technology with unparalleled customer service makes us a trusted partner for business across industries and geographies. We have signed some marquee brands last quarter, like HDFC Ergo, Baroda BNP Paribas AMC and Blue Star amongst others.

That said, as we had told last time that our focus is going to be on the cross-sell. Cross-sell continues to be a key focus area for us, which allows us to deeply integrate into our client's ecosystem. We from a product company are slowly moving towards a platform company and one such example is Subway, who has been our customer for some time now and was facing challenges with reconciliation and visibility of spending across its multiple stores, including cash payments for day-to-day expenses and there we offered our Zoyer Petty Cash Solution, enabled with QR payments, which has significantly reduced their cash payments, gained transparency across outlets and received regular reports that provide full visibility into what has been collected at the store.

Zaggle has a huge opportunity to cross-sell its solution to all existing customers and in this particular industry, which is like a QSR industry, the scope is very large and huge to be able to go the length and breadth of this industry. Like that, there are many other industries which we will be able to go in future. As per the industry articles, the global spend management market is expanding at 10.2% annually, while the Indian market is estimated to expand at a CAGR of 15.5%.

This actually highlights the need for better spend management solution to improve expense tracking, increase efficiency, improve compliance, enable decision-making and overall boost productivity. The spend management space is evolving at a fast pace and we are leading the way by introducing market-relevant products and newer use cases.

Requirements for efficiency, transparency, better compliance and regulation, which are the underlying thesis behind our products, continue to thrive and increase exponentially. As part of our growth strategy, we are actively looking for strategic alliances, as well as inorganic growth opportunities. During this quarter, we completed the strategic acquisition of TaxSpanner, which will allow Zaggle to add comprehensive tax services to our repertoire of products, which are under spend management solution. We have also received the board approval for an investment in Mobileware Technologies, a company leading the payment infrastructure development in India, closely working with NPCI.

Zaggle Prepaid Ocean Services Limited
November 13, 2024

Page 4 of 17

We are strongly focusing on M&A with a combined strategy of small tuck-ins and larger investment opportunities. We are actively seeking opportunities in the fintech sector, including areas like NBFC, payments, SaaS, etc. Our focus is to expand our business by tapping into newer, deeper profit pools, increasing our customer base and building a foundation for a stronger growth.

Although finding deals that are directly EBITDA accretive in the fintech sector is tough, but we

are constantly looking at opportunities which will either boost EBITDA or increase our product portfolio or open a new market for us. As discussed last time, additionally, we are working on expanding internationally, leveraging our success in the domestic market to build a strong global presence.

As you are aware that spend management is a global concept, slightly new to India, but overall all over the world, it is a very large business. In the international markets, US market remains as a key opportunity due to its vast potential. There are particular segments and segues which could possibly provide us an easier landing and faster expanding. We also see that there is a strong customer demand in the US for products like ours.

Overall, with our cost structure in India, we s

hould be able to provide the best service at best

possible prices in the US market. In line with our growth plans, we have taken approval from the Board of Directors for a fund raise up to INR950 crores, which is INR9,500 million, subject to shareholders' approval.

Given our strong performance this quarter, we are upping our guidance to 50% to 55% growth in our top line for FY25. We are very confident of doubling our FY24 revenues in the next 2 years. As we rapidly grow our top line, we are committed to protecting and growing our margins over a period of time, which is of paramount importance to us. As we focus on our financial performance, we are also dedicated to social responsibility, integrating environmental stewardship with our business goals and offering financial wellness education.

Our CSR efforts support various causes, including education, gender equality, healthcare, and poverty elevation. We are committed to being a responsible and active participant in the societal progress. With this, I would now hand it over to Mr. Avinash Godkhindi, CEO and MD of Zagggle.

Avinash Godkhindi: Thank you, Dr. Raj, for your remarks and a very warm welcome to everyone on the call. With

the backdrop that's been set by Dr. Raj's remarks, I would like to highlight that our growth coincides with an increase in the scale of our impact. With our insightful dashboards, we're transforming how companies track their spends and manage it. By diversifying our product portfolio and introducing more use cases, we have not only diversified our revenue streams, but also expanded our total addressable market, TAM, considerably. Looking back at the last quarter, the company has delivered yet another strong quarterly growth performance, improving profitability and compelling financial performance, underscoring a resilient momentum.

Allow me to spend a few minutes to reflect on the recent performance. Our SaaS fee, platform fee, or service fee, the revenue contribution of this line, stood at INR85 million or INR8.5 crores Zagggle Prepaid Ocean Services Limited

November 13, 2024

Page 5 of 17

in the last quarter. Program fees, the revenue stood from program fees at about INR1,261 million Indian rupees or INR126 crores. Propel Points revenue stood at INR1,679 million INR or about INR168 crores.

The revenue recognition basis is on a gross basis for Propel Points, and the margins vary from 7% to 9%. Zoyer, our accounts payable platform, has found a high degree of acceptance, and a major use case that has emerged is petty cash expense management. We foresee high acceptance of this solution in businesses with multiple location operations.

Dr. Batra's Positive Health Clinic Private Limited is one such example. An existing customer with about 1,000 employees using the Zagggle SAVE solution, which encompasses employee expenses, reimbursements, and benefits. Recently, we were able to cross-sell Zoyer to Dr. Batra's to help them manage their accounts payable along with their petty cash management for their 130 stores across the country.

We anticipate a significant contribution from Zoyer in the coming years. The Bharat Bill Payment System, BBPS, is an RBI-mandated system which offers an integrated and interoperable bills payment services to corporate customers and other customers. This is also a major use case within Zoyer.

Berkowits Health and Skin Clinic recently signed up for our Zoyer BBPS solution. Corporates face challenges in paying their utility bills due to the manual process and the untimely submission of bills, leading to penalties and loss of early payment discounts. Additionally, erroneous entries in the ERP system due to manual input result in incorrect reconciliations, not to mention the fraud and potential fraud and leakage possibilities.

The BBPS solution provided by Zoyer ensures one-time registration for all billers on the platform with an automated bill f

etch facility and a multi-level approval workflow. This

streamlines bill payments and reconciliation, which helps avoiding penalties. The solution blends beautifully with our Zagggle business credit cards for seamless payments.

I'm happy to share that our first fleet solution for Torrent Gas also went live this quarter. Overall, the fleet solution space is a very large, addressable market of INR 79,000 crores as per Government of India data, and we continue to be bullish about this space. Zaggle International Payments, ZIP, which focuses on forex and remittances, also presents a significant growth opportunity to tap into a growing TAM on account of high overseas travel both for business and leisure.

We have tied up the card networks and partners for forex business to capture a significant market share in this space in the coming years. As more and more Indians fall in the tax regime, the requirement for tax solutions is becoming imperative. Our latest acquisition, TaxSpanner, is a leading provider of tax services to individuals and businesses.

TDS filing is an important activity for individuals as well as companies, and in our Zoyer solution, we work with vendors of companies who need to file their TDS returns. Similarly, in the Propel platform, we work with agents, retailers, and dealers who need to file their tax returns. Zaggle Prepaid Ocean Services Limited

November 13, 2024

Page 6 of 17

TaxSpanner's services and capabilities integrate beautifully with Zaggle solutions to provide tremendous value to our corporate customers and their users.

All these products have higher adaptability for our customers, and we foresee robust growth in the future. We serve a wide range of industries, including BFSI, technology, retail, healthcare, manufacturing, FMCG, infrastructure, and automobiles, making our corporate customer network truly diverse and sector agnostic. Of late, we've been onboarding marquee clients, including Big Basket, Can Fin Homes, HDFC Ergo, Baroda BNP Paribas AMC, Equinox India, Pirelli Tyre, Blue Star, amongst others.

Through this year, there has been a heightened focus to find large enterprise accounts, which helps us to sell multiple products and use cases, lowers our CAC, and increases the lifetime value of the customer. This quarter, our founder and chairman, Dr. Raj P Narayanam, won the Lifetime Achievement Award at the International Startup Foundation 2024. Aligned with Government of India's pivotal initiatives like Startup India, Digital India, and Make in India, ISF aims to collaborate with over 50,000 startups, fostering their growth and bolstering the innovation of Aatma Nirbhar Bharat.

I'm also extremely happy to share with you that Chitkara University, Punjab, recently awarded our founder and executive chairman, Dr. Raj P Narayanam, an honorary doctorate degree honoris causa. Additionally, they inaugurated a dedicated center named the Dr. Raj P Narayanam FinTech Center for Excellence, within which we are launching specialized courses on FinTech, providing select MBA students at Chitkara University a comprehensive understanding of the rapidly evolving FinTech industry. As always, our focus remains on executing our defined strategy, building futuristic solutions, and developing a diverse pool of revenues, and dipping into diverse pools of profit as well that support our growth path.

Now, I hand over to our CFO, Aditya Kumar, to take you through a finance update. Thank you.

Aditya Kumar: Thank you, Avinash, and a very warm welcome to everyone on this call. I'm delighted to report that the company has delivered another quarter of strong performance with highest ever quarterly revenue, along with strong margin expansion, clearly demonstrating the value we are delivering to our customers. For the second quarter of 2025, the company reported a record revenue of INR3,026 million with a YOY growth of 64.2%.

This was

on the back of strong growth across our both revenue lines, program fee, and propel points. Our adjusted EBITDA grew by 36% to INR295 million in the quarter compared to INR217 million in the same period last year. Our cash PAT, which includes net profit along with depreciation / amortisation and ESOP expenses, has surged by an impressive 43% on a YOY basis to INR238.17 million, which is highest ever. Our PAT more than doubled to INR186 million compared to INR76 million in the previous year.

The company continues to have strong customer relationships with low churn and focus to expand existing relationships to build sustainable and reliable revenue streams. This is a substantial increase in the incentive and cash back, which is in line with business growth and high due to festival season match required for the customers to spend using Zaggle offerings.

Zaggle Prepaid Ocean Services Limited

November 13, 2024

Page 7 of 17

The employee cost has increased on account of one-time incentives paid to employees during the quarter. During FY25, we expect to record total ESOP expenses close to INR100 million. For H1 FY25, our revenue from operations surged by 83% on a YOY basis to INR5,548 million.

Our adjusted EBITDA has increased a substantial growth of 55% to INR551 million. Notably, our cash PAT surged by an impressive 72% to INR458 million. As of 30th September 2024, our gross debt is INR555 million with a cash and bank balance of INR1,827 million. With that, I would like to conclude my update and we are happy to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ankush Agrawal from Surge Capital . Please go ahead.

Ankush Agrawal: Hello, am I audible. Yes . So, firstly, if I look at the propel platform gross revenues those have further dipped during the quarter to about 3.5%. They were already lower in the Q1 at about 6% versus our normal range of about 8% to 10%. So, can you explain what is happening over there and how do you see this gross margin for Propel moving in H2?

Aditya Kumar: Thanks for the question, Aditya here. So, the current quarter the propel margins were reduced on account of high brand usage in terms of Amazon and Flipkart plus over the year -end, the margins will be disrupted because we will get overriding commission from brands on the volumes meeting. So, from next quarter onwards, end of this year H2, we will get the margins back to normalized margins of 7 percentage to 9 percentage.

Ankush Agrawal: So, for the full year, we will have that 7% to 9% margin?

Aditya Kumar: Yes.

Ankush Agrawal: Secondly, in terms of this QIP that we are looking to raise of about INR950 crores, it is obviously a huge sum. So, can you give some color on how much of this fundraise is towards organic growth and how much is for inorganic growth a broad split would help?

Avinash Godkhindi: Thank you for your question. As you are aware, we are yet to receive shareholder approval and this is for up to INR950 crores and the approval is valid for a year. The whole idea is to be able to have this enabling provision with us so that we are ready to be able to tap into any opportunities that we come across from time to time, both for organic growth, international expansion as well as inorganic growth. Difficult to say at this moment how much would the split be, but broadly that is the commentary that we can give you.

Ankush Agrawal: Okay. Lastly, in terms of M&A, we have been taking a couple of broad categories, which includes NBFC as well. So, wanted to understand, are we looking to acquire an NBFC to sort of do backward integration into payment instruments and if so, don't you think that would add additional risk to the business in terms of capital requirements and the need to bear capital credit risk as well in case of, say, something

like credit cards?

Avinash Godkhindi: So, if you look at all of these, these are opportunities that we explore. We are exploring because at the end of the day, we are looking to increase our profits and deepen our penetration with our Zaggie Prepaid Ocean Services Limited

November 13, 2024

Page 8 of 17

customers right . And these are demands that are getting generated today, where we are partnering with various NBFCs and lenders. If you look at it, a credit card is also a three -part product with one part being payment, the other part being lending and the third part being a marketing instrument.

So, there is an angle there when we are doing credit cards. So, I would say, again, too early for us to talk about the nature of the acquisition, if there will be an acquisition and how it will pan out.

Ankush Agrawal: Yes, but as a strategy, is the business comfortable in doing that kind of backward integration of being the issuer of payment instruments? Do you want to be that? Is what I'm trying to understand?

Avinash Godkhindi: We are not averse to it, to be a issuer of a payment instrument or an instrument which is regulated. For us, what matters is where are the profit pools, what's the demand from our customers and where is our sustained growth going to come from.

Ankush Agrawal: Got it. I'll get back in the queue for further questions. Thank you.

Moderator: Thank you. The next question is from the line of Aman Saifee from iWealth Management. Please go ahead.

Aman Saifee: Hello, I hope I am audible. . Thank you for the opportunity and congrats on a super set of numbers. But I wanted to understand that our Chairman mentioned in our opening remarks that our competitors are facing some headwinds in their respective segments. If you can Sir elaborate on to that, and how are we benefiting out of it?

Raj Narayanam: Thank you so much for your question. See, what you have seen is that there has been a funding winter for the Fintech industry or in general funding has been very, very tight in the private space. So you know , what is happening is that a lot of companies which possibly were trying to grow very fast have abandoned that plan and the focus is a lot more on profitability. And while it's tough for them to do profitability at their size.

What we see is that a lot of those companies are abandoning or getting closed down which gives

us another beautiful opportunity to bite into their customer pool. And that is what I meant by when I said that there are a little bit headwinds to some of the smaller companies who are trying to copy our model or some of the more prevalent models in the Fintech industry.

Aman Saifee: Okay, sir. I understood that. And Sir the second question is that, previously like last quarter, we have added so many high-profile customers, as you mentioned. We have added some new products Zaggie fleet management, international payment and we are also targeting our international, sorry, inorganic expansion as well. So, sir, I remember last quarter as well and in our AGM as well we have been saying about 55% growth this year and doubling in 2 years, the numbers in 2 years. I'm not seeing any change in our guidance Sir. Am I missing out something on to this?

Zaggie Prepaid Ocean Services Limited
November 13, 2024

Page 9 of 17

Raj Narayanam: Yes. So, the change in our guidance is from what we had earlier said 45% to 55%. Now we are saying that it is 50% to 55%. So, there is no just that the - if you just look at the numerator it has moved by 5 bps and we might pleasantly surprise you with a little bit more growth than what we have stated. We are going to be very, very aggressive in the market while protecting our margins, we want to give a very clear indication to the market that we are after growth, okay at sustained margins or bettering the margins at the cost of a lot of other players who are there in the market, because

use we have moved away from just selling a product, we are moving to a platform.

Now in platform, you have multiple products in a single platform and with which the CAC, the cost of acquisition will go down, the productivity will improve, the dependence of the corporate or the enterprise is going to be higher on us. And what we have to do is execute it ruthlessly. So, the only thing which I can tell you is that while every time we have gone ahead and given our guidance, we have stuck to it, we have done probably a little bit better or in and about that, but we are going forward we are possibly going to grow aggressively and looking at the opportunities which the market is giving us.

So, there is no better time than today to expand as fast as possible, because the markets are very, very good for our kind of business. While a lot of other sectors are slowing down, when other sectors slow down, what happens is to do their sales, they have to do a lot of incentives to their channels, that also helps us, they also need to control costs, wherever expense management and our accounts payable systems and the product comes in. So, overall, it is slowly, slowly turning out to be a beautiful market to dive in. Did I answer your question?

Aman Saifee: Yes, sir. That helps. That answers my question. Thank you so much, sir, and all the best.

Moderator: Thank you. The next question is from the line of Shreyash Kumath from Equirus Securities. Please go ahead.

Shreyash Kumath: Hello, am I audible. So, I have some questions. So, the first question is, our incentives and cashbacks are lower in Q2 versus Q1, what is driving that?

Avinash Godkhindi: See, ultimately, we are always trying to optimize and make sure that we are able to control our cashbacks and incentives. It is a function of how much we are able to penetrate into existing customers versus new customers, how much you are - what's the cycle that the business is and for the customer as well and a variety of factors, but by and large we are always keeping an eye on trying to control the cashbacks and incentives and some of those efforts have borne fruit this quarter.

Shreyash Kumath: Got it, sir. And sir what is our revenue share from verticals like ZatiX, fleet management and international payments and how do we look at that revenue share growing over the next 2 years, 3 years?

Avinash Godkhindi: So, the revenue share from these three lines is very nascent today akin to what Zoyer was a couple of years ago right. And we consistently spoke of our belief in Zoyer during our roadshows and during IPO, etc as well. And now Zoyer is doing phenomenally well and we believe that these lines of businesses as we work to acquire more customers, get these systems more

Zaggie Prepaid Ocean Services Limited

November 13, 2024

Page 10 of 17

embedded in our customers, workflows, we'll see significant revenues come from these lines of businesses in the coming years.

Shreyash Kumath: Is there any number you would like to write in terms of revenue share?

Avinash Godkhindi: Hard to give you a pinpointed answer right now, but we are seeing great green shoots. We are seeing a whole host of, for example, on the fleet side, very large customers signing up for LOIs and pilots which have been very successful, not just Torrent Gas. And those are very large companies. So, we are seeing a lot of uptake kicking in, in all these solutions.

Shreyash Kumath: Got it sir. And my last question is so on our Slide 19, we have mentioned the different contract wins that we have had during the quarter. For reputé, it is said that Zaggle Save will be published on their marketplace. What do you mean by that?

Avinash Godkhindi: So, basically, look we are always trying to look at these different platforms where we can make our solutions available for their customers to come and avail of our services, our solutions because if you look at our S

MB strategy, we don't aggressively go and sell directly to SMBs.

We sell through these sort of platforms and this is a partnership which helps us do that.

Shreyash Kumath: Got it, sir. Thank you.

Moderator: Thank you. The next question is from the line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah: Yes, hi. Congratulations on a good set of numbers. I have a couple of questions. I'll list all of them down. I just wanted to have a sense on what would be our GMV number for the Zoyer product and what kind of take rate we have on that. And is it possible to publish those numbers every quarter that is possible. Second question would be on around what would be our revenue stream on the ZIP product which is our foreign exchange product. So, would it be on the program fee? Would it be on the SaaS fees?

How would that product look like. Just listen all my questions then you all can go to the answering part. On the QIP part, we have taken a resolution to raise around INR950 crores. So, this INR950 crores would be focused on customer acquisition, would it be focused on acquiring companies or would it be focused on infusing equity to an NBFC, which you all made a comment earlier in the call. Just wanted to understand on that bit.

The fourth question would be around how does RBI view some of your products? Because if I see SBI cards, one of the listed peers, I've seen a very, very big decline in their corporate card spends. So, how are your products different from SBI cards products which are on corporate spends? And I just missed the earlier comments on the NBFC. What is our view on that?

Avinash Godkhindi: Great. So, thank you so much for your questions. I'll take the most difficult one first, which is the RBI view of our products. Well, RBI's view is RBI's view. I think we would not be the right people to comment on their view, but I can assure our investors and listeners on this call and everyone else that we've always held on the side of caution and taken a very conservative view when it comes to compliance and regulation. We've always looked to integrate directly either

Zaggle Prepaid Ocean Services Limited

November 13, 2024

Page 11 of 17

with banks or systems that are very widely accepted, so that we don't end up using platforms that are in the gray area.

We always look at regulation to make sure that we are adhering to it in letter and spirit. And we partner with a whole host of banks and issuers of corporate credit cards, including Axis Bank, ICICI Bank, SBI cards, BOB cards, we have Yes Bank and a whole host of others. So, we work with all of them. The biggest differentiator is that we are a software led solution. The software that we bring, whether it's petty cash, whether it's BBPS, whether it's Zoyer, whether it's the expense management, that makes a huge difference in the value that we bring to the customer. The card is just an enabling instrument, which makes sure that the transactions are completed. And the reconciliation happens between the data that we get from the receipts that are invoices that the users can and the transaction information which the bank or the issuer holds. So, that's the larger view, but beyond that, I think it would not be right on our part to comment as to how RBI would view our products.

Regarding the QIP, we are as I said previously, we are - it's an enabling resolution. The shareholder approval is yet to come in. The board approval has come in. It is up to INR950 crores. The approval is valid for a year. It allows us to be able to go ahead and potentially raise capital at the right time for both organic growth, inorganic growth, and look at international expansion.

And we don't want to be underprepared when the right opportunities arise and we want to be ready in terms of all the approvals so that when the right opportunities come up, we are able to take full advantage of it. With regards to NBFCs, we

are looking at a variety of potential

inorganic opportunities. NBFCs is one of them. Any of these plays that we look at, we look at it from are these tech-led place and not as traditional businesses.

So, the whole thesis is that there's a significant component of the value that is coming in from a differentiated tech play or Fintech play and there are potential accompanying licenses, could be NBFC, could be others. So, that's our view. With regards to ZIP, revenue streams, ZIP itself is a very comprehensive space. One is the forex card partnerships that we have with a variety of players like Axis Bank, with Nishi forex, with Wall Street forex. Here, the revenue streams are

varied.

Obviously, your interchange which is much higher for forex. You have fees that can be charged to the user because there are ATM withdrawal fees, loading fees, etc card issuance fees. And there is, potentially there's a forex markup also that the bank or the issuer is able to earn because of the difference in the bank's rate of forex and what the customer gets. And that's the revenue streams and we work with our issuers to share the revenue basis, the volumes that we generate. Regarding, lastly, on the GTV for various lines of businesses, we are seeing a lot of cross -usage of our cards, corporate credit card which is issued to a user, is being used for petty cash as well as their corporate expenses. So, the GTV is getting on the same card also now because we are pushing hard for cross -sell, used across Zoyer, used across expense management which is part of SAVE.

Zaggle Prepaid Ocean Services Limited
November 13, 2024

Page 12 of 17

So, it's a little hard for us to actually give a precise breakup of GTV for each of these businesses. And that's by design because we are pushing the same corporate, the same user on the same card to use it in more ways for more use cases, married to different products, software products that we offer. So, that would be a little tricky for us to be able to bifurcate because people are using the same card for both Zoyer's use cases as well as SAVE.

Arpit Shah: When you say you want to tech led products on the financial on the NBFC side, so what exactly you mean by tech led products on that front?

Avinash Godkhindi: See, basically our thesis is that it has to be a differentiated play. When I mean tech, basically it has to be a differentiated play, not a very traditional space where there is - it becomes a - it's a race to the bottom. We are always looking for these differentiated plays where we have some unique or very interesting value proposition that gets created and because it's a very powerful value proposition, we are able to extract higher value from our customers and partners. So, that's what I mean when I say tech led.

Arpit Shah: Got it. And any PAT number guidance for FY25 and FY26?

Avinash Godkhindi: Too early, sir.

Arpit Shah: Okay. Got it. Thank you.

Moderator: Thank you. The next question is from the line of Aayush Rathie from Aditya Birla Money. Please go ahead.

Aayush Rathie: Thanks a lot for taking my question. Firstly, congratulations on a great set of numbers. So, firstly, I have a few accounting related questions. Firstly, on the trade receivables, it has increased from INR175 crores to INR202 odd crores. So, any particular reason on that? And do we plan to end on a similar kind of number or will it be higher than what it is right now for the Fiscal Year, FY25?

Aditya Kumar : So, Aayush, thanks for the question. So, the TR largely is increased on account of one business growth. And secondly, the businesses whatever invoicing to the banks happened that has come in the last month of the segment. So, for whatever we raise invoices in September, we have received that money in the current month as well. It's a phenomenon of business growth along with invoicing on the last month. For this year, it should be in the similar lines o

n the totality

basis if you compare.

Aayush Rathie: All right, got it. So, most of my questions have been already answered. So, one question, sir, in the opening you mentioned about the BBPS solution, which Zaggle has started. So, could you talk about in a more explicit manner? And apart from that also, sir, there are three opportunities which I can understand of. One is fleet management. Second, it's BPL which we have mentioned and the one which I have already mentioned earlier, which is ONDC. So, could you throw some more light on how is it ramping up and what are the steps which we are taking right now for the ONDC opportunity as well? If you can just throw some more light on that?

Zaggle Prepaid Ocean Services Limited
November 13, 2024

Page 13 of 17

Avinash Godkhindi: Yes. So, on the BBPS, look, one of the things which is very adjacent to the petty cash use case that we have seen is anybody like an NBFC, like an AMC, like an insurance company or anybody who has stores, could be a retail store. They have very clearly two sets of problems. One, how do you reconcile your petty cash and second how do you make sure all your utility bills are being paid on time whether it's electricity, whether it's your water, whether it's phone and how do you make sure that there is no leakage there.

The bills are paid on time. If there's any early payment benefit that you can get, can you avail of that and how do you make sure that the correct amount is being paid at the right time. So, our

Zoyer platform allows you to do both. One, we have the BBPS integration today with NPCI through Yes Bank and that allows us, for us to be able to offer the ability for these companies to centrally sit and make that payment rather than ask each branch to send a bill and wait for that branch or that store to send that bill and then assess it and make the payment. And the payment happens seamlessly through our platform using a business credit card.

So, that's the whole idea with BBPS and now with NPCI stepping in to make that platform very powerful and most billers are today part of BBPS, literally the entire country is covered to be able to offer this solution. Could you repeat your second question, please?

Aayush Rath: Yes. The second thing was on ONDC. So, you have already mentioned about that as an opportunity. So, how is it cramping up anything on that side?

Avinash Godkhindi: So, ONDC, the card is yet to be launched. We have signed with ONDC which was the first step. We were hoping to tap into the Diwali season, but of course, these programs and products take a certain amount of time. We see a great opportunity as ONDC grows for us to be able to ride on that growth. We also anticipate a lot of corporates, both public sector and government itself, state government, central government, as well as private sector companies to do more and more of their rewards gift ing on the ONDC platform in the coming years.

And we want to be able to tap into that demand and that sentiment of a platform which is an Indian platform, a Bhartiya platform helping small Bhartiya businesses.

Aayush Rath: Got it, sir. So, lastly, on the fleet management. Sir, first of all, congratulations that in this quarter we have already executed some with Torrent Gas, but just wanted to understand that one competitor called VEX which is like a global player which almost drives up around, I guess, 60% of the revenue from fleet management solutions.

So, just on that bit, sir, how big is it for us? And in the coming years, how big can we scale the fleet management solutions, assuming that it's somewhere around INR79,000 crores opportunity? And if it is big then how are we, what steps are we taking for the execution part of it and will it grow linearly or like exponentially in the coming years for Zaggle?

Avinash Godkhindi: Well, this can potentially grow exponentially for us in Zaggle. And this is, again, a space where

globally there are a lot of mature players. India also, this has become very much relevant, because in the last few years the road network, the highway network has really improved in India. And that allows for a lot of and also the volume of goods that are being transported from point A to point B, etc, has grown a lot.

Zaggle Prepaid Ocean Services Limited

November 13, 2024

Page 14 of 17

A lot of Make in India is happening. So, that also requires goods to be transported from places where manufacturing setups are there. And all that basically leads to more transport of goods through the road network. And this is an unorganized space in terms of fleet management, largely it's untapped. We are one of the few players who are offering a solution here today. And there's a crying need from both the fleet owners as well as the oil marketing companies and the CNG providers to be able to provide a solution which allows for the fleet owner to be able to control the spends, track the spends and make sure that those are happening at the partner outlets. We are also seeing interest come in from manufacturers of automobiles who want to partner in this ecosystem and link it to their vehicle service because the life of the vehicle is a very important metric for the fleet owner and while the fleet owner wants the vehicle to be serviced at a authorized service center of a Tata Motors or any of these companies or the manufacturers of the trucks or the fleet, the driver may or may not have the same thought process.

By creating a wallet which forces the driver to go to authorized service center because the money is only going to be used at those outlets through that wallet, within this ink card, we have an opportunity to be able to tap into that potential as well. So there are a lot of these use cases again which we are working on with some of these OEMs who are already our customers for Propel and other use cases to be able to extend it to the fleet solution.

Aayush Rath: Got it, sir. Thanks a lot for the detailed explanation and all the best for your future.

Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Hello, am I audible. Yes. Thank you very much sir for this opportunity. So I just wanted to understand, I mean, in your one of the remarks you mentioned as we increase our top line, we would also be looking to increase our EBITDA margins. So I mean, on an annual basis, what sort of EBITDA margin improvement we are looking at for maybe next 2 years to 3 years?

Avinash Godkhindi: See right now we have given a guidance that we hold to current to similar levels, but in the coming years we see a significant growth in the EBITDA margins. And we believe that in the next few years, we will see a very different EBITDA profile in the coming few years.

Deepak Poddar: Can you give some range of the aspiration that we are looking at over the next 2 years, 3 years?

Avinash Godkhindi: I think wouldn't want to put down a hard number right now, but this business has high operating

leverage and naturally this leads to expanded expansion in the margins over time. Cross sell also allows you to be able to expand margins very significantly. So we believe that those margins are going to expand very significantly in the coming years.

Deepak Poddar: Okay, okay, because earlier, I think we were of the view, I mean, 15%, 16% is what we might look at, I mean, over the medium to long term.

Avinash Godkhindi: Yes, so you already have the answers.

Moderator: The next question is from the line of Debashis h Mazumdar from Svan Investments.

Zaggle Prepaid Ocean Services Limited

November 13, 2024

Page 15 of 17

Debashis Mazumdar: Good evening to the management team and congratulations on the very good set of numbers. So just wanted to get some sense that what is the program fee breakup between

Save, Propel and

Zoyer, if you can give me for this quarter and last year's same quarter.

Avinash Godkhindi: Again, as I mentioned, we are seeing a lot of use cases where the same instrument that has been given to a user, we are trying to get that user to use it for across a Save user to use it for Zoyer, a Propel user to use it for Save and Propel. So giving a breakup would be a little difficult for us because the same card is being used for multiple use cases and that's by design. You want more and more spends to flow through the same user in the same instrument that's issued.

Debashis Mazumdar: Okay, so just for my understanding, so Zoyer number was like around INR47 crores last quarter. So if you can give some idea how that number has turned out in this quarter?

Avinash Godkhindi: It's done well, sir. It's about in the similar range and it's done well and overall we are seeing a lot of growth in variety of use cases there.

Debashis Mazumdar: So similar range means INR47 crores is the number that you are quoting?

Avinash Godkhindi: No, I'm telling you, we have not been able to arrive at a number because there's a lot of cross usage of the card, but the numbers are healthy because we are tracking it in multiple ways in terms of number of corporates, number of overall transactions and numbers are pretty healthy for us.

Debashis Mazumdar: Okay, understood. And the second question is if I see the Propel margin which is coming to like 4% approx today net revenue from Propel. So should we assume like 4% to 5% kind of gross margin on the Propel platform going forward or there is an increase the re possibility?

Aditya Kumar : So generally, sir, the Propel contribution always includes of two to three categories. One is on the commissions what we earn and second is from the overriding commissions which we receive from the brand after reaching certain limits etcetera. So on an overall level, anyway, the margin should lie between 7% to 9%.

Debashis Mazumdar: Okay. And the third question is, if I may, we have seen the corporate customers have obviously gone up because of customer addition, your user per customer is currently around 940 per customer. So with this, new corporate additions, where do you think this number to settle down the user per customer number? Over the period of next two, three quarters, I'm not asking for a very long term guidance.

Avinash Godkhindi: Our focus is on large enterprise customers. And these enterprise accounts don't, add on their users right at the get go, right? The users get added over a period of time. So this number will grow as we go along is what our belief is. And, in the next two, three quarters, this should grow.

But of course, please keep in mind that as we keep adding newer customers, the newer customers and the newer cohorts will always, sort of clear dampening effect on that, right?

Debashis h Mazumdar: Correct, okay understood. Thank you very much for taking my questions and wish you all the best

Zaggle Prepaid Ocean Services Limited

November 13, 2024

Page 16 of 17

Moderator: The next question is from the line of Rohan Nagpal from Helios Capital. Please go ahead.

Rohan Nagpal: Hi, thanks for taking my question. Congratulations on a good set of numbers. I had a question on the incentive and cashback line item. So in previous quarters, when the incentive and cashback number was a much higher proportion of program fees to program fee revenue, the explanation was that incentives and cashbacks are just a feature of the industry and customers are habituated to receiving incentives and cashbacks for their spend.

Now that the number has gone down materially, I mean, the incentives and cashback has reduced significantly. Could you provide some color on the kinds of efforts that you've undertaken that have found success?

Avinash Godkhindi: See, there are multiple things that we do, right? One, as you start get

ting new users on the platform, initially you need them to register, you'll need them to also use the card and sort of key it into their whatever online platform that they are transacting, right? So there's a friction there because there's an OTP that gets generated, etcetera.

So there's a certain amount of incentivization that you need to do for people to kickstart using. Right. Now you're seeing a lot of the usage, which is also repeat of people who are using more and more on the same card, right? Which is what I was talking about using for the same use case. So one of the effort is to get people who are already carded to use the cards more.

And to spend it for a variety of use cases, whether it's petty cash, whether it's BBPS, whether it's employee expenses, reimbursements, etcetera, etcetera. The other effort, of course, is as you negotiate with customers, as more and more marquee names start to use the platform, your need to on Zoyer offer higher cashback starts to go down.

Because there's more trust and more belief in the platform, both for the market as well as our sales folks. Our sales folks realize that you possibly don't need to offer such significantly higher cashbacks. So there's always an attempt to encourage our sales teams to keep the cashback at as low a level as possible.

So those are, things that we've done both internally and externally to be able to get the cashbacks at a lower level right now.

Rohan Nagpal: And while I understand it's certainly difficult to give an estimate of revenue contribution of Zoyer -Propel, Zoyer and Save due to the program fee comment, a couple of questions. One, is there any component of incentives that we've received from the card network that is in the program fee revenue this quarter?

And second, while you may not be able to provide payment volumes, would it be possible to give a sense of the number of cards that have been issued across Save and across let's say prepaid and credit and how that number has moved over the last few quarters?

Zaggle Prepaid Ocean Services Limited

November 13, 2024

Page 17 of 17

Avinash Godkhindi: So if I'm understanding your first question right, you're asking if there is some component of Propel in the program.

Rohan Nagpal: Sorry. Not Propel, but in the past you've talked about incentives from the card networks like Visa, whereas if you drive a certain amount of payment volume, you trigger an incentive. Is there any component of any such incentive in the program fee line item this quarter?

Aditya Kumar: So generally the incentives are paid at the end of the year, sir. So for them it's the calendar year and we typically get it after completion of the calendar year. So in initial to Propel it doesn't consist, but it will be part of the program fee. Historically also that will be very minute. It's a 2% of the total program fee, kind of less than 2%.

Rohan Nagpal: Okay, and would it be possible to provide some numbers of the number of credit cards and prepaid cards, or the number of cards, credit cards and prepaid cards that have been issued, or just credit cards because prepaid card number is enormous. Just a number of the credit cards that have been issued.

Avinash Godkhindi: Yes, so great question. The thing with the corporate credit cards or business cards is the number of cards is not necessarily the right metric to look at the business at all, because each card has significant spends. Unlike a retail card where say for the accounts in force or cards in force is a very critical metric, in commercial cards or business cards the metric that the industry tracks always is the spends, right.

So our spends are growing per card and our spends are growing overall well. So that's what I can share with you.

Rohan Nagpal: Would it be possible to provide a payment volume across credit cards and prepaid cards in that case?

Avinash Godkhindi: If it is required we

can connect separately.

Moderator: Thank you. Ladies and gentlemen, as that was the last question for the day, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Raj Narayanam: Thank you so much for patiently listening to us. We look forward to continue the good work which we have been doing, and I really appreciate all the investors across Board, all the shareholders who have been consistent with their support. We look forward to another great quarter and another great year for all of us. I thank you very much and very humbly and remain grateful to all of you. Thank you.

Moderator: Thank you. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2026

ZAGGLE/25 -26/ 159

February 19, 2026

To
Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex, Bandra (East),
Mumbai -400 051, Maharashtra

Company Symbol: ZAGGLE To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th Floor, Dalal Street,
Mumbai -400 001, Maharashtra

Company Scrip Code: 543985

Dear Sir / Madam,

Sub: Transcript of Earnings Call held on February 12, 2026 .

Pursuant to the Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations 2015 and further to our letter no. ZAGGLE/25- 26/146 dated February 06 , 2026 , please find attached the Transcript of the said earnings call on the Company's operational and financial performance for the quarter and nine months ended on December 31, 2025 , and the same has been uploaded on the website of the Company on the following web -link:

<https://ir.zaggle.in/wp-content/uploads/2026/02/earning-call-transcript-Q3FY26.pdf>

We request you to kindly take the same on records.

Thanking you,
Yours faithfully,
For Zaggle Prepaid Ocean Services Limited
Hari Priya
Company Secretary and Compliance Officer
Encl. As Above

Page 1 of 23

"Zaggle Prepaid Ocean Services Limited Q3 FY26
Earnings Conference Call"

February 12, 2026

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on February 12, 2026, will prevail.

MANAGEMENT : DR. RAJ NARAYANAM – EXECUTIVE CHAIRMAN ,
ZAGGLE PREPAID OCEAN SERVICES LIMITED
MR. AVINASH GODKHINDI – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER, ZAGGLE PREPAID
OCEAN SERVICES LIMITED

MR. ADITYA KUMAR – CHIEF FINANCIAL OFFICER,
ZAGGLE PREPAID OCEAN SERVICES LIMITED
MR. RAJESH TUMMALAGANTI – DEPUTY CHIEF
FINANCIAL OFFICER, ZAGGLE PREPAID OCEAN
SERVICES LIMITED

Zaggle Prepaid Ocean Services Limited
February 12, 2026

Page 2 of 23

Moderator: Ladies and gentlemen, good day and welcome to Q3 FY '26 Earnings Conference Call of Zaggle Prepaid Ocean Services Limited.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I would like to hand the conference over to Dr. Raj Narayanam, Executive Chairman, Zaggle Prepaid Ocean Services Limited. Thank you and over to you sir.

Raj Narayanam: Thank you so much. A very good evening to everyone. Thank you for joining the earnings call for Zaggle Prepaid Ocean Services Limited for Q3 and 9 months of fiscal year 2026.

On behalf of the company, I extend a very warm welcome to all of you. On this call, we are joined by Mr. Avinash Godkhindi – Managing Director and CEO; Mr. Aditya Kumar – our CFO; Mr. Rajesh Tummalaaganti – our Deputy CFO; and SGA, our Investor Relations Advisors.

The Financial Results, Press Release and Investor Presentation are uploaded on the Stock Exchange and on the Company website. I hope everybody had a chance to look at it.

This quarter marks our best ever quarterly and 9 months performance with a very strong performance across all key metrics.

Talking about the quarterly performance comparing Q3 FY '26 to Q3 FY '25:

The company reported revenue of INR 498 crores, missing the INR 500 crores mark by INR 2 crores, growing at around 48% on a Y-o-Y basis.

Our quarterly adjusted EBITDA crossed the mark of INR 50 crores for the first time in our history. We achieved INR 51 crores of adjusted EBITDA, growing at around 63% on a Y-o-Y basis. The PAT profit after tax surged to INR 36 crores, growing significantly at around 78% on a Y-o-Y basis.

Our 9-month FY '26 performance:

Zaggle Prepaid Ocean Services Limited
February 12, 2026

Page 3 of 23

I am delighted to report that we have surpassed last full year's profitability levels, driven by margin expansion at both EBITDA and PAT levels. The company reported revenues at around INR 1,260 crores, growing at around 41% on a Y-o-Y basis. Our adjusted EBITDA stood at around INR 128 crores, a 48% Y-o-Y increase. Our PAT surged to INR 95 crores, growing significantly at about 71%. The achievement highlights our relentless bottom line discipline and flawless execution that are powering robust growth across the board through cost efficiencies, revenue optimization and operational agility.

I also want to take this opportunity to talk about our AI journey so far as a SaaS fintech company. Over the past year, we have shared our vision for how AI would reshape the spend management ecosystem. Today, that vision is becoming an operational reality.

You would know that as to how IT stocks are being written down.

Moving from aspiration to integration:

We have transitioned from discussing AI's potential to validating its power in real-world scenarios. We are currently in the process of launching our Agentic AI workflows. Unlike basic automation, these agents are designed to independently execute complex tasks such as automating vendor reconciliation, flagging tax compliance anomalies and streamlining end-to-end spend approvals.

The impact on our agility and efficiency is already very, very clear to us. For example, to develop and deploy a new product feature traditionally took us about 75-plus days. Now the same can be rolled out, and I am talking conservati

vely here in less than 30

days. By significantly reducing our production time and time to market, we are just not working faster, we are becoming more responsive to our customer needs and accelerating our path to a full-scale rollout.

So by cutting our development cycles by more than half, we have turned speed to market from a goal into our greatest competitive mode. One thing which is very clear to us is R&D will always help the company to stay ahead and remain competitive and ahead of competition.

Now I would like to give an update on our acquisitions and investments so far:

Our existing acquisitions and investments continue to deliver exceptional performance.

For Greenedge, we saw a very strong Q3 FY '26 performance, achieving a revenue of INR 29 crores with healthy margins.

Zaggle Prepaid Ocean Services Limited

February 12, 2026

Page 4 of 23

Since our engagement began, Greenedge has been able to leverage the Zaggle's network extremely well in scaling up their revenues for 9 months FY '26 to INR 65 crores as compared to entire FY '25 revenue of around INR 36 crores, already showcasing that how our synergies kick in.

Greenedge has also strengthened its partnership with Amex by extending its domestic and international golf programs by another 3 years. Concurrently, Greenedge has strengthened its partnership with NPCI to enhance their existing benefits platform while also developing our new suite of innovative programs.

Before we go to TaxSpanner, I am pleased to announce that as per the draft and these are draft income tax rules 2026, employee tax benefits have been extended to the new tax regime, which is a huge kicker to us in terms of not only adding more corporates to our kitty, but also to be able to enhance the entire consumer base.

In addition, the proposed rules also indicate higher permissible values for meal benefits, gifts and certain other allowances, creating great opportunities for us. We see this to be a significantly positive development not only for TaxSpanner, but also for our Save business in the years to come.

For TaxSpanner, this year has been focused on building solid enterprise pipeline and building out products on salary structuring, TDS, GST and ZUGS, which is for gig workers wellness, which has worked very well in tandem with our existing Save, Propel, and Zoyer proposition.

With a strong client base, including Accenture, Novo Nordisk, Bosch, HCL amongst others, we expect TaxSpanner to deliver significant growth in FY '27.

Now I will come to Mobileware:

Now Mobileware is rebranded as 86400. Since our engagement began in 2024, we have seen a massive growth journey being unleashed at Mobileware. Harnessing Zaggle's network and credibility, 86400 has secured 11 new partnerships with banks and fintechs to date.

With Zaggle's support, 86400 has also onboarded several banks as customers throughout the entire period. Fueled by these partners and clients, 86400 is seeing a massive surge in its revenue from INR 17 crores in FY '24 to have already surpassed INR 50 crores in YTD FY '26, and we are hoping that they would cross about INR 65-odd crores this year.

Zaggle Prepaid Ocean Services Limited

February 12, 2026

Page 5 of 23

We saw great traction last quarter with the launch of the credit line on UPI products with Suryoday Small Finance Bank, already seeing about 30 lakh plus transactions with more than INR 50 crores being lent through the product in the 1st Quarter itself, and this will only increase in the future.

Now I would like to give you an update on the ongoing acquisition:

We have made considerable progress on some of these as committed earlier. I am pleased to announce the completion of our acquisition for Rio.money, now rebranded as ZAGG.money. This is a pivotal milestone that completes our strategic architecture. One of the questions our investors have asked us constantly is, how are you going to monetize the existing base o

f customers and consumers. Historically, our growth has been fuelled by 3 distinct pillars: enterprise clients, banking and network partners along with the merchant ecosystem. Today, ZAG.money establishes our 4th monetization pillar, a captive high-intent base of 3.7 million salaried users.

Over the past several quarters, we have meticulously stitched together a wider

ecosystem of retail financial products to ensure we are ready to cross-sell into this base immediately. To accelerate our revenue uptick and as we had mentioned in our last call to reach our target of INR 500 crores for this segment within the next 4 to 5 years, we have earmarked a primary capital infusion of about INR 100-plus crores.

Now I would like to give a update on our international expansion plan:

During this quarter, I am happy to inform you that the Board has approved the incorporation of a wholly-owned subsidiary in GIFT City, Zagggle Payments IFSC Limited. This initiative aligns with our broader vision of expanding our global cross-border payments and financial services capabilities, leveraging the GIFT City ecosystem.

As guided earlier, we are in the final stages of forming an entity in UAE with a view to expand in the MENA region. We have narrowed down on Abu Dhabi as a base to set up operations from where we will build out our global journey.

Our confidence in this market is bolstered by the direct engagement with key business leaders of Abu Dhabi as well as the select stakeholders across the UAE government, including the Minister of State for Artificial Intelligence.

Zagggle Prepaid Ocean Services Limited

February 12, 2026

Page 6 of 23

Last but not the least, I would like to take a moment to congratulate our CEO and MD – Mr. Avinash Godkhindi, who has been recognized with “ India’s Most Influential CEO Award” and “The Impactful Soonicorn CEO Award ”. His commitment, vision and relentless focus on execution continues to inspire the entire Zagggle team. Also, our investment in Ayush Mhatre, taking him as a brand ambassador has proven to be one of the best choices we have made. India brought home the U19 World Cup and under the fantastic and dynamic leadership of Ayush Mhatre and what was very, very heart touching was when he raised his bat, the Zagggle sticker was right there for everybody to see.

Now I would hand it over to Avinash.

Avinash Godkhindi: Thank you, Dr. Raj, for your kind words and appreciation. It's truly an honor to be part of this journey. A very warm welcome to everyone joining us on the call today.

I would like to give an overview of a few key metrics:

I am very happy to share that today, around 3.7 million active users use the Zagggle cards and software, a strong testament to the scalability and adoption of our platform. We now serve more than 3,700 customers across a wide spectrum of industries and sectors. During this quarter, our SaaS platform fees contributed to around INR 12 crores, Program fees contributed to around INR 211 crores and Propel points contributed to around INR 275 crores.

Now let me talk about a few business highlights:

On our Fleet Program, I am happy to share that we have signed up with IRM Energy, a leading India City Gas Distribution company with more than 120 gas stations across Gujarat, Punjab and Tamil Nadu.

With this, we have gained market leadership in the CGD space with our fleet program solution as we set our targets on the larger oil marketing companies, where we have been engaging for the past few months, and we hope to see positive traction very soon.

I am also happy to announce that we are seeing extremely positive traction on our Smart Employee Purchase Program, Smart EPP. And we have signed contracts with multiple customers already this quarter, including Cubastion Consulting, Hexalog and Forever New amongst others.

Zagggle Prepaid Ocean Services Limited

February 12, 2026

Page 7 of 23

During this period, we also signed several ot

her marquee clients like Senco Gold,

BIBA Fashion, Capital Small Finance Bank, Sesa Care, Mahindra Holidays, Rashi Chemicals and Fertilizers amongst others.

To provide a brief overview of one of our clients, a leading retail chain with more than 150 stores pan-India was facing significant delays on vendor onboarding as well as a complex manual process of raising procurement requests and invoices centrally and at the store level. The client also faced significant difficulty in managing audit trails and approval workflows. We addressed these issues by deploying our Zoyer platform to streamline and digitize the entire procurement workflow, while strengthening policy enforcement across the organization.

Building on our platform-based strategy, we have seen excellent cross-sell momentum

across the organization. In Q3 FY '26, with enhanced cross-sell efforts and vigor, we were able to cross-sell to multiple customers, including House of Hiranandani, CK Birla Healthcare and HT Media amongst others.

I would like to take an opportunity to elaborate further on these:

House of Hiranandani was an existing customer for our SAVE solution. We recognize the potential for further collaboration and successfully introduced our Zoyer offering. Within Zoyer, we offered the BROME module to streamline their spends across their retail outlets.

CK Birla is again an existing customer for our Save and Zoyer solution. We identified an opportunity to strengthen our partnership here by implementing our ZatiX solution, which is an analytics platform to drive greater efficiency for their spends.

I am also happy to share that we have deepened our partnership further with Visa and Mastercard. We have signed a 7-year agreement with Visa for co-branded domestic prepaid cards, which offer spend-linked incentives. Similarly, we have also signed a 5-year contract with Mastercard for credit cards offering spend-linked incentives along with referral bonuses. In addition, we partnered with Euronet Services India for co-branded prepaid card solutions for the corporates.

With continued momentum across our core offerings, expanding partnerships and the strategic integration of our acquisitions, we believe we are well positioned to sustain our profitable growth.

Zaggle Prepaid Ocean Services Limited

February 12, 2026

Page 8 of 23

With that, I will now hand over the call to our CFO, Aditya, who will walk you through some financial updates in more detail. Thank you.

Aditya Kumar: Thank you, Avinash, and a very warm welcome to everyone on this call. On quarterly performance, in Q3 FY '26, we delivered a record revenue of INR 498 crores, reflecting a strong 47.9% Y-o-Y growth and 15.5 percentage quarter-on-quarter growth. This was largely driven by an increase in program fee, followed by a strong contribution from the total platform revenues.

The increase in incentives and cashback expenses is aligned with business expansion and higher transaction volumes. ESOP costs are being rationalized as majority of the expense has already been accrued. We expect that ESOP charge for the next year to be in the range of INR 3 crores to INR 4 crores.

Adjusted EBITDA grew by 62.9% to INR 51 crore compared to INR 31 crore in the corresponding quarter last year. PAT increased by an impressive 77.7% Y-o-Y to INR 36 crores, our highest ever with margins improving to 7.2 %.

Cash PAT, which includes net profit along with depreciation, amortization and ESOP expenses stood at INR 46 crore, marking a 76% Y-o-Y growth.

Regarding the recent labor code changes as notified under the law, we expect only minimal impact on our operations.

Talking about our 9-month performance:

For the 9-month period, revenues from operations grew 41.4% to INR 1,260 crore. Our adjusted EBITDA has increased by 47.5% Y-o-Y to INR 128 crore. Notably, our cash PAT has already surpassed full-year FY '25 cash PAT with a strong 68.3% Y-o-Y growth, reaching to INR 121 cro

re. On working capital, we are well on track and as

guided, we will see breakeven for FY '26 and OCF turning positive in FY '27.

With that, I would like to conclude my update, and we are happy to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Devesh Kasliwal from Antique Stock Broking. Please go ahead.

Zaggle Prepaid Ocean Services Limited

February 12, 2026

Page 9 of 23

Devesh Kasliwal: Thank you. Congratulations, sir, on a good set of numbers. Just wanted to check in the consolidated segmental revenue, we have our platform fees as around INR 79 crores.

So that is a substantial jump from INR 12 crores. So I just wanted to understand why that jump is and bifurcation between organic and inorganic in that.

Aditya Kumar: Pretty small change in regrouping. The new updated financials have been updated in the stock exchanges.

Devesh Kasliwal: Okay. Okay. Not a problem. Second thing was I wanted to understand the business as well as economics of the lease, the procure and lease mobile phone, that Smart EPP

that you are talking about. Just how does it work? And how are we making money, the overall economics on that front?

Avinash Godkhindi: Yes. Thank you for that. I think there's substantial margins there simply because there's a lot of benefits that you get in terms of savings, both on the income tax as well as the GST. And our commissions are also fairly thick, if I may say that, on that program. It's a highly profitable program for us.

Devesh Kasliwal: So the working capital is used by us in this or like we are procuring them on our books, will these be as assets, and then we will be leasing it out to the employees of the company that we have signed the contract with? Am I right in that?

Avinash Godkhindi: No, no, there's no working capital deployed from our end. The leasing partners are partners like Tata Capital. We just signed up and we announced in the investor deck as well, Jio Finance. So this leasing would be done by leasing companies, and we have 0 working capital that gets deployed in this solution whatsoever.

Devesh Kasliwal: Okay. Okay. Got it. And last question from my side. I know you don't disclose the cash flow from operations at the end of 3rd quarter, but given last quarter was festive and we were giving points to our customers, just wanted to understand how much of that has already converted into cash in the current quarter, if you could give some numbers on that front?

Avinash Godkhindi: Yes, we are back on track, and we are on track with our guidance that Aditya also shared that we will break even for sure by the end of this year. And next year, we hope to be significantly OCF positive.

Devesh Kasliwal: Okay. Okay. Got it, sir. Thank you so much.

Zaggle Prepaid Ocean Services Limited
February 12, 2026

Page 10 of 23

Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Sir, thank you very much for this opportunity. Sir, I just wanted to understand the employee cost in this quarter, quarter-on-quarter, it was higher by about INR 3.2 crores. Is there any one-off there? What led to the increase?

Aditya Kumar: So there are some one-off payments which were given to certain employees in terms of the regrouping of the structure, but this is not linked to the new labor code impact, et cetera.

Deepak Poddar: So what is the amount?

Aditya Kumar: The amount is around INR 2.1 crores.

Deepak Poddar: INR 2.1 crores. So going into next quarter...

Aditya Kumar: This will not be there, yes.

Deepak Poddar: Yes, INR 2.1 crores will not be there. Okay. Understood.. And in terms of free cash flow generation, you mentioned 4th quarter will cash breakeven and from FY '27, we will have cash positive, right?

Aditya Kumar: Absolutely. That's what we have communicated, yes.

Deepak

Poddar: Understood. And in terms of, margins, we have iterated in the past as well, a 1% quarter Y-o-Y increase for next 3 to 4 years to have eventual target of 14% to 15%. So this year, if you exclude ESOP cost, we are not looking at 100 basis point improvement, right? So where do we see it?

Avinash Godkhindi: See, the 100 basis points was never going to be a linear step-up function and that we sort of clarified as well. So there will be some years where the growth is much higher, like right now, we are seeing on a much higher base. But overall, our guidance has been that we would be in the adjusted EBITDA of about 14% to 15% in about 5 to 7 years is what we have guided, along with \$1 billion of revenue. That's been our guidance. So let's see where we land at the end of the year, but the margin expansion is quite significant as we are seeing and the momentum is strong there.

Deepak Poddar: Okay. So you are saying 5 to 7 years, \$1 billion revenue with 14% to 15% margin, right?

Zaggle Prepaid Ocean Services Limited
February 12, 2026

Page 11 of 23

Avinash Godkhindi: Correct.

Deepak Poddar: Okay. Okay. And in terms of revenue CAGR, this 40%, 50% that we are expecting for this year, right, FY '26. So that's the CAGR we should look at over the next 3, 4 years?

Avinash Godkhindi: See, the guidance that we have given of 40% to 45% growth for this year is all organic, all domestic. This doesn't include the growth that we are seeing in our acquisitions like Greenedge, but I wouldn't hazard a guess whether the next year growth would be the

same, higher, lower. Right now, our guidance stands for this year. But as I mentioned, it's only domestic and it's only organic. So there's a lot of, hopefully, upside that comes in from both the international opportunities as well as the acquisitions in the coming years.

Deepak Poddar: Correct, correct. I got it. I got it. I think that's very helpful, sir. I wish you all the very best. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Sachin Dixit from JM Financial. Please go ahead.

Sachin Dixit: Hi, Avinash and team. Congratulations on a great set of results. My first question was on this customer wins, right? So you guys do highlight number of customer wins happening during the quarter in multiple press releases. Is there a way for us to read this? Is there a way for us to think of it in numbers? If you can provide any color on that piece, will be really helpful.

Avinash Godkhindi: Yes. I think customer wins, the ones that we speak of are typically the ones where we see significant growth potential in those accounts in the coming years, right? So these are larger contracts, more important contracts for us strategically as well, where there could be more cross-sell and upsell.

Beyond that, Sachin, it's very hard for us to give a rupee or a dollar number on our contracts, because the nature of the business being SaaS, it's very dynamic as to how much is the usage of the platform.

And similarly, on the transaction side, we cannot necessarily predict how the spends of the company would be for the coming month or quarter or year. And that's where a lot of the upside also comes, because many times the buoyancy is there in the customers' business, and that reflects in our numbers. So there's an upside to that as well.

Zaggle Prepaid Ocean Services Limited
February 12, 2026

Page 12 of 23

Sachin Dixit: And just a request, if it's possible, maybe if you can do some sort of quantization data on customers and start sharing that in a quarterly PBT for people to see how the existing customers and new customers are ramping up on the platform might be helpful.

My second question is on the Rio.money side and the acquisition side. Any update there on where we stand in terms of ramping up those businesses?

Avinash Godkhindi: So on Rio, the transaction is closed. The company has now been rebranded as ZAG.m

oney from Rio.money. So the cards are now in the market, co-branded cards with Yes Bank are now branded with ZAG. The whole idea is to be able to leverage the large employee base, about 3.7 million active users on the Zaggle platform, which keeps growing and our access to a much larger employee base through our corporate customers.

As we have clarified multiple times in the past, it's very rare that if a company has 100 employees, all 100 employees are on the Zaggle platform and using it, because all of them may not be filing their reimbursements, et cetera. But we have access to that entire base of employees through our strong relationships with these corporates. And we will leverage that to be able to reach out to a much larger audience in a much more cost-effective manner, right?

And the draft IT guidelines and regulations, again, provide a great fillip to that because now with the new tax regime also, including the meal allowance, the gift allowance, and fuel allowance and all the other allowances, obviously, a lot more employees from our marquee customers would sign up to be part of the Zaggle platform.

And that we believe we can translate into a retail card customer as well, in addition to the TPAP capability that we bring. So that's the thesis, and this has been a very fortuitous break with the NTR, New Tax Regime also including these wallets now.

Sachin Dixit: And then monetization-wise, this will again be an MDR-led monetization or we also have some extra fees arrangement with our partners?

Avinash Godkhindi: We have both fees as well as spend linked interchange-linked to income here.

Sachin Dixit: Got it. Thank you and all the best.

Raj Narayanam: Thank you.

Zaggle Prepaid Ocean Services Limited
February 12, 2026

Page 13 of 23

Moderator: Thank you. The next question is from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal: Yes. Hi. Thank you for taking my question. So just going back to the first question that

was asked around consolidated software fee being around INR 79 crores. What did you clarify on that?

Aditya Kumar: No. Like I said, it's a numerical error. The revised financials are being uploaded to stock exchanges.

Ankush Agrawal: Okay. Okay. Got it. Secondly, if I look at our incentive cost as a proportion of program fee, that number has broadly been around 66%, 67%. So like how are we looking at that number changing in the long run? Do you believe it will stabilize at this number or over time the growth will sort of moderate on the program fee, we can expect some kind of leverage on that number?

Avinash Godkhindi: Yes, absolutely. There is a lot of opportunity there for that number to come down in the coming years. And we estimate the steady state in about 5 years would be in the range of about 50% there or thereabouts as a percentage of program fees.

Ankush Agrawal: Okay. But if that is going to happen, like if that is going to come down from 67% to 50%, should not be our margin outlook be much higher, because that is the biggest part of, say, if I look at net revenues, that's like 58%, 59% of our overall cost now?

Avinash Godkhindi: See, look, we always try to give you a conservative view on our projections. You are absolutely right that there is a potential much higher upside, but there is also the possibility that some of our other costs would also over time increase, right? So we do not want to give you a view which is very overly optimistic, but yes.

Ankush Agrawal: Okay. Got it. That was all. Thank you.

Moderator: Thank you. The next question is from the line of Shrenik Mehta from Indo Wealth. Please go ahead.

Shrenik Mehta: Good afternoon. So I wanted to check on a little bit of a longer-term view. So we have fantastic growth in the last few years. But in spite of this growth, we are probably looking at a negative or a very low cash from operating activities. And we still have a fairly low number as far as t

he ROE of the company is concerned.

Zaggle Prepaid Ocean Services Limited

February 12, 2026

Page 14 of 23

So if you want to have a situation where we can get a compounder, which is, say, 30%, 35% kind of a compounder over the long run, which certainly looks to be the case here, you would need to raise this ROE closer to 25%, 30% and also have a very high ratio of the operating cash. So I know it's a very rapid growth phase. But do you see a situation where we are able to see these numbers over the next few years? What's the glide path that you look at?

Avinash Godkhindi: Point very well taken, sir. I think you are absolutely right. These are metrics that we internally focus on, whether it's operating cash flow or the ROE. Some of that obviously will improve with the deployment of capital that we raised. Some of the investments have been extremely successful like Greenedge, where we are seeing a fabulous performance by the company and spectacular returns. And we hope to deploy that capital sooner than later, to be able to generate outsized returns in the coming years. So we are acutely aware of the need to deploy that capital in a very effective manner, and we are at it.

Shrenik Mehta: Okay. You want to put some frame to it, like 4 years, 5 years or more than 5 years, something in that range or?

Avinash Godkhindi: No, I think all these metrics go hand in hand. So whether it's a top line growth, whether it's margin expansion, whether it's improvement in ROE, ROCE and cash flow, all of these over the course of that 5-year horizon would improve substantially because the business right now is in a hyper growth, high-growth phase. And as the business captures more market share and we become much more established, not just domestically, but across markets, a lot of this operating leverage and those sort of things start to kick in, in a big way.

Shrenik Mehta: Yes. Okay. And the second question was about the use of AI. So you have mentioned this in your presentation as well. Any specific one major use case that you could share, which could demonstrate a significant benefit to the company already, which is getting approved?

Avinash Godkhindi: So a lot of work is happening in reconciliation to automate reconciliations. Reconciliations are most painful in this spend management universe. And in general, typically, if you talk to any CFO, she is likely to say recon is a major concern or headache.

And especially when you are a large enterprise, which is the case with a lot of our customers, there are multiple systems and platforms that they have and those generate

Zaggle Prepaid Ocean Services Limited

February 12, 2026

outsized amount of data, and to make sure that they are all in sync and recon is a fairly elaborate process.

So the amount of manpower that gets deployed in doing it is also outsized. And there are a lot of reconciliations that you have with your payment systems, with the ERP data, some other data that you might be getting from your CRM, et cetera. So all of those recons in the coming years, we will be able to get it done through the Agentic AI platform and the AI capabilities.

Shrenik Mehta: Okay. Wonderful. So congratulations again for great set of results. Keep up the great work.

Avinash Godkhindi: Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Rohan M. from Equirus Securities. Please go ahead.

Rohan M: Good evening, sir. Thanks and congrats on a good set of numbers. Just to reconfirm the disclosure that you are changing that consol numbers for Propel revenues is also getting updated?

Aditya Kumar: Yes. Yes. So that Propel numbers are getting updated. As from this quarter onwards, there will be consolidation from Greenedge numbers too.

Rohan M: Sure. And I just want to understand what is the take rate in the Greenedge Gift Card business? And what proportion of the revenues coming from gift cards?

Avinas

h Godkhindi: So basically, in Greenedge, the business is golf privileges and NPCI privileges, right?

So that's a lot of redemptions that the Plat and SELECT credit cards and debit cards base of RuPay, which is growing rapidly. These are points given to cardholders, linked to their spend and they redeem it for vouchers and other privileges like golf, et cetera.

So within this, there's not too much of the gift card part of it, Rohan. But of course, there is some consumers still try to redeem it for a gift card.

Rohan M: Sure. So I was just trying to understand if you consider these golf provision and other costs, what will the net take rate in that business? Just trying to understand on a consol basis, how should we look at the net revenue in the Propel business, adjusted for the cost of acquisition or servicing of these incentives or the benefits to the customers?

Zaggle Prepaid Ocean Services Limited

February 12, 2026

Aditya Kumar: (39:05) Yes. So as you are aware, as per Ind AS, we have to do the similar accounting, whatever we have to do it in Zaggle, gross revenue basis. But what we have done is we have started to give to investors and retailers on net numbers basis in our investor presentation as well. So we will do the similar thing to Greenedge numbers, too.

Rohan M: But the presentation is on stand-alone, I believe.

Avinash Godkhindi: Yes, yes. So to answer the question, Rohan, the margins there are higher because golf is a very super premium category, higher than the Propel points margin that we make on vouchers. There the margins are much higher.

Rohan M: Got it. And like last year in 4Q, do we expect volume incentives also to come in? So this year, the take rates in gift card has been around 4.8% in 9 months versus 4.1% last year. So I just wanted to check there.

Avinash Godkhindi: Yes, yes, yes. Some of the ORCs have started to kick in this quarter, this quarter as in Q3, overriding commissions that we get for hitting thresholds with the merchant brands. And some of them will come in, in the next quarter.

Rohan M: Got it. And just want to understand your thought process on branding and what kind of annual budgets to be done, because as I understand probably, we are also advertising in World Cup also. So this may have an impact on 4Q OpEx. So just want to get a thought. And next year, how should one think on this cost?

Avinash Godkhindi: No, I think the branding as an investment is something which we see us doing in a very calibrated manner, Rohan. And any of these opportunities that we tap into are done with extreme care to make sure that the return on investment is outsized. We are very particular that this, and the overall size of investment is very reasonable; and, the returns are outsized.

Rohan M: Sure. And lastly, the increase in depreciation, there's no one-off. This will be the steady state incrementally?

Avinash Godkhindi: Correct.

Rohan M: Okay. Sure. Thanks.

Moderator: Thank you. The next question is from the line of Piyush from Narang Family Office. Please go ahead.

Zaggle Prepaid Ocean Services Limited

February 12, 2026

Page 17 of 23

Piyush: Hi team. Congrats on the great set. The first one is on acquisitions. So anything nearing term sheet? And what's the update on the other ones, Dice and other ones?

Avinash Godkhindi: So as we mentioned, Dice, we are on the cusp of closure. So we should be closing that transaction very soon. And other term sheets, et cetera, we will let you know as things play out, you will hear from us.

Piyush: So anything in this year or it's going to be next financial year?

Avinash Godkhindi: I wouldn't want to make any commitments on the call here. But as soon as we sign, of course.

Piyush: Sure. The second one is on any qualitative commentary you want to give on current take rates, where are they moving? And what kind of a growth do we see in the GTV spends on our platform? So any color you want to give

there that how we are seeing the payments on UPI from our platform?

Avinash Godkhindi: Yes, I think the good part about UPI payments is that overall, there's a realization in the ecosystem that UPI cannot be subsidized by the government forever, right? So already, there's interchange on credit cards, which is a full interchange for transactions above INR 2,000. In prepaid, there's an interchange for 1.1% for transactions above 2,000.

And our belief is that in the coming years, as UPI becomes more and more ubiquitous, we are only going to see that take rates go up across board, because this has to be ultimately self-sustaining and not based on subsidies from the government. So that's something which we are seeing the trend as well in the ecosystem.

Piyush: And what would be the current take rate? Are they at par to previous 1.85 is what I understand?

Avinash Godkhindi: Yes. So that's where we are.

Piyush: Okay. The next one would be on cash flows again. So when we say we will be operating cash positive next year, what would be our EBITDA to OCF conversion next year? Will it be north of 50%? Or would it be lower?

Avinash Godkhindi: Too early for us to say, sir, right now, but our endeavor would be to be in that space. But too early for us to commit and comment anything.

Zaggle Prepaid Ocean Services Limited
February 12, 2026

Page 18 of 23

Piyush: Sure, sure. The last one would be on, again, the TAM. Do you see newer areas opening up besides for your BROME or something more on Zoyer, new markets, new sectors opening up for that? Or you think the current itself is big enough for you to keep penetrating?

Avinash Godkhindi: Yes, I think for Zoyer, there's always a massive market because the number of vendors keep growing, right? And the payouts that happen from corporates to vendors keeps growing. So that's obviously there. We have already spoken of our aspirations and work that we are doing to enter into the GCC and our establishment of our setup in UAE with Abu Dhabi as the base.

So those would be newer markets opening for us. And GCC is the start. We will obviously, once we are able to do a good job there, expand into other markets as well, right? So TAM has never been a problem for the space, neither for us nor in other global markets. It's just about capturing the market and doing it in a profitable manner, in a rapid pace.

Piyush: Sorry, if I can squeeze in one more. Anything on competitive intensity you want to call out? Or this is a new market being created by Zaggle?

Avinash Godkhindi: No, I think see, competition has always been there. We are solving a set of problems which are deep and hard, and we are doing it in a tech-first, AI-first manner. And I think scale is critical, because that scale gives you efficiencies, scale gives you institutional knowledge, and learning of the kind of problems that customers face. And you are able to solve that using AI even before those problems occur to the customer, you have already preempted those leakages from happening, right?

And that's something where customer delight comes from. So those are things which we stand out. And when we see a particular problem that comes up with a customer, because of the scale of the business and the number of customers that we have, when we solve it for one, we are able to take it back to the remaining 3,700 customers and say, hey, without naming that customer, we said one of our customers had this problem. This is how we solved it. Do you think you also potentially see this as something useful? And many, many adopt it because they don't want to have the same leakages

and problems as others do.

Piyush: Sure. That was helpful. Thank you.

Zaggle Prepaid Ocean Services Limited

February 12, 2026

Page 19 of 23

Moderator: Thank you. The next question is from the line of Daksh Malhotra from Aadriv Global. Please go ahead.

Daksh Malhotra: Good evening, and congratulations on a good set of n

umbers, definitely met the

expectations on various fronts. So I just wanted to ask, as Mr. Raj in his opening comments mentioned the way IT industry has gotten beaten down, especially in the last few days given the anthropic AI model and Jefferies turning it as a SaaS apocalypse. And they are saying that even the software, the SaaS model can entirely be done by AI and different plug-ins. Just your view on the overall scenario, while we are using AI and you mentioned about how it can be used in reconciliation activities in bigger companies. But how are we sort of placing ourselves against these things? That would be the first question.

Raj Narayanam: Thank you so much for the question. So my opening comment was basically in relation to the services. India has always been a services mindset and not a product mindset, okay? If you look at say this versus Agentic, let's say, that's an intellectual discussion we are doing right now. What does SaaS do? SaaS builds workflows, makes rules, workflows and then a decision tree. This is what SaaS does in any of the applications. Now all of those possibly can be done by the Agentic AI, okay, where you train the agent to do these activities basis certain parameters.

Now then what will happen? The application will remain as it is, except all the coding, which has been done, has moved to an agent, okay? So if you are able to build an agent, you have been able to solve the problem. So they will be able to do the workflows, they will be able to do the hierarchy, they will be able to do the decision tree making, and also build the solid logic, okay? Logic is what today differentiates an application from a SaaS application, because SaaS application has a lot of logic in it, okay?

Now from tomorrow, you are transforming that logic into an agent, okay? Agent is doing the workflow hierarchy, decision tree, et cetera, and plus the logic part of it. So that's the change which we are seeing.

For Zaggle, the product would remain as it is, okay? And in the product, the work will be done by the agent. So for us, because we are a SaaS and Fintech company, this is hugely beneficial.

I will give you a very small and a quick example that today, any feature which we have to do, which is, let's say, for example, doing 18 workflows, okay, one single feature.

Zaggle Prepaid Ocean Services Limited

February 12, 2026

Page 20 of 23

That typically would take about 75 to 80 days to develop, then deploy and test and then deploy. Today, we are able to do it in less than 30 days.

And to be very candid with you, as we improve, we should be able to do it in less than 10 days, okay? So that's the efficiency, which is from 80 days, if it comes down to 10 days, you are able to reach to the customer faster; b., you are able to also see that the cost of production of that particular feature is much lower. So there are benefits both ways.

And if you see, we have considerably downsized our IT team, okay, keeping in mind that more and more AI we are using, the better results we are seeing. And today, with Claude Code, which has just been released or Anthropic developers, it's on the plateau for you now.

And it will only improve, it will not go back. This is what we have been saying for the last one year or so, that R&D, we will have to spend a little bit money, but this would help us in becoming better in the future. And what I see in next 6 to 9 months, this will only accelerate.

Daksh Malhotra: Okay. So basically, for us, this will be more of a tailwind, given our nature of a Fintech business also, we can reduce our headcount.

Raj Narayanam: 200%.

Daksh Malhotra: It is not a threat in any way for our organization, for Zaggle.

Raj Narayanam: No, no. In fact if I have to very candidly tell you that entry-level jobs, we used to do, let's say, a form we had to build, we will tell a programmer, okay, build this developer, build this form. To build one form he will take about

4 days. Today, we do it under 10 minutes.

Daksh Malhotra: Right, right. Very helpful, sir. Just one more question. I understand people have asked the cash flow question and working capital question, but given the rapid growth we are seeing and we have relatively raised cash by diluting a little bit of equity in the past. Are we planning to dilute any more in the time to come?

Raj Narayanam: Not really, not looking at diluting any equity right now. We have enough cash in the bank and the deals which we are looking. We just want to do a good deal as we have done in the case of Mobileware or Greenedge or TaxSpanner, just want accretive deals for us.

Zaggle Prepaid Ocean Services Limited
February 12, 2026

Page 21 of 23

Looking at their growth rates we are amazed that they had the propensity to grow at that pace and they were not growing with that help and support they have been. So right now, not looking at diluting any equity. We have raised enough money, in fact, more than what we wanted to raise at that point of time and self-sufficient right now.

Daksh Malhotra: So because I saw that we had some INR 400-odd INR 445 crores odd cash in our hands from the previous raise. So yes, that's, I think, a big concern at the Street that we are not getting enough positive operating cash flow and raising equity to get our cash flow needs met, which probably is acting negative.

Raj Narayanam: See we have raised money, which was in the December a year back, roughly 14 months. And post that, we are only looking at great opportunities, that money was also raised purely for acquisition purposes. And that's what we have been constantly looking and it's a process.

See now operating leverage will kick in. We will again reach one stage where we may use some of this INR 445 crores there. And then again, we will reach one more level. Imagine we were INR 371 crores when we went to in 2023. Today, we roughly will close at about INR 1,700 crores, INR 1,800 crores. That's like 5x jump, which has happened in less than 3 years.

Daksh Malhotra: No, commendable, sir. On growth, it is commendable, just that we don't press the brake, but we press the clutch on the growth and just press the pedal on the cash flow so that the whole economics looks better, just that. Thank you very much.

Raj Narayanam: It is that, the idea and thought is that, and we will work each process. It's not like one shot will solve everything. We just need to play it a little bit neatly and deeply. And then we are very, very much aware of the concerns on positive cash flow. And every day, trust me, we are working on it to make it happen.

Daksh Malhotra: Thank you so much, sir. Wish you guys all the very best. Thank you.

Moderator: Thank you. The next question is from the line of Rudraksh Kalra from MB Investments. Please go ahead.

Rudraksh Kalra: Hi, good evening. Firstly, I would like to congratulate the Management for posting a good set of numbers. I did a comparison and the top line is up 15% Q-on-Q, but the PAT is only up in the ballpark of 9% to 10%.

Zaggle Prepaid Ocean Services Limited
February 12, 2026

Page 22 of 23

We have also seen a sharp uptick in cash back and incentive spends. Can you explain this, what drove this and whether it's a one-off or a continued trend? And if it's a one-off trend, when do we expect it to normalize?

Avinash Godkhindi: So we look at our business from a Y-o-Y basis, because there is seasonality. So the Q-on-Q numbers do not necessarily educate that much, to be very honest. Having said that, there is seasonality, Q3 being a critical quarter for us does include some significant incentivization as well. And I would urge you to look at the incentives, in line with what the historic numbers have been.

Rudraksh Kalra: So going forward, is it a continued trend? Or even on a Y-on-Y basis?

Avinash Godkhindi: Gradually, of course, as I answered in the previous question, we see in the medium term,

this coming and stabilizing at about 50% as a percentage of the program fees, right? That's where we are headed towards. But right now, this is a space where we are growing rapidly. So that's why we are seeing this to be at these levels of about 67%, right?

Rudraksh Kalra: All right. Also, could you share an update on collection and cash inflows from already realized business deals, particularly contracts where work is completed? And what is the cash conversion? Or are we expecting it in the next quarter or not?

Avinash Godkhindi: See, work done, we are not a services company. So that work done approach, work is

never done for us because we are constantly enhancing our products. So there are, of course, customers who are going live every day. And that's a cycle that completely depends on the nature of the complexity of the product and what product they choose from our platform.

Rudraksh Kalra: Fair enough. Thank you so much. Wish you guys the very best for your future endeavours. Thank you so much.

Avinash Godkhindi: Thank you.

Moderator: Thank you. As that was the last question for the day, I would now hand the conference over to the Management for closing comments. Over to you, sir.

Raj Narayanam: Thank you all for participating in today's call. We hope we have addressed all your queries and provided valuable insights. We remain optimistic and focused on the future growth and the profitability of the company, and we are excited about the opportunities
Zaggle Prepaid Ocean Services Limited
February 12, 2026

Page 23 of 23

ahead. For any further information, we request you to get in touch with SGA, our Investor Relations Advisor. Thank you, and have a nice evening.

Moderator: Thank you. On behalf of Zaggle Prepaid Ocean Service Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

ZAGGLE/2 6-27/ 31

May 20, 2026

To
Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex, Bandra (East)
Mumbai -400 051, Maharashtra

Company Symbol: ZAGGLE To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers
25th Floor, Dalal Street
Mumbai -400 001, Maharashtra

Company Scrip Code: 543985

Dear Sir / Madam,

Sub: Transcript of Earnings Call held on May 13, 2026

Pursuant to the Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations 2015 and further to our letter no. ZAGGLE/2 6-27/21 dated May 10, 2026 , please find attached the Transcript of the said earnings call on the Company's operational and financial performance for the quarter and financial year ended on March 31, 2026 , and the same has been uploaded on our website on the web -link: <https://ir.zaggle.in/wp-content/uploads/2026/05/Q4FY26-earning-call-transcript.pdf>

We request you to kindly take the same on records.

Thanking you,

Yours faithfully,

For Zaggle Prepaid Ocean Services Limited

Hari Priya
Company Secretary and Compliance Officer

Encl. As Above

Page 1 of 17

"Zaggle Prepaid Ocean Services Limited
Q4 & FY26 Earnings Conference Call"
May 13, 2026

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 13, 2026, will prevail.

MANAGEMENT : DR. RAJ NARAYANAM – EXECUTIVE CHAIRMAN –
ZAGGLE PREPAID OCEAN SERVICES LIMITED
M R. AVINASH GODKHINDI – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – ZAGGLE PREPAID
OCEAN SERVICES LIMITED
M R. RAJESH TUMMALAGANTI – INTERIM CHIEF
FINANCIAL OFFICER – ZAGGLE PREPAID OCEAN
SERVICES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Zaggle Prepaid Ocean Services Limited Q4 and FY26 Earnings Conference Call. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone telephone.

This conference call may contain certain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Dr. Raj Narayanam, Executive Chairman, Zaggle Prepaid Ocean Services Limited. Thank you, and over to you, sir.

Raj Narayanam: Thank you so much. A very good evening to everyone. Thank you for joining the earnings call for Zaggle Prepaid Ocean Services Limited for the fourth quarter of fiscal year 2026. On behalf of the company, I extend a very warm welcome to all of you. On this call, we are joined by Mr. Avinash Godkhindi, Managing Director and CEO; Rajesh Tummalaganti, our Interim CFO; and SGA, our Investor Relations Advisors.

The financial results, press release and the investor presentation are uploaded on the stock exchange and on the company website. I hope everybody has had a chance to look at it. Now ready for the Zaggle business update.

FY26 marked a historic milestone for Zaggle as we delivered our strongest annual financial performance to date. Talking about our stand-alone quarterly performance comparing Q4 FY26 to Q4 FY25, the company reported a healthy growth in revenues at about INR593 crores, growing at around 44%. Our adjusted EBITDA increased to INR55 crores, growing at about 45%. The PAT surged to around INR38 crores, growing at 18%.

Talking about our consolidated quarterly performance comparing Q4 FY26 to Q4 FY25, the company reported a healthy growth in revenues at about INR618 crores, growing at around 50%. Our adjusted EBITDA increased to around INR60 crores, growing at around 62%. And the PAT surged to around INR41 crores, growing at about 30%.

Talking about our stand-alone annual performance comparing FY26 to FY25. The company reported a very healthy growth in revenues at INR1,853 crores, growing at around 42%. Our adjusted EBITDA increased to INR183 crores, growing at around 47%. The PAT surged to INR133 crores, growing at about 52%.

Talking about our consolidated annual performance comparing FY26 to FY25. The company reported a healthy growth in revenues at INR1,908 crores, growing at around 46%. Our adjusted EBITDA increasing to INR192 crores, growing at around 51% and the PAT surged at around INR139 crores, growing significantly at around 52%.

Zaggle Prepaid Ocean Services Limited
May 13, 2026

I want to further give an overview of Zaggle investments and acquisitions as the part of the Zaggle update. In FY26, we completed 2 strategic acquisitions, GreenEdge Enterprises and more recently, Rio.Money, which has now been rebranded as Zagg.money, which adds to our existing portfolio of 86400 and TaxSpanner, which continue to deliver a strong and consistent performance. On 86400, earlier Mobileware, revenues grew from about INR34 crores in 2025 to INR74 crores in FY26, represented a remarkable year-on-year growth of 118%.

EBITDA grew from around INR5.4 crores in FY25 to around INR18 crores in FY26, and PAT grew around from INR1.6 crores to INR11 crores in FY26. This remarkable performance is driven by healthy growing UPI volumes across all partners, along with new partnerships like Thane Janata Sahakari Bank, ftcash, Fino Payments and some of the other banks.

On TaxSpanner, while we are not very s

toked about the performance through the financial -- last

financial year, we have taken the following calculated steps. We have appointed new members on the Board of TaxSpanner, which is Mr. Avinash and Nilesh Dharpe.

We are in the process of rebranding TaxSpanner as Z.tax, and we will look to time it somewhere in the quarter 2 this financial year, along with the launch of our new Tax AI copilot backed by our entire unified platform strategy, which will cater not only to individual returns -- individual return filers, but also deeply integrated into the TDS and GST filings, which will get embedded

into our product suite.

We are also looking to leverage cross-sell of our Zagg.money retail credit cards on the larger customer base of TaxSpanner. The tailwinds from the new tax regulations provides a perfect entry point for AI-driven disruption. While competitors remain tethered to outdated offline workflows, we look to leverage AI automation to capture market share and render traditional models absolutely obsolete.

Our partnership with Quesscorp, which has got a 5 lakh plus user base is shaping up very well, and we are hopeful of multiple such contracts in this year to add to our corporate base. Net-net, we see a very, good year coming for TaxSpanner this year. And I think our overall focus on making tax as an integral part of our entire fintech suite will go a long way.

On GreenEdge, which runs the golf privileges program for various banks and networks like ICICI, Amex and others, along with the entire reward program for NPCI, revenues grew significantly from around INR36.54 crores in FY25 to around INR103.7 crores in FY26, so which is like roughly about 300% jump. (300% was said erroneously. To be read as 184%) EBITDA grew from around INR3.4 crores to about INR11 crores in FY26 and the PAT grew from INR2.1 crores in FY25 to around INR8.1 crores in FY26, which is like a 4x jump in the net profit. In '27, we project stand-alone revenue growth from GreenEdge to range anywhere between 40% to 50%.

Our focus this year will be on adding new clients within the banking sector as well as cross-selling to existing customers, and we look to continue to engage deeply with NPCI on running Zagg Prepaid Ocean Services Limited

May 13, 2026

Page 4 of 17

their entire benefits program, which is growing in tandem with growing UPI spend. On Zagg.money, the traction within the entire credit card on UPI and TPAP ecosystem has surpassed our initial expectations.

Our strategy involved leveraging data-driven insights from the existing about 25,000 cardholder base and the larger UPI base into a targeted pilot framework for our established corporate base. With this, I'm happy to announce that we have accelerated to an annualized run rate of new acquisition of about 36,000 to 40,000 cards with just an 8-week window.

While this trajectory signals a significant market fit, our execution remains grounded in our broader financial commitments. We are prioritizing these early wins as supplement to rather than a distraction from our 5-year goal, which we have also said multiple times of INR500 crores revenue and a INR65 crores EBITDA milestone.

Regarding EffiaSoft, we have reassessed the strategic need for our proposed acquisition of EffiaSoft. And in this entire world when AI is taking over, we have decided not to proceed ahead with the transaction. Lastly, I am very pleased to announce the signing of definitive documents for the acquisition of DICE, transitioning to an asset purchase from our erstwhile share purchase, we have secured the complete spend management product suite and intellectual property, along with their entire enterprise contract portfolio for approximately INR68 crores, excluding GST, a significant optimization from the initial INR123 crores valuation.

This acquisition integrates advanced AI capabilities into our ecosystem, positioning us to lead and dominate the travel and exp

ense and procure-to-pay markets. I would like to take this opportunity to welcome around 100-plus talented AI skilled professionals from the DICE team. We are super excited about this acquisition, primarily on account of the existing AI-enabled SaaS revenue which is a high-margin revenue, as all of us know. The margins range about 95-odd percent. Gross margin is about 95-odd percent, okay, along with immediate synergy of capturing transaction spends of a larger corporate base.

Looking ahead, we remain committed to identifying high-level, high-impact M&A opportunities across domestic and international markets with a focus on adjacent sectors. We intend to strategically deploy our QIP proceeds over the coming quarters to further accelerate our growth trajectory.

Now I would like to give you a brief update on our product development. I hope you have all -- you would have gone through the note on our AI developments, and we will also publish another note on it in the near future, could be a couple of quarters so that you could also see the results of some of the innovation which we have done.

In FY27, we continue to focus on our dual engine strategy designed to accelerate product delivery and deploy autonomous agents across our entire ecosystem. We are leveraging AI to reduce feature launch times by up to 50%, shifting from manual development to an AI accelerated life cycle that optimizes workforce efficiency.

Zagg Prepaid Ocean Services Limited

May 13, 2026

For our enterprise clients, the roadmap emphasizes the transition from traditional software to agentic solutions, where AI autonomously handles complex tasks like invoice mapping, tax optimization, real-time policy enforcement. We will continue to follow our model of human in the loop until AI develops to a stage where it doesn't require humans.

Leveraging the timely asset purchase of DICE, we are planning to invest in deep vertical AI and small language models specifically trained on compliance frameworks. This technical foundation is expected to act as a launch pad for our global expansion into global markets, allowing for highly accurate localized financial intelligence.

Now I would like to give an update on our international expansion plans. We remain committed to our global expansion plans for the UAE as our primary growth pillar, recognizing the massive demand for sophisticated spend management solutions within the region's public and private sectors.

We are just -- we remain mindful of the regional volatility which is there and this war, which is taking a little bit more time to subside. We are continuously engaging with the government, banking and commercial partners in the region while maintaining go-live readiness once peace are restored.

Our expansion into U.S. market is moving at a rapid pace, fueled by our vision to redefine global spend management. We are on track to kick start our U.S. operations by financial year-end.

Earlier, we had thought that we will do it by June 2026.

But looking at the war and a lot of uncertainty around, we have just pushed it by a couple of quarters. And we want to leverage the significant momentum, which we have gained from the DICE acquisition. And with this, the deployment of our next-generation AI-powered suite, a comprehensive solution designed to handle the multicurrency, high compliance demands of the American enterprise landscape. And we are excited to bring this level of automated intelligence to one of the world's most dynamic financial markets.

As guided in our earlier filings, we are currently projecting our -- and this is on guidance. We are projecting our stand-alone FY27 growth to be around 25% to 30% with our consolidated growth for FY27 to be around 40%. On EBITDA guidance, due to the change in structure of the DICE acquisition from 100% share acquisition to an asset purchase agreement, along with the onboarding of employees, which w

ill effectively sit on the stand-alone P&L, we would like to give guidance on EBITDA over the next few months once the entire integration effort completes. On cash flows, we have significantly improved our performance on the operating cash flow metric as compared to what it was back in Q2 FY26. We are minutely focused on improving the cash flow and bringing it to a high positive level. Currently, if you look at it, we are just about minus INR6 crores on negative cash flow, and we will look forward to improving it to a positive cash flow in the coming quarters. As highlighted, this remains the metric which we continuously
Zaggle Prepaid Ocean Services Limited
May 13, 2026

track extremely closely, and we would want to prioritize along with driving enhanced revenue growth and expanding our margin profile.

Lastly, I want to take this opportunity to thank Mr. Aditya Kumar Grandhi for his valuable contribution to Zaggle's journey as CFO. Further, the Board has approved the appointment of Mr. Rajesh as Interim CFO till the time a new Chief Financial Officer is appointed by the Board, which should happen very, very soon.

I now hand over to our CEO, Mr. Avinash Godkhindi, to carry on.

Avinash Godkhindi: Thank you, Dr. Raj. A very warm welcome to everyone joining us on the call today. Before I begin with the company details, I would like to congratulate Dr. Raj on receiving the Star of the Year Award FinTech Industry at the Hurun India Stars of A.P. & Telangana 2026. Under his leadership, Zaggle has scaled new milestones year-after-year. So thank you so much, Dr. Raj. I would like to give a few -- give an overview of a few key metrics. I'm happy to share today that we have around 3.9 million active users who use Zaggle powered cards and software, a strong testament to the scalability and adoption of our platform. We now serve more than 3,900 corporate customers across a wide spectrum of industries and sectors.

Talking about our stand-alone revenue mix for the quarter. SaaS platform fees contributed to around INR13.1 crores, program fees contributed to about INR222 crores, and Propel Points contributed to around INR358 crores. As you can see, our SaaS platform contributes to around 2.2% of our overall revenue.

So when you think about the impact of AI on our business, it is important to note that our core monetization is driven majorly by transaction-based revenues, which is program fees and Propel Points. In fact, the integration of AI has helped improve our efficiency tremendously. For

instance, product customization timelines have reduced. And as highlighted by Dr. Raj earlier, our inward AI approach has enabled meaningful time savings for our employees.

Now to talk of a few business highlights. During the quarter, we have signed multiple marquee clients, including Rebel Foods, Saurashtra Cement, Blue Star, CNG International, Fanuc, Generali Central Insurance, TrustWealth, Impresario Entertainment and Federal Bank, among others.

To further illustrate this with a specific use case, one of our clients in the real estate industry was struggling with significant operational friction caused by high usage of cash and manual treatment of more than 2,500 expense vouchers per month. Also, the lack of a versatile digital payment instrument and central control system led to persistent spend leakage and frequent delays in insight operations. To resolve these inefficiencies, we deployed the BROME module of the Zaggle Zoyer platform. BROME stands for branch recurring operating monthly expenses. To implement the established QR/UPI-based central payment hub that entirely eliminated the need for cash, related reconciliation and manual handling of the vouchers, along with a mobile-

Zaggle Prepaid Ocean Services Limited

May 13, 2026

Page 7 of 17

first workflow and real-time visibility into property level spending effectively plugged the leakages. I also want t

o highlight one of our existing clients who operates in the retail sector, managing expenses across 200-plus branches largely led to delays.

Manual follow-ups and complex reconciliations. To resolve this, we implemented the BROME module of our Zaggle Zoyer solution. The on-ground measurable impact seen was absolutely phenomenal. Almost 200-plus are saved every month across the branches, along with 90% better visibility and control over branch utility spend.

An added benefit which the client saw was around 3 lakh saving per month in avoiding late payment penalty fees that major billing payments -- major billers levy on these payments wherein you do it -- when you delay the payments.

Our platform-first strategy remains a primary growth driver with a healthy pipeline of new wins and deepening account penetration set to accelerate our momentum. In Q4, we were able to cross-sell to a large number of clients, including Hexalog, GMR, CNH International, amongst others.

With that, I would now like to hand over the call to our Interim CFO, Rajesh, who will take you through the financial update in more detail. Thank you.

Rajesh Tummalaganti: Thank you, Avinash. Good evening, everyone. I would like to take this opportunity by giving the quarterly update first as our reported EBITDA at a stand-alone basis stood at around INR55 crores with a year-on-year growth of around 50%, and this was mainly driven by improved operating leverage and the process improvements. On the similar lines, reported EBITDA margin expanded to 9.3%. Quarterly PAT recorded around INR38 crores with a margin of 6.4%. Reported EBITDA at a consolidated basis stood at around INR60 crores with Y-o-Y growth of 68%, with reported EBITDA margin expanding to 9.7%. Quarterly PAT recorded is around INR41 crores with a margin of 6.6%.

Now coming to FY26 update. Reported EBITDA at a stand-alone basis stood at around INR181 crores with a Y-o-Y growth of around 57% with reported EBITDA margin expanding to 9.7%.

Annual PAT recorded is around INR133 crores with a margin of 7.2%

Reported EBITDA at a consolidated basis stood at around INR189 crores with year-on-year growth of around 61%, with reported EBITDA margin expanding to 9.9%. Annual PAT recorded is around INR138 crores with a margin of 7.3%. I also wanted to give you an update on some of the other points. Employee costs have reduced mostly on account of adoption of AI initiatives in the business, increase in depreciation and amortization driven by capitalization of new technology and product developments, reflecting our continued investment in innovation. On segmental performance, our Propel platform revenue surpassed the mark of INR1,000 crores for the first time. This was mainly driven by demand across the product. Program fee contributed 41% to the revenue with a SaaS fee contributing around 2% to the revenue.

Zaggle Prepaid Ocean Services Limited

May 13, 2026

Page 8 of 17

We have observed significant increase in interchange fee, largely driven by performance of our Zoyer and BROME solutions, along with organic growth in the Save and Propel businesses.

Also, I'll take this opportunity to reiterate our focus on the 3 key metrics, which we will look forward at the upcoming year, operating cash flow, revenue growth and margin expansion.

With that, I would like to conclude my update, and we are happy to open the floor for questions.

Thank you.

Moderator: First question is from the line of Astha Jain from PKD Advisors.

Astha Jain: I wanted to ask you that your capitalized development costs have nearly doubled from INR30 crores in H1 to INR56 crores in H2 FY26. So, sir, doesn't this make free cash flow a more meaningful metric to track true earnings power?

Avinash Godkhindi: Thank you for your question. See, ultimately, we are a tech company, right? So, there is capitalization that has to be done. And we are -- as

we are investing more and more in tech, we

are also capitalizing some of that. Just to clarify, we capitalize only those costs, which are related to new product development.

Any maintenance work is not capitalized. See, all the metrics are there for all of us to track, and we can always optimize on operating cash flow, free cash flow. We are continuously focused on improving those metrics. And as long as we are able to move in the right direction, we are -- we believe sooner than later, we'll be able to sort of meet the market expectations and go beyond that for all these metrics.

Astha Jain: Okay. Sir, my second question is that our Propel margins have declined from 10% to 4%, like 10% in Q4 FY25 to 4% in Q4 FY26. So, sir, didn't we achieve the overriding commission this quarter? Like what was the reason for this fall?

Avinash Godkhindi: See, I think the right metric is to look at about 6% that we did for the year last time. And some of the margins have come down because we've also explained previously that we have been very focused on the cash flow. And some of the models like the redemption model on Propel Points do take a lot of our cash flows, absorb a lot of cash.

And we have started to move away from those models. That has consequently meant that we have had to sacrifice in the interim some margins. But we believe we are going to be able to come back to around 5.5% margins in the coming years while we improve on the cash flow.

Moderator: Next question is from the line of Rohan Mandora from Equirus Securities.

Rohan Mandora: Congrats on a good set of numbers. So just with respect to your guidance for next year on the stand-alone business, where we are guiding for 25% to 30% growth. So, this year, we have delivered around 42% growth. So, is there any business where we are trying to go slow next year for guiding 25% to 30%? Just trying to understand that.

Zaggle Prepaid Ocean Services Limited

May 13, 2026

Page 9 of 17

Avinash Godkhindi: Thanks, Rohan, for your question and kind words. as you are aware, the base has grown significantly from the time when we were going IPO, where the revenues was INR373 crores, you'll remember. Today, on a stand-alone basis, we are at INR1,852 crores and consol is INR1,907 crores, right? So, the base itself has grown almost 5x, 6x, right? And consequently, obviously, the percentage growth would come down.

The other point also is, as I mentioned in the previous questions, our focus is cash flow improvement. And if that means that some of the Propel Points growth comes down, a little bit. We are open to that as long as it's helping us on the cash flow. There also, now we have crossed INR1,000 crores in terms of volume. So, it's a sizable volume. And any growth there would be very meaningful because you have talked to a high base.

Rohan Mandora: Sure. And sir, secondly, if you look at the trade receivables, they have gone up from INR40 crores to INR129 crores year-on-year. So, if you can explain what has happened here and which -- if you can give the split of receivables between the 3 businesses, Save Propel Zoyer?

Avinash Godkhindi: So, Rohan, we don't generally give the split because there's a lot of cross-sell that happens. You're aware of it. And the same customer might end up having a payable on their books, which is a receivable for us across products, right? But again, the thing that I want to highlight is we were at about INR33 crores, INR34 crores negative at end of September.

And from there, our goal was to at least come to a breakeven. We are close to breakeven. We are at 6. And that has been the focus, while the trade receivables is one of the levers. But if you look at it as a percentage of our revenue from end of Q2, it has more or less remained and we'll try and improve on that in the coming quarters.

Rohan Mandora: Sure, sir. And sir, lastly, the INR6 crores, INR7 crores of cash -- free cash from operations that y

ou're talking about on a stand-alone basis, on a consol, that is almost INR52 crores negative.

So, what's the difference? Like what's happening in the other part of the businesses that is leading to the high negative cash flow?

Avinash Godkhindi: So many of these other businesses are nascent businesses, right, Rohan, which are -- we've just taken over those businesses. So, we will obviously bring in much more efficiency and streamline the operations in the coming quarters. And also, we have had to make some investments in some of those businesses. So, as we go along in the coming quarters, we'll be able to streamline the

cash flows in those businesses as well.

Moderator: Next question is from the line of Ankush Agrawal from Surge Capital.

Ankush Agrawal: So firstly, this difference in revenue growth that we're targeting between the consol and stand-alone, which is about 10%, 15%. So which recent acquisition will drive this 10%, 15% of delta in revenue growth if you can highlight?

Avinash Godkhindi: So, it's not going to be a single acquisition, sir. It's going to be all engines firing. But obviously, some of these businesses will probably grow faster. Right now, GreenEdge is growing very, very

Zaggle Prepaid Ocean Services Limited

May 13, 2026

Page 10 of 17

well. And -- but we expect Zagg.money also to pick up a lot of pace. There, of course, the lead would be with the card-outs and card activations and then the revenues follow in terms of spends.

That's the typical pattern of a card portfolio, retail card portfolio. And of course, we'll see a marked improvement this year in Taxspanner as well.

Ankush Agrawal: Okay. So, the consumer credit card business, that is -- that will get a reference fee is what you're saying and then share of MDR on spend, right?

Avinash Godkhindi: Correct Share of interchange and referral fee from the banks. We take no balance sheet risk.

Ankush Agrawal: Right. The second question is around the expenses that has come down both, say, quarter-on-quarter and even Y-o-Y, I see other expenses around INR24 crores versus INR28 crores last year. So, on the employee front, AI initiatives, what the CFO highlighted. But other than that, also, I think quite a sharp sort of reduction in overall cost base versus past many few quarters wherein the cost base was growing quite fast. So just trying to understand if you can talk a bit more about what is happening over here? And how do you see this cost base going into the coming year?

Avinash Godkhindi: So, we are obviously trying to optimize. We are trying to save every penny to be very honest and openly. Having said that, I also want to highlight that as we have acquired the DICE corporate portfolio. And it's an asset purchase with about 100-plus DICE team members coming on board. So, some of these employee costs and other costs are in the next quarter likely to go up.

So, we just want to highlight that. But our effort to be able to bring in more efficiency optimization, not just in Zaggle, but across the group is continuous.

Ankush Agrawal: Okay. But like with this DICE, are we going back on our earlier sort of guidance within, say, around 11%, 12% kind of margins were expected in the coming years versus 10% this year. I think 100 bps is what was sort of a guidance that every year, 100 bps sort of margin expansion you could expect?

Avinash Godkhindi: See, you're right. On DICE, our original plan was to have a 100% share acquisition. So that would be a subsidiary. Now the structure has changed to an asset purchase. And that means that cost comes on to the Zaggle as a company, right? It's a much more efficient structure, if you look at the price, which was earlier INR123 crores plus today to INR68 crores.

So, it's a very significant improvement in terms of the cost per se for us. But it does mean that this money -- this cost comes on to our P&L as a stand-alone as well as consolidated.

Consolidated

in any case, that cost would have come, right? So, we'll come back with the EBITDA guidance in the next few months once we are able to complete the integration process.

Ankush Agrawal: Okay. Got it. And lastly, any update on any other M&A that you're pursuing that might be on advanced stages, the larger ones?

Zaggle Prepaid Ocean Services Limited

May 13, 2026

Page 11 of 17

Avinash Godkhindi: So, we will update you, sir, as we make progress and we hit some milestones, we will keep you posted. Thank you.

Moderator: Next question is from the line of Siva from ithubtPMS.

Siva: My question is regarding the cash back and incentives metric. So, we are roughly at around 68% right now. And I think previous call, we had guided for around 50% over the span of next 4 to 5 years. So how are we planning to do this? Like will there be any impact on our customer usage or retention if we're going to reduce this cash back and incentive?

Avinash Godkhindi: Thank you for your question. I think as we have seen in a variety of businesses, as habits get formed, both on a consumer and the corporate side, ability to levy additional fees and to take scale back cash backs, et cetera, is a very common phenomenon. I mean, just go back to the original initial years of e-commerce in India or even your food delivery, etcetera, versus where it is today and travel being a great example where all of us are paying happily convenience fees to various OTAs. So, we believe spend management is a growing category. We have spoken of

this a number of times that 30 years ago, ERPs were unknown or lesser known. 20 years ago, it was HRMS, 10 years ago, it was CRM in India. We believe in 10 years' time, spend management will be a very established category, at least with the CFOs of corporates and in the ecosystem. And with that coming in, in the coming years, we believe the cash backs will automatically come down.

Siva: Right, sir. And sir, so this cash back and incentive, we're giving it for both -- I mean, all 3 prepaid cards, Propel and credit cards, right?

Avinash Godkhindi: Sir, it's largely for credit cards and prepaid cards. On Propel Points per se, we don't necessarily give any cash backs as such.

Siva: But again, for prepaid cards, like why would we want to give out a cash back. So, if I'm using my prepaid card, I'll be wanting to finish off the balance either way, right? So why would you incentivize them on finishing off the balance?

Avinash Godkhindi: Sir, you're absolutely right. We don't want to give any incentive or cash back on prepaid and credit. Absolutely, we don't want to, but consumer behavior is such that they have got habituated to a certain degree of cash back, starting with the wallet business. So, everybody has that -- at least there are -- let me rephrase that. There are a certain set of consumers who transact basis on the cash back coming through.

So, for those select customers, we still give some cash back. But believe you me, we don't want to give that cash back. It's just the nature of the industry that exists today. And as the base of our customers, both on the corporate and the consumer side grows, we will start dialing down these cash backs.

Zaggle Prepaid Ocean Services Limited

May 13, 2026

Page 12 of 17

Siva: Sure, -- and so my next question is regarding our GTV. So how much of our GTV is being contributed by, say, Zoyer, Save and Propel?

Avinash Godkhindi: It's a great question. It's a tricky one because there are many customers where they are taking both Zoyer and Save. Many cards are used for both modules or both products. And then there are sub modules inside. So, it's very hard for us to bifurcate the GTV -- and generally, we don't -- that's why we don't publish the GTV in that sense. The metric that we focus on is the program fees in this case.

Siva: Right. But what I was thinking was that Zoyer, so it deals with vendor payments. So, it kind of angle

s -- the payment value is higher compared to, say, or Propel. So, could we assume that Zoyer is like 50% or greater than the other 2 segments?

Avinash Godkhindi: Zoyer is growing very well. It started off when we did our IPO in September 2023, there were zero revenues from Zoyer. From there, it's really taken off in a very big way. And we see that to be a very big driver of growth in the coming years for our business.

Siva: Right, sir. And one last question. So, we're planning to acquire DICE now. So, I think DICE, it's entirely SaaS revenue for them till now. So, once we finish our acquisition, are we planning to cross-sell our credit cards with them? And if you're planning to do that, how much of incremental GTV can we expect from DICE's existing client base?

Avinash Godkhindi: So, we signed the 3 contracts of IP purchase and asset purchase agreements today. So, the DICE deal has now moved from 100% acquisition of the shares to an asset purchase and an IP purchase agreement. So that has been completed today. The definitive documents are signed. But yes, to your larger question, absolutely, we look to cross-sell payments, whether it's corporate credit cards, whether it's prepaid cards, whether it's QR payments onto that base.

A little early for us to come back to you with specific numbers as to how much we'll be able to get in terms of revenues in the coming years. But if you do a like-for-like in terms of what the Zaggle SaaS revenue is and what the program fees are and what the DICE SaaS revenue is, you can do a simple calculation and estimate what's the potential of program fees coming in from there.

Moderator: Next question is from the line of Prakshal Jain from Lucky Investment Managers.

Prakshal Jain: My first question is, sir, this tech spends of about INR107 crores that you have capitalized, is it fair to assume that this is mostly manpower cost? Or there is some expenditure on tech infrastructure as well in this?

Avinash Godkhindi: Sir, it's a combination. A lot of it is manpower as I clarified in the previous call as well. We capitalize our new product development, not our ongoing maintenance. but largely, it's people cost.

Prakshal Jain: Okay. And sir, how much do we plan to spend in a similar way next year and the year after that?

Zaggle Prepaid Ocean Services Limited

May 13, 2026

Page 13 of 17

Avinash Godkhindi: It's difficult to give a specific estimate on a cost line item. But this is a phase with AI coming in where there is a certain amount of investment that we will need to do to build a product which we'll be able to take not just in the Indian markets, but global markets.

And then if you look at the kind of investments that the global players make on tech and product, we are a fraction of that cost, an absolute fraction of a fraction of that cost. So, we will invest prudently. We will invest wisely while protecting our margins and our cash flows. But that investment is critical for building market leadership in other markets and to grow the market leadership that we have in India.

Prakshal Jain: So fair to assume that expenditure would continue at a similar rate for the next 2, 3 years?

Avinash Godkhindi: Difficult to give specifics, sir. I don't want to get tied down into.

Prakshal Jain: Ballpark is fine, sir.

Avinash Godkhindi: Please let me not tie myself into any knots here by giving you any specifics, sir.

Prakshal Jain: No problem. Sir, my next question pertains to a couple of balance sheet items. So, one is why this INR40 crores, INR50 crores short-term borrowing has come up, despite we already having cash?

Avinash Godkhindi: So, this is basically to be able to quickly deploy the capital and grow the business. This is a short-term borrowing that we sometimes need to do to be able to drive traction. That's the whole thing. It's very short term in nature.

Prakshal Jain: Understood. Okay. And there is INR10 crores loan given to other

s. So, what is that?

Avinash Godkhindi: INR10 crores loan to others. Are you talking about the loan that we gave to DICE? Yes, that should be the one, sir. So, we gave a loan to the company to keep it functional. And that has been adjusted completely against the INR68 crores payout.

Moderator: Next question is from the line of Akshat Mehta from Seven Rivers Holdings.

Akshat Mehta: Am I audible?

Avinash Godkhindi: Yes, sir.

Akshat Mehta: Yes, sir. So, I just wanted to ask you on your other -- your top 3 products, except for Save, Propel and Zoyer, the other products are fleet management and your ForEx solutions, sir, how are they doing?

Avinash Godkhindi: So those are products which are doing very well. They will start generating revenue in the coming quarters. Some of these products like fleet are already generating some revenue. We have some very good customers like Adani. We have Think Gas, AGP Pratham, that is, and many others in the CDG side.

Zaggle Prepaid Ocean Services Limited

May 13, 2026

Page 14 of 17

We are hopeful that we'll crack some OMCs, oil marketing companies in the coming quarters. Coming to the international payments as well, we are seeing some traction there. But as you would agree, a lot of these businesses being B2B in nature have gestation periods. It's very hard to crack into an IOCL, HPCL or BPCL. There is some business that we do with some of them, but sizable would take some time.

Similarly, ZatiX is a high-margin business. It's a straight pure software business for card analytics, and that's all bottom-line income. And as that business grows in the coming years, -- it will add a lot to our bottom line, very little to the top line per se, but it's straight bottom line income, very similar to SaaS. It's like SaaS income. So there also, we'll see traction in the coming quarters.

Akshat Mehta: My second question is on the Middle East expansion that we are doing. Can you just help us elaborate on what is the exact road map strategy to go there? Where are we going to expand? What are we going to kind of offer first, etcetera?

Avinash Godkhindi: On a lighter note, if we knew that, then we would have been very, very happy, but it's a very volatile situation, as you would agree. And every day, we hear a different piece of news. So, what we are doing is we are continuing to engage with all the stakeholders in that region virtually. But that's also a region or a market which requires a fair degree of in-person engagement. It's a relationship-based market, much more than many others.

And as you would agree, relationships are built by spending time in person much better than virtually. So, we are just keeping the conversation going and the relationships warm. And as soon as the war or war-like situation finishes, we would want to spend significant time there in those markets to be able to start getting traction. Those conversations are ongoing. But to be able to close anything substantial in terms of a partnership, it would require us to spend some time in the market.

Akshat Mehta: So currently, we don't have any on-ground presence there?

Avinash Godkhindi: Currently, we don't have any on-ground there. So, you're absolutely right. Through the APA that we did with DICE, we get some basic contracts with some customers and some ongoing

conversations. But again, that is pretty nascent.

Moderator: Next question is from the line of Kiran Gadge from Knightstone Capital Management LLP.

Kiran Gadge: Could you please split the other current asset between prepaid cards and voucher for FY'26?

Avinash Godkhindi: Sorry, I didn't get that question, sir.

Kiran Gadge: Could you please split the other current asset between prepaid cards and vouchers for FY26?

Avinash Godkhindi: So, there are multiple line items in the other current assets. So, I wouldn't want to go into specific line items on this call. That's the information that the company publishes.

Zaggle Prepaid Ocean Services Limited

May 13, 2026

Page 15 of 17

Kiran Gadge: No, I mean because it's a major item, prepaid cards and vouchers. If you could give a sense how much was it for this year?

Avinash Godkhindi: As I said, sir, it's not just these two line items. There are multiple line items in other current assets. And we generally don't give a breakup or specifics on that. And that's the stand that we maintain per se.

Kiran Gadge: Okay. And what sort of revenue can we expect from fleet management in the future?

Avinash Godkhindi: Sir, you are aware of the kind of customers that we are chasing there. It's a high concentration customer with large volumes in terms of spends. I took the names of the OMCs already. And as and when we are able to crack those contracts, we will share with you specifics as to what the estimates are if those estimates are quantified and contracted and committed by the OMCs.

Moderator: Next question is from the line of Akhil Gulecha from Hornbill Capital.

Akhil Gulecha: My question is on the Propel business. So, we generate roughly INR45 crores of net revenue and on INR1,000 crores plus of gross revenue. So, I just want to understand why is this business in existence? Because it feels like the problem is cash flow. So, to generate INR45 crores of net revenue, hundreds of crores of our working capital is stuck in our balance sheet. So, this seems like the easiest way to generate cash flow. It doesn't feel like you're generating enough ROE or ROCE on this business.

Avinash Godkhindi: So, I don't necessarily agree that it's hundreds of crores per se stuck through the year, sir. But your point is well taken. That's the reason why we are trying to optimize on this business. This business is also a feeder business for our larger business. It brings in a lot of stickiness. It brings in opportunity for us to cross-sell, upsell significantly.

And so there are lots of benefits that the business brings. Also, please recognize that 90% of the spends that happen on Propel happen on a prepaid card, and that revenue sits under program fees, right? It's the 10% that gets redeemed on vouchers that gets classified separately as Propel Points revenue as per Ind AS. So the overall Propel business is an extremely valuable business and an extremely cash-generating business for us over the years, it's going to be. But we are focused on optimizing on cash flow, and that's why we have taken some steps this quarter as well.

Akhil Gulecha: Understood. I understand the cross-selling part, and I think that has given us a lot of advantage, but the suggestion was because as an investor, it feels like program fees is the juicy part of the business where you generate great amounts of cash every year, and all of that is getting stuck in those prepaid cards we're putting on the balance sheet. So, to the suggestion that if we could just focus on that and start generating positive cash flows or Street might look at our business differently.

Avinash Godkhindi: Point well taken, sir. But just to clarify, program fees is income generated as interchange and any incentives we get from networks for both prepaid network cards as well as credit cards,

Zaggle Prepaid Ocean Services Limited

May 13, 2026

Page 16 of 17

right? And Propel platform generates revenue both through prepaid network cards in the form of program fees as well as Propel Points, which is redemptions that happen of those points on vouchers of over 300, 350 brands. So, it's a complex business.

It has many layers and levers to it. But overall, yes, we sort of are seeing the need to be able to focus on the cash, cash flow and the ROC, ROCE. So, point well taken. We are working on those lines to -- without impacting the business and impacting the relationships, how do we optimize on these metrics or these levers.

Akhil Gulecha: Best of luck for next year. Hopefully, we'll see a large part of our PAT

converted to operating

cash flow next year.

Moderator: Next question is from the line of Jayesh Shah from OHM Portfolio Equity Research.

Jayesh Shah: Avinash, I have a couple of questions. First of all, on the overall EBITDA guidance, which has

not been given. What is the impact because of DICE? Because I see revenues of DICE only at INR10 crores. So, expenses can't be too much. Would it be fair to say that the fourth quarter run rate or annual run rate is -- will be maintained and any upside is something that you are not able to guide us on the guidance?

Avinash Godkhindi: So, thank you for your question. See, the impact of DICE in the consolidated basis is probably nothing different from what was originally envisaged when we signed the term sheet. If at all, it's better now. But what's happened is the -- because the nature of the contract has moved from a share purchase agreement, 100% acquisition to APA, an asset purchase agreement. So, the costs have come directly on the stand-alone entity.

The INR10 crores also is the FY25 numbers. The FY26 numbers are significantly higher. And those contracts are all with us. All the revenue-generating contracts are with Zagggle as well as the pipeline of customers. But having said that, it's too premature for us to talk of how much the margins will change right now because end of the day, we are also integrating. And we are, as Rajesh also mentioned, giving top priority to cash flows, followed by growth and then followed by margin expansion and EBITDA.

Jayesh Shah: No, I understand that. My simple question is, is DICE basically loss-making at the net level that could impact your run rate of whatever, INR50 crores of -- INR55 crores of EBITDA that you have every quarter. So, would the next 2 quarters actually see a meaningful reduction?

Avinash Godkhindi: DICE was a loss-making company in FY25, sir, and likely to be losing a loss-making company for FY26 as well. We obviously would try and optimize there and make sure that we are able to leverage it in such a way that we are able to extract profits in the coming years.

Jayesh Shah: Right. Because again, my -- this drives to my basic question that you have ramped up the business 6x from FY22 onwards. But whatever you have gained in terms of, say, operating leverage, you have lost out more on the gross margin, which is the other way to say on the take

Zagggle Prepaid Ocean Services Limited

May 13, 2026

Page 17 of 17

rates or whatever. So, it's like growth is coming at an incremental lower margin and now your growth rate is also moderating.

So, is that a challenge given the focus now on cash flows that margins can actually see further downside, which actually means that your 11% to 14% medium-term guidance actually gets postponed due to DICE and the overall moderation in growth rates?

Avinash Godkhindi: Our overall guidance of 14% to 15% over the course of next 5 years remains. But in the interim, of course, the ramp-up, which we would have otherwise seen probably close to 1 percentage point every year, that might go through some temporary variation.

But overall, we see the margin expansion to be there over the course of the next 5 years. You're right, but with the world changing so much and AI coming in, there is a huge opportunity also getting created. And we would want to further consolidate our market leadership in the spend management space.

If you look at it where we were in FY22 or FY23 in terms of spend management, where there are multiple other players who would take claim that they also had some sort of meaningful presence in spend management to today where the clear market leadership sits with Zagggle. I think it's a very important thing for us to be able to consolidate on that.

And please also appreciate that in the coming years, as we go to the global markets, while initially there will be some investment required, eventually, those markets generate much higher marg

ins, whether it's the Middle East or even the US. So, the margin expansion would also kick in from those actions. And then potentially, we've still not shut door on other acquisitions. So, we will keep looking at good opportunities, which might help us expand our margins as well.

Moderator: Due to time constraints, that was the last question of the day. I now hand the conference over to management for closing comments.

Avinash Godkhindi: Thank you all for participating in today's call. We hope we have addressed all your queries and provided valuable insights. We remain optimistic and focused on the future growth of the company, and we are excited about the opportunities ahead. For any further information, we request you to get in touch with SGA, our Investor Relations Advisors. Thank you, and have a nice day.

Moderator: Thank you. On behalf of Zagggle Prepaid Ocean Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.